# CORRESPONDENT NON-AGENCY SELLER GUIDE

Published 03/09/2026

# CONTENTS

Additional conditions may apply. Verus Residential Loanco, LLC NMLS#1462920.

# CHAPTER 1 - DOING BUSINESS WITH VERUS

## 1.1 GENERAL INFORMATION (10/16/2023)

Verus Mortgage Capital through this Seller Guide is setting forth the loan purchase and eligibility guidelines applicable to each Seller correspondent entity (a "Seller") that submits a residential mortgage loan to Verus for purchase under the Non-Agency Loan Program.

The purpose of this Seller Guide is to ensure each mortgage loan meets Verus quality standards. A loan meets Verus quality standards if the legal documents, borrower's credit, income documentation, quality of the collateral (property), and compliance with all applicable laws are consistent with the loan program under the guide.

Verus acts solely as a secondary market purchaser of closed loans. All loans must be manually underwritten in accordance with this guide. Verus does not participate in any credit decision with respect to each mortgage loan it reviews for purchase. By locking a loan with, or submitting a loan to Verus for purchase, the Seller acknowledges and agrees that: (1) any pre-close or non-delegated purchase eligibility determination is not a decision or recommendation to extend or deny credit by Verus; and (2) the Seller has made, or is making, its own credit decision with respect to the loan to the borrower, regardless of whether Verus wishes to or actually does purchase, or decline to purchase the loan; and (3) neither Verus, nor any of affiliates and its affiliates' directors, officers, employees, agents, or contractors has influenced, or will influence, the Seller's credit decision with respect to the loan to the borrower by indicating whether it will purchase the loan if the Seller originates and closes the loan.

Verus credit philosophy is intrinsic to our acquisition platform and includes a practical application of the guidelines when analyzing a loan for purchase. Our focus is on aligning the interest of the borrower and limiting layered risk through a combination of:

- Verified employment, income, assets, and reserves.
- Borrower credit and housing history.
- Value of collateral used to secure the loan.

Exceptions to published guidelines are considered on a case-by-case basis. Loans requiring an exception are reviewed wholistically taking into account the risk factors noted above. Regardless of exception type, the loan should demonstrate strong compensating factors to support granting an exception. All exception requests must be submitted by the Seller to Verus by completing the required information on the Exception Request screen in LMS Connect. Our decision to grant or reject any exception request is based on our role as a potential investor in any related mortgage loan. This decision is not intended to serve as advice regarding any decision to extend credit.

Verus' decision to purchase or not purchase any mortgage loan will be based on a full credit, compliance and property review conducted by an independent, third party due diligence firm and legal collateral review by our custodian. Our decision to purchase any mortgage loan will be based on the results of such due diligence review and our own internal policies and procedures.

The Seller and any third party originator or broker engaged by the Seller must fully comply with all federal, state, and local laws applicable to the origination and sale of mortgage loans ("Applicable Law"). It is the Seller's sole responsibility to ensure that all loans it originates comply with Applicable Law.

The Seller Guide in Chapter 1 and the Mortgage Loan Purchase Agreement, as amended periodically, together govern the business relationship, and constitute the entire agreement between Verus and the Seller. Verus may suspend or terminate its relationship with the Seller upon any failure to meet the requirements under this Guide.

## 1.2 IMPORTANT ADDRESSES, CONTACT INFORMATION AND HOURS OF OPERATION (04/03/2023)

See Verus Contact Form for current phone and contact information.

### 1.2.1 HOLIDAYS (03/09/2026)

Verus observes the following federal holidays. On federal holidays, banks and the US Postal service do not operate, and wire transfers are not available.

The federally recognized holidays at the time of publication of this Guide are:

| | | |
|---|---|---|
| *New Year's Day* | *Juneteenth* | *Veterans Day* |
| *Martin Luther King Jr. Day* | *Independence Day* | *Thanksgiving Day* |
| *Presidents' Day* | *Labor Day* | *Christmas Day* |
| *Memorial Day* | *Columbus Day* | |

The Lock Desk follows the holiday schedule published by the Securities Industry and Financial Markets Association (SIFMA).

In addition to being closed on the above referenced federal holidays, the lock desk will close early based upon the SIFMA holiday schedule, please use this link for the annually updated schedule https://www.sifma.org/resources/general/holiday-schedule/.

## 1.3 SELLER ELIGIBILITY (03/09/2026)

This Eligibility section outlines requirements for becoming a Verus approved Seller and for maintaining that eligibility in Good Standing. Verus has engaged Comergence® to streamline the process. All Sellers with an NMLS license must submit their applications using Comergence®.

Sellers originating only business purpose loans must maintain state level licensing as required but may not have an NMLS license. These Sellers will be eligible for application using a manual process. Contact your Account Executive for further details.

### 1.3.1 APPROVAL OVERVIEW (03/09/2026)

Verus Mortgage Capital will review the applicant's information and request for approval to determine eligibility. At the discretion of Verus, eligibility standards may be waived or modified; however, the subsequent enforcement by Verus will not be affected.

To become an approved Seller to Verus Mortgage Capital, the applicant must:

- Subscribe/be set up in Comergence®.
- Receive an invitation initiated by Verus through Comergence®.
- Satisfy all Verus' eligibility requirements.
- Accurately and fully complete the application-questionnaire and provide all necessary documentation.
- Execute the applicable Mortgage Loan Purchase Agreement (MLPA) and any other agreements, documents, forms or requirements that may be applicable to the approval requested.

#### 1.3.1.1 Comergence®

Comergence® is an online due diligence screening firm used by Verus. The Comergence® portal makes applying to Verus easier and safer, using an electronic application to streamline the approval process. Comergence® provides a proprietary combination of background due diligence with ongoing compliance surveillance, all of which makes the entire management process easier, safer, and completely secure for all parties. NMLS registered mortgage loan originator companies can use the streamlined process to apply to Verus easily and securely. Once you are approved by Verus, the profile must be kept current and available for easy recertification with Verus.

#### 1.3.1.2 Minimum Requirements (03/09/2026)

All applicants must:

- Be a duly organized, valid entity and in good standing under the laws of the jurisdiction of the organization.
- Possess and maintain all required licenses necessary to conduct business in each jurisdiction in which loans are originated.
- Be in compliance with all applicable Federal, State, and Local regulations and laws.
- Have been actively engaged in residential mortgage lending as a Correspondent Seller for a minimum of two (2) years preceding the submission of an application to become an approved Seller with Verus.
- Have at least five (5) years of substantial residential mortgage lending experience by the company owners or key company decision makers. In cases where the company has not been actively engaged in residential mortgage lending as a Correspondent Seller for at least two (2) years, the company owners or key company decision makers must have at least seven (7) years of substantial residential mortgage lending experience.
- Provide the current resumes for the company President, CEO, CFO, COO, Head of Production, Chief Credit Officer or Head of Underwriting, Head of Compliance/Quality Control and Head of Secondary Marketing. The experience level for each of these positions must be acceptable to Verus.
- Company Principals must not have any bankruptcies, foreclosures, or unsatisfied tax liens or judgments within the last four (4) years.
- Have a minimum audited HUD-adjusted net worth of $1,500,000.
- Provide two (2) years of audited fiscal year-end statements prepared by an independent auditing firm with all schedules and attachments.
- Have Operational Risk Results at an acceptable level.

- Maintain Errors and Omissions (E&O) insurance and a fidelity bond in a form and with an insurance carrier that: (1) is acceptable to Verus, (2) covers investor losses with a minimum coverage of $300,000 for each loss.
- Have an acceptable Quality Control plan in compliance with FNMA, FHLMC, FHA, USDA, and Verus, as applicable. This Quality Control plan and management reports must be maintained in accordance with agency guidelines and provided to Verus upon request.
- Maintain warehouse line(s) of credit or a funding source acceptable to Verus.
- Resolve or satisfactorily explain to Verus any issues arising from the application-questionnaire and Comergence® reviews. If the issue cannot be resolved, Verus will determine the materiality of the issue.
- Notify Verus of the Loan Acquisition System (LAS), compliance tool (e.g., ComplianceEase) and Fraud Tool Manager used by the company.
- Not be listed on any exclusionary lists provided by the GSEs or HUD and must not be under investigation or suspended by any government agency.
- Not to be listed on any public or non-public commercial watch list or database that reports cases of misrepresentation or failure to honor contractual obligations.

## 1.3.2 PROCESS FOR APPROVAL (03/09/2026)

Upon receipt of a Comergence® invitation from Verus, please complete the application process. This will include completing and/or updating the online application, completing a questionnaire, and uploading specific documents as outlined by the Comergence® System.

Sellers will have 60 days to complete the steps in Comergence®. Upon completion of the Comergence® process by the Seller, Verus will be notified that the application is ready for processing. Verus will contact the applicant regarding any missing items to obtain clarification of any questions needed for review.

The following sections outline the various documents that may be applicable to the application process. Required documents are provided by uploading them in the Comergence® System.

### 1.3.2.1 Financials (03/09/2026)

Financial statements include the following:

- Last two (2) years of audited financials including all schedules and attachments.
- Year-to-date (YTD) and most recent month's interim financials: Profit and Loss Statement and Balance Sheet.
- On or after March 31 each year, the Seller must provide audited financials for the previous year. If prior to March 31, unaudited financials may be submitted.

### 1.3.2.2 General List of Documents (03/09/2026)

- Legal entity creation documents
- Corporate Organization chart including names of persons in key roles
- Corporate Resolution evidencing signatory authority
- IRS form W-9

- IT Disaster Recovery and Business Continuity Plan
- Current Insurance policies evidencing coverage for Errors and Omissions (E&O) and Fidelity
- Investor Score cards (upon request)
- Policies and procedures for approval, on-boarding, and monitoring of brokers/correspondents if applicable
- Resumes: Executive Management (CEO, CFO, COO, etc.) and Department Heads (e.g., Operations, Secondary, Underwriting, Production, Compliance/QC)
- Wiring Instructions for Warehouse banks providing funding for Non-Agency and Jumbo loans to include an email address and phone number for a contact that can verify the warehouse line
- Additional supporting documentation that may be necessary based on responses on the application-questionnaire should be uploaded as part of the optional documents within Comergence®. Examples include but not limited to:
  - Operational Policies and Procedures
  - Litigation supporting documentation
  - Explanations to questionnaire responses
  - List of loans held for investment or repurchases
- These documents will be reviewed and assessed for eligibility. Based on review of applicant information provided Verus may request additional documentation.
- Upon final review and decision, the applicant will be notified in writing of the decision, any follow up documentation needed and the contract (MLPA and associated addenda) will be sent for final signature.
- After approval, the Seller will be contacted by their Account Executive or Transaction Manager to schedule a Welcome Call to review programs, processes, policies, systems demonstrations, and necessary contacts within Verus to begin the registration, locking and loan delivery process.
  - During the initial Seller set-up, Sellers will be prompted for a list of users who need access to the Verus portal and website.
  - If Sellers use a pricing engine, they will also contact Verus directly for authorization to add Seller for pricing information.

## 1.3.3 SELLER RESPONSIBILITY

### 1.3.3.1 Maintaining Eligibility

Once approved to be a Seller to Verus Mortgage, the Seller must continue to meet the eligibility requirements herein to maintain its eligibility and approval to participate.

### 1.3.3.2 Notification of Significant Changes

A Seller must provide written notice of any contemplated change in its organization, including copies of any filings with, or approvals from, its regulators, new licenses, as applicable. Verus requires written notice immediately, but no later than seven (7) calendar days, after the finalization of significant changes relating to the Seller that include, but are not limited to:

- Any mergers, consolidations, or reorganizations.
- Any direct or indirect material change in ownership.

    - An indirect change in ownership includes any change in the ownership of the Seller's parent, any owner of the parent, or any beneficial owner of the Seller that does not own a direct interest in the Seller.
- Any change in corporate name.
- Any change from a federal charter to a state charter (or vice versa) if the Seller is a savings and loan association (S&L) or a bank.
- A materially adverse change in financial condition.
- Any change in authority evidenced by the Corporate Resolution or in banking relationships, including warehouse lines of credit/wire instructions.
- Any change in Agency approval.
- Any change in fiscal year end-date.
- Any change in management or key personnel or persons who oversee the key Seller departments.
- Use of a new or different fictitious name.
- Any changes to systems, servicer, etc.
- Any change to active and approved Users of Verus specific systems.
- Any changes to warehouse lender relationships or settlement wire instructions.

### 1.3.3.3 Good Standing (2/26/2024)

All approved Sellers must remain in "Good Standing" with Verus to maintain the required eligibility to sell loans. Failure to remain in Good Standing could result in Verus terminating the Agreement with cause.

To remain an approved Seller in Good Standing, the Seller must:

- Actively participate in the products and programs described in the Seller Guide.
- Be in full compliance with all terms of the Agreements and this Seller Guide, which is a contractual document by reference in the Agreements.
- Complete and submit within required timeframes all requested documents as part of the Recertification process.

### 1.3.3.4 Recertification (03/09/2026)

Verus consistently monitors the performance of each Seller. In addition to performance monitoring, Verus will perform a comprehensive review of each Seller's financial, industry, credit, and overall performance. Sellers will receive a notification that recertification is due through Comergence® requiring them to log into Comergence® and update their application and complete the questionnaire.

Within 60 days of the request for Renewal information, the Seller must submit via Comergence® the following documentation:

- Most recent full year Audited financial statements with all appropriate schedules and attachments. If the last recertification was greater than 1 year ago, Verus may require additional financials to meet the requirement for 2 years audited financials.
- Current year to date, unaudited financial statements no older than four (4) months.
- Updated/current organization chart identifying key management.
- Current resumes for any new management-position changes since the last approval.

- Current insurance policies evidencing coverage for Errors and Omissions (E&O) and Fidelity.
- Any other additional certifications or information requested by Verus.

Upon completion of the submission through Comergence®, Verus will complete the recertification analysis and provide written confirmation of Seller's recertification result.

Please note if a Seller is not actively participating in Verus products and programs, a recertification invitation may not be initiated.

### 1.3.4 WIRE INSTRUCTIONS (04/03/2023)

Wiring Instructions for each of the Seller's warehouse bank(s) must be on file with Verus and independently verified prior to the purchase of any loan. As these may change during the relationship it is important to provide current/updated information for the bailee letter(s) to prevent any delays in future purchases, see Section 1.8.11 Bailee Letter for details. The following bank information is required.

- Bank Name
- Bank Address
- Bank WIRE Routing number (ABA)
- Bank Account number
- Bank Contact information (i.e., name, phone number, email)

## 1.4 REPRESENTATIONS, WARRANTIES & COVENANTS

In addition to the Representations, Warranties & Covenants outlined in the MLPA, Verus will publish updates to any required changes through the Seller Guide in this section.

Verus does not originate or directly service mortgage loans and acts solely as a secondary market purchaser. Verus does not participate in any credit decision with respect to each mortgage loan it reviews for purchase. By locking a loan with, or submitting a loan to Verus for purchase, the Seller acknowledges and agrees that: (1) any pre-close or non-delegated purchase eligibility determination is not a decision or recommendation to extend or deny credit; and (2) the Seller has made, or is making, its own credit decision with respect to the loan to the borrower, regardless of whether Verus wishes to or actually does purchase, or declines to purchase the loan; and (3) neither Verus, nor any of affiliates and its affiliates' directors, officers, employees, agents, or contractors has influenced, or will influence, the Seller's credit decision with respect to the loan to the borrower by indicating whether it will purchase the loan if the Seller originates and closes the loan.

Sellers are always responsible for confirming the accuracy of the information in the system, even when transferring files directly from an outside source. Any discrepancies uncovered in the due diligence process or post-purchase will affect pricing up to and including the repurchase of the sold loan by the Seller, plus any expenses incurred. Please take the time to verify that all information is correct and that all required documentation has been provided. Verus will not be responsible for any errors made by the Seller.

## 1.4.1 STATE LICENSING

The Seller must comply with all applicable state license and registration requirements in connection with mortgage loan origination and any other related business activities, which include without limitation:

- Ensuring that each loan officer/originator/broker involved in the origination of loans delivered to Verus is appropriately licensed.
- Maintaining appropriate organizational licensure based on type and location of the activities it engages in.

## 1.4.2 QUALITY CONTROL

Verus applies its Quality Control Policy and Procedures to loans originated by Sellers and reports findings as appropriate to Sellers for their use in the prevention of similar occurrences. Verus requires that Sellers have in place and use Quality Control Policies and Procedures and perform regular reviews to ensure the quality of loans submitted to Verus for underwriting and purchase.

If any irregularities or discrepancies are discovered during Verus' routine review, Verus expands the scope of the quality control reviews on the Seller's loans to ensure that all problem areas are identified.

## 1.4.3 FAIR LENDING POLICY

Verus strictly complies with all applicable federal, state, and local requirements related to fair lending, including the Equal Credit Opportunity Act and the Fair Housing Act (together, the "Fair Lending Requirements"). Accordingly, in connection with its decision to purchase loans, Verus will not discriminate on any prohibited basis. Verus will also not knowingly purchase loans from Sellers engaged in practices that violate Fair Lending Requirements. To the extent a Seller is found to be engaging in practices that may violate Fair Lending Requirements, Verus may terminate its contractual relationship with such Seller or take any other action that it deems appropriate.

## 1.4.4 STATE AND FEDERAL HIGH-COST LOANS (2/26/2024)

Verus does not purchase loans that are subject to the Home Ownership and Equity Protection Act of 1994 (HOEPA), also known as "federal high cost" mortgages.

Further, with the exception of loans that comply with N.Y. Banking Law § 6-M (New York Subprime), Verus does not purchase mortgage loans that meet the definition of "high cost," "high risk," "covered," "subprime," or any similar designation under state or local law.

**New York Subprime Definition:**

- Subprime home loan means a home loan in which the initial interest rate or the fully-indexed rate, whichever is higher, exceeds by more than one and three-quarters percentage points for a first-lien loan, or by more than three and three-quarters percentage points for a subordinate-lien loan, the average commitment rate for loans in the northeast region with a comparable duration to the duration of such home loan, as published by the Federal Home Loan Mortgage Corporation (herein "Freddie Mac") in its weekly Primary Mortgage Market Survey (PMMS) posted in the week prior to the week in which the lender provides the Loan Estimate.

## 1.4.5 REGULATORY COMPLIANCE

Sellers and any of their sub-servicers will be in compliance with all federal, state, and local laws including without limitation, all statutes, regulations, ordinances, administrative rules, and orders that have the effect of law, and judicial rulings and opinions, that apply to any of their origination, selling, or servicing practices or other business practices and related technology. The Seller must comply with any applicable law that addresses fair housing, fair lending, equal credit opportunity, truth in lending, wrongful discrimination, appraisals, real estate settlement procedures, borrower privacy, data security, escrow account administration, mortgage insurance cancellation, debt collection, credit reporting, electronic signatures or transactions, predatory lending, anti-money laundering, terrorist activity, ability to repay, state community and marital property, or the enforcement of any of the terms of the mortgage. Each Seller will establish appropriate facilities and processes for monitoring applicable legal developments and implementing appropriate measures to stay in compliance with applicable law and will be able to demonstrate satisfactory performance of its legal compliance upon Verus' request. The Seller may be required to repurchase a mortgage loan that is in breach of the requirements of this section at any time.

## 1.4.6 ABILITY TO REPAY (ATR)

All loans subject to the general ATR underwriting standards (12 C.F.R 1026.43(c)) require a creditor to make a reasonable, good-faith determination that the consumer has a reasonable ability to repay the loan prior to or at consummation. A reasonable, good-faith ATR evaluation must consider the following eight underwriting factors based on available information in the mortgage loan file using reliable third party records:

- Income or assets used to repay the loan.
- Employment status.
- Monthly mortgage payment on the subject loan (fully indexed, fully amortizing).
- Monthly payments for any simultaneous loans secured by the subject property.
- Monthly payments for property taxes, hazard insurance, HOA fees, or ground rents.
- Debts (reported by a credit bureau or disclosed by the consumer), alimony, and child support obligations.
- Monthly DTI or residual income.
- Credit history.

## 1.4.7 HOME MORTGAGE DISCLOSURE ACT (HMDA)

The Seller is required to comply with the Home Mortgage Disclosure Act (HMDA), including without limitation all data collection, recordkeeping, and reporting requirements in connection with the Seller's credit decision on each loan file delivered to Verus.

## 1.4.8 FEE POLICY

Fees charged by the Seller must be in compliance with all applicable requirements, including those governing permissible fees, maximum fee amounts, timing, and disclosures.

## 1.4.9 PREPAYMENT PENALTY (04/25/2022)

Prepayment penalties are only eligible for investment properties under the Non-Agency program. Prepayment penalties are not eligible in states that prohibit penalties by state law. Verus also does not recognize penalties in select states where the permitted structure does not provide an economic benefit.

## 1.4.10 REPURCHASES (07/15/2024)

The repurchase price for loans subject to a Repurchase Obligation pursuant to the Mortgage Loan Purchase Agreement (MLPA) shall be as follows, unless otherwise determined by Verus:

- The original purchase price of the loan, less principal reduction since the original purchase of the loan by Verus, ***plus***
- All interest accrued but unpaid on the principal balance of the loan from the paid-to-date of the loan through and including the last day of the month in which the repurchase is made, ***plus***
- All expenses, including but not limited to: reasonable fees and expenses of counsel incurred by Verus in enforcing the Seller's obligation to repurchase the loan and/or resulting from any breaches of the Seller's representations and warranties under this Agreement, ***plus***
- The original servicing release premium paid by Verus for the loan, ***plus***
- Any unreimbursed advances of taxes, insurance, or property preservation made by Verus with regard to the loan as of the date of repurchase, ***less***
- Any proceeds of mortgage insurance collected by Verus in connection with the loan.

Upon any such repurchase of loans by the Seller, Verus shall endorse the promissory Note (without recourse) and shall assign any security interest (without recourse and in recordable form) to the Seller. If the mortgaged property securing the loan has been acquired by Verus by agreement with the owner of record or by foreclosure to mitigate its loss, then the repurchase price pursuant to the Agreement, notwithstanding the amount of Verus' credit bid, shall be:

- The original purchase price of the loan, less principal reduction since the original purchase of the loan by Verus, ***plus***
- All interest accrued but unpaid on the principal balance of the loan from the paid-to-date of the loan through and including the last day of the month in which the foreclosure sale occurs, ***plus***
- All costs and expenses, including but not limited to: fees, costs, and expenses incurred by Verus as owner of the property, reasonable fees and expenses of counsel incurred by Verus in connection with the foreclosure or acquisition and in enforcing the Seller's Repurchase Obligations, and/or resulting from any breaches of the Seller's representations and warranties under this Agreement, ***plus***
- The original servicing release premium paid by Verus with regard to the Loan, ***plus***

- Any unreimbursed advances of taxes, insurance, or property preservation made by Verus with regard to the loan as of the date of repurchase, ***plus***
- Interest on the amounts set forth in paragraphs (1) through (5) above at the loan rate from the end of the month in which the foreclosure sale occurred until and including the date of repurchase by the Seller, ***less***
- Any proceeds of mortgage insurance collected by Verus in connection with the loan.

If the mortgaged property securing the loan has been sold at foreclosure and purchased by a third party, the amount that the Seller shall pay Verus to fulfill its Repurchase Obligation pursuant to the Agreement is as follows:

- The original purchase price of the loan, less principal reduction since the original purchase of the loan by Verus, ***plus***
- All interest accrued but unpaid on the principal balance of the loan from the paid-to-date of the loan through and including the last day of the month in which the foreclosure sale occurs, ***plus***
- All costs and expenses, including but not limited to: reasonable fees and expenses of counsel, incurred by Verus in enforcing the Seller's Repurchase Obligations and/or resulting from any breaches of the Seller's representations and warranties under this Agreement, ***plus***
- The original servicing release premium paid by Verus for the loan, ***plus***
- Any unreimbursed advances of taxes or insurance made by Verus with regard to the loan as of the date of repurchase, ***plus***
- Interest on the amounts set forth in paragraphs (1) through (5) above at the loan rate from the end of the month in which the foreclosure sale occurred until and including the date of repurchase by the Seller, ***less***
- The net proceeds of the foreclosure sale (sale price minus costs and expenses, including but not limited to reasonable fees and expenses of counsel, incurred by Verus in connection with the foreclosure sale), ***less***
- Any proceeds of mortgage insurance collected by Verus in connection with the loan.

Repurchased loans should be service transferred to the Seller or their sub-servicer within 30-45 days. The Verus servicing team will contact you to make arrangements for the servicing transfer. Loans should be transferred within 30 but no longer than 45 days after the repurchase date. If a longer transfer period is needed the monthly servicing fee may be assessed to the Repurchaser.

### 1.4.11 EARLY PAYMENT DEFAULT (EPD)

Early Payment Default (EPD) loans that become delinquent after the loan sale date to Verus are subject to repurchase by the Seller pursuant to the EPD language in the loan Seller's Mortgage Loan Purchase Agreement.

### 1.4.12 MORTGAGE FRAUD (11/10/2025)

The Seller is responsible throughout the life of the loan for representations and warranties related to fraud, errors, omissions, misrepresentation, or negligence. A mortgage loan with suspected fraud will not be purchased or will be subject to repurchase.

The Seller must have fraud risk management processes, procedures, and controls in place to prevent and detect fraud and other suspicious activity. Sellers must conduct thorough due diligence whenever fraud or red flags are present, see Chapter 5 Fraud Awareness for a list of fraud schemes.

The Seller is responsible for screening the Verus Exclusionary List and other industry exclusionary lists to confirm an individual or entity's eligibility to participate in the loan transaction.

### 1.4.12.1 Verus Restricted List (11/10/2025)

From time to time, Verus will publish a restricted list for individual borrowers, entity borrowers, loan officers, mortgage brokers, appraisers, and appraisal companies that are prohibited from participating in the loan transaction or underlying real estate transaction. The list is available on the Verus website at www.verusmc.com in the Resources tab.

Verus will not purchase a loan when such individuals or entities participate in the loan transaction or underlying real estate transaction. This prohibition includes the Seller's own employees and any third parties for which origination functions are outsourced or assigned.

### 1.4.12.2 Third Party Exclusionary Lists (11/10/2025)

Verus utilizes third party exclusionary lists to identify material parties that are not permitted to participate in the loan transaction or underlying real estate transaction. Material parties must be screened against exclusionary lists from HUD's Limited Denial Participation (LDP), HUD's General Services Administration (GSA), Federal Housing Finance Agency (FHFA) Suspended Counterparty Program, and Freddie Mac Exclusionary List.

Material parties to the transaction include the following roles:

- Individual borrower(s)/entity borrower(s)
- Property seller(s)
- Mortgage loan originator and loan origination company, including but not limited to loan officers, third party originators, retail lenders, mortgage brokers, and correspondents
- Real estate agent(s) and real estate brokers
- Settlement agent or the individual listed as the settlement agent on the settlement/closing disclose statement
- Settlement company
- Appraiser and appraisal company

Verus will not purchase a loan when such individuals or entities participate in the loan transaction or underlying real estate transaction. This prohibition includes the Seller's own employees and any third parties for which origination functions are outsourced or assigned.

## 1.5 COMMITMENT PRICING OVERVIEW (05/03/2021)

The Verus Mortgage Capital Lock Policy outlines the terms by which Sellers can commit loans for purchase to Verus. When Sellers lock a loan with Verus, the interest rate, pricing, and terms are protected through the lock expiration. Sellers are required to deliver a complete closed loan package before the expiration of the rate lock. This includes the three-day right of rescission required on refinance transactions. Any loan that closes or disburses after the expiration date may be subject to a relock at worst-case pricing.

## 1.5.1 LOCK POLICY – FLOW DELIVERY (12/12/2022)

Verus offers Best Efforts locks and provides interest rate protection for the purpose of pricing a mortgage application for the borrowers. Once Sellers lock a loan with Verus, they are obligated to make the best professional effort to close the loan. Once a loan is closed under Verus' Best Efforts lock program, delivery becomes mandatory.

| | |
|---|---|
| The Lock Desk hours of operation are: | 8:30 am to 5:30 pm (CT) |
| The Lock Window hours are: | 9:00 am to 7:00 pm (CT) |
| The e-mail address for the Lock Desk is: | LockDesk@verusmc.com |
| The phone number for the Lock Desk is: | (833) 862-3863<br>Press 1 for Correspondent,<br>then 2 for Lock Desk |

**Lock Window Closures:** In addition to published Verus holidays, the Verus lock window will be closed on any day in which SIFMA (Securities Industry and Financial Markets) recommends that the bond market be closed. Verus also reserves the right to close the lock window in alignment with any recommended early closing. See https://www.sifma.org/resources/general/holiday-schedule/#US for further information.

**Funding Holidays:** In addition to the published Verus holidays, fundings will not be available on any day on which the Federal Reserve has declared a bank holiday. See https://www.frbservices.org/about/holiday-schedules for further information.

### 1.5.1.1 Registration, Rate Lock, and Lock Confirmation

Sellers register and lock loans in LMS Connect. Rate locks are priced based on the rates in effect at the time a lock is confirmed. The system displays the confirmed lock, which may be printed or downloaded. Sellers must review the confirmation upon receipt and contact the Lock Desk regarding any discrepancies. All rate locks are borrower and property specific.

A loan may be locked at any point in the loan process. However, we strongly advise that the Seller's loan is locked with Verus after the Seller has issued underwriting approval.

See Section 1.5.3.2 Locking Loans for details regarding locking loans with Verus.

**Note**: Confirmation of a rate lock does not constitute a decision to purchase by Verus. All loans must meet Verus lending criteria and the product matrix eligibility guidelines.

### 1.5.1.2 Pipeline Management (10/21/2024)

- Registered Loans:
  - Loans which have been registered for 90 days or more and have not been submitted for pre-close or post-close review will be withdrawn/cancelled.
  - Loans submitted for a pre-close or Non-Delegated review older than 120 days may be withdrawn/cancelled.

- Locked Loans:
  - Locked loans which are about to expire are identified in the "expiring soon" section of LMS Connect.
  - Loans submitted for a pre-close or Non-Delegated review older than 120 days may be withdrawn/cancelled.
  - Locked loans become mandatory delivery and must be closed, delivered, and rescission completed by lock expiration date.
  - As an aid for managing pipeline activity, dashboard information can be exported to excel for each view within LMS Connect. See Seller Portal User Guide in the Correspondent website, Resources section at https://verusmc.com.

#### 1.5.1.3 Cancellations

Sellers must notify the Verus Lock Desk as soon as possible when a locked loan is canceled along with the reason for cancellation. Failure to maintain an acceptable pull through may impact Seller eligibility.

#### 1.5.1.4 Preparing to Close Loans

All loans must be registered (pre-close/non-del review only) or locked (all post-close submission) before Verus reviews the file. All loans must have a valid unexpired lock when the closed loan file is delivered for purchase.

### 1.5.2 LOCK DESK AND PRICING - FLOW

#### 1.5.2.1 Daily Pricing

Rate sheets are distributed daily, generally by 9:00 am Central Time, Monday through Friday. Verus reserves the right to change rates at any time. Rates will be published in the Portal, provided to the various pricing engines, and distributed via email. Each rate sheet will provide the effective date and time.

#### 1.5.2.2 Intra-Day Price Changes

Verus reserves the right to change pricing without notice at any time, which may also include after-market close re-prices. Verus Secondary Marketing makes its best effort to notify Sellers of new pricing when there is an intra-day price change; however, Sellers will receive the pricing that is effective when loans are locked on the portal. Sellers are responsible for verifying the lock confirmation form as soon as it is received and must contact the Lock Desk immediately if there is a discrepancy. Intra-day price changes will be emailed and published in the system.

### 1.5.3 RATE LOCK PROGRAMS - FLOW

Verus offers the Sellers competitive pricing. Specific information regarding rate locks, extensions, and renegotiations is provided as follows:

#### 1.5.3.1 General Rate Lock Information

General information regarding the available duration of rate locks, cost and length of extensions, adjusters, and all matters related to pricing are found on the daily rate sheet. At the time of writing, Verus offers 30, 45, and 60-day initial locks and 5, 10, 15, 20, and 30-day extensions. Sellers should rely on the most recent rate sheet for all pricing and rate extension information (or the rate sheet at the time of lock for extensions and worst-case pricing). Information on the rate sheet will take precedence over the information in this Guide.

### 1.5.3.2 Locking Loans (11/10/2025)

- Verus maintains a Seller Portal https://verus-lmsconnect.streetsolutions.com/ for locking and delivery of loans for purchase. Rate lock confirmations and "Purchase Advice" details are also accessed through this portal. See Seller Portal User Guide in the Correspondent website, Resources section at https://verusmc.com.
- Loans are registered in the Portal by entering data through the user interface or by importing a FNMA 3.2 file to the system. Data required for pricing and locking varies by program and users are prompted to enter the required information. Loans requiring lock extensions beyond the maximum extension period, or loans requiring cumulative lock periods in excess of 75 days are subject to worse-case pricing, which is defined as the lower of (i) current rate sheet pricing or (ii) the existing lock price. If the existing lock is to be extended, applicable lock extension fees will be applied after the determination of worse-case pricing. If the new rate sheet is the worst price, no lock extension fee needs to be applied for the relock, which will be a 15-day lock, subject to extension fees thereafter.
- Property address changes are only permitted on registrations. Property address changes on locked loans must be made by the Verus Lock Desk.
- Loan Program Changes:
    - Loans locked under any Verus program and subsequently determined to be ineligible for that program, but eligible for other programs, will be priced based on the initial lock date. The loan may incur a price adjustment as it moves to the new program, refer to the rate sheet.

### 1.5.3.3 Rate Extensions (05/02/2022)

- Extension fees are posted on the Verus Seller rate sheet.
- Lock extensions are available for active locks. Expired locks may not be extended; they can only be relocked.
- Locks may be extended for 5, 10, 15, 20, or 30 days.
- Two (2) lock extensions may be requested; however, the cumulative lock extension maximum may not exceed 45 days from the initial expiration date. The cumulative lock period including extensions may not exceed 75 days. Loans requiring lock extensions beyond the maximum extension period, or loans requiring cumulative lock periods in excess of 75 days are subject to worse-case pricing, which is defined as the lower of (i) current rate sheet pricing or (ii) the existing lock price. If the existing lock is to be extended, applicable lock extension fees will be applied after the determination of worst-case pricing. If the new rate sheet is the worst price, no lock extension fee needs to be applied for the relock, which will be a 15-day lock, subject to extension fees thereafter.
- Lock extensions are not available for delivered files.

### 1.5.3.4 Rate Lock Renegotiations

Only active, unexpired locks are eligible for renegotiations:

- Rate renegotiations are awarded on a case-by-case basis only.

- Renegotiations must be demonstrated to be for the benefit of the borrower only, either by: (1) increasing credit, or (2) reducing the rate.
- Only one (1) lock renegotiation per loan is allowed. Expiration terms are not amended.
- Once a lock has been renegotiated, the delivery becomes mandatory without price improvement.
- The loan must be moving to "Clear to Close" or greater status within 24 hours and must close within 15 days.
- Secondary Marketing approval is required for renegotiation on relocked loans.

### 1.5.3.5 Rate ReLocks

- Any lock that has expired may be relocked for 15 days as follows:
  - The loan is re-priced using worse case pricing described below <u>and</u> charged a 25-basis point relock fee.
  - Any fees, including extension costs, will remain in effect.
- Worse case pricing is determined by comparing the rate sheet from the lock date to the rate sheet from the relock date (current rates):
  - For rate-based programs, worse case pricing is determined by using the rate sheet with the higher base rate.
  - For price-based programs, worse case pricing is determined by using the rate sheet with the lower price.
- The loan will be relocked for 15 days. If additional days are needed, contact the Verus Lock Desk to request an extension. Standard fees will apply.
- Executing a relock is an irreversible transaction and results in mandatory delivery subject to a pair off fee.
- Any lock that has expired or has been cancelled by the Seller is eligible for current market pricing after 45 days.

### 1.5.3.6 Pair-Off Fees (10/21/2024)

Any loan locked greater than 90 days that has funded but not delivered to Verus may be subject to a pair-off fee.

If a pair-off fee must be assessed, the fee will be calculated as the greater of:

- The market difference, or
  - An admin fee of 0.25% multiplied by the locked loan amount.

If applicable, any third party diligence costs incurred by Verus must be reimbursed by the Seller.

### 1.5.3.7 Rate Locks and Delivery (10/21/2024)

- All files must be closed, delivered, and rescission completed by the lock expiration date.
- Locks with weekend or holiday expiration dates expire on the first business day following the stated expiration date; this becomes the effective expiration date.
- If the file is not delivered by the lock expiration date, the loan will be subject to a pricing change.
- The original Note must be received within three (3) business days after the lock expiration date.

- Verus reserves the right to return a closed loan file and its associated collateral at any time for poor quality and/or inconsistency with program guidelines.
- Verus reserves the right to price expired loans outside of the matrix above based on market conditions.
- Verus reserves the right to assess a pair-off fee if a closed loan is not purchased by Verus.
- Verus only purchases non-seasoned loans. Verus will not accept a Best Efforts lock on any loan where the lock date is >30 days from the Note date. Any loans seasoned more than 30 days must be presented to the capital markets desk and may be subject to worse pricing than Best Efforts.
- Verus publishes a maximum price and a minimum price on the daily rate sheets. Loans that price below the minimum are subject to additional price adjustments at Verus' discretion. Contact the lock desk for additional information.
- Sellers will be responsible for clearing all credit, compliance, collateral, or any other due diligence conditions by the earlier of (a) 20 calendar days after the lock expiration date, or (b) 30 calendar days after the date of the initial review results are released via the Verus Seller Portal (the "Cure Period Expiration Date").
- Any loan with open due diligence condition(s) as of the Cure Period Expiration Date will be subject to a 2.5 bp per calendar day reduction in price assessed from the Cure Period Expiration Date up to and including the final cure date. To the extent conditions are not cleared by close of business on the 15th calendar day following the Cure Period Expiration Date, the purchaser may, at its option, reprice the loan to current market or cancel the commitment.

## 1.5.4 BULK BIDS PROCESS (04/03/2023)

- Requests for bids on bulk loan packages can be submitted to Verus directly via e-mail at Capmarkets@invictuscp.com. Your account executive can assist with this process.
- Our capital markets team can provide the desired bid tape format if needed.
- Once evaluated, bulk bid pricing will be provided directly by our capital markets team or through your account executive. Call (833) 862-3863 Press 1 for Correspondent, then 2 for Lock Desk.
- When a bid is accepted, the bulk transaction manager will reach out with an e-mail message containing next steps (including but not limited to collateral and file delivery timelines, etc.).
- Seller origination guides are to be reviewed and approved by investor prior to issuance of the trade confirmation.
- Verus conducted credit diligence will begin once the Seller uploads imaged credit and closing documents to the Verus system.
  - If the Seller initiates the review with the third party diligence provider (i.e., Reliance Letter):
    - A copy of the statement of work between the Seller and third party diligence provider must be provided upon investor's request.
    - Mortgage loan schedule and the final credit package, including all documents used to clear initial diligence findings/conditions reported during initial review prior to the purchase of the loan.
- Collateral diligence review will be completed upon delivery to custodian. Please reference Section 1.8.1 Collateral and Credit Delivery (Bulk and Flow) for collateral delivery and shipping instruction form. See Collateral Shipping Instructions form.
- If the Seller initiates the review with the third party diligence provider (i.e., Reliance Letter), the third party diligence provider must include the final credit package upon completion of diligence.

- Generally, all loans in a bulk transaction should be purchased as one settlement. Occasionally it may be necessary to trail fund loans, but VMC limits trail funding to one (1) per bulk transaction.
- When loans have cleared collateral and Credit, they can be approved and submitted for purchase.
- At this point, we will reach out for all information necessary to accommodate the purchase including the current pay history.
- Funds are wired according to the bailee letter direction for each individual loan in the pool.
- We will provide the wire confirmation information once funds have been disbursed.

## 1.6 LOAN DOCUMENTATION

### 1.6.1 NOTE AND SECURITY INSTRUMENT FORMS (03/09/2026)

For consumer loan transactions, the current version of the Uniform Residential Loan Application (URLA) should be used. For business purpose loan transactions, the Seller may utilize the URLA or similar application. The minimum information required on a business purpose application includes: guarantor name, guarantor current address, social security number (if applicable), and date of birth.

Available Fannie Mae® Security Instruments, Notes, Riders/Addenda, and special purpose documents can be used for owner-occupied or investment property loan documentation. The Fannie Mae® forms are available at https://singlefamily.fanniemae.com/selling-and-servicing-guide-forms-and-communications, or can be accessed through a document vendor such as Doc Magic or Ellie Mae (ICE). In instances when Fannie Mae® doesn't offer current documentation (e.g., interest only), a document vendor such as Doc Magic or Ellie Mae (ICE) should be used to obtain forms.

For business purpose loans (Investment Property Only), Verus offers a business purpose document set consisting of: Note, Loan Agreement, Personal Guaranty, Prepayment Addendum and Prepayment Rider. These documents can be accessed via the Verus website: verusmc.com/correspondent-login/, or through a document vendor such as Doc Magic or Ellie Mae (ICE).

Use of the Verus business purpose document set or a similar commercial style closing document is required for cross collateral loans.

**Requirements:**

- Note: Monthly payment is due on the first day of each month.
- Simple interest payment amortization is not eligible for second liens.

### 1.6.2 HYBRID CLOSING (04/25/2022)

VMC will purchase loans using a Hybrid closing method. The definition of Hybrid Closing is as follows:

- E-signed documents may be delivered for all documents in the file with the following exceptions:
  - Original wet signed Note and associated endorsement/allonge.

- Copy of the mortgage/deed of trust can be digitally signed provided that the jurisdiction allows for the digital closing and recording. The digital portion of the closing includes the use of a remote notary service.
- The system used for the remote online notarization must meet the following minimum standards:
  - At least two-factor identity authentication, using a combination of at least two of the following factors:
    - Remote presentation of a government-issued photo ID that has a signature.
    - Credential analysis.
    - Identity-proofing (i.e., knowledge-based authentication).

If the hybrid closing is used, the collateral submission at the time of post-close submission must include the proof of digital signatures.

VMC cannot purchase loans closed with an Enote and Evault, also known as a full E-Closing.

# 1.7 PRE-CLOSE REVIEW (10/16/2023)

## 1.7.1 PRE-CLOSE REVIEW OPTIONS (2/26/2024)

Verus provides Sellers with two pre-close review options, Non-Delegated and Delegated. Refer to Section 1.8.1.4 Fees of this guide for applicable fees. By locking a loan with or submitting a loan file to Verus for review, the Seller acknowledges and agrees that: (1) any pre-close review made by Verus is not a decision or recommendation to extend or deny credit, and (2) the Seller is the party solely responsible for making any decision to extend credit.

Verus Mortgage Capital reserves the right to charge any applicable fees associated with any loan that is credit reviewed before closing and not delivered to Verus for purchase. Examples of fees that may be charged are Pre-Close Review (Non-Delegated), Pre-Close Review (Delegated), Pair Off Fees, or others identified in the Seller guide or daily rate sheets.

### 1.7.1.1 Non-Delegated Pre-Close Review (07/15/2024)

#### 1.7.1.1.1 PURCHASE ELIGIBILITY

The Purchase Eligibility Review is subject to the Mortgage Loan Purchase Agreement, as amended from time to time, between Verus and Seller (as those parties are defined therein). The eligibility review represents the results of a credit review based exclusively on the materials submitted by the Seller to determine if the loan meets the applicable eligibility guidelines. Such credit review excludes a determination of whether the loan complies with applicable origination and compliance requirements. Verus reserves the right to modify or withdraw the eligibility review if any of the information contained in the materials provided by the Seller is or becomes inaccurate or incomplete, including any changes in the borrower's credit, employment or any other factor used to determine the borrower's ability to repay the loan.

The eligibility determination provided is not a decision or recommendation to extend or deny credit. The Seller is solely responsible for making any decision to extend or deny credit. The Seller acknowledges that it will comply with all applicable regulatory requirements, including the Home Mortgage Disclosure Act (HMDA) and the Equal Credit Opportunity Act (ECOA), in connection with its credit decision.

Any eligibility review will be subject to the following conditions precedent to Verus' purchase of the loan: 1) the loan is closed in conformance with the eligibility review, including without limitation satisfying all credit conditions cited; 2) to the extent any material purchase eligibility conditions are cited by a TPR in post-close diligence that are unrelated to Verus review of the credit file, the Seller has or will clear or remediate each condition to the satisfaction of Verus in its sole discretion; and 3) The Seller is responsible for ensuring there is no fraud, and Verus has not determined, in its reasonable discretion, that any aspect of the credit file appears fraudulent.

## 1.7.1.1.2 LOAN SUBMISSIONS

Non-Delegated loan submissions are to be processed by the Seller and must include documentation found on the Pre-Close Submission Checklist form. Verus will review the file submission for eligibility according to the program and doc type. Any deficiencies will be identified and communicated to the seller to resolve. Files that do not meet the minimum documentation requirements will be placed in suspense status and the Seller will be issued a list of missing documents. Any loan placed in a suspense status may be subject to extended review timelines. Multiple loans to a single borrower/guarantor will be reviewed as a single submission and will have extended review timelines.

- Verus will not review or determine if the loan complies with federal, state, or local laws, constitutional provisions, regulations, or ordinances. The Seller is responsible for delivering a compliant loan for post-close purchase review.
- Verus will provide an initial Eligibility Review Report with a review status and applicable credit eligibility conditions. Sellers are required to satisfy all open prior-to-close (PTC) eligibility conditions. Failure to satisfy open PTC conditions may impact loan purchase eligibility.
- Verus will provide a final Eligibility Review Report with a review status once all PTC eligibility conditions are satisfied or waived.
- At Time of Close (ATC) conditions listed on the final Eligibility Review Report must be addressed by the Seller. Any required documentation must be submitted with the post-close purchase review file.
- DSCR Cross Collateral loans are not eligible for a Non-Delegated review. Sellers may request a pre-close review via the Delegated pre-close process.

The Seller is responsible for ensuring the following are complete and accurate for a loan application and a registered or locked loan.

- Program and Doc Type
- Credit Score
- Property Address
- Appraised Value
- Entity
- DTI/DSCR
- Loan Purpose
- Occupancy
- Property Type
- LTV/CLTV
- Income
- Loan Amount
- Product
- Sales Price
- Borrower/Guarantor
- Assets/Reserves

## 1.7.1.1.3 ELIGIBILITY REVIEW

Verus will assess the documentation provided by the Seller meets the criteria as defined by the Correspondent Non-Agency Seller Guide and applicable matrices, as follows:

## Application

- The application (FNMA Form 1003 or similar loan application) is substantially completed including mailing address if subject property is investment and phone numbers
- All known borrower-owned properties are disclosed on the Real Estate Owned Section of the form, as required by the program
- Borrower's employment history (Not required for DSCR)
- Application to reflect borrower assets and liabilities, as required by the program
- Application to include loan terms, occupancy, purpose, and reason for any cash-out if applicable
- Borrower Eligibility: Borrowers must be eligible for the program

## Credit

- Tri-merge credit report must be provided for each borrower/guarantor, as required by the program
  - Borrower personal data must be consistent with the application and loan type
  - Valid decision score and minimum tradelines to be determined
  - Housing and mortgage related payment history to be confirmed
  - Bankruptcy, Foreclosure, Short-sale &/or Deed-In-Lieu dates, if provided on the credit report
  - Forbearance, Modification, or Deferral dated, if provided on the credit report
- Sufficient documentation to establish seasoning for derogatory accounts not reported on the credit report (e.g., judgments, collections, forbearance, modification, deferral)
- Liabilities to be included in the Debt-to-Income ratio to fulfill Ability to Repay (ATR) guidance, see Section 1.4.6 Ability to Repay (ATR)
- Third party fraud report is required for all loans, see Section 2.6.3.1 Fraud Report

## Employment and Income

- Employment history to meet program requirements
- Income used to qualify the loan was calculated in accordance with guidelines for the applicable program
- Maximum DTI does not exceed program guidelines
- Residual income meets minimum requirements of applicable program
- Documentation verifying employment and income will be deemed acceptable if it is a third party document as required by applicable program guidelines, see Pre-Close Submission Checklist

## Assets and Reserves

- Documentation to verify assets for down payment and closing costs, see Pre-Close Submission Checklist
- Minimum reserve requirements to meet program guidelines

## Insurance and Taxes

- Hazard Insurance to evidence the minimum dwelling coverage requirement is met, see Section 1.8.2.7.1 Hazard Insurance Requirements
- Flood Insurance to evidence the minimum dwelling coverage requirement is met, see Section 1.8.2.9 Flood Insurance

- Property Tax calculation for the real estate tax payment applies as follows:
  - DTI loans: See Section 2.8.2 Debt-To-Income (DTI) Ratio.
  - DSCR loans: See Section 2.9.3.2 Debt Service Coverage Ratio (DSCR).

#### Preliminary Title Report

- Transaction vesting must be eligible
- Current vesting to be verified
  - If the transaction is a purchase, the property seller must be the owner of record
  - If the transaction is a refinance, the borrower must be the owner of record
- Schedule B exceptions:
  - Assessments, covenants, conditions, and restrictions must be acceptable
  - HOA lien issues to be identified, addressed, and resolved
  - Other exceptions that impede the lien priority must be addressed
- For refinance transactions, the following are required:
  - Prior mortgage liens, judgment liens including but not limited to state and federal tax liens, and environmental liens are to be documented, addressed, and resolved
  - Foreclosures and bankruptcies reported on Schedule B to be documented, addressed, and resolved
  - Delinquent real estate taxes that are not liens must be paid

#### Appraisal (04/21/2025)

Primary valuation and secondary valuation products are to be provided, as required by the program.

- First Liens, see Section 2.10.1 Appraisals.
- Closed End Seconds, see Section 3.10.1 Appraisals.
- Home Equity Lines of Credit (HELOC), see Section 4.12.1 Appraisals.
- If subject property is located in a FEMA Declared Disaster with Individual Assistance designation, see Section 2.10.5 Disaster Areas.

See Appraisal Review Guide when evaluating the appraisal product, as applicable.

### 1.7.1.2 Delegated Pre-Close Review (07/15/2024)

Delegated Sellers may request a pre-close eligibility review to be conducted by a Third Party Review Firm (TPR). The Seller is responsible for uploading a fully processed, documented, and credit decisioned loan package to LMS Connect for the pre-close eligibility review. The TPR eligibility review results will be posted in LMS Connect for the Seller to review. The Seller must address all eligibility review conditions in the post-close file submission.

See the Pre-Close Submission Checklist for a list of documents needed for the pre-close eligibility review.

# 1.8 POST CLOSE FILE DELIVERY (08/29/2022)

## 1.8.1 COLLATERAL AND CREDIT DELIVERY (BULK AND FLOW) (04/25/2022)

| CUSTODIAN: COMPUTERSHARE - ALL LOANS | |
|---|---|
| **Custodian Name & Physical Address:** | **Notification of Transfer:** |
| Computershare Trust Company, N.A.<br>Attn: CMBS-INVC<br>1055 10th Ave SE<br>Minneapolis, MN 55414 | Please notify the Transaction Manager and the Collateral Acquisition Team with the anticipated date of the transfers, the number of loan files to be shipped, and the tracking information. |

Shipping instructions: The following are also located on the Collateral Shipping Instructions form:

- Documents must be placed in a legal-size file folder.
- Labels must be affixed to the upper right-hand corner of the legal-size pocket file folder, reflecting the Loan # from the data tape that was issued to the Custodian, as well as the Previous Loan # (if any) and the Borrower name(s).
- Loan files must be placed in sequential, numerical loan number order inside the archive boxes.
- A packing list, consisting of a list of the loans and the box number, must be included in each box.
- Each box must be marked on the outside to identify its contents as follows:
  INVC-Initial / Seller / Funding Date / Box 1 of __, Ln # 100000 - 100200.

### 1.8.1.1 BAILEE LETTER

When delivering original promissory Notes, the Seller must provide either a Bailee Letter or Security Release Form.

#### 1.8.1.1.1 BAILEE LETTER REQUIREMENTS

- Must accompany the original promissory Note delivered to the custodian. See 1.8.1.2 Initial Collateral Document Delivery.
- A bailment arrangement is only established if a bailee letter is delivered with the original promissory Note.
- Allow 2 business days, following receipt, for custodian processing to make bailee letter available to Verus for wire account setup of the loan's purchase proceeds.
- Does not require execution by Verus and/or custodian; original Note delivery under a bailee is sufficient notification of the bailee arrangement.
- Must sufficiently describe the subject loan(s) so Verus can identify the correct mortgage loan(s).
- Should contain the following information:
  - Seller's name.
  - Either the Seller or Verus loan number.
  - Borrower name.
  - Note amount.
  - Wire instructions.

#### 1.8.1.1.2 SECURITY RELEASE FORM REQUIREMENTS

- Seller (generally Financial Institutions) fund loans without a warehouse line arrangement.
- Security Release Form must be executed by an authorized signer of the Seller.
- Must be included in each applicable imaged file uploaded by Seller to LMS Connect using document type Credit Package.
- Must sufficiently describe the subject loan so Verus can identify the correct mortgage loan(s).
- Must be delivered to Verus within 24 hours after delivery of the closed loan file.
- Should contain the following information:
  - Seller's name.
  - Either the Seller or Verus loan number.
  - Borrower's name.
  - Note amount.
  - Wiring or payment instructions.

### 1.8.1.2 Initial Collateral Document Delivery (04/21/2025)

A Closed Loan delivery package, containing the credit and closed loan document images, is required to be submitted to Verus, prior to shipping the original Note, Allonge, and supporting collateral file documents to the custodian. Collateral delivery is due after the Seller receives notification from Verus that the documents are ready for shipment. Sellers who use a warehouse line for funding must arrange for prompt delivery of the original Note and Bailee Letter to the Custodian.

Custodian Stacking & Packaging Instructions for Collateral Shipping Instructions:

- Place collateral documents in a legal-size file folder - one (1) for each loan. Ensure the following information is reflected on the upper right-hand corner of each file folder:
  - Verus Loan ID.
  - Seller Loan ID.
  - Borrower name(s).
- Place loan files in sequential loan number order inside shipping package/box.
- Include a packing list/manifest, consisting of a list of the loans; if multiple boxes, specify the box number for each loan.
- Mark the exterior of each box to identify its contents as follows:
  - **INVC-Initial**/Seller Name/ Box 1 of __, Ln # 100000– 100200.
- Stack documents in the following order:
  - Bailee Letter (or Security Release Form if applicable) - **DO NOT STAPLE OR CLIP TO NOTE.**
  - Original Note with an original signature, fully executed.
    - Loan Agreement is used in lieu of a Note in the case of a Home Equity Line of Credit (HELOC).
  - Original allonge, endorsing the Note from Your Company Name to Blank (See Allonge – Sample), executed by an authorized signer of the Seller.
    - Original intervening endorsements, if applicable, for an unbroken chain of title from originator to Seller.
  - If not a MERS MOM loan:

        - Original Unrecorded Assignment from Seller to Blank in fully executed and notarized, in recordable form.
    - Original Executed Power of Attorney, or a copy of the original sent for recordation (if applicable) for new originations, or if seasoned, the recorded version.
    - For loans vested in a business entity as borrower, the original Personal Guaranty and Loan Agreement, if applicable.

### 1.8.1.2.1 CEMA DOCUMENTATION (04/21/2025)

#### Current Transaction

- Original Consolidated Note, with an original signature and original allonge/endorsement from Seller to blank.
- Consolidation Extension and Modification Agreement (CEMA) with all exhibits:
    - Exhibit A - List of all previous and current security instruments and assignments, stamped "Exhibit A".
    - Exhibit B - Legal description (matches title and security instrument, as well as previous transaction), stamped "Exhibit B".
    - Exhibit C - Copy of Consolidated Note, stamped "Exhibit C".
    - Exhibit D - Copy of Consolidated Mortgage, stamped "Exhibit D".
    - If newly originated; copy unrecorded.
    - If Seasoned =/+ 120 days: recorded original or recorded copy
        - If not MERS MOM, Original Unrecorded Assignment from Seller to Blank in fully executed and recordable form.
- Assignment from previous transaction to new transaction:
- If newly originated; copy unrecorded.
- If Seasoned =/+ 120 days: recorded original or recorded copy.
- Original Gap Note, if applicable, with original signature.
- Gap Mortgage, if applicable:
    - If newly originated; copy unrecorded.
    - If Seasoned =/+ 120 days: recorded original or recorded copy.

### 1.8.1.2.2 REQUIREMENTS FOR NEWLY ORIGINATED LOANS (<120 DAYS FROM NOTE DATE)

A copy of the unrecorded mortgage and title commitment are required for loan sale/purchase settlement eligibility. Deliver the preliminary documents to Verus, as follows:

- Upload images via LMS Connect (delivery portal) using document type 'Credit Package Document.'
- Delivery of the recorded/final versions to the custodian is required within 180 days of the Note date.
- See Section 1.8.3.4 Final Document Delivery instructions for details.

### 1.8.1.2.3 REQUIREMENTS FOR SEASONED LOANS (=>120 DAYS FROM NOTE DATE) (10/16/2023)

The recorded mortgage, final title policy, and original or recorded copy of the loan modification, if applicable are required for loan sale/purchase settlement eligibility. Deliver the final documents to Verus as follows:

- Upload images via LMS Connect (delivery portal) using document type 'Credit Package Document'.

- Ship documents to custodian, Computershare Trust Company, N.A., either with initial collateral delivery or as purchase clearing conditions.
- If loan modification is out for recording, a copy of the unrecorded document should be provided; recorded document becomes a trailing (final) document.

#### 1.8.1.2.4 COLLATERAL EXCEPTIONS

Sellers are required to deliver a complete and accurate Collateral package. Collateral exceptions (if any) must be resolved prior to funding, but no later than the third day following the expiration of the rate lock. See Section 1.5.3.7 Rate Locks and Delivery for the full details.

### 1.8.1.3 Credit File Delivery

#### 1.8.1.3.1 SUBMISSION OF IMAGED PACKAGE

To ensure that we have all the necessary documentation needed to review your file effectively and efficiently, we have compiled a stacking order and checklist that should be used to confirm that your loan packages contain all the required documentation. Although the checklist is a representation of typically required documentation, the list is not exhaustive. It is the Seller's responsibility to provide all applicable documentation needed to confirm compliance with guidelines and all regulatory requirements (both state and federal) and to render a sound credit decision. Specific steps to submit imaged documents to LMS can be found on the Verus web site www.verusmc.com under Training Videos.

The submission checklist, with preferred stacking order, should be included with the submitted file, and can be found in the Closed Loan Delivery Checklist at the end of this Delivery Guide.

Once a closed loan file has been received and reviewed by a due diligence partner, the Seller will receive notification that either the file is acceptable, or a list of missing documents/conditions to be addressed will be provided.

#### 1.8.1.3.2 CONDITION CLEARING REQUIREMENTS (04/25/2022)

If a loan is deemed to be eligible, the Post-Close Review Summary may or may not include conditions. If conditions are present, the Seller is required to resolve the condition(s). See section 1.5.3.7 Rate Locks and Delivery for required time periods to clear conditions. The Seller will receive an updated Review Summary once all conditions have been cleared.

### 1.8.1.4 Fees (04/21/2025)

Fees will be deducted at the time of loan funding and will be reflected on the Purchase Advice. Unpaid fees associated with loans not purchased may be netted from future funding.

| FEES | |
|---|---|
| Pre-Close Review (Delegated) | $375 |
| Pre-Close Review (Non-Delegated) | $600 |
| Pre-Close Review Loan Balance > $2.0M (Non-Delegated) | $700 |
| Funding Fee | $625 |

| TAX SERVICE FEE | |
|---|---|
| **Loan Balance** | **Fee** |
| < 999,999 | $99 |
| 1,000,000 – 1,099,999 | $109 |
| 1,100,000 – 1,199,999 | $119 |

| FEES | |
|---|---|
| Funding Fee Loan Balance > $2.0M | $700 |
| Reliance Letter Release Fee | $50 |
| Flood Cert/Life of Loan Fee | $17.50 |
| Overdue MERS Transfer Fee | $75 |
| Non-MERS Transfer Fee | $75 |
| Overdue Final Document Fee<br>(Not delivered within 90 days of purchase) | $75 |

| TAX SERVICE FEE | |
|---|---|
| 1,200,000 – 1,299,999 | $129 |
| 1,300,000 – 1,399,999 | $139 |
| 1,400,000 – 1,499,999 | $149 |
| $10 for every$100,000 increase in loan balance | |

| CROSS COLLATERAL LOAN FEES | | | |
|---|---|---|---|
| **Pre-Close Fee** | | **Funding Fee** | |
| 1-5 properties | $500 | 1-5 properties | $575 |
| 6-10 properties | $750 | 6-10 properties | $1,500 |
| 11-20 properties | $1,000 | 11-20 properties | $2,000 |
| 21-25 properties | $1,250 | 21-25 properties | $3,000 |

| CONDITION CLEARING FEES (APPLIES TO ALL LOANS) |
|---|
| Sellers will be responsible for clearing all credit, compliance, collateral, or any other due diligence conditions by the earlier of (a) 20 calendar days after the lock expiration date; or (b) 30 calendar days after the date of the initial review results are released via the Verus Seller Portal (the "Cure Period Expiration Date").<br><br>Any loan with open due diligence condition(s) as of the Cure Period Expiration Date will be subject to a 2.5 bp per calendar day reduction in price assessed from the Cure Period Expiration Date up to and including the final cure date. To the extent conditions are not cleared by close of business on the 15th calendar day following the Cure Period Expiration Date, the Purchaser may, at its option, reprice the loan to current market or cancel the commitment. |

| COLLECTION OF FEES ON UNDELIVERED LOANS |
|---|
| Verus Mortgage Capital reserves the right to charge any applicable fees associated with any loan that is credit reviewed before closing, closed, and then not delivered to Verus for purchase. Examples of fees that may be charged are Underwriting Fees, Review Fees, Pair Off Fees or others identified in the Seller Guide or daily rate sheets. |

## 1.8.2 GENERAL POST CLOSE FILE DELIVERY REQUIREMENTS (ALL DELIVERIES) (05/03/2021)

### 1.8.2.1 Automated Clearing House (ACH) Payments

Sellers are strongly encouraged to use the Verus Automatic Payment Authorization (ACH) Form at closing to establish automated payments for the borrower, see Automatic Payment Authorization (ACH) Form. Borrowers may select a draft date within the grace period stated on the Note.

- Payment and bank account data along with the imaged ACH enrollment form must be provided to the New Servicer as part of the servicing transfer.
- Borrowers may need to make a manual payment if the first payment(s) are due to the Seller.
- Borrowers may also contact the New Servicer directly to establish automated payments after the transfer.
- A copy of the ACH enrollment form must be included in the closed loan submission package to Verus.

### 1.8.2.2 Borrower Contact Consent Form (04/25/2022)

Sellers are required to provide accurate borrower contact information to Verus. For many borrowers, their preferred method of contact is by email, mobile phone, and text. These forms of communication require special authorization from the borrower.

Sellers are encouraged to incorporate the Verus Borrower Contact Consent Form in the borrower's closing package and include the form in the closed loan submission package to Verus.

Click here to see the Borrower Contact Consent Form.

### 1.8.2.3 Interest Credit (04/03/2023)

Loans closed/disbursed within the first five (5) days of the month may reflect an interest credit to the borrower.

### 1.8.2.4 Principal Curtailment (12/13/2021)

The maximum amount of the curtailment cannot exceed the lesser of $2,500 or 2% of the original loan amount.

### 1.8.2.5 Compliance Report

Closed consumer purpose loans must include a compliance report (e.g., ComplianceEase, Mavent) that documents compliance with state and federal high-cost / points and fees tests.

### 1.8.2.6 Assumability (04/25/2022)

Fixed Rate loans are not assumable. ARM loans with assumability language are acceptable if the assumption is at the lender's discretion. In any case, the wording in the Note and Closing Disclosure must match.

## 1.8.2.7 Property Insurance (11/10/2025)

A property (hazard) insurance policy is required for all loans. The policy (this includes master policies for project developments) covering all buildings or other customarily insured improvements upon the mortgaged property is to be written by an insurer acceptable under the Fannie Mae Guides.

- The effective date of the policy must be on or before the Note date.
- Purchase Transactions:
  - 1-4 Units, 5-8 Units, 2-8 Mixed Use: Evidence first year premium has been paid.
  - Master Insurance for Projects: Evidence the policy expiration date is at least 30 days beyond the Note date.
- Refinance Transactions: Evidence the policy expiration date is at least 30 days beyond the Note date.
- Blanket Insurance Policy: An insurance policy that covers multiple properties is acceptable when the borrower is the named insured and the subject property is explicitly identified with separate coverage.

Verus will accept a property insurance policy from a state program if it is the only coverage that can be obtained at the time of the loan closing or policy renewal. Examples include:

- Policies obtained through state or territory insurance plans, including a state's Fair Access to Insurance Requirements (FAIR) plan, or
- Other state-mandated windstorm and beach erosion insurance pools

For condominiums or attached PUDs with a master policy, see Section 2.10.6.6.1 Master Property Insurance, Section 2.10.6.6.2 General Liability Insurance, and Section 2.10.6.6.3 H0-6.

### 1.8.2.7.1 HAZARD INSURANCE REQUIREMENTS (04/21/2025)

Property insurance for loans must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Property insurance policies that provide for claims to be settled on an actual cash value basis are not acceptable. Policies that limit, depreciate, reduce, or otherwise settle losses at anything other than replacement cost basis are also unacceptable.

Extended coverage must include, at a minimum: wind, civil commotion (including riots), smoke, hail, and damage caused by aircraft, vehicle, or explosion.

Policies that limit or exclude from coverage (in whole or in part) windstorm, hurricane, hail damage, or any other perils that normally are included under an extended coverage endorsement are not acceptable. Borrowers may not obtain property insurance policies that include such limitations or exclusions unless they are able to obtain a separate policy or endorsement from another commercial insurer that provides adequate coverage for the limited or excluded peril, or from an insurance pool that the state has established to cover the limitations or exclusions.

Minimum coverage amount of the insurance policy must cover at least equal to the lessor of:

- Full replacement cost value of the improvements as of the current property insurance policy effective date, **or**
- Total loan amount (including both first mortgage and second mortgage/HELOC), provided it equals no less than 80% of the replacement cost value of the improvements as of the current property insurance policy effective date.

The source used to verify the coverage amount may be the property insurer, an independent insurance risk specialist, or other professional with appropriate resources to make such a determination. This may include, but is not limited to, a statement from the insurer or other applicable professional, a replacement cost estimator, or an insurance risk appraisal. If the coverage amount does not meet the minimum required, coverage that does provide the minimum required amount must be obtained.

## Deductible

The maximum deductible amount is based on the following:

- 5% deductible for LTV > 80%
- 10% deductible for LTV ≤ 80%

## Calculating the Amount of Required Coverage

Steps to calculate the amount of required property insurance coverage are described in the following table:

| Step | Description |
|---|---|
| 1 | Compare the replacement cost value of the improvements to the unpaid principal balance (UPB) of the loan. |
| 1A | If the replacement cost value of the improvements is less than the UPB, the replacement cost value is the amount of coverage required. |
| 1B | If the UPB of the loan is less than the replacement cost value of the improvements, go to **Step 2**. |
| 2 | Calculate 80% of the replacement cost value of the improvements. |
| 2A | If the result of this calculation is equal to or less than the UPB of the loan, the UPB is the amount of coverage required. |
| 2B | If the result of this calculation is greater than the UPB of the loan, this calculated figure is the amount of coverage required. |

Examples for minimum property insurance coverage are provided in the following table:

| Category | Property A | Property B | Property C |
|---|---|---|---|
| Replacement Cost Value | $90,000 | $100,000 | $100,000 |
| Unpaid Principal Balance (UPB) | $95,000 | $90,000 | $75,000 |
| 80% of Replacement Cost Value | ----- | $80,000 | $80,000 |
| **Required Coverage** | **$90,000** | **$90,000** | **$80,000** |

### 1.8.2.8 Commercial General Liability Insurance: 2-8 Mixed Use Properties (11/10/2025)

Commercial General Liability Insurance for 2-8 Mixed Use Properties is required in addition to Hazard Insurance. The effective date of the policy must be on or before the Note date.

Commercial General Liability Insurance blanket policy against claims for personal injury, bodily injury, death, or property damage occurring upon, in or about any property, such insurance to be:

- Per Occurrence Minimum Coverage: $1,000,000.
- Aggregate Coverage: $2,000,000.
- At least as broad as Insurance Services Office's (ISO) policy form CG 00 01.

Additional Requirements:

- The effective date of the policy must be on or before the Note date.
- Purchase Transactions:
  - Evidence first year premium has been paid.
- Refinance Transactions: Evidence the policy expiration date is at least 30 days beyond the Note date.
- Blanket Insurance Policy: An insurance policy that covers multiple properties is acceptable when the borrower is the named insured and the subject property is explicitly identified with separate coverage.

### 1.8.2.9 Flood Insurance (11/10/2025)

The Seller must ensure that the property securing the mortgage loan is adequately protected by flood insurance when required.

- The effective date of the policy must be on or before the Note date.
- Purchase Transactions:
  - 1-4 Units, 5-8 Units, 2-8 Mixed Use: Evidence first year premium has been paid.
  - Master Insurance for Projects: Evidence the policy expiration date is at least 30 days beyond the Note date.
- Refinance Transactions: Evidence the policy expiration date is at least 30 days beyond the Note date.

Flood insurance coverage is required when a mortgage loan is secured by a property located in:

- A Special Flood Hazard Area (SFHA), or
- A Coastal Barrier Resources System (CBRS) or Otherwise Protected Area (OPA)
  - Refer to Coastal Barrier Resources System Mapper at https://fwsprimary.wim.usgs.gov/CBRSMapper-v2/.

The Seller must verify whether the property is located in an SFHA, a CBRS, or an OPA by using the FEMA Standard Flood Hazard Determination form. All flood zones beginning with the letter "A" or "V" are considered SFHAs.

- If the subject property is located within a CBRS or an OPA, flood insurance is required regardless of whether the property is located in an SFHA.

For condominiums or attached PUDs with a master policy, see Section 2.10.6.6.4 Master Flood Insurance.

### 1.8.2.9.1 DETERMINING IF FLOOD INSURANCE IS REQUIRED ON SPECIFIC STRUCTURES

The following table describes how to evaluate a property to determine if flood insurance is required. For the purpose of these requirements, the “principal structure” is the primary residential structure on the subject property.

| IF… | THEN FLOOD INSURANCE IS… |
|---|---|
| any part of the principal structure is located in an SFHA | required. |
| the principal structure is not located in an SFHA, but a residential detached structure attached to the land that serves as part of the security for the mortgage loan is located within the SFHA | required for the residential detached structure. |
| the principal structure is not located in an SFHA, but a non-residential detached structure attached to the land that serves as part of the security for the mortgage loan is located within the SFHA | not required on either structure. |
| the principal structure is not located in an SFHA, but a detached structure attached to the land that does not serve as part of the security for the mortgage loan is located within the SFHA | not required on either structure. |

Deductible may not exceed the maximum deductible amount currently offered by NFIP.

The minimum amount of flood insurance required for first mortgages must be equal to the lesser of:

- 100% of the replacement cost of the insurable value of the improvements, or
- Maximum insurance available through the NFIP, or
- Unpaid principal balance (UPB) of the loan (or loan amount at the time of origination)

Minimum coverage must be equal to the dwelling coverage for hazard insurance, subject to the following:

- **1-4 Unit Properties:** If dwelling coverage for hazard insurance is greater than $250,000 then flood coverage must be $250,000 as this is the maximum allowed per FEMA.
- **5+ Units Properties:** If dwelling coverage for hazard insurance is greater than $500,000 then flood coverage must be $500,000 as this is the maximum allowed per FEMA.

#### 1.8.2.9.2 ACCEPTABLE FLOOD INSURANCE POLICIES (04/21/2025)

The flood insurance policy must be one of the following:

- A standard policy issued under the NFIP; or
- A policy issued by a private insurer as long as the terms and amount of coverage are at least equal to that provided under an NFIP policy based on a review of the full policy issued by a private insurer.

A Policy Declaration page is acceptable proof of flood insurance.

#### 1.8.2.9.3 FLOOD INSURANCE ESCROW REQUIREMENTS (07/15/2024)

- Escrow accounts for flood insurance premiums are required for all loans secured by residential improved real estate.
    - Business purpose loans are exempt from this escrow requirement

### 1.8.2.10 TITLE POLICY REQUIREMENTS (07/15/2024)

The title insurer and final title policy must conform to Fannie Mae® requirements as published in the most recent Fannie Mae Selling Guide. Access to the Fannie Mae Selling Guide is available at Title Insurance | Fannie Mae.

Each loan purchased by Verus Mortgage Capital must include a preliminary title report or a final policy if available at the time of purchase. If the file contains a preliminary title report, it must indicate a final policy will be issued upon payment of the premium.

By delivering a preliminary title report to Verus, the Seller represents and warrants that the loan will be covered by the required final policy as of the Note date.

#### 1.8.2.10.1 TERMS OF COVERAGE (07/15/2024)

The title insurance policy must ensure the title is acceptable and that the mortgage represents a First Lien on a fee simple estate in the property. The title policy must also list all other liens and reflect they are subordinate. The title insurance policy must be updated with Its Successors and/or Assigns ISAOA language. When the borrower is an Entity, the title insurance policy must provide protection regarding whether the signatories had the authority to validly execute the mortgage document. The policy should be written on one of the following forms:

- The 2021 American Land Title Association (ALTA) standard form.
- An ALTA short form if it provides coverage equivalent to the 2021 ALTA standard form.
- In states in which standard ALTA forms of coverage are, by law or regulation, not used, the state-promulgated standard or short form which provides the same coverage as the equivalent ALTA form.

### 1.8.2.10.2 EFFECTIVE DATE OF COVERAGE (07/15/2024)

The effective date of the title insurance coverage written on forms that do not provide the gap coverage included in the 2021 ALTA policies may be no earlier than the later of the date of the final disbursement of loan proceeds or the date the mortgage was recorded.

Because the 2021 ALTA forms provide protection for the time between loan closing and recordation of the mortgage, policies written on those forms may be effective as of loan closing.

### 1.8.2.10.3 AMOUNT OF COVERAGE

The amount of title insurance coverage must at least equal the original principal amount of the mortgage.

### 1.8.2.10.4 MORTGAGE ELECTRONIC REGISTRATION SYSTEM (MERS) (10/16/2023)

If a mortgage is registered with MERS and is originated naming MERS as the original mortgagee of record, solely as nominee for the Lender named in the Security Instrument and the Note, and the Lender's successors and assigns, then the "insured mortgage" covered by the title insurance policy must be identified in the title insurance policy as the security instrument given to MERS, solely as nominee for the Lender and Lender's successors and assigns. However, under no circumstances may MERS be named as the insured of a title policy.

### 1.8.2.10.5 TITLE ENDORSEMENTS (07/15/2024)

The following title endorsements are required:

- Adjustable-Rate Mortgage endorsement: ALTA Endorsement 6-06
- Environmental protection lien endorsement: ALTA Endorsement 8.1-06 or equivalent state form providing the required coverage

References are to the ALTA 2021 form of endorsement, but state forms may be used in states in which standard ALTA forms of coverage are, by law or regulation, not used, provided that those endorsements do not materially impair the protection to Verus. As an alternative to endorsements, the requisite protections may be incorporated into the policy.

### 1.8.2.10.6 CHAIN OF TITLE

All files must contain a 24-month title history. Transfer date, price, and buyer and Seller names should be provided for any transfers that occurred within the past 24-months.

### 1.8.2.10.7 CONDOMINIUM OR PLANNED UNIT DEVELOPMENTS (PUD)

The title insurance policy for a condominium or PUD unit mortgage must describe all components of the unit estate.

For condominium unit mortgages, an ALTA 4-06 or 4.1-06 endorsement or its equivalent is required. For PUD unit mortgages, an ALTA 5-06 or 5.1-06 endorsement or its equivalent is required. These endorsements must be attached to each policy or incorporated into the text of the policy.

If the unit owners own the common areas of the project as tenants in common, the policy for each unit's mortgage must reflect that ownership.

If the homeowner's association (HOA) owns the common elements, areas, or facilities of the project separately, the title insurance on those areas must insure that ownership.

This title policy must show that title to the common elements, areas, or facilities is free and clear of any objectionable liens and encumbrances, including any statutory or mechanic's liens for labor or materials related to improvements on the common areas that began before the title policy was issued.

The title policy must protect Verus for the following:

- Mortgage is superior to any lien for unpaid common expense assessments. (In jurisdictions that give these assessments a limited priority over a first mortgage lien, the policy must provide assurance that those assessments have been paid through the effective date of the policy.)
- Title insurance protects against any impairment or loss of title of the First Lien caused by any past, present, or future violations of any covenants, conditions, or restrictions of the master deed for the project.
  - Must specifically insure against any loss that results from a violation that existed as of the date of the policy.
- Unit does not encroach on another unit or on any of the common elements, areas, or facilities. (The policy also must insure that there is no encroachment on the unit by another unit or by any of the common elements, areas, or facilities.)
- Mortgage loan is secured by a unit in a condominium project that has been created in compliance with the applicable enabling statutes.
- Real estate taxes are assessable and lienable only against the individual condominium unit and its undivided interest in the common elements, rather than against the project as a whole.
- Owner of a Condominium or PUD unit is a member of the homeowner's association (HOA), and the membership is transferable if the unit is sold.

## 1.8.2.10.8 INTER VIVOS REVOCABLE TRUST (2/26/2024)

A Seller delivering a loan that has an Inter Vivos Revocable Trust as mortgagor is responsible for all of the following:

- Determining that both the trust and the mortgage satisfy eligibility criteria and documentation requirements.
- Determining under the laws of the states in which it does business that it can originate mortgages to validly created inter vivos revocable trusts.
- Completing a review of the mortgage documentation, applicable state law, and the trust documents to ensure that title insurers provide full title coverage without exceptions for the trust or the trustees for inter vivos revocable trusts in that state.

## 1.8.2.10.9 TITLE EXCEPTIONS

Verus will not purchase or securitize a mortgage secured by property that has an unacceptable title impediment, particularly unpaid real estate taxes and survey exceptions.

If surveys are not commonly required in particular jurisdictions, the Seller must provide an ALTA 9 Endorsement. If it is not customary in a particular area to supply either the survey or an endorsement, the title policy must not have a survey exception.

#### 1.8.2.10.10 JUDGMENTS AND LIENS (11/10/2025)

All open judgments and all outstanding involuntary liens on title must be paid off prior to or at loan closing. Documentation of the satisfaction of these liabilities, along with verification of funds sufficient to satisfy these obligations, must also be obtained.

#### 1.8.2.10.11 MINOR IMPEDIMENTS TO TITLE

Title for a property that secures a conventional mortgage is acceptable even though it may be subject to the following conditions, which Verus considers minor impediments:

- Customary public utility subsurface easements that were in place and completely covered when the mortgage was originated, as long as they do not extend under any buildings or other improvements.
- Above-surface public utility easements that extend along one or more of the property lines for distribution purposes or along the rear property line for drainage purposes, as long as they do not extend more than 12 feet from the property lines and do not interfere with any of the buildings or improvements or with the use of the property itself.

#### 1.8.2.10.12 SECOND LIENS 10/16/2023

Owner and Encumbrance Report is allowed for loan amounts less than $250,000 for the following:

- Closed End Second, see Section 3.11 Title Requirements
- Home Equity Line of Credit (HELOC), see Section 4.13 Title Requirements

### 1.8.2.11 Solar Panels (2/26/2024)

#### 1.8.2.11.1 PROPERTIES WITH SOLAR PANELS

The ownership and debt financing structures commonly found with solar panels are key to determining whether the panels are third party owned, personal property of the homeowner, or a fixture to the real estate. Common ownership or financing structures include:

- borrower-owned panels,
- leasing agreements,
- separately financed solar panels (where the panels serve as collateral for debt distinct from any existing mortgage); or
- power purchase agreements

Property with solar panels are eligible for purchase. If the borrower is, or will be, the owner of the solar panels (meaning the panels were a cash purchase, were included in the home purchase price, were otherwise financed and repaid in full, or are secured by the existing first mortgage), our standard requirements apply (for example, appraisal, insurance, and title).

Sellers are responsible for determining the ownership and any financing structure of the subject property's solar panels in order to properly underwrite the loan and maintain First Lien position of the mortgage. When financing is involved, Sellers may be able to make this determination by evaluating the borrower's credit report for solar-related debt and by asking the borrower for a copy of all related documentation for the loan. The Seller must also review the title report to determine if the related debt is reflected in the land records associated with the subject property. If insufficient documentation is available and the ownership status of the panels is unclear, no value for the panels may be attributed to the property value on the appraisal unless the Seller obtains a UCC "personal property" search that confirms the solar panels are not claimed as collateral by any non-mortgage lender.

A Uniform Commercial Code (UCC) financing statement that covers personal property and is not intended as a "fixture filing" must be filed in the office identified in the relevant state's adopted version of the UCC.

Sellers are responsible for ensuring the appraiser has accurate information about the ownership structure of the solar panels and that the appraisal appropriately addresses any impact to the property's value. Separately financed solar panels must not contribute to the value of the property unless the related documents indicate the panels cannot be repossessed in the event of default on the associated financing. Any contributory value for owned or financed solar panels must be noted in the Improvements Section of the Appraisal Report.

### 1.8.2.11.2 REQUIREMENTS FOR PROPERTIES WITH SOLAR PANELS THAT ARE OWNED

Solar panels purchased through financing may or may not include the real estate as collateral.

#### Financed and collateralized (UCC on title)

The solar panels are collateral for the separate debt used to purchase the panels, but they are a fixture to the real estate because a UCC fixture filing* has been filed for the panels in the real estate records (on title report).

Note: A Notice of Independent Solar Energy Producer Contract on title is not to be treated as a UCC fixture filing*.

- Obtain and review the credit report, title report, appraisal, and/or UCC fixture filing*, related promissory Note and related security agreement that reflect the terms of the secured loan
  - Include the debt obligation in the debt-to-income ratio
- Provided that the panels cannot be repossessed for default on the financing terms, instruct the appraiser to consider the solar panels in the value of the property (based on standard appraisal requirements)
- Include the solar panels financing balance in the LTV/CLTV ratio calculation (if unable to obtain, utilize original balance). The UCC fixture filing* must be subordinated with one of the following.
  - Subordination Agreement
  - UCC Termination
    - Debt obligation is to be included in debt-to-income ratio and LTV/CLTV unless proof is provided verifying the debt has been paid down to zero (UCC termination does not automatically verify the debt is paid off).
- CLTA Endorsement 150-06 is not eligible to be used in lieu of a Subordination agreement or UCC Termination.

*A fixture filing is a UCC-1 financing statement authorized and made in accordance with the UCC adopted in the state in which the related real property is located. It covers property that is, or will be, affixed to improvements to such real property. It contains both a description of the collateral that is, or is to be, affixed to that such property, and a description of such real property. It is filed in the same office that mortgages are recorded under the law of the state in which the real property is located. Filing in the land records provides notice to third parties, including title insurance companies, of the existence and perfection of a security interest in the fixture. If properly filed, the security interest in the described fixture has priority over the lien of a subsequently recorded mortgage.

### Financed and collateralized (UCC not on title)

The solar panels are reported to be collateral for separate (non-mortgage) debt used to purchase the panels, but do not appear on the title report.

Note: A Notice of Independent Solar Energy Producer Contract on title is not to be treated as a UCC fixture filing.

- Obtain and review the credit report, title report, appraisal, related promissory Note and related security agreement that reflect the terms of the secured loan
  - Include the debt obligation in the debt-to-income ratio
- Instruct the appraiser not to provide contributory value of the solar panels towards the appraised value because the panels are collateral for another debt
- Do not include the panels in the LTV/CLTV ratio calculation
- If a previously filed UCC was temporarily removed from title through a UCC termination, evidence must be provided that the UCC was paid in full otherwise the financed balance must be included in LTV/CLTV

### PACE (Property Assessed Clean Energy)

PACE allows homeowners to finance energy improvements through an assessment in their annual property tax bills.

- Properties with solar panels and other energy efficient items financed with a PACE loan are not eligible if the PACE loan is not paid in full prior to or at closing.
  - PACE loans, in some cases, are also referred to as HERO loans.
  - Any property tax statement that reflects PACE, HERO, or equivalent will require proof of payoff.
    - If loan proceeds are used to pay off the PACE loan, transaction will be considered cash-out.

## 1.8.2.11.3 REQUIREMENTS FOR PROPERTIES WITH SOLAR PANELS THAT ARE LEASED OR COVERED BY A POWER PURCHASE AGREEMENT

If the solar panels are leased from or owned by a third party under a power purchase agreement or other similar lease arrangement, the following requirements apply (whether to the original agreement or as subsequently amended).

- Seller must obtain and review copies of the lease or power purchase agreement.
- The monthly lease payment must be included in the DTI ratio calculation unless the lease is structured to:
  - Provide delivery of a specific amount of energy at a fixed payment during a given period, and
  - Have a production guarantee that compensates the borrower on a prorated basis in the event the solar panels fail to meet the energy output required for in the lease for that period.
- Payments under power purchase agreements where the payment is calculated solely based on the energy produced may be excluded from the DTI ratio.
- The value of the solar panels cannot be included in the appraised value of the property.
- The value of the solar panels must not be included in the LTV/CLTV ratio calculation, even if a precautionary UCC filing is recorded because the documented lease or power purchase agreement status takes priority.

- A "precautionary" UCC filing is one that lessors often file to put third parties on notice of their claimed ownership interest in the property described in it.
- When the only property described in the UCC filing as collateral is the solar equipment covered by the lease or power purchase agreement, and not the home or underlying land, such a precautionary UCC filing is acceptable (and a minor impediment to title), as long as the loan is underwritten in accordance with this topic.

- The value of the solar panels must not be included in other debt secured by real estate in the CLTV ratio calculation because the documented lease or power purchase agreement status takes priority.
- The property must maintain access to an alternate source of electric power that meets community standards.
- The lease or power purchase agreement must indicate that:
    - Any damage that occurs as a result of installation, malfunction, manufacturing defect, or the removal of the solar panels is the responsibility of the owner of the equipment and the owner must be obligated to repair the damage and return the improvements to their original or prior condition (for example, sound and watertight conditions that are architecturally consistent with the home);
    - The owner of the solar panels agrees not to be named loss payee (or named insured) on the property owner's property insurance policy covering the residential structure on which the panels are attached. As an alternative to this requirement, the Seller may verify that the owner of the solar panels is not a named loss payee (or named insured) on the property owner's property insurance policy; and
    - In the event of foreclosure, the Seller or assignee has the discretion to:
        - Terminate the lease/agreement and require the third party owner to remove the equipment;
        - Become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party; or
        - Enter into a new lease/agreement with the third party, under terms no less favorable than the prior owner.

## 1.8.3 PURCHASING AND FUNDING (08/10/2022)

### 1.8.3.1 Loan Purchase Procedures (08/29/2022)

Verus requires a review of the closed loan file prior to purchase. The review consists of three (3) parts: Credit, Collateral and Payment History. The credit review and approval are completed by a third party provider. The collateral package is reviewed by our document custodian. The payment history is reviewed for accuracy and confirmation that the loan is current. Loan funding occurs after the following:

- The credit file has been reviewed and all conditions have been cleared.
- All collateral documents have been reviewed and all conditions have been cleared.
- A review of the payment history unpaid principal balance, next payment due date and escrow impounds has been performed by Verus.

Upon completion of these three (3) steps, a Purchase Advice will be generated and delivered to the Seller.

### 1.8.3.2 Purchase Advice (03/09/2026)

Verus will purchase a scheduled principal balance. The first payment date due to Verus and the Servicing Transfer Date will be specified on the Purchase Advice.

Interest to be credited or debited at the time of loan purchase is based upon a 30/360 calendar or as required by state law.

- For Home Equity Line of Credit (HELOC), interest accrual requirement is Actual/365.
- For second liens, simple interest payment amortization is not eligible.

Verus will provide a notification when a Loan Purchase Advice is ready for review and approval.

The Seller must review the Purchase Advice in its entirety within LMS Connect. If there are any questions about the Purchase Advice, reply to the Verus notification or contact the Verus Funding Team.

The Seller must approve the Purchase Advice in LMS Connect. Upon approval Verus will fund the loan. The daily cutoff for wiring funds is 10:00am central time, approvals must be in LMS Connect prior to 10:00am to receive funds that day. Any loans which are not approved by the 10:00am central time cut off will be updated to reflect a settlement date of the next business day and must be approved by 10:00am central time on the following business day.

Once the funds are received, the Seller should reconcile the wire amount to ensure that the appropriate funds were received. If a discrepancy is identified, the Seller must notify the Lock Desk within five (5) days of the loan purchase. The Seller must provide documentation supporting the discrepancy.

### 1.8.3.3 Wire Instructions

Wiring Instructions for each of the Seller's warehouse bank must be on file with Verus prior to funding.

### 1.8.3.4 Final Document Delivery (04/03/2023)

Sellers are responsible for the submission of recorded documents, in final form and free of exceptions, to the Custodian after the loan has been purchased.

| CUSTODIAN: COMPUTERSHARE - ALL LOANS |
| --- |
| **Custodian Name & Physical Address:**<br>Computershare Trust Company, N.A.<br>ATTN: CMBS-INVC<br>1055 10th Ave SE<br>Minneapolis, MN 55414 |

Verus requires the submission of final documents within 180 days of the Note date but no later than 180 days after the purchase date by Verus.

Monthly final-document status reports will be delivered to Sellers via LMS Connect to aid in final document management and document error resolution. It is the Seller's responsibility to reconcile the final-document status reports to its delivery records for any discrepancies. When communicating discrepancies for Verus research, email finaldocs@verusmc.com and include the Verus loan ID, Seller loan ID, shipping date, shipping address, and courier tracking number.

#### 1.8.3.4.1 FINAL DOCUMENTATION (10/16/2023)

The following documents must be submitted as final documents on all loans:

- Recorded Security Instrument and all applicable riders.
- Title Policy, with all endorsements
  - Fees for title policy endorsements are the responsibility of the Seller.
  - Owner and Encumbrance Report for Closed End Second Lien as applicable.
- Other documents as may be applicable, some examples:
  - Recorded Power of Attorney.
  - Recorded UCC.

Verus reserves the right to assess fees for documents not delivered to the Custodian, or document errors not resolved, as set forth in the Mortgage Loan Purchase Agreement (MLPA). Any documents not provided, or errors not resolved within this timeframe will be addressed by Verus through other means at a cost to the Seller of $75 per document. Verus reserves the right to demand a repurchase of the loan according to the terms of the MLPA.

**Custodian Delivery Address:**
Computershare Trust Company, N.A.
Attn: CMBS-INVC
1055 10th Ave SE
Minneapolis, MN 55414

**Preparing Final Documents for Delivery:**

- Include a cover sheet with the Seller and Verus Loan IDs for each final document or use a manifest to identify each document and its corresponding Seller and Verus Loan IDs. When using a manifest, the documents must be stacked in the same order as indicated on the manifest.
- Individual documents with multiple pages may be stapled or clipped together.
  - Do **NOT** staple/clip multiple *documents* together.
- Mark the exterior of the package(s)/box(es) to identify its contents as follows:
  **CBMS-INVC-Final Docs / Seller Name / Box 1 of __, Ln # 100000 - 100200.**

### 1.8.3.5 POST-PURCHASE ADJUSTMENTS

It is the Seller's responsibility to review the Purchase Advice as soon as possible to ensure that the net funding is correct. Following the sale of a loan to Verus, if there is a discrepancy between the loan data in the system and the Seller's loan records, a post-purchase adjustment may be required.

To initiate a post-purchase adjustment for a whole loan:

| STEP | ACTION |
|---|---|
| 1 | Research the discrepancy and request a post-purchase adjustment via email to the Verus lock desk. Requests exceeding **90** days will not be considered for post-purchase pricing adjustments. |
| 2 | Assemble documentation to support the post-purchase adjustment. Documentation should include: |
| | • Detailed explanation of the discrepancy and the corrective action requested. |
| | • Copy of the funding notification ('Purchase Advice'). |
| | • Additional documentation supporting your request, as applicable (i.e., HUD-1, etc.). |
| 3 | Securely submit the request form and supporting documentation to LockDesk@verusmc.com. Verus will research the request and provide a response within one (1) business week of receipt. |

#### 1.8.3.5.1 WHEN A POST-PURCHASE ADJUSTMENT OCCURS

- When a Seller submits a post-purchase data change to a price-impacted field and the resulting price is lower than the purchase price, the difference in price is billed to the Seller.
- When a Seller submits a post-purchase data change to a price-impacted field and the resulting price is higher than the purchase price, the difference in price is remitted to the Seller.

### 1.8.3.6 MERS Registration and Transfer (07/15/2024)

The MERS MIN must be properly registered on the MERS® System. The Seller must be listed as the current Servicer and Investor at least 24 hours prior to a Verus purchase and provide a copy of the mortgage loan registration screen in the closing/legal package.

The Seller is responsible for initiating the MERS® Transfer of Rights to Verus, within seven (7) calendar days of the purchase date (i.e., purchase settlement), as follows:

- Investor: **1013178**
- Servicer: **1013178**

Sellers may contact Verus' MERS desk for additional assistance at MERS@verusmc.com.

**Note:** Verus reserves the right to charge an administrative fee of $75.00 for any loan not transferred accurately within seven (7) calendar days.

# 1.9 SERVICING

## 1.9.1 SERVICING TRANSFER INSTRUCTIONS (05/03/2021)

### 1.9.1.1 Interim Servicing Responsibilities (10/16/2023)

Loans sold to Verus ("Purchaser") require that the Seller sub-service the loans for the interim period between the Verus purchase date and the servicing transfer date. In accordance with the Mortgage Loan Purchase Agreement (MLPA), the Seller shall service and administer the mortgage loans on behalf of the Purchaser from the purchase date until the designated Servicing Transfer Date, as specified by Verus.

The interim servicing obligations of the Seller shall include but not limited to payment collection and escrow disbursements, providing servicing-related activities which include 1098 reporting for payments collected, and calculation of payoff statements during the interim servicing period.

### 1.9.1.2 Servicing Transfer Contacts (11/10/2025)

The Verus Servicing Team will assist Sellers throughout the servicing transfer process, see Verus Contact Form for servicing transfer questions.

### 1.9.1.3 Servicing Transfer General Information (10/21/2024)

Servicing transfers occur on the 1st and 15th of each month. A bulk pool may have a negotiated transfer date which will be mutually agreed upon at the time of purchase.

Loans will transfer to Shellpoint Mortgage Servicing or Cornerstone Servicing.

- The New Servicer name and new loan number are listed on the Verus Purchase Advice.
- The servicing transfer date is listed on the Verus Purchase Advice.

The transfer process will comply with all RESPA laws and Consumer Financial Protection Bureau (CFPB) best practices.

### 1.9.1.4 Servicing Transfer Process (04/25/2022)

The servicing transfer process will follow one of these two methods:

- Servicer to Servicer transfer
- Verus Assisted transfer

The best transfer method will be mutually agreed upon at the time of purchase.

Undue delays in servicing transfer caused by the Seller or Seller's agent may subject the loans to repricing to current market conditions or an extension fee.

## 1.9.1.5 Servicer to Servicer Transfers (10/21/2024)

Servicer to Servicer transfers are the Verus preferred method.

If at the time of purchase the loans are currently serviced by a sub-servicer ("Current Servicer"), that servicer is responsible for providing loan boarding data, all origination and servicing document images, and payment history to the Verus sub-servicer ("New Servicer"). Specific transfer instructions will be provided by the New Servicer.

The Seller must ensure that the transfer agreement with their sub-servicer stipulates delivery of both preliminary and final data files.

If the loans are currently serviced by the Seller, and the Seller's servicing system can provide the required servicing data and images to the new servicer, then the Servicer-to-Servicer transfer process will apply.

Verus will coordinate the transfer process with the Seller, the Current Servicer, and the New Servicer.

| TRANSFER TIMELINE | TRANSFER DELIVERABLE |
|---|---|
| Prior to Sale of First Loan to Verus | • Verus Servicing Team and Seller have an initial servicing call |
| Loan Purchase Date | • Verus purchases loan from Seller<br>• The Purchase Advice is generated. The Purchase Advice identifies the New Servicer Name, New Loan Number and Servicing Transfer Date<br>• The Current Servicer continues their interim servicing responsibilities |
| 7 Days After the Purchase Date | • The Current Servicer initiates the MERS transfer |
| 20 Days Prior to Transfer Date | • The Current Servicer submits a sample Goodbye Letter to Verus and the New Servicer<br>• The Current Servicer provides preliminary servicing transfer data and images to the New Servicer |
| 15 Days Prior to Transfer Date | Servicer to Servicer transfers:<br>• The Current Servicer mails the approved Goodbye Letter<br>Verus Assisted transfers:<br>• The New Servicer mails the combined Goodbye/Welcome Letter |
| Servicing Transfer Date | • The Current Servicer provides final servicing transfer data and images to the New Servicer<br>• The Current Servicer sends escrow funds to the New Servicer<br>• The New Servicer begins their servicing responsibilities<br>• Loans will be activated on the New Servicer's system within 3-5 business days after the transfer date and receipt of final data |
| Within 15 Days After Transfer Date | • The New Servicer mails their Welcome Letter package |

### 1.9.1.5.1 SERVICER TO SERVICER TRANSFERS – ESCROW RESPONSIBILITIES (04/21/2025)

The Current Servicer escrow responsibilities include:

- Escrow funds must be forwarded to the New Servicer no later than 3 business days after the servicing transfer date.
- Payment of any taxes or insurance due prior to the Verus purchase date and for the 30 days following the Verus settlement date. The Current Servicer must take advantage of any early payment discounts.

The Current Servicer will be responsible for the payment of any penalty and/or interest assessed due to non-payment.

Penalties or interest incurred by the New Servicer due to Current Servicer's failure to pay tax or insurance disbursements as described above, may be billed back to the Seller.

### 1.9.1.5.2 SERVICER TO SERVICER TRANSFERS – PAYMENTS RECEIVED AFTER THE TRANSFER DATE

The Current Servicer is responsible for collecting any payments that are due to them during the interim servicing period. The Current Servicer must stop collection efforts after the servicing transfer date.

If the Current Servicer receives a payment after the transfer date, it must be forwarded to the New Servicer within 48 hours. Payments can be forwarded by wire or by check.

### 1.9.1.5.3 SERVICER TO SERVICER TRANSFERS – FORCE PLACE INSURANCE

If Force Placed Insurance is in effect at the time of servicing transfer, the Current Servicer will include in their transfer data a report of the Force Placed Insurance including the amount and date of the last disbursement.

The Current Servicer will cancel the policy on the transfer date.

## 1.9.1.6 VERUS ASSISTED TRANSFERS

If the loans are currently serviced by the Seller, and the Seller's operating system cannot accommodate a servicing transfer, Verus can assist with the transfer requirements.

Contact the Verus Servicing Team for the special arrangements with this process. **This does not relieve the Seller of the interim servicing obligations.**

### 1.9.1.6.1 VERUS ASSISTED TRANSFERS – ESCROW (10/21/2024)

Escrow funds will be netted at the time of purchase based on the scheduled purchase UPB and scheduled due date. The netted amount will be shown on the Purchase Advice.

The Seller is responsible for paying all taxes and insurance due prior to the Verus purchase date and for the 30 days following the Verus purchase date. The Seller must take advantage of any early payment discounts.

At the time of purchase if escrow disbursements are due within 30 days of settlement, Verus may omit netting the funds and require the Seller to pay the upcoming tax or insurance disbursement.

If a tax bill or hazard renewal is not available at closing, but is due within 60 days of Loan Closing, the Seller should ensure that an adequate escrow deposit is collected at closing.

The Seller will be responsible for the payment of any penalty and/or interest assessed due to non-payment or due to failure to forward tax or insurance bills to the New Servicer timely.

Penalties or interest incurred by the New Servicer due to the Seller's failure to pay escrow disbursements as described above, may be billed back to the Seller.

For information on where to send trailing tax or insurance documents, click here to see the New Servicer Reference Guide.

### 1.9.1.6.2 VERUS ASSISTED TRANSFERS – PAYMENTS DUE TO THE SELLER (10/16/2023)

The Seller is responsible for collecting any payments that are due to them during the interim servicing period. Sellers must stop collection efforts on the servicing transfer date.

Sellers must self-report to Verus if payments due to them in the interim servicing period are uncollected (delinquent) at the time of Servicing Transfer. Sellers must self-report to the Verus Servicing Team at ServicingTransfers@verusmc.com no later than five (5) days after the servicing transfer date. The Verus Servicing Team will correct the scheduled balance and next due date with the New Servicer.

Sellers who receive a payment due to them after the 5-day self-reporting cutoff must forward the payment to the New Servicer within 48 hours. Payments can be forwarded by wire or by check.

Verus will then process a funding adjustment to reimburse the seller per the new scheduled balance. Reimbursement requests for payments or escrow funds received greater than 60 days after the service transfer date may be denied.

For information on where to send the funds, click here to see the New Servicer Reference Guide.

### 1.9.1.6.3 VERUS ASSISTED TRANSFERS - PAYMENTS DUE TO VERUS

All payments and/or curtailments collected by the Seller after the transfer date that are due to Verus must be forwarded to the New Servicer within 48 hours of receipt. Payments can be forwarded by wire or by check.

For information on where to send the funds, click here to see the New Servicer Reference Guide.

## 1.9.2 NON-SUFFICIENT FUNDS (NSF) PAYMENTS (10/16/2023)

If a payment due to the Seller is reported as Non-Sufficient Funds (NSF) or returned by the bank after the service transfer, the Seller or Current Servicer must provide supporting documentation and request payment reimbursement from the New Servicer and include the Verus Servicing team at ServicingTransfers@verusmc.com.

For information on where to send the request, click here to see the New Servicer Reference Guide.

Requests for NSF reimbursement must be submitted within 60 days of the service transfer date. Aged NSF reimbursement requests greater than 60 days after the servicing transfer date may be denied.

## 1.9.3 AUTOMATED CLEARING HOUSE (ACH) PAYMENTS (10/16/2023)

Sellers are strongly encouraged to use the Verus Automatic Payment Authorization (ACH) Form at closing to establish automated payments for the borrower. Borrowers may select a draft date within the grace period stated on the Note.

Payment and bank account data along with the imaged ACH enrollment form must be provided to the New Servicer as part of the servicing transfer.

Borrowers may need to make a manual payment if the first payment(s) are due to the Seller.

The initial draft after the servicing transfer may be delayed a few days while the New Servicer activates the loans. All subsequent drafts will occur on the borrower's selected draft date.

Borrowers may also contact the New Servicer directly to establish automated payments after the transfer.

A copy of the ACH enrollment form must be included in the closed loan submission package to Verus. Click here to see the Automatic Payment Authorization (ACH) Form.

## 1.9.4 BORROWER CONTACT CONSENT FORM (04/25/2022)

Sellers are required to provide accurate borrower contact information to Verus. For many borrowers, their preferred method of contact is by email, mobile phone, and text. These forms of communication require special authorization from the borrower.

Sellers are encouraged to incorporate the Verus Borrower Contact Consent Form in the borrower's closing package and include the form in the closed loan submission package to Verus.

## 1.9.5 CANCELLATION OF ESCROW ACCOUNTS (11/10/2025)

Verus will not permit borrower cancellation (removal) of the escrow account until seasoning and payment history requirements are met.

- Consumer Purpose Loans: 12 months seasoning and acceptable 12 month pay history are required
- Business Purpose Loans: 24 months seasoning and acceptable 24 month pay history are required

See Section 2.5.5 Escrows - Impound Accounts for escrow requirements and waiver eligibility.

## 1.9.6 FORWARDING TAX AND INSURANCE BILLS

After the Servicing Transfer Date, the Seller should forward all tax bills, insurance premium renewal notices, and insurance policy documents that they receive to the New Servicer within one (1) business day.

For information on where to send trailing tax or insurance documents, see the New Servicer Reference Guide.

## 1.9.7 SUPPLEMENTAL TAX BILLS (10/21/2024)

Supplemental tax bills are the borrower's responsibility to pay. As most supplemental tax bills are mailed only to the borrower and are not escrowed, the New Servicer is not required to track or to pay the supplemental tax bills from the borrower's escrow account.

Requests to pay supplemental tax bills from the borrower's escrow account may be denied.

## 1.9.8 FLOOD CERTIFICATES (03/09/2026)

Verus requires Life of Loan Flood Certificates for all first and second liens. The Verus preferred flood certificate provider is Cotality (fka CoreLogic) Flood Services. A copy of the flood certificate must be included in the closed loan submission package to Verus. Any loan requiring Flood Insurance must include: an insurance policy that is in compliance with HFIAA and an escrow/impound account for the insurance premium.

## 1.9.9 TAX TRACKING (03/09/2026)

Verus requires fully transferrable and life of loan tax service on each First Lien. The Seller should obtain this at closing. The Verus required tax vendor is Cotality (fka CoreLogic). The Seller must provide the tax certificate number to Verus at the time of purchase.

Loans that do not have a life of loan transferable tax certificate number established will be charged the applicable Cotality (fka CoreLogic) new certificate set-up fee at the time of Verus purchase. For details, see Section 1.8.1.4 Fees of this Guide. The fee will be netted by Verus at the time of purchase.

## 1.9.10 MORTGAGEE CHANGE REQUIREMENTS

The Seller will ensure that the insurance policy vendor and the tax monitoring provider receive the new mortgagee clause information to update Its Successors and/or Assigns ISAOA language.

- Hazard insurance payee
  - Applies to all hazard insurance policies except for a master insurance policy
- Flood insurance payee
  - Applies to all flood insurance policies except for a master insurance policy
- Taxing authority, or the Seller's tax service vendor
- Title insurance policy

For mortgagee clause information, see the New Servicer Reference Guide.

## 1.9.11 LOSS DRAFT REQUIREMENTS

If a claim is in process prior to the Servicing Transfer Date, the Seller should continue to process the claim. On the Servicing Transfer date, any remaining undisbursed funds and all claim documentation received by the Seller for the claim should be forwarded to the New Servicer.

## 1.9.12 YEAR END TAX / IRS REPORTING (08/29/2022)

The Seller or their sub-servicer is responsible for providing 1098 reporting to the mortgagor for the period they serviced the loan.

The New Servicer is responsible for providing 1098 reporting to the mortgagor for the period they serviced the loan.

## 1.9.13 PAYOFFS

### 1.9.13.1 Payoffs Prior to Servicing Transfer (11/10/2025)

Payoff requests received prior to the Servicing Transfer Date must be provided by the Seller or Current Servicer.

***Payoff calculations must include any applicable prepayment penalty amounts.***

If payoff funds are received before the servicing transfer, contact your Verus Servicing Transaction Manager immediately. Payoff funds should be wired within 24 hours to Verus Mortgage Capital.

Notification of payoffs along with a copy of the payment history and payoff statement should be sent to: ServicingTransfers@verusmc.com and to VerusAccounting@invictuscp.com. Verus will provide wire instructions. Failure to provide the appropriate payoff data and funds timely may result in payoff delay and any additional accrual of interest may be assessed to the Seller.

### 1.9.13.2 Pending Payoffs (11/10/2025)

If the Seller or Current Servicer has issued a payoff statement prior to the Servicing Transfer Date, then they must provide the New Servicer a list of accounts with a valid payoff statement pending at the time of servicing transfer. Verus Servicing team is to be notified when there is a pending payoff, Seller to provide the following:

- Copy of payoff statement
- Loan number
- Payoff amount
- Good-through date

### 1.9.13.3 Early Payoff (EPO) Premium Recapture (11/10/2025)

Loans that payoff early, as defined in the Seller's Mortgage Loan Purchase Agreement, will be subject to Premium Recapture.

# CHAPTER 2 - FIRST LIEN ELIGIBILITY

The Non-Agency programs offer loans with features beyond the criteria established for Qualified Mortgages. Features include alternative income documentation for self-employed borrowers, interest only, and loan qualification for investment properties using the subject property cash flow. Non-Agency loans submitted to Verus must meet the criteria of the current published Eligibility Guide as of the Verus loan lock date for review.

## 2.1 PROGRAM MATRICES

See current Loan/LTV Matrices located on the Verus website: www.verusmc.com.

### 2.1.1 ELIGIBLE PRODUCTS (10/16/2023)

The following loan products are eligible for purchase by Verus:

| PRODUCT | QUALIFYING RATE* | TOTAL TERM | I/O TERM | AMORT TERM | INDEX | CAPS |
|---|---|---|---|---|---|---|
| **5/6 ARM** | Higher of Fully indexed or Note Rate | 360 | NA | 360 | 30-day avg SOFR | 2/1/5 |
| **5/6 ARM I/O** | Higher of Fully indexed or Note Rate | 360 | 120 | 240 | 30-day avg SOFR | 2/1/5 |
| **5/6 ARM I/O** | Higher of Fully indexed or Note Rate | 480 | 120 | 360 | 30-day avg SOFR | 2/1/5 |
| **7/6 ARM** | Higher of Fully indexed or Note Rate | 360 | NA | 360 | 30-day avg SOFR | 5/1/5 |
| **7/6 ARM I/O** | Higher of Fully indexed or Note Rate | 360 | 120 | 240 | 30-day avg SOFR | 5/1/5 |
| **7/6 ARM I/O** | Higher of Fully indexed or Note Rate | 480 | 120 | 360 | 30-day avg SOFR | 5/1/5 |
| **10/6 ARM** | Higher of Fully indexed or Note Rate | 360 | NA | 360 | 30-day avg SOFR | 5/1/5 |
| **10/6 ARM I/O** | Higher of Fully indexed or Note Rate | 360 | 120 | 240 | 30-day avg SOFR | 5/1/5 |
| **10/6 ARM I/O** | Higher of Fully indexed or Note Rate | 480 | 120 | 360 | 30-day avg SOFR | 5/1/5 |
| **15 YR FIXED** | Note Rate | 180 | NA | 180 | NA | NA |
| **30 YR FIXED** | Note Rate | 360 | NA | 360 | NA | NA |
| **30 YR FIXED I/O** | Note Rate | 360 | 120 | 240 | NA | NA |
| **40 YR FIXED** | Note Rate | 480 | NA | 480 | NA | NA |
| **40 YR FIXED I/O** | Note Rate | 480 | 120 | 360 | NA | NA |

***When *Investor Solutions – DSCR* documentation type is selected, all ARM products may use the Note rate for qualifying.**

| ADDITIONAL ARM CRITERIA | | | |
|---|---|---|---|
| **Adjustment Reset Period** | **Lookback Period** | **Margin** | **Floor** |
| 6-months | 45-days | See Rate Sheet | Margin |

## 2.1.2 INTEREST ONLY (11/10/2025)

See current Loan/LTV Matrices located in the Verus website www.verusmc.com for program information.

- Standard/Alt Doc: Qualification based upon the remaining term (amortized) after expiration of the interest only period
- DSCR: Qualification based upon the interest only payment

## 2.1.3 LOAN AMOUNTS (04/21/2025)

See current Loan/LTV Matrices located in the Verus website www.verusmc.com for program information.

## 2.1.4 MINIMUM CREDIT SCORE (04/21/2025)

See current Loan/LTV Matrices located in the Verus website www.verusmc.com for program information.

## 2.1.5 QUALIFYING PAYMENT (09/07/2021)

The qualifying payment is based upon the amortized principal and interest payment along with monthly real estate taxes, insurance, and association dues (if applicable).

For interest only loans, using standard or Alt documentation, this is the remaining term after expiration of the interest only period. DSCR loans can be qualified using the interest only payment (ITIA).

## 2.1.6 STATE ELIGIBILITY

See the Verus matrices for state eligibility restrictions and overlays.

### 2.1.6.1 NEW YORK - CEMA

Consolidation, Extension, and Modification Agreement (CEMA) may be utilized for refinance transactions secured by property located in the State of New York. Attorneys experienced in reviewing and preparing CEMA documentation should be utilized. See specific requirements in Section 1.8.1.2.1 CEMA Documentation.

### 2.1.6.2 TEXAS

#### 2.1.6.2.1 TEXAS SENATE BILL 17 (11/10/2025)

Verus will not purchase any Texas loans that are secured by real estate if the borrower is restricted under Texas Senate Bill 17 (SB 17). These restrictions apply to people connected to the following countries: China, Russia, Iran, and North Korea.

A person is restricted if they:

- Live (are domiciled) in one of these countries.
  - Verus criteria identifies these persons as Foreign Nationals.
- Are a citizen of one of these countries and are unlawfully present in the U.S.
- Are a citizen of another country but are acting for or on behalf of one of the restricted countries.
- Are a member of the ruling political party (or its subdivisions) in one of the restricted countries.

**Limited Exemptions**

- U.S. citizens from the restricted countries:
  - Fully exempt.
  - No occupancy limits.
- Permanent resident aliens (green card holders) from the restricted countries:
  - Exempt.
  - No occupancy limits.
  - Must provide acceptable proof of lawful presence in the U.S., see Section 2.4.1.2 Permanent Resident Alien.
- Non-permanent resident aliens (e.g., temporary visa holders) from the restricted countries:
  - May only purchase a primary residence (homestead).
  - Second home and investment are ineligible.
  - Must provide acceptable proof of lawful presence in the U.S., see Section 2.4.1.3 Non-Permanent Resident Alien.

#### 2.1.6.2.2 TEXAS HOME EQUITY LOANS 50(A)(6)

A Texas Section 50(a)(6) mortgage is a home equity loan originated under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, which allow a borrower to take equity out of a homestead property under certain conditions. All loans must comply with the requirements listed in the Texas Constitution. Sellers should not rely on Verus Mortgage Capital categorization of refinance loans for purposes of determining whether compliance with the provisions of Texas Constitution Section 50(a)(6) is required. Sellers should consult with their counsel to determine the applicability of Texas Constitution Section 50(a)(6) to a specific transaction.

### 2.1.7 PRIVATE MORTGAGE INSURANCE (PMI)

Private Mortgage Insurance (PMI) is not required on any loan eligible for sale to Verus Mortgage Capital.

## 2.2 AGE OF DOCUMENT REQUIREMENTS (06/21/2021)

### 2.2.1 CREDIT REVIEW DOCUMENTATION (10/21/2024)

The following documents may not be more than 120 days old at closing (the date the Note is signed):

- Income verification/paystubs

- Asset documents/bank statements
- Credit Report
- Title Commitment/Preliminary Report/Binder

Any credit review documents exceeding these timeframes must be updated.

### 2.2.2 APPRAISAL (10/16/2023)

**Residential Appraisals (1-4 units):** The appraisal must be dated within 365 days of the Note date. Appraisal Update Form 1004D (aka Recertification of Value) is required if the report exceeds 120 days of the Note date. See complete appraisal requirements in Section 2.10.1.1.2 Appraisal Age.

**Commercial Appraisals (5-8 multi-family, 2-8 mixed use):** Appraisals dated within 120 days of the Note date are acceptable. After 120 days, a new appraisal is required. See complete appraisal requirements in Section 2.10.1.2 Appraisal Requirements 5-8 Residential and 2-8 Mixed Use.

## 2.3 VERUS EXPOSURE – BORROWER LIMITATIONS (08/29/2022)

Verus' aggregate exposure to a single borrower and/or household shall not exceed $5,000,000 in current unpaid principal balance (UPB) or ten (10) loans.

## 2.4 BORROWER ELIGIBILITY (06/21/2021)

### 2.4.1 CITIZENSHIP

#### 2.4.1.1 US Citizen

Eligible without guideline restrictions.

#### 2.4.1.2 Permanent Resident Alien (04/03/2023)

An individual admitted to the United States as a lawful permanent resident. Lawful permanent residents are legally accorded the privilege of residing permanently in the United States. The Green Card (Form I-551) is evidence of employment authorization.

- Acceptable evidence of permanent residency includes the following:
  - Alien Registration Receipt Card I-551 (referred to as a green card).
  - Alien Registration Receipt Card I-551 (Resident Alien Card) that does not have an expiration date on the back (also known as a green card).
  - Alien Registration Receipt Card I-551 (Conditional Resident Alien Card) that has an expiration date on the back, and is accompanied by a copy of the filed INS Form I-751 (petition to remove conditions).
  - Non-expired foreign passport that contains a non-expired stamp (valid for a minimum of three years) reading "Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until [mm-dd-yy]. Employment Authorized."
- Eligible without guideline restrictions.

## 2.4.1.3 Non-Permanent Resident Alien (11/10/2025)

An individual admitted to the United States as a lawful temporary resident. Lawful non-permanent residents are legally accorded the privilege of residing temporarily in the United States. For Verus programs, Sellers must validate the borrower has employment authorization. This may be documented with either an EAD or a VISA permitting employment.

- Borrower Eligibility Requirements:
  - Residing in U.S. for at least 2 years; and
  - Must have been employed in the U.S. for at least 2 years as evidenced on the loan application; and
  - Must have valid Social Security Number(s); and
  - Must have established U.S. credit, see Section 2.6 Credit.
- Sellers must monitor the USCIS website (www.uscis.gov) to ensure temporary immigration benefits are still in effect and have not been vacated for the following: Temporary Protected Status (TPS), other types of temporary status, temporary stay, or parole associated with the borrower's country of origin.
  - If Temporary Protected Status (TPS) or other types of temporary status, temporary stay, or parole of the country of origin has been vacated or shortened, the borrower is ineligible.
- Employment Status Documentation is required for all borrowers, and may consist of one of the following:
  - Employment Authorization Documents, provide one of the following:
    - Form I-766 Employment Authorization Document (EAD), (work permit/card) is required for US employment if the borrower is not sponsored by a current employer.
      - If the EAD will expire within six (6) months of loan application, it is acceptable to obtain a letter from the employer documenting the borrower's continued employment and continued EAD renewal. The employer on the loan application must be the same as on the unexpired EAD. The EAD documentation is acceptable for up to 540 days if an automatic extension has been granted.
    - Form I-765 Application for Employment Authorization, the form:
      - Must reflect approval status in the Action Block (upper right-hand corner of the form)
    - Form I-797, I-797A, I-797B, or I-797C conveying approval status
      - Petitioner to match employer name on application
  - If EAD is not provided, a copy of the Visa permitting employment authorization needs to be included in the credit file.
    - The following VISA types are acceptable: E-1, E-2, E-3, G-1 through G-5, H-1B, L-1A, L-1B, O-1, R-1.
      - For residents of Canada or Mexico, H-1B status stamped on an unexpired passport is acceptable documentation.
    - Other VISA types permitting employment may be considered, see the U.S. Dept of State Website at Directory of Visa Categories (state.gov).
  - Asylum – Individuals granted asylum are eligible, documentation includes one of the following:
    - Form I-766 Employment Authorization Document (EAD), (work permit/card) referencing code C08, or
    - Form I-94 with a stamp or notation, such as "asylum granted indefinitely" or the appropriate provision of law (8 CFR 274a.12(a)(5) or INA 208) to show their employment authorization. The asylee does not need to present a foreign passport with this Form I-94. An asylee can also present an electronic Form I-94 with an admission class of "AY."

- Deferred Action for Childhood Arrivals (DACA)
  - Form I-766 Employment Authorization Document (EAD), (work permit/card) referencing code C33, or
  - Form I-797 conveying approval status for Case Type I765-Application for Employment Authorization referencing code C33, or
  - Form I-765 Application for Employment Authorization, the form:
    - Must reflect approval status in the Action Block (upper right-hand corner of the form)
- Guideline Restrictions:
  - Standard or Alt Documentation: Maximum LTV/CLTV limited to 80%.
  - DSCR Documentation (Investment Only): Maximum LTV/CLTV 75%.
  - Non-occupant co-borrowers are not allowed.
  - Gift funds are eligible, subject to down payment requirements.

## 2.4.2 ITIN (11/10/2025)

Individual Taxpayer Identification Number (ITIN) borrowers are individuals who do not qualify for a social security number (SSN) but have tax reporting obligations and reside in the U.S. ITINs are a nine digit number that begin with 9.

- ITIN borrowers are eligible under the following matrix:
  - ITIN Standard Doc and Alt Doc
- Borrower Eligibility Requirements:
  - Residing in U.S. for at least 2 years; and
  - Must have been employed in the U.S. for at least 2 years as evidenced on the loan application; and
  - Must have established U.S. credit using their ITIN number, see Section 2.6 Credit.
  - Borrowers from China, Russia, Iran, and North Korea are ineligible when the subject property is in Texas, see Section 2.1.6.2.1 Texas Senate Bill 17 for restrictions.
- Documentation Requirements:
  - Copy of unexpired government-issued ID (e.g., passport, Matricula Consular, U.S. State-issued ID), and
  - Copy of ITIN card or letter from IRS assigning the ITIN number to the borrower.
    - Proof ITIN was assigned to the borrower prior to application.
    - IRS form W7 is not acceptable evidence if the ITIN letter is not provided, or if the ITIN letter submitted is not legible.
- Guideline restrictions:
  - Borrowers who reside in a foreign country are ineligible.
  - Non-occupant co-borrowers are not allowed.

## 2.4.3 FOREIGN NATIONAL (03/09/2026)

A foreign national is not a citizen, permanent resident, or non-permanent resident of the U.S. This program limits occupancy to investment property only.

- Foreign Nationals are eligible under the Foreign National DSCR matrix, see matrix for maximum loan amount, maximum LTV/CLTV, and minimum credit score requirements.

- Foreign Nationals are not eligible under Prime Ascent Plus, Prime Ascent, DSCR Plus, DSCR 1-4, DSCR 5-8 Unit/2-8 Mixed Use, Cross Collateral, Closed End Second, HELOC programs.

### 2.4.3.1 Residence Requirements (11/10/2025)

Borrower's primary residence must be in a foreign country. Borrowers with a primary residence in the U.S. are ineligible.

- Loan application must include the borrower's full legal name, phone number, address including flat, floor, unit or house number, street name, city, province/state, country along with a postal code.

### 2.4.3.2 Automatic Payment Authorization (ACH) Form and Borrower Contact Consent Form (04/21/2025)

- Automatic Payment Authorization (ACH) Form: Sellers are strongly encouraged to use the Verus Automatic Payment Authorization (ACH) Form at closing to establish automated payments for the borrower, see Section 1.8.2.1 Automated Clearing House (ACH) Payments for details.
- Borrower Contact Consent Form is required.

### 2.4.3.3 Documentation/Eligibility Requirements (03/09/2026)

- The following are required as evidence the borrower is in the U.S. legally:
  - Copy of the borrowers valid and unexpired passport (including photograph) and
    - Copy of the borrower's valid and unexpired visa (including photograph) OR an I-797 form with valid extension dates and I-94, or
    - Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa. Participating countries can be found at https://travel.state.gov/content/travel/en/us-visas/tourism-visit/visa-waiver-program.html The credit file should be documented with a current print-out of the participating countries, with the borrowers country of origin highlighted, or
    - Citizens of Canada traveling to the United States do not require a nonimmigrant visa.
    - If a foreign national is borrowing with a U.S. citizen, foreign national documentation requirements do not apply.
- Borrowers with an Individual Tax Identification Number (ITIN) are eligible so long as primary residence is not in the U.S. Proof of ITIN card or letter from IRS are not required to be documented.
- OFAC SDN screening: See Section 2.6.3.2.1 Individuals for criteria.
- OFAC Sanctioned Countries:
  - See Section 2.6.3.2.2 Foreign Countries for criteria.
  - Foreign national borrowers/guarantors from OFAC sanctioned countries are not eligible, which currently include the countries of Cuba, Iran, North Korea, Russia, Syria, Venezuela. The list is subject to change at any time based on updates to U.S. sanctions, laws, and regulations.
- Florida Purchases: Loans secured by property located in the state of Florida made to foreign principals, persons, and entities are to include one of the following Affidavits published by the Florida Land Title Association:
  - Conveyances to Foreign Entities – By Individual Buyer

- All members signing a Personal Guaranty must sign the affidavit
  - Conveyances to Foreign Entities – By Entity Buyer
    - All members signing a Personal Guaranty must sign the affidavit
- Individuals with Diplomatic immunity are not eligible, immunity status is listed on the reverse side of the U.S. issued ID card or at: https://2009-2017.state.gov/s/cpr/rls/dpl//index.htm
- Documents signed by Borrowers outside of the United States must be notarized by a U.S. embassy or consular official. The certificate of acknowledgment must meet the standard notarial requirements and must include the embassy or consular seal. If the U.S. embassy or consular official is unavailable, a notary is acceptable if the country, where signing is taking place, is part of the Hague Convention and the signed documents are accompanied by an Apostille. See the following link to determine if the country is part of the Hague Convention: https://travel.state.gov/content/travel/en/records-and-authentications/authenticate-your-document/apostille-requirements.html
  - Model Apostille forms can be found on the following link: https://www.hcch.net/en/instruments/specialised-sections/apostille
- Power of Attorney (POA) is not allowed.

## 2.4.3.4 Qualifying U.S. Credit for Foreign National Borrowers

- Restrictions when qualifying with U.S. credit:
  - Minimum credit score: 680
- If foreign national borrowers have established U.S. credit, the following apply:
  - See Section 2.6.1 Credit Reports, Section 2.6.11 Credit Score, and Section 2.6.12 Tradelines.

## 2.4.3.5 Housing History and Credit Events (11/10/2025)

- Housing history must be documented for the subject property, if a refinance transaction, for the most recent 12 months.
- Housing history for the borrower's primary residence in a foreign country is not required to be documented.
- If the borrower has U.S. credit, housing history that is documented on the credit report for properties that are not the subject property must be included in housing history eligibility.
  - Additional housing history is not required when non-subject property mortgages are not reported on the credit report.
- If the borrower has U.S. credit, credit events documented on the credit report for properties that are not the subject property must be included in credit event eligibility.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.
- See Section 2.6.5.1 Mortgage Verification for subject property documentation requirements.
- If the borrower has U.S. credit, an updated mortgage history, defined as paid current as of the month prior to the application date, is only required for the subject property.
- For refinance transactions of the subject property, when the existing financing is a Paid In Kind (PIK) loan, a copy of the Note must be provided in the credit file to determine required payments.
  - Notes allowing interest to accumulate during the term of the loan are eligible, however, all refinance transactions are treated as cash-out.

## 2.4.3.6 Property Income Analysis

- Debt Service Coverage Ratio (DSCR) Doc Type: Gross monthly rent from the subject property is used to determine the DSCR. See Section 2.9.3.1.1 Long-Term Rental Documentation, Section 2.9.3.1.2 Short-Term Rental Documentation, and 2.9.3.2 Debt Service Coverage Ratio (DSCR) for DSCR calculation methods.
- See Foreign National DSCR matrix for additional eligibility requirements.

## 2.4.3.7 Assets (11/10/2025)

Acceptable asset documentation is required to be included in each loan file. The borrower must meet the minimum contribution amount per program requirements. Assets should be liquid or able to be liquidated without restriction by the borrower. The documentation requirement for all transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan Note date.

Assets may be held in a U.S. bank account or in a foreign account to meet funds to close and reserve requirements.

- See Section 2.7.2 Asset Documentation for eligible sources and types of assets.
- Large deposits are not required to be sourced.
- Gift funds are allowed after minimum 10% borrower contribution.

### 2.4.3.7.1 ASSETS HELD IN FOREIGN ACCOUNTS (04/21/2025)

One of the following options may be utilized when documenting funds to close:

- Transferred to a U.S. domiciled account in the borrower's name at least ten (10) days prior to closing unless funds are held in a foreign bank with U.S. branches insured by the FDIC; **or**
- Verified funds for closing to be wired directly to the closing agent prior to or as of the consummation date (Note date). Wire transfer to include bank name, accountholder name, and account number. Bank used as source of wire transfer must match the bank holding the assets verified in the loan file.

Documentation Requirements:

- Foreign assets must be verified in U.S. Dollar equivalency at the current exchange rate via either www.xe.com or the Wall Street Journal conversion table.
- Reserves may remain in a foreign bank account or may be documented in a U.S. bank account, see matrix for reserve requirements.

## 2.4.3.8 Restrictions (11/10/2025)

- Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time occupy the subject property.
  - Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in the preceding.
- Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.
- Interest reserve accounts are not permitted.

- Borrowers from China, Russia, Iran, and North Korea are ineligible when the subject property is in Texas, see Section 2.1.6.2.1 Texas Senate Bill 17 for restrictions.

## 2.4.4 NON-OCCUPANT CO-BORROWERS (10/16/2023)

Non-occupant borrowers are credit applicants on a principal residence transaction who do not occupy the subject property.

- Primary purchase transactions only.
- Standard Doc only for both the occupant and non-occupant borrower(s).
- Occupying borrower(s) must have a DTI ratio of 60% or less. This excludes the income/debts of non-occupant borrower(s).
  - Overall DTI for all borrowers must adhere to requirements per the program matrix.
- The non-occupant borrower must be included on title for the subject property.
- Borrower(s) and co-borrower(s) must complete and sign a Non-Occupant Co-Borrower Certification similar to the example of a Non-Occupant Co-Borrower Certification in this guide.

## 2.4.5 FIRST TIME HOMEBUYERS (FTHB) (2/26/2024)

An individual is to be considered a first time homebuyer (FTHB) who is (1) purchasing the security property; and (2) had no ownership interest (sole or joint) in a residential property during the three-year period preceding the application date of the security property. Note: An individual who is a displaced homemaker or single parent also will be considered a first time homebuyer if he or she had no ownership interest in a principal residence (other than a joint ownership interest with a spouse) during the preceding three-year time period.

The following requirements apply to first time homebuyer (FTHB) transactions:

- Primary residence only.
- DTI may not exceed 45%.
- Minimum six (6) months of reserves.
- 12-month rental history, reflecting 0x30, documented per Section 2.6.5 Housing History.
  - First time homebuyers with less than 12-month rental history:
    - DTI may not exceed 43%.
    - LTV may not exceed 80%.
    - Any available portion of a 12-month housing history must be paid as agreed.

## 2.4.6 INELIGIBLE BORROWERS (2/26/2024)

- Irrevocable Trust
- Land Trust
- Blind Trust
- Persons with Diplomatic Immunity, as defined by US Citizenship and Immigration Services
- Persons from OFAC sanctioned countries and persons sanctioned by OFAC

- Nonprofit or Not-For-Profit entity
- Any material parties (company or individual) to the transaction listed on HUD's Limited Denial of Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list.

## 2.4.7 TITLE VESTING AND OWNERSHIP (10/16/2023)

### 2.4.7.1 Vesting for Consumer and Business Purpose Loans (11/10/2025)

Ownership may be fee simple or leasehold title. For more information regarding leaseholds, see Section 2.10.4 Leasehold Properties.

Eligible forms of vesting are:

- Individuals
- Joint tenants
- Tenants in Common
- Inter vivos revocable trust
- Illinois land trusts

Ineligible forms of vesting are:

- Land trusts
- Blind trusts
- Irrevocable trust
- IRAs
- Nonprofit or Not-For-Profit entity
- Life Estate

#### 2.4.7.1.1 INTER VIVOS REVOCABLE TRUST (2/26/2024)

Title vesting in an inter vivos revocable trust is permitted when the requirements set forth in this section are followed. The Fannie Mae® requirements should be followed to the extent this section is silent.

An inter vivos revocable trust is a trust that:

- an individual creates during their lifetime;
- becomes effective during its creator's lifetime; and
- can be changed or canceled by its creator at any time, for any reason, during that individual's lifetime

Trust eligibility is not affected if the trust documents contain a provision that the trust will, in the future, become irrevocable upon the death of one of the settlors/trustees.

##### Trust and Trustee Requirements:

The trust must be established by one or more natural persons, solely or jointly. The primary beneficiary of the trust must be the individual(s) establishing the trust. If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to qualify for the mortgage.

The trustee must include either

- the individual establishing the trust (or at least one of the individuals, if two (2) or more); or

- an institutional trustee that customarily performs trust functions in, and is authorized to act as trustee under the laws of, the applicable state.

The trustee must 1) have the power to hold the title and 2) mortgage the security property for the purpose of securing a loan to the individual (or individuals) who are the borrower(s) under the Mortgage or Note. One or more of the trustees establishing the trust must use personal income and/or assets to qualify for the mortgage.

#### Documentation Requirements: (2/26/2024)

- Trust documents are to be obtained as follows:
  - Fully executed and notarized Certificate of Trust
    - Or as applicable under state law
  - If the trust was created under the laws of Louisiana:
    - Trust Extract
  - If allowed by state law, alternative trust documentation may be acceptable
- Trust documents are to verify the following:
  - Trust is revocable
  - Borrower is the trustee and settler of the trust
  - Borrower is the primary beneficiary of the trust, when disclosed
  - Trustee is:
    - Duly qualified under applicable law to serve as trustee
    - Fully authorized under the trust documents and applicable law to pledge or otherwise encumber the trust assets

### 2.4.7.2 Vesting for Business Purpose Loans (Investment Occupancy) (11/10/2025)

A Business Purpose Loan where the borrower is an entity is limited to the following structures: Limited Liability Company (LLC), Partnership, and Corporation.

The following requirements apply to all loans vested in an entity:

- Program Eligibility:
  - Loans vested in an entity are eligible under the following programs: Prime Ascent, DSCR Plus, DSCR 1-4, DSCR 5-8 Unit/2-8 Mixed Use, Foreign National DSCR, Closed End Second.
  - Loans vested in an entity are ineligible under the following programs: Prime Ascent Plus, ITIN, Home Equity Line of Credit.
- Purpose and activities are limited to ownership and management of real property for the vesting entity.
- Multi-level entity structures are allowed with a maximum of two layered entities, subject to entity documentation requirements met for all entities.
- Entity must be domiciled in a U.S. State.
- Entity is limited to a maximum of four (4) member(s) or manager(s).
- Personal guaranties must be provided by member(s)/manager(s) representing at least 25% cumulative ownership of the entity. The personal guaranty form is available on the Verus website: www.verusmc.com.
- A guarantor must have authority to execute loan documents on behalf of the entity.
- Each Entity member (applicant) providing a Personal Guaranty (full recourse) must complete a FNMA Form 1003 or similar credit application indicating clearly that such document is being provided in the capacity

of guarantor. Only the debt appearing on the personal credit report of individual(s) providing a personal guaranty needs to be reflected on the FNMA Form 1003 loan application. The application of each member providing a personal guaranty and their credit score, and creditworthiness will also be used to determine qualification and pricing.

- No Correspondent Seller shall suggest or encourage the formation of an Entity for the purpose of obtaining a mortgage loan. Such structures shall be initiated and arranged by the members of the Entity.

## 2.4.7.2.1 GUARANTOR(S) DOCUMENTATION (10/21/2024)

- Loan Application (e.g., FNMA Form 1003 or other application)
  - Completed for each guarantor
  - Section labelled "Title will be held in what Name(s)" should be completed with ***only*** the LLC name
    - Signed as an individual
- Credit report from all guarantors completing an application, see Section 2.6.1 Credit Reports
- Disclosure Documents
  - Business purpose loan disclosures as applicable (e.g., GFE, TIL, LE, CD, ECOA)
  - Any state or federally required settlement statement as applicable
- Legal Documents
  - Note, Deed of Trust/Mortgage, and all applicable Riders must be executed by the guarantor in their capacity as authorized signer for the entity. See exhibit for Entity Signature Examples
  - Personal Guaranty
    - The guaranty must be full recourse
    - The guaranty must reference the Note and loan amount
    - Members/managers on the application must sign the guaranty as an individual
    - Personal guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge, see Spousal Consent Form

## 2.4.7.2.2 ENTITY DOCUMENTATION REQUIREMENTS (11/10/2025)

**Limited Liability Company (LLC)**

- Entity articles of organization or partnership (or equivalent)
- Evidence of good standing for the state in which the entity was formed
  - Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)
  - For all other entities, a certificate of good standing is required as follows:
    - Certificate of Good Standing or screen shot from state website
      - The date the document was pulled must be dated within 120 days of the Note date
- Entity documents authorizing the guarantor to execute loan documents on behalf of the entity (e.g., Operating Agreement, Certificate of Authorization)
  - If not available, a Borrowing Certificate is required
    - Borrowing Certificate (LLC Borrowing Certificate - Single Member or LLC Borrowing Certificate - Multiple Member)
- Entity documents must include a list of members/managers (e.g., organization structure) and, if more than one member/manager, the ownership percentage must also be included
- Employer Identification Number (EIN)/Tax Identification Number

- Single-member LLC may use EIN or the guarantor social security number
- Multi-member LLCs require an EIN

**Corporation**

- Filed Certificate/Articles of Incorporation and all amendments (or equivalent)
- By-Laws and all amendments
- Evidence of good standing for the state in which the entity was formed
  - Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)
  - For all other entities, a certificate of good standing is required as follows:
    - Certificate of Good Standing or Screen shot from state website
      - The date the document was pulled must be dated within 120 days of the Note date
- EIN/Tax Identification Number
- Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation

**Partnership**

- Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required)
- Partnership Agreement and all amendments
- Evidence of good standing for the state in which the entity was formed
  - Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)
  - For all other entities, a certificate of good standing is required as follows:
    - Certificate of Good Standing or Screen shot from state website
      - The date the document was pulled must be dated within 120 days of the Note date
- EIN/Tax Identification Number
- Limited partner consents (where required by partnership agreement).

Documents must be completed and signed as follows:

- Signed as an individual(s):
  - Loan Application (FNMA Form 1003)
    - Completed for each member of the Entity providing a guaranty.
    - Section labelled "Title will be held in what Name(s)" should be completed with ***only*** the Entity name.
    - Signed by Individuals
  - Personal Guaranty
    - Completed for each member of the Entity providing a guarantee.
    - The guaranty should be executed at loan closing and dated the same date as the Note.
    - Personal Guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge, see Spousal Consent Form.
- Signed by the authorized signer for the entity:
  - Disclosures (e.g., GFE, TIL, LE, CD, ECOA)
  - Any state or federally required settlement statement as applicable
  - Note, Deed of Trust/Mortgage, and all Riders

### 2.4.7.3 Power of Attorney

A limited Power of Attorney is acceptable when all the following are met:

- It is specific to the transaction;
- It is recorded with the Mortgage/Deed of Trust;
- It contains an expiration date;
- It is used to execute only the final loan documents;
- The Borrower who executed the POA signed the initial FNMA Form 1003;
- An interested party to the transaction (such as Seller, broker, loan officer, realtor, property seller, etc.) may not act as Power of Attorney.
- Not eligible for cash-out transactions or with Foreign National borrowers.

## 2.4.8 OCCUPANCY TYPES (11/10/2025)

- Primary Residence – A primary residence is a property that the borrower occupies as his or her principal residence. May also be referred to as owner-occupied.
- Second Home – A second home is a property occupied by the borrower for some portion of the year. The following criteria applies:
  - Restricted to one-unit dwellings.
  - Must be suitable for year-round occupancy.
  - The borrower must have exclusive control over the property. Cannot be subject to any agreements giving control over occupancy to a management firm, rental pools, or timeshare arrangement.
- Investment Property – An investment property is to be held or rented rather than for household or personal use, may not be used as a principal residence or second home.

## 2.4.9 BORROWER STATEMENT OF OCCUPANCY (05/02/2022)

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification" found in the Occupancy Certification of this guide.

## 2.4.10 BORROWER STATEMENT OF BUSINESS PURPOSE (11/10/2025)

All investment occupancy loans are considered business purpose transactions and require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections of the Borrower Certification of Business Purpose form in this guide. Verus reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.

Common occupancy red flags include, but are not limited to:

- Subject property value significantly exceeds the value of the borrower's primary residence.

- The borrower is a first time homebuyer (FTHB) and currently living rent free or renting his/her primary residence.
- Subject property could reasonably function as a second home.
- Borrower documents show subject property as current residence.

# 2.5 TRANSACTION TYPES (08/29/2022)

## 2.5.1 ELIGIBLE TRANSACTIONS (10/21/2024)

### 2.5.1.1 PURCHASE (10/21/2024)

- Proceeds from the transaction are used to finance the acquisition of the subject property.
- LTV/CLTV is based upon the lesser of the sales price or appraised value.
- Assignment of contract or finder's fees reflected on the purchase contract are eligible, subject to interested party contribution limits.
- Arm's Length For-Sale-By-Owner (FSBO) transactions allowed.
  - If Non-Arm's Length, see Section 2.5.3 Non-Arm's Length Transactions.
- Ensure the transaction is compliant with the Higher Priced Mortgage Loan appraisal rule. See Section 2.10.2.1.1TILA Higher Priced Mortgage Loans Appraisal Rule (Property Flips) for details.
- The loan file must include a fully executed agreement (purchase contract) of sale and counteroffer (if applicable) reflecting the following:
  - The purchase contract cannot be expired
  - Borrower as the purchaser of the property
    - Business purpose loans may reflect the Guarantor or Entity name, see Section 2.4.7.2 Vesting for Business Purpose Loans
  - Property seller as the vested owner on title
  - Correct sales price
  - Amount of down payment
  - Closing dates
  - Concessions and seller contributions
- Buyer's Real Estate Agent Commission - In response to the NAR Settlement, the following apply:
  - Commission paid by the property buyer: Considered a closing cost.
    - Source of funds must be documented in assets.
    - If borrowed or financed, the monthly payment must be included in the debt-to-income ratio.
  - Commission paid by the property seller:
    - Not considered an interested party contribution if the property seller agrees to pay according to the negotiated terms of the purchase contract.

#### 2.5.1.1.1 SHARED EQUITY (11/10/2025)

Shared equity (or shared ownership) is a form of down payment assistance in which a third party contributes funds toward the purchase of the subject property in exchange for a proportional interest in the subject property's future appreciation or depreciation.

- Documentation Requirements:
    - Shared Equity/Shared Ownership Agreement verifying terms of the down payment assistance including if there will be a recorded lien on title.
    - Closing Disclosure verifying disbursement of down payment assistance funds to the closing agent.
    - URLA to include down payment assistance funds in the asset section.
- Shared equity provider must not be an interested party to the transaction.
- Occupancy: Primary residence.
- Program: Prime Ascent.
- Doc Types: Standard Doc (12 or 24-months) and Alt Doc Bank Statement (12 or 24-months).
- Minimum 700 credit score.
- Property Type: Single family, 2-unit.
- Maximum 80% LTV/CLTV.
- When there is a recorded lien for the down payment assistance, the following are required:
    - Down payment assistance must be included in CLTV.
        - CLTV is calculated using the subject property's First Lien balance plus the balance of the down payment assistance, divided by the lesser of the purchase price or appraised value.
    - Subordination agreement.
- If there is an associated liability for the down payment assistance and a payment is required within the first 60 months of the consummation date, the monthly payment is to be included in the DTI ratio.
- Minimum borrower contribution 10% from their own funds.
- Gift funds are ineligible.
- Additional down payment assistance is ineligible.
- Maximum debt-to-income (DTI) ratio 45%.
- Arm's length transactions only.
- Escrows for taxes and insurance are required.
- Existing declining market restrictions apply.
- Downpayment assistance must be disclosed in compliance with TRID on the Closing Disclosure.

### 2.5.1.2 Rate/Term Refinance (11/10/2025)

At least one borrower must have ownership interest (vested on title) in the subject property at the time of the initial application.

**Proceeds from the transaction are used to:**

- Pay off an existing first mortgage loan and any subordinate loan used to acquire the property.
- Pay off any subordinate loan not used in the acquisition of the subject property, provided one of the following apply:
    - Closed-end loan, at least 12-months of seasoning has occurred.
    - HELOC, at least 12-months of seasoning has occurred, and total draws over the past 12-months are less than $2,000.
- Buy out a co-owner pursuant to an agreement.
- Pay off an installment land contract executed more than 12-months from the loan application date.

**Other considerations:**

- Cash back in an amount not to exceed the lesser of 2% of the new loan amount or $5,000 can be included in the transaction.
- If the subject property was acquired greater than six (6) months, as measured from the property acquisition date (Note date) to the subject transaction Note date, the appraised value will be used to determine LTV/CLTV.
- If the subject property was acquired less than or equal to six (6) months, as measured from the property acquisition date (Note date) to the subject transaction Note date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) will be used to determine LTV/CLTV. The purchase settlement statement and any invoices for materials/labor will be required.
- Refinance of a previous loan that provided cash-out, as measured from the previous Note date to the new Note date, and is seasoned less than 12-months, will be considered a cash-out refinance.
- The transaction must be treated as cash-out when the subject property is encumbered by a loan that allows for Paid in Kind (PIK) interest.
- When the subject property is refinanced out of a cross collateral/blanket mortgage and into a single asset mortgage, the following are required:
  - Copy of the Note for the cross collateral/blanket mortgage to verify release terms.
  - Copy of the Deed of Trust or Mortgage evidencing the encumbered properties.
  - Copy of the payoff statement for the subject property to verify payoff terms.
  - Transaction must be treated as cash-out when the borrower receives cash-out proceeds.

## 2.5.1.3 Cash-Out (11/10/2025)

A refinance that does not meet the definition of a rate/term transaction is considered cash-out. See Loan/LTV Matrices for maximum cash-out amounts and restrictions.

At least one borrower must have ownership interest (vested on title) in the subject property at the time of the initial application.

- Cash-Out Seasoning is defined as the length of time the subject property has been owned by the borrower (on title), as measured by the property acquisition date (Note date) to the subject transaction Note date.
  - Minimum borrower seasoning of six (6) months is required to use the current appraised value for LTV/CLTV.
  - Less than six (6) months seasoning is allowed, subject to the following:
    - LTV/CLTV is limited to the lower of the property's purchase price plus documented improvements or current appraised value.
    - Current appraised value may be used for LTV/CLTV, with one of the following documented circumstances:
      - Borrower acquired the subject property through an inheritance, or
      - Subject property was legally awarded the property through divorce, separation, or dissolution of a domestic partnership.
- A mortgage secured by a property currently owned free and clear is considered cash-out.
- The payoff of delinquent real estate taxes (60 days or more past due) is considered cash-out.
- If the cash-out is for personal, family, or household use, the loan must also meet all applicable federal and state requirements of a consumer loan transaction even if the borrower is a company or the loan was

initially intended for business purposes, including but not limited to the requirements of the Truth in Lending Act (15 U.S.C. § 1601 et seq.), Real Estate Settlement Procedures Act (12 U.S.C. § 2601 et seq.), Gramm-Leach Bliley Act (15 U.S.C. §§ 6802-6809), Secure and Fair Enforcement Mortgage Licensing Act (12 U.S.C. § 5601 et seq.) and Homeowners Protection Act (12 U.S.C. § 4901 et seq.).

- Cash-out eligible to satisfy the reserve requirements, except for Investor Solutions DSCR 5-8 Unit/2-8 Mixed Use.
- Loans not eligible for cash-out:
  - Primary Residence or Second Home properties listed for sale in the past six (6) months.
  - Investment properties listed for sale in the past six (6) months.
    - Cash-out eligible with a minimum three (3) year prepay penalty, per requirements in Section 2.5.7 Prepayment Penalty.
  - There has been a prior cash-out transaction within the past six (6) months.
  - Payoff of a Land Contract/Contract for Deed.
  - Non-Owner Occupied investment property transactions (Investor DSCR) when proceeds from the loan transaction are used for consumer purpose, i.e., payoff personal debt, personal tax lien(s), personal judgments, personal collection, or lines of credit secured by the subject property.
  - Loans with Power of Attorney.
- Builder Refinance:
  - Loans to the developer or affiliates of the developer are ineligible if the builder/developer has built more than 4 independent units within a subdivision, development, or condo project containing the subject properties.
  - Builder bailouts are ineligible, see Section 5.1.1.3 Builder Bailout.

### 2.5.1.4 Delayed Financing (03/09/2026)

- Delayed purchase financing is eligible when a property was purchased by a borrower for cash less than 6 months from the subject transaction Note date.
  - The transaction is considered a rate/term refinance for pricing and eligibility. Cash-in-hand limits do not apply except for Foreign Nationals.
    - Foreign Nationals are subject to max cash-in-hand limits per the Foreign National matrix.
  - The original purchase transaction was an arms-length transaction.
  - The source of funds for the purchase transaction are documented (such as bank statements, personal loan documents, or a HELOC on another property).
  - The maximum LTV/CLTV ratio for the transaction is based upon the lower of the current appraised value or the property's purchase price plus documented improvements.
  - The preliminary title search or report must confirm that there are no existing liens on the subject property.
  - The new loan amount can be no more than the actual documented amount of the borrower's initial investment subject to the maximum LTV/CLTV for rate/term transactions.

### 2.5.1.5 Construction-to-Permanent Financing – Two Closing Transaction (11/10/2025)

Verus will purchase loans that were used to provide permanent financing for the subject property.

Construction-to-permanent (construct-to-perm) two closing transactions utilize two separate closings with two separate sets of legal documents. The first closing is for the interim financing for the construction loan and may include the purchase of the lot. A modification may not be used to update the original Note, rather a new Note must be completed and signed by the borrower during the second closing. The second closing is for the permanent financing upon completion of the improvements.

The permanent mortgage delivered to Verus may be closed as a rate/term refinance or a cash-out refinance. When closed as a cash-out refinance, the borrower must have held legal title to the lot for at least 6 months prior to the Note date of the permanent mortgage.

**Property Value Determination**

- For properties owned 6-months or longer: LTV/CLTV is based upon the appraised value.
- For properties owned less than 6 months, see Section 2.10.2.1.1 TILA Higher Priced Mortgage Loans (HPML) Appraisal Rule 1026.35(A)(1) Property Flips for eligibility.

## 2.5.2 LISTING SEASONING (04/21/2025)

**Primary/Second Home:**

- For all refinances, value will be based on lesser of lowest list price in prior 12 months or appraised value.
- For cash-out refinances, properties previously listed for sale must be seasoned at least six (6) months from the listing contract expiration date to the loan application date.

**Investment:**

- For all refinances, value will be based on lesser of lowest list price in prior 12 months or appraised value.
- For cash-out refinances, a listing expiration of less than six (6) months is permitted with a minimum prepayment penalty of three (3) years, see Section 2.5.7 Prepayment Penalty. If a property is listed for sale, the listing must be cancelled prior to the Note date.

## 2.5.3 NON-ARM'S LENGTH TRANSACTIONS (12/12/2022)

### 2.5.3.1 Non-Arm's Length Transaction (12/12/2022)

Non-arm's length transactions are purchase transactions in which there is a relationship or business affiliation between the seller and the buyer of the property. Examples of non-arm's length transactions include family sales, property in an estate, employer/employee sales, and flip transactions.

When the property seller is a corporation, partnership, or any other business entity, it must be ensured that the borrower is not an owner of the business entity selling the property.

A non-arm's length transaction is not intended to bail out a family member who has had difficulties making their mortgage payment. A thorough review of the title report in these cases is required, as well as the payment history pattern (verification of the property seller's mortgage [VOM]).

### 2.5.3.2 Non-Arm's Length Transaction Restrictions (03/09/2026)

- Ineligible Programs: DSCR Plus, DSCR 1-4, DSCR 5-8 Unit/2-8 Mixed Use, Foreign National, Cross Collateral.
- Renter(s) purchasing from landlord.
  - 12-months of cancelled checks to prove timely payments are required.
  - A verification of rent (VOR) is not acceptable.
- Purchase between family members.
  - Gift of equity requires a gift letter, and the equity gift credit is to be shown on the CD.
    - Must provide a 12- month mortgage history on the existing mortgage securing the subject property, confirming the Family Sale is not a foreclosure bailout.
  - Gift of equity is allowed only for a primary residence.
- Borrower to provide verification of earnest money deposit.
- Maximum LTV/CLTV of 80%.
- Employer to employee sales or transfers are not allowed (e.g., newly constructed properties).
- Property trades between buyer and seller are not allowed.
- Commission earned by buyer/borrower cannot be used for down payment or monthly PITIA reserves.

## 2.5.4 INTERESTED PARTY CONTRIBUTIONS (SELLER CONCESSIONS) (04/21/2025)

**Primary and Second Home**

- Maximum contribution:
  - 6% for LTV > 75%
  - 9% for LTV ≤ 75%

**Investment**

- Maximum contribution: 6%

All Interested Party Contributions must be properly disclosed in the sales contract, appraisal, loan estimate and closing disclosure and be compliant with applicable federal, state, and local law.

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or their affiliates, or any other party with an interest in the real estate transaction. A borrower participating in the transaction (i.e., borrower acting as their own agent) may contribute funds (i.e., commission) up to the maximum contribution limits referenced above.

Interested party contributions may only be used for closing costs and prepaid expenses (Financing Concessions) and may never be applied to any portion of the down payment or contributed to the borrower's financial reserve requirements. If an Interested Party Contribution is present, both the appraised value and sales price must be reduced by the concession amount that exceeds the limits referenced above.

## 2.5.5 ESCROWS – IMPOUND ACCOUNTS (11/10/2025)

Escrow accounts must be established by the Seller, originator, or servicer to hold funds allocated for the payment of a borrower's property taxes and insurance as they are received each month in accordance with the borrower's mortgage documents and until such time as they are disbursed to pay the related bills.

See Section 1.9.5 Cancellation of Escrow Accounts for cancellation (removal) requirements after the loan closes.

**HPML loans require an escrow account for property taxes, hazard insurance, and flood insurance.**

**Escrow Waivers**

- Non-HPML Consumer Purpose Loans:
  - Escrow accounts for property taxes and hazard insurance may be waived subject to the following requirements:
    - LTV less than or equal to 80%
    - Minimum credit score of 720
    - Minimum 12-months of reserves
    - Escrow waiver is subject to an LLPA adjustment, see rate sheet for program specific adjustments
  - Flood insurance escrow account:
    - Escrow account for flood insurance premium is required for all loans secured by residential improved real estate located in a flood zone
- Business Purpose Loans:
  - Escrow waivers are not allowed for the following programs:
    - DSCR Cross Collateral
    - Foreign National DSCR: Borrower without a U.S. credit score
  - Escrow accounts for property taxes and hazard insurance may be waived subject to the following requirements:
    - LTV less than or equal to 80%
    - Minimum credit score of 720
    - Minimum 12-months of reserves
    - Escrow waiver is subject to an LLPA adjustment, see rate sheet for program specific adjustments
  - Flood insurance escrow account:
    - Escrow account for flood insurance premium may be waived

## 2.5.6 SECONDARY FINANCING (11/10/2025)

- Secondary financing from any interested party is not allowed for a purchase transaction
- Secondary financing must be subordinated and included in CLTV
- HELOC CLTV must be calculated at the maximum available line amount unless the borrower can provide documentation showing the line of credit is past its draw period
- Shared Equity/Shared Ownership:
  - Purchase: See Section 2.5.1.1.1 Shared Equity for restrictions
  - Refinance: Must be subordinated and included in CLTV

## 2.5.7 PREPAYMENT PENALTY (03/09/2026)

**Investment Property Only**

A prepayment penalty on a mortgage loan is a fee that a lender may charge if the borrower pays off the loan early, either by refinancing, selling the home, or making extra payments that exceed a specified limit. Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between one (1) and five (5) years following the execution date of the Note.

The following prepayment structures may be used, see rate sheet for further details:

- A fixed percentage of no less than 3% - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period.
- Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years.
  Example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) – The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period.
- Six (6) months of interest – The prepayment charge will be equal to six (6) months of interest on the amount of the prepayment that exceeds 20% of the original principal balance in a given 12-month time period.
  - Not eligible for Cross Collateral or DSCR 5-8 Unit/2-8 Mixed Use.

The prepayment penalty can be disclosed within the body of the Note or in a separate addendum.

The following state restrictions apply:

- **AK, KS, MI, MN, NM, OH, RI**: Prepayment penalties are not allowed.
  - See DSCR 5-8 Unit/2-8 Mixed Use matrix for program specific restrictions.
- **IL, NJ**: Prepayment penalties are not allowed on loans vested to individuals.
  - See Prime Ascent Plus matrix for program specific restrictions.
- **MS**: Only declining prepayment penalty structures are allowed.
- **PA**: Prepayment penalty may not be charged on 1–2 unit loans with a loan amount less than or equal to the base figure ($329,411 for 2026; adjusted annually).
  - This restriction applies to business-purpose loans, whether vested to an individual or an entity.
  - Loans with 3+ units, or with a loan amount greater than $329,411, are not subject to prepayment restrictions.
  - See Prime Ascent Plus matrix for program specific restrictions.

## 2.5.8 LOAN ELIGIBILITY – PAYOFFS AT CLOSING (03/09/2026)

The following documentation and verification requirements apply to payoffs for all loan transactions:

- A signed and dated final ALTA Settlement Statement is required, inclusive of both buyer and seller fees.
- All liens paid at closing must be:
  - Identified on the preliminary title report, and

- Supported by documentation that substantiates and validates the payoff.
  *Exception: Payments to a city, municipality, state, or HOA do not require additional justification.*
- All other payoffs listed on the final ALTA Settlement Statement must be supported by documentation that validates the payoff.
- All third-party payoffs must include:
  - Valid payoff statement, and
  - Verification of disbursement.

A mortgage loan with any unverified and/or fictitious line item(s) will not be purchased or will be subject to repurchase.

# 2.6 CREDIT

## 2.6.1 CREDIT REPORTS (04/25/2022)

A credit report is required for each individual borrower, including any member of an entity providing a personal guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian, TransUnion, and Equifax. Either a three-bureau merged report, or a Residential Mortgage Credit Report is required.

The credit report used to evaluate a loan may not reflect a security freeze. If the borrower(s) unfreeze credit after the date of the original credit report, a new tri-merged report must be obtained to reflect current and updated information from all repositories.

## 2.6.2 GAP CREDIT/UNDISCLOSED DEBT (07/15/2024)

A gap credit report or Undisclosed Debt Monitoring (UDM) report is required no more than 30- days prior to loan closing or any time after closing.

- Any new tradeline with a balance must be included in determining the DTI ratio.
- Business purpose DSCR transactions are excluded from this requirement.

## 2.6.3 FRAUD REPORT AND OFAC SEARCH (2/26/2024)

### 2.6.3.1 Fraud Report (11/10/2025)

Data integrity is crucial to quality loan file delivery and mitigation of fraud risk. Fraud report is required from an automated fraud and data check vendor solution.

**Requirements:**

- Transaction participants must be included in the fraud report as follows:
  - Individual borrower(s)/entity borrower(s)

        - Only member(s)/manager(s) of an entity providing a guaranty are required to be included in the fraud report.
    - Property seller(s)
    - Mortgage loan originator and loan origination company, including but not limited to loan officers, third party originators, retail lenders, mortgage brokers, and correspondents
    - Real estate agent(s) and real estate brokers
    - Settlement agent or the individual listed as the settlement agent on the settlement/closing disclosure statement
    - Settlement company
    - Appraiser and appraisal company
- An industry recognized fraud and data vendor must be used (i.e., Fraud Guard, Cotality fka CoreLogic, DataVerify, TransUnion TLOxp, LexisNexis: SmartLinx, Instant ID, or other industry recognized fraud and data vendor)
- A copy of the findings report from the vendor must be provided in the loan file with all “high” alerts, or “red flags” addressed and/or cleared by the Seller.
    - Sellers may clear “high” alerts or “red flags” directly through the vendor solution or with a signed attestation. The attestation must address each “high” alert, or “red flag” noted in the fraud report. Verus may request additional documentation to address high fraud risk.
- Fraud reports for loans secured by multiple properties (Cross Collateral) do not need to reference every property, all other requirements apply.
- Fraud reports must include the following exclusionary lists:
    - HUD’s Limited Denial Participation (LDP)
    - HUD’s General Services Administration (GSA)
    - Federal Housing Finance Agency (FHFA) Suspended Counterparty Program
    - Freddie Mac Exclusionary List

## 2.6.3.2 OFAC Search (2/26/2024)

The Office of Foreign Assets Control (OFAC) of the US Department of Treasury administers and enforces economic and trade sanctions based on US foreign policy and national security goals against individuals and foreign countries. A clear OFAC search for individuals and foreign countries is required.

### 2.6.3.2.1 INDIVIDUALS (04/21/2025)

Individuals identified on OFAC’s SDN list are not eligible. All individuals involved in the transaction must be screened through exclusionary lists and must be cleared through OFAC's SDN list, regardless of citizenship status.

**Requirements:**

- A search of Specially Designated Nationals & Blocked Persons list must be completed via the US Department of Treasury: http://sanctionssearch.ofac.treas.gov.
- Individuals to be included in the OFAC search: Borrowers/guarantors, property sellers.
- When the borrower is an entity, Guarantor(s) and all member(s)/manager(s) of the entity must be included in the OFAC search.

#### 2.6.3.2.2 FOREIGN COUNTRIES (11/10/2025)

Borrower(s)/Guarantor(s) from OFAC sanctioned countries are not eligible. The Borrower(s)/Guarantor(s) are defined as individuals signing the loan application.

**Requirements:**

- Borrowers/Guarantors who are Foreign Nationals must be screened against the OFAC comprehensive sanctioned countries list. Search to be completed via the US Department of Treasury Office of Foreign Asset Control: http://www.treasury.gov/resource-center/sanctions/Programs/Pages/Programs.aspx.
  - Not applicable for Non-Permanent Resident Aliens and Permanent Resident Aliens.
- If the borrower is an entity, member(s)/manager(s) who are not Guarantors do not have to be screened against the OFAC comprehensive sanctioned countries list.

### 2.6.4 CREDIT INQUIRIES (2/26/2024)

Credit inquiries listed on the report within 90 days of the report date must be addressed by the borrower with a letter of explanation. If no credit was extended, borrower must state the purpose of the inquiry. If new credit was extended, borrowers must provide documentation on the current balance and payment. New payment terms are to be included in the DTI ratio. DSCR is excluded from addressing credit inquiries.

### 2.6.5 HOUSING HISTORY (11/10/2025)

- Housing history is required for all Real Estate Owned (REO) evidencing the payment activity for the most recent 12-months.
- For refinances, most recent 12-month housing payment history is required for all mortgages secured against the subject property.
- All payment history will be used for program eligibility, see applicable program matrix for housing history requirements.
- Housing payments must be paid current as of the month prior to the loan application date.
- Any REO listed on the application owned free & clear requires a Property Profile Report or similar document.
  - Property taxes, all insurance, and homeowner's association (HOA) dues if applicable, are to be verified and included in DTI.
- Borrower(s) who sold a primary residence within the past six (6) months, currently residing rent-free, and purchasing a new primary residence are allowed. 12-month mortgage history is required on previous primary residence.
- Less than 12-month history or residing rent-free allowed with the following restrictions:
  - DTI may not exceed 43%.
  - LTV may not exceed 80%.
  - Any available portion of a 12-month housing history must be paid as agreed.
- Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting paid as agreed.
- If income is being used from a non-subject REO, a housing history is required.

  - Applies to properties vested to an individual or entity.
  - Mortgage liability must be factored in to the net rental income used for qualification.
- For DSCR transactions, see Section 2.9.2 DSCR Housing History.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.

### 2.6.5.1 Mortgage Verification (11/10/2025)

The Seller must review mortgage history documentation to determine the payment status of all mortgage accounts. Rolling late payments are not considered a single event. Each occurrence of contractual delinquency is considered individually for loan eligibility.

- Credit report must be reviewed to determine the payment status of all reported mortgage accounts for the previous 12-months.
- Mortgages not reporting on the credit report or mortgages with an incomplete 12-month history, provide any of the following to complete the borrower's payment history:
  - Credit supplement, or
  - Verification of Mortgage (VOM) completed by the lender/servicer, or
  - Loan payment history from the lender/servicer, or
  - Mortgage statements for the review period, provided the statements include a payment history, or
  - Borrower's proof of payment (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method)
- When the **subject property** or the borrower's **primary residence** has a private party mortgage (e.g., individual, private lender, hard money lender), the following documentation is also required:
  - Borrower's proof of payment for the most recent 6-months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method); and
  - Copy of Note, review for the following high-risk feature:
    - Balloon Note with Maturity Default: Expired maturity date exceeding 30 days requires an extension to avoid being counted as delinquent (e.g., delinquent 31 days is 1x30 late, delinquent 61 days is 1x60 late, etc)

If subject transaction is a refinance, mortgage payoff statement is required from the creditor/servicer:

- Payoff statement that reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history and/or credit event criteria. Transaction is to be considered cash-out.

### 2.6.5.2 Rental Verification (11/10/2025)

A 12-month rental history is required for all Verus programs when the borrower is renting their current primary residence. Payment history is to be verified through one of the following:

- Verification of Rent (VOR) completed by the landlord; **or**
- Lease agreement and borrower's proof of payment for the most recent 12- months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, or electronic payment method)

### 2.6.5.3 Departure Residence (11/10/2025)

- If the borrower's current principal residence is pending sale but the transaction will not close prior to the subject transaction, the current PITIA and proposed PITIA must be used in qualifying the borrower. The current PITIA may be excluded provided the credit file is documented with the following:
  - The executed sales contract for the current residence, and
  - Confirmation that any financing contingencies have been cleared.
- If the borrower plans to convert their departure residence to a rental property, the current PITIA and proposed PITIA must be used in qualifying the borrower. The current PITIA for the departure residence may be offset using 75% of the gross monthly rent. The rental income must be documented with a current lease agreement and one of the following:
  - Single Family Comparable Rent Schedule (FNMA Form 1007), must use lower of actual rent or market rent; or
  - Proof of receipt of security deposit and first month's rent.

## 2.6.6 CONSUMER CREDIT (06/21/2021)

### 2.6.6.1 Installment Debt

Installment debt is a monthly obligation with fixed payments and terms. Payments on installments must be included in the borrower's debt-to-income (DTI) ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the payment is substantial and exceeds 5% of the borrower's qualifying income, the overall transaction should be reviewed to ensure the remaining payments will not impact the borrower's ability to handle the new mortgage payment.

Installment debt paid in full or prior to closing can be excluded from the debt-to-income ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

### 2.6.6.2 Lease Payments

Lease payments must be considered as recurring monthly debt obligations and included in DTI ratio calculation. This is regardless of the number of months remaining on the lease. This is because the expiration of a lease agreement for rental housing or an automobile typically leads to either a new lease agreement, the buyout of the existing lease, or the purchase of a new vehicle or house.

### 2.6.6.3 Student Loans

If a monthly student loan payment is provided on the credit report, the Seller may use that amount for qualifying purposes. If the credit report does not reflect the correct monthly payment, the Seller may use the monthly payment that is on the student loan documentation (the most recent student loan statement) to qualify the borrower. If the credit report does not provide a monthly payment for the student loan, or if the credit report shows $0 as the monthly payment, the Seller must determine the qualifying monthly payment. For deferred loans or loans in forbearance, the Seller may calculate:

- a payment equal to 1% of the outstanding balance (even if this amount is lower than the actual fully amortizing payment), or
- a fully amortizing payment using the documented loan repayment terms.

#### 2.6.6.4 Deferred Installment Debt

Deferred installment debts must be included as part of the borrower's recurring monthly debt obligations. For deferred installment debts other than student loans, if the borrower's credit report does not indicate the monthly amount that will be payable at the end of the deferment period, the Seller must obtain copies of the borrower's payment letters or forbearance agreements so that a monthly payment amount can be determined and used in calculating the borrower's total monthly obligations.

#### 2.6.6.5 Revolving Debt (2/26/2024)

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment, as stated on the credit report or current account statement, should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of $10 or 5% of the current balance should be included in the DTI ratio calculation. Revolving accounts can be paid off prior to or at closing in order to exclude the payment from the debt ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

Equity lines of credit secured by real estate should be included in the housing expense. If the credit report does not show a minimum payment amount, the Seller must use 5% of the outstanding balance to be included in the DTI ratio calculation.

Any non-mortgage account can be no more than 30 days delinquent at time of application, except for DSCR transactions. Any delinquent account must either be brought current or paid off at closing, except for DSCR transactions.

#### 2.6.6.6 Authorized User Accounts (2/26/2024)

Authorized user accounts can be excluded from the debt-to-income ratio.

#### 2.6.6.7 Open 30-day Charge Accounts (12/13/2021)

For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, Sellers must verify borrower funds to cover the account balance. The verified funds must be in addition to any funds required for closing costs and reserves.

#### 2.6.6.8 Solar Panels (2/26/2024)

Installment debt from financed or leased payments associated with solar panels are to be included in the debt-to-income ratio. See Section 1.8.2.11Solar Panels for additional criteria.

#### 2.6.6.9 Timeshares

Timeshare obligations will be treated as a consumer installment loan.

## 2.6.6.10 Business Debt (10/21/2024)

A business debt is a financial obligation of a business but may also be the responsibility of the business owner, making that person also liable for the debt. If the debt is reflected on the borrower's personal credit report, the borrower is personally liable for the debt, and it must be included in the debt-to-income ratio. When a self-employed borrower claims that a monthly obligation that appears on his or her personal credit report (such as a Small Business Administration loan) is being paid by the borrower's business, the Seller must confirm that it verified that the obligation was actually paid out of company funds to exclude the debt.

Any of the following supporting documentation can be included in the credit file to exclude business debt:

- Most recent six (6) months of cancelled checks, ACH payment, or transferred draw against the business account
- Tax returns reflecting the business expense deduction
- Business bank account statement showing assets remaining after funds to close and reserve requirements are deducted, with a balance greater than or equal to the balance of the debt.

If the debt is less than six (6) months old, the payment must be included in the DTI ratio.

## 2.6.6.11 Contingent Liability on Cosigned Obligations (Debt Paid by Others)

Contingent liability applies, and the debt must be included in the underwriting analysis, if an individual applying for a mortgage is a cosigner/co-obligor on:

- Car loan
- Student loan
- Mortgage
- Any other obligation

If the Seller obtains proof that the borrower is not the party who is repaying the debt, the Seller may exclude the debt. In order to exclude debts from the borrower's DTI ratio, the Seller must obtain the most recent 12-months canceled checks (or bank statements) from the other party making the payments that document a 12-month payment history with no delinquent payments.

## 2.6.6.12 Court-Ordered Assignment of Debt (07/15/2024)

When a borrower has outstanding debt what was assigned to another party by court order (such as under a divorce decree or separation agreement) and the creditor does not release the borrower from liability, the borrower has a continent liability. The Seller is not required to count this contingent liability as part of the borrower's recurring monthly debt obligations.

The Seller is not required to evaluate the payment history for the assigned debt after the effective date of the assignment. The Seller cannot disregard the borrower's payment history for the debt before its assignment.

## 2.6.6.13 Loans Secured by Financial Assets (04/03/2023)

When a borrower uses his or her financial assets—life insurance policies, 401(k) accounts, individual retirement accounts, certificates of deposit, stocks, bonds, etc.—as security for a loan, the borrower has a contingent liability.



Non-Agency (Non-QM) – First Lien

The Seller is not required to include this contingent liability as part of the borrower's recurring monthly debt obligations provided the Seller obtains a copy of the applicable loan instrument that shows the borrower's financial asset as collateral for the loan. If the borrower intends to use the same asset to satisfy financial reserve requirements, the Seller must reduce the value of the asset (the account balance, in most cases) by the proceeds from the secured loan and any related fees to determine whether the borrower has sufficient reserves.

Payment on any debt secured by virtual currency is an exception to the above policy and must be included when calculating the debt-to-income ratio.

## 2.6.6.14 Consumer Credit Charge-Offs and Collections (07/10/2023)

Delinquent credit, such as charge-offs of non-mortgage accounts and collections, have the potential to affect loan position or diminish borrower equity.

- Individual collection and non-mortgage charge-off accounts equal to or greater than $250, and accounts that total more than $2,000, must be paid in full prior to or at closing. See below for exceptions:
  - Medical collections may remain open.
  - A second mortgage or junior lien that has been charged off is subject to foreclosure seasoning periods for grade determination, based on the charge-off date.
  - Collections and charge-offs that have expired under the state statute of limitations on debts may be excluded from the DTI calculation. Evidence of expiration must be documented.
  - For DSCR transactions, charge-offs and collections can be ignored unless title is impacted.

Charge-offs and collections not excluded by the above bullet points must be paid or may stay open if using one or a combination of both of the following:

- Payments for open charge-offs or collections are included in the DTI (subject to program DTI restrictions). If the payment amount is not known, 5% of the balance may be used as the payment.
- Assets are sufficient to cover balance of the charge-offs or collections and meet reserve requirements.

## 2.6.6.15 Consumer Credit Counseling Services

Borrower enrollment in Consumer Credit Counseling Services (CCCS) is allowed when a minimum of 12-months have elapsed on the plan, and evidence of timely payments for the most recent 12-months is provided. The CCCS Administrator must also provide a letter allowing the borrower to seek financing on a new home while enrolled in the plan.

A monthly CCCS plan payment must be included in the DTI calculation.

## 2.6.6.16 Judgments and Liens (11/10/2025)

All open judgments and all outstanding involuntary liens must be paid off prior to or at loan closing, subordination is not allowed. Documentation of the satisfaction of these liabilities, along with verification of funds sufficient to satisfy these obligations, must also be obtained.

## 2.6.6.17 Income Tax Installment Agreements (11/10/2025)

Income tax installment agreements are allowed subject to the following:

- There is no indication that a Notice of Federal or State Income Tax Lien has been filed against the borrower in the county in which the subject property is located.
  - Subordination is not allowed.
- The file must contain a copy of the approved IRS installment agreement with the terms of repayment, including the monthly payment amount and total amount due
- A minimum of two (2) payments have been made under the plan with all payments made on time and the account is current. Acceptable evidence includes the most recent payment reminder from the IRS, reflecting the last payment amount and date and the next payment amount owed and due date.
- The maximum payment required under the plan is included in the DTI calculation.

#### 2.6.6.18 Disputed Tradelines (10/16/2023)

- Revolving Account: See Section 2.6.6.5 Revolving Debt.
- Installment Account: See Section 2.6.6.1 Installment Debt.
- Mortgage Account: Housing history restrictions apply, see Section 2.6.5 Housing History.
- Collection/Charge-off Account: See Section 2.6.6.14 Consumer Credit Charge-Offs and Collections.

### 2.6.7 BANKRUPTCY HISTORY

Recent bankruptcies are not allowed. All bankruptcies must be settled a minimum of twelve (12) months. Specific programs may have longer periods, see Product Matrices for details. Evidence of bankruptcy resolution is required. The length of time is measured from the discharge/dismissal date to the Note date.

### 2.6.8 FORECLOSURE / DEED-IN-LIEU / SHORT SALE / PREFORECLOSURE / MORTGAGE CHARGE-OFF (10/21/2024)

Must be completed a minimum of twelve (12) months. Specific programs may have longer periods, see Product Matrices for details. The length of time is measured from the settlement date to the Note date. In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

- Deed-In-Lieu of Foreclosure: Transaction in which the deed to the real property is transferred back to the servicer. These are typically identified on the credit report through Remarks Codes such as "Forfeit deed-in-lieu of foreclosure."
- Short Sale or Preforeclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less than the total amount owed, which was pre-approved by the servicer. These are typically identified on the credit report through Remarks Codes such as "Settled for less than full balance."
- Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain delinquency status and may be identified on the credit report with a manner of payment (MOP) code of "9."



Non-Agency (Non-QM) – First Lien

## 2.6.9 NOTICE OF DEFAULT (10/21/2024)

Notice of Default will be considered a 1x90x12 under housing history restrictions.

- If the borrower cured the default and has made 12 timely payments, they are eligible without any restrictions.

## 2.6.10 FORBEARANCE, MODIFICATION, OR DEFERRALS (03/09/2026)

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

**Greater than 12-months from Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated greater than 12-months from the Note date of the subject transaction are eligible subject to housing history requirements for the selected program.

**Within 12-months of Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the subject transaction will be treated as a 0x90x12 under Prime Ascent Housing History for eligibility and pricing.
- Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the subject transaction are not eligible under Prime Ascent Plus, ITIN, DSCR Plus, DSCR 1-4, DSCR 5-8 unit/2-8 mixed use, Foreign National, Cross Collateral.

## 2.6.11 CREDIT SCORE (04/03/2023)

Loan eligibility is based upon the representative credit score, also referred to as the decision credit score. A valid decision credit score requires at least one (1) borrower to have a minimum of two (2) credit scores. To determine a borrower(s) credit score, use the lower of two (2) or middle of three (3) credit scores.

For a loan file with one borrower, that borrower's score is the decision credit score.

For loan files with multiple borrowers:

- Standard and Alt Documentation: The borrower with the higher monthly income is considered the primary borrower and their credit score can be used as the decision credit score.
  - If the borrower and co-borrower are self-employed and jointly own the business being used for income, the highest score amongst the borrowers is used as the decision credit score.
- DSCR Documentation: Determine a decision credit score for each borrower/guarantor (lower of two or middle of three), use highest decision credit score amongst all borrowers/guarantors to determine loan eligibility.
- Asset Utilization: Use the lowest score amongst all borrowers who will be on the loan as the decision credit score.

## 2.6.12 TRADELINES (12/12/2022)

### 2.6.12.1 Standard Tradelines (04/21/2025)

**Prime Ascent Plus / Prime Ascent / ITIN:** If the primary borrower has three (3) credit scores, the minimum tradeline requirement is waived. For loans when the primary borrower has less than three (3) credit scores, each borrower must meet the minimum tradeline requirements, unless the co-borrower is the spouse of the borrower. In that case, only one spouse is required to meet the minimum tradeline requirements outlined below.

**Investor Solutions DSCR:** For each borrower who has three (3) credit scores, the minimum tradeline requirement is waived (all borrowers must be evaluated individually). Each borrower with less than three (3) credit scores must meet the minimum tradeline requirements outlined below.

**Foreign National DSCR With U.S. Credit:** For each borrower who has three (3) credit scores, the minimum tradeline requirement is waived (all borrowers must be evaluated individually). Each borrower with less than three (3) credit scores must meet the minimum tradeline requirements outlined below.

The minimum tradeline requirements are as follows:

- At least three (3) tradelines reporting for a minimum of 12-months, with activity in the last 12-months, or
- At least two (2) tradelines reporting for a minimum of 24-months, with activity in the last 12-months.

Borrowers who do not meet one of the above tradeline requirements, but have a minimum of two credit scores, can alternatively satisfy the tradeline requirement by meeting the requirements below:

- No fewer than eight (8) tradelines are reporting, one (1) of which must be a mortgage or a rental history.
- At least one (1) tradeline has been open and reporting for a minimum of twelve (12) months.
- The borrower has an established credit history of at least eight (8) years.
- Tradelines with recent serious adverse history are not acceptable.
- Student loans can be counted in credit depth as long as they are in repayment and not being deferred.

The following are not acceptable to be counted as tradelines:

- "Non-traditional" credit as defined by Fannie Mae®
- Self-reported tradeline
- Any liabilities in deferment status
- Accounts discharged through bankruptcy
- Authorized user accounts
- Charge-offs
- Collection accounts
- Foreclosures
- Deed-in-lieu of foreclosure
- Short sales
- Pre-foreclosure sales

## 2.6.13 OBLIGATIONS NOT APPEARING ON CREDIT REPORT

### 2.6.13.1 Housing and Mortgage-Related Obligations (04/25/2022)

Housing and mortgage-related obligations include property taxes, insurance premiums, and similar charges that are required by the creditor (i.e., mortgage insurance), ground rent, and leasehold payments. All properties owned by the borrower must be fully documented in this regard on the Schedule of Real Estate Owned (REO) section of the FNMA Form 1003 loan application. These obligations must be verified subject to the program criteria using reasonably reliable records such as taxing authority or local government records, homeowner's association (HOA) billing statements, or information obtained from a valid and legally executed contract.

#### 2.6.13.2 Current Debt Obligations, Alimony, and Child Support

A Seller may use a credit report to verify a borrower's current debt obligations, unless the Seller has reason to know that the information on the report is inaccurate or disputed. Obligations that do not appear on the credit report, such as alimony and child support, must be documented through other methods according to Fannie Mae® guidelines.

When the borrower is required to pay alimony, child support, or separate maintenance payments under a divorce decree, separation agreement, or any other written legal agreement - and those payments must continue to be made for more than 10 months - the payments must be considered as part of the borrower's recurring monthly debt obligations. However, voluntary payments do not need to be taken into consideration and an exception is allowed for alimony. For alimony obligations, the Seller has the option to reduce the qualifying income by the amount of the alimony obligation in lieu of including it as a monthly payment in the calculation of the DTI ratio. If the Seller exercises this option, a copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation must be obtained and retained in the loan file.

## 2.7 ASSETS (06/21/2021)

THE FOLLOWING APPLY TO ALL TRANSACTIONS UNLESS OTHERWISE STATED.

### 2.7.1 ASSET REQUIREMENTS (10/21/2024)

Acceptable asset documentation is required to be included in each loan file. The borrower must meet the minimum contribution amount per program requirements. Assets should be liquid or able to be liquidated without restriction by the borrower. The documentation requirement for all transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan Note date.

Large deposits must be sourced as follows:

- If personal accounts are used for assets, large deposits defined as any single deposit that represents greater than 100% of the borrower's qualifying monthly income are to be documented for a purchase transaction.
- If business accounts are used for assets, the following applies:
  - Business account used for income: Large deposits greater than 100% of monthly business revenue must be documented for a purchase transaction.
  - Business account not used for income: Large deposits do not need to be sourced.
- Large deposits do not need to be sourced on Investor Solutions – DSCR loans.

## 2.7.2 ASSET DOCUMENTATION (11/10/2025)

The following may be used as asset documentation for down payment, closing costs, and reserves. See applicable Loan/LTV matrix for minimum reserve requirement.

- Account statements (e.g., checking, savings, share, or brokerage accounts)
  - Statements must include the following:
    - Name of financial institution
    - Reflect borrower as the account holder (Funds held jointly with another individual are considered 100% of the borrower's funds)
    - Account number
    - Statement date
    - Time period covered by the statement
    - Available balance in U.S. dollar denomination
  - Assets held in foreign accounts must be translated to English and verified in US Dollar equivalency at the current exchange rate via either http://www.xe.com or the Wall Street Journal conversion table.
- Assets held in in a Trust require the following:
  - Obtain written documentation (e.g., bank statements) of the value of the trust account from either the trust manager or the trustee, and
  - Document the conditions under which the borrower has access to the funds
- Accounts verified using a third party vendor participating in the Fannie Mae Day 1 Certainty® process.
- Verification of Deposit completed by the verifying financial institution (FNMA Form 1006).
- Borrowed funds secured by an asset are an acceptable source of funds for the down payment, closing costs, and reserves, since borrowed funds secured by an asset represent a return of equity. Assets that may be used to secure funds include automobiles, artwork, collectibles, real estate, or financial assets, such as savings accounts, certificates of deposit, stocks, bonds, and 401(k) accounts. When qualifying the borrower, monthly payments on loans secured by non-financial assets must be included in the debt-to-income calculation for non-DSCR transactions. When loans are secured by the borrower's financial assets, monthly payments for the loan do not have to be considered as long-term debt. See Section 2.6.6.13 Loans Secured by Financial Assets for complete details.
- Stocks/bonds/mutual funds - 100% of the account(s) value may be considered for assets.
- Vested retirement account (e.g., IRA, 401k, Keogh, 403b) - 70% of the vested balance may be considered for assets. For downpayment and closing costs, if funds haven't been liquidated, confirm the borrower can access/withdraw funds. For reserves, terms of withdrawal are not required.
- Business accounts may be considered for assets.
  - Consumer Purpose Loans: The amount of business assets that may be utilized is limited to the borrower's ownership percentage in the business.
  - Business Purpose Loans:
    - Assets held in the name of the vested entity: 100% of the assets may be used.
    - Assets not held in the name of the vested entity: The amount of business assets that may be utilized is limited to the borrower's ownership percentage in the business.
- Cash Value of Life Insurance - 100% of the cash surrender value less any loans may be considered for assets.

- Non-Regulated Financial Assets:
  - Crypto Currency – Bitcoin and Ethereum are eligible sources of funds for the down payment, closing costs and reserves. Crypto is not an eligible liquid asset for asset utilization/depletion.
    - Down payment and closing costs: Currency must be liquidated and deposited into an established US bank account.
    - Reserves: Loan file must include a statement meeting the requirements under account statements to document ownership of the crypto holdings. Current valuation, within 30 days of the loan Note date, can only be determined from the Coinbase exchange. 60% of the current valuation will be considered eligible funds.
- Down Payment Assistance: Terms of down payment assistance to be documented, including closing disclosure verifying disbursement of down payment assistance funds to the closing agent.
  - See Section 2.5.1.1.1 Shared Equity for additional requirements when down payment assistance is from shared equity/shared ownership for a purchase transaction.
  - If there is an associated liability for the down payment assistance and a payment is required within the first 60 months of the consummation date, the monthly payment is to be included in the DTI ratio.
- 1031 Exchange (Like-Kind Exchange) Funds, provide the following:
  - 1031 Exchange Agreement
  - Final settlement statement verifying net proceeds from the relinquished property
  - Letter from the Qualified Intermediary verifying current funds available to the borrower
  - Restrictions:
    - Proceeds cannot be used to meet reserve requirements
    - Reverse 1031 Exchange is ineligible

The following are not acceptable as asset documentation:

- Non-vested or restricted stock accounts.
- Cash-on-hand.
- Sweat equity.
- Gift or Grant funds which must be repaid.
- Unsecured loans or cash advances.
- 529 Savings Plan.
- Funds contributed by a non-borrowing spouse unless documented as a gift. See Section 2.7.4 Gift Funds.

## 2.7.3 RESERVES (10/16/2023)

- Verus loan program requires minimum reserves as outlined on the Verus Loan\LTV matrices.
- Net proceeds from a cash-out transaction may be used to meet reserve requirements. See matrix for restrictions.
- Reserve requirements are waived for Rate-And-Term Refinance transactions (Applies to loans under Prime Ascent and Investor Solutions secured by a 1-4 unit property) when the transaction results in a reduction to the monthly principal and interest payment of 10% or greater AND housing history is 1x30x12 or better. Waiver not eligible for DTI greater than 50%. For an Interest Only loan, the reduction is based on the amortizing payment used for loan qualification.
- Reserves for a loan with an Interest Only feature are based upon the Interest Only payment amount.

- For Adjustable-Rate Mortgages (ARM), the reserves are based upon the initial PITIA, not the qualifying payment.
- Proceeds from a 1031 Exchange cannot be used to meet reserve requirements.
- Gift funds may not be used to meet reserve requirements.

## 2.7.4 GIFT FUNDS (10/21/2024)

Unless otherwise specified, Gift Funds are acceptable if one of the following applies:

- For primary residence and second home occupancy, a minimum of 5% down payment must be made by the borrower from their own funds.
  - 100% Gift Funds are allowed for Prime Ascent using Standard Doc 12- or 24- month and Alt Doc 12- or 24- month Bank Statement loans only, with a maximum LTV of 80%. Borrower(s) must meet both reserve and residual income requirements.
- For Investment properties, a minimum of 10% down payment must be made by the borrower from their own funds.

### 2.7.4.1 Eligible Donors and Documentation (12/12/2022)

A gift can be provided by:

- A relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship; or
- A fiancé, fiancée, or domestic partner.
- For any gift provided by a non-US citizen, the donor must be screened against the OFAC Specially Designated Nationals (SDN) list.

The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.

#### 2.7.4.1.1 DOCUMENTATION REQUIREMENTS (2/26/2024)

Gifts must be evidenced by a letter signed by the donor, called a gift letter. The gift letter must:

- specify the dollar amount of the gift;
- include the donor's statement that no repayment is expected; and
- indicate the donor's name, address, telephone number, and relationship to the borrower.

When a gift from a relative or domestic partner is being pooled with the borrower's funds to make up the required minimum cash down payment, the following items must also be included:

- A certification from the donor stating that he or she has lived with the borrower for the past 12-months and will continue to do so in the new residence.
- Documents that demonstrate a history of borrower and donor shared residency. The donor's address must be the same as the borrower's address. Examples include but are not limited to a copy of a driver's license, a bill, or a bank statement.

#### 2.7.4.1.2 VERIFYING DONOR AVAILABILITY OF FUNDS AND TRANSFER OF GIFT FUNDS (2/26/2024)

The Seller must verify that sufficient funds to cover the gift are either in the donor's account or have been transferred to the borrower's account and reflected on the most recent bank statement. Acceptable documentation includes one the following:

- Copy of the donor's check and the borrower's deposit slip, or
- Copy of the donor's withdrawal slip and the borrower's deposit slip, or
- Copy of the donor's check to the closing agent, or
- Settlement statement showing receipt of the donor's check.

When the funds are not transferred prior to settlement, the Seller must document that the donor gave the closing agent the gift funds in the form of a certified check, a cashier's check, or other official check.

- Gift funds may not be used to meet reserve requirements.
- Gift of Equity allowed for Primary Residence. Must meet all other guidelines for gift funds.

## 2.8 INCOME

### 2.8.1 INCOME ANALYSIS (04/25/2022)

THE FOLLOWING APPLY TO ALL INCOME DOCUMENTATION OPTIONS UNLESS OTHERWISE STATED IN THE SPECIFIC SECTION OF THE GUIDELINES.

#### 2.8.1.1 EMPLOYMENT/INCOME VERIFICATION (04/03/2023)

- A minimum of two (2) years of employment history for both wage/salary or self-employment, is required to be documented on the loan application (FNMA Form 1003). When the borrower has less than a two-year history of employment, the Seller should document positive factors to offset the shorter employment history, such as education or training.
- Any gaps in employment that span one or more months must be explained.
- Salary/Wage Earner – income derived from employment at a business. Compensation may be based upon a salary, hourly wage, bonus, commission, or overtime.
- Any borrower with a 25% or greater ownership interest in a business/entity or is paid using IRS form 1099 is considered self-employed.
- The following are common business structures:
    - Sole proprietorship
    - Limit Liability Company (LLC)
    - Partnership
    - S-Corporation
    - Corporation
- If any borrower is no longer employed in the position disclosed on the FNMA Form 1003 at the Verus purchase date, Verus will not purchase the loan.

#### 2.8.1.2 Earnings Trends (04/03/2023)

When 24-months of income are analyzed for qualification, year over year income amounts must be compared using the borrower's W-2 forms, signed federal income tax returns, or bank statements. The earnings trends are addressed as follows:

- Stable or increasing: Defined as annual income that is equal to, greater than, or less than 20% below the prior year's income. The income amounts will be averaged.
- Declining but stable: If the 24-month earnings trend shows a decline in borrower income of 20% or more on a year over year basis, but the most recent 12-month earning has stabilized and there is no reason to believe the borrower's employment will change, the most recent 12-month average of income will be used.

### 2.8.2 DEBT-TO-INCOME (DTI) RATIO (07/15/2024)

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Verus Program Matrix criteria.

The DTI ratio consists of two components:

- The borrower's monthly debt obligations include the monthly mortgage payment for the subject loan, any simultaneous loans secured by the subject property, monthly mortgage-related obligations (property taxes, hazard/flood/other insurance, HOA fees, etc.), and consumer's current debts, alimony and child support obligations.
- The borrower's current monthly documented income used to qualify for the loan.

The qualifying monthly mortgage payment includes the following:

- Fixed Rate: Note rate amortized over the total term.
- Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or Note rate.
- Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period

Monthly mortgage-related obligations include real estate taxes, property insurance, any other insurance, and any association dues.

- Calculating Real Estate Tax Payment for subject property:
  - For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
    - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
  - For refinance transactions, use the current tax assessment.

### 2.8.3 RESIDUAL INCOME (11/10/2025)

Residual Income is the amount of monthly income remaining once a borrower has paid all monthly debt obligations. Residual Income = Gross Monthly Income minus Total Monthly Debt.

Residual Income Requirements:

- Residual income must be calculated for Primary and Second Home transactions.
- Minimum Residual Income:
  - DTI ≤ 50% for Primary and Second Home: Minimum residual income is $2500.
  - DTI > 50 to 55% for Primary: Minimum residual income is $3500.
  - $250 is added to the minimum requirement for the first dependent and $125 for each additional dependent. A dependent is any person other than the borrower or spouse in the household.

## 2.8.4 DOCUMENTATION OPTIONS (04/25/2022)

Standard and Alt Doc income documentation options are available. In addition to wage/salary income, Standard documentation includes various other types of income. See Section 2.8.5.4 Other Sources of Income for documentation requirements. Income should be calculated and documented according to Verus guidelines. If a specific source of income is not referenced in the Verus Guide, the Fannie Mae® guidelines for that income source may be used.

### 2.8.4.1 IRS Form 4506-C

A signed IRS Form 4506-C is required in every standard documentation credit file.

### 2.8.4.2 Tax Transcripts (11/10/2025)

The Seller may obtain Tax Return Transcripts for self-employed borrowers (Form 1040, 1065, 1120S, 1120) or Wage and Income Transcripts for W2s, 1098s, and 1099s to validate income.

- When tax return transcripts do not provide the details required to establish qualifying income, copies of the actual tax returns, schedules, or forms will be required.
- When the Seller obtains tax transcripts in addition to the tax returns, tax transcripts that validate the information on the unsigned tax returns is an acceptable alternative for the borrower's signature on the tax return.

If the tax transcript request is returned with a code 10, or the borrower is a victim of taxpayer identification theft, the following must be provided to validate income:

- A copy of the IRS rejection with a code of "Unable to Process" or "Limitation"
- Proof of identity theft, as evidenced by one (1) of the following:
  - Proof that the identity theft was reported to and received by the IRS (IRS Form 14039).
  - A copy of the notification from the IRS alerting the taxpayer to possible identity theft.
- Record of Account from the IRS - Adjusted Gross Income and Taxable Income should match the borrower's personal tax return (Form 1040) for validation of prior tax year's income. Income for the current year must be in line with prior years.

### 2.8.4.3 Taxpayer First Act

The Taxpayer First Act includes a provision that persons receiving tax return information must obtain the express permission of taxpayers prior to disclosing that tax return information to any other person. "Tax return information" is defined under the IRS Code, 26 U.S.C. § 6103.

Therefore, if a Seller or servicer obtains tax return information during the origination or servicing of a mortgage loan, the Seller or servicer must obtain express consent from the taxpayer to be able to share the tax information with another party. Such sharing would extend to actual or potential owners of the loan, such as Verus Mortgage Capital or any other loan participant.

To ensure compliance with the law, the Taxpayer Consent Form has been created. To comply, the Seller must include either the Verus version or their own version of the document in all loan files that include tax returns.

## 2.8.5 STANDARD DOCUMENTATION

The Standard Income Documentation option is available to borrowers who meet the requirements listed below. This documentation option is available to borrowers who have experienced recent credit events and allows for higher LTVs for borrowers with clean payment histories.

### 2.8.5.1 Restrictions (04/03/2023)

- See the Verus Matrices for maximum LTV/CLTV and DTI.
- A minimum credit score of 620.
- A minimum two (2) year employment history is required.

### 2.8.5.2 Standard Income Documentation (12- or 24- months) (08/29/2022)

Eligibility and pricing differences exist for the 12- or 24- month documentation options, see Loan/LTV Matrices and rate sheets for details.

#### 2.8.5.2.1 WAGE/SALARY INCOME (2/26/2024)

- The borrower's most recent paystubs reflecting 30 days of pay and YTD earnings, along with IRS W-2 forms or W-2 transcripts covering the most recent one (1) or two (2) years depending upon documentation option selected; or
- Income verification provided by a FNMA approved Third party Vendor (e.g., The Work Number®) evidencing income from the most recent 1 or 2 years (as applicable) along with year-to-date earnings.
  - FNMA WVOE Form 1005 is not eligible for standard income documentation unless used in conjunction with documents verifying variable income. See Section 2.8.5.4.23 Overtime/Bonus/Commission.
- When tax returns are required, as in the case of income earned from subject or non-subject investment property REO, the most recent one (1) or two (2) years of tax returns should be provided. The definition of "most recent" is the last return scheduled to have been filed with the IRS. Any borrower who applied for a tax return extension must provide a copy of the extension in the credit file along with the prior one (1) or two (2) years of tax returns based upon the documentation method selected.

### 2.8.5.2.2 SELF-EMPLOYMENT INCOME (11/10/2025)

- Borrowers must be self-employed for at least two (2) years.
  - Less than two (2) years permitted if the borrower has been employed in the same line of work and same industry for at least two (2) years, with supporting documentation. Minimum length of self-employment is one (1) year.
- The most recent one (1) or two (2) years of tax returns (including evidence of filing). If applicable, both personal and business (including all K-1s and schedules), signed and dated by each borrower.
  - Evidence of filing may include one of the following:
    - IRS Form 8879 e-File Signature Authorization for the provider that prepared the return, or
    - E-mail provided from the software used to prepare the return showing successful submission of the return to the IRS.
    - If evidence of filing is not provided, tax transcripts for personal and corporate (IRS Form 1120) returns are required.
  - In lieu of tax returns, tax transcripts for the most recent one (1) or two (2) years may be provided as applicable. In certain cases, tax returns will be required as transcripts will not provide the details required to establish eligible qualifying income for the borrower.
- If the borrower pays themselves wage income, a YTD paystub must be included in the file.
- When analyzing tax returns, the following may be added back to the applicant's income calculation:
  - Depreciation
  - Depletion
  - Business use of home
  - Amortization/casualty loss
  - Ordinary income (loss) from other partnerships
  - Nonrecurring other (income) loss
  - Any expense(s) that can reasonably be documented to be one-time and non-recurring
  - Net operating loss carryforwards from years prior to the tax returns provided
- If the tax return date exceeds 120 days from the Note date, a YTD Profit and Loss Statement (P&L), signed and dated by the borrower, up to and including the most recent month preceding the loan application date. The P&L may be either: prepared by a Third party or prepared by the borrower. If a gap exists between the tax return ending date and the start date of the YTD P&L, a gap-year P&L is also required. The qualifying income is determined from the tax returns; the P&L is used to determine the stability of that income.

## 2.8.5.3 Employment Status (10/21/2024)

In all cases, the borrower's current employment status is required. Employment status can be established as follows:

**Wage/salary borrowers:**

- A YTD paystub dated within 30 days of Note date; **or**
- A verbal VOE dated no more than 10 calendar days prior to Note date. Sellers may use any type of verification form. The VOE should include the following data:
  - Borrower name
  - Loan ID number
  - Current position

- Verification that borrower's employment is currently active
- Employer name/company name
- Employer contact name and title
- Name of individual who completed the VOE
- Business phone number must be independently verified; **or**

- A verification via e-mail exchange with the borrower's current employer dated no more than 10 calendar days prior to Note date. Due diligence must be conducted to confirm the e-mail address for the employer is accurate. The VOE should include the following data:
  - Work e-mail address of the individual contacted at the employer
  - Borrower name
  - Current position
  - Current employment status

**Self-Employed Borrowers:**

Existence of the borrower's business is to be verified within 90 days prior to the Note date, through one of the following:

- Third party verification from licensed tax preparer, regulatory agency, or applicable licensing bureau, or
- Internet screenshot displaying the phone listing and address verification of the borrower's business, or
- A business bank statement dated within 90 days of the Note date for income used in qualification

### 2.8.5.4 Other Sources of Income

#### 2.8.5.4.1 ALIMONY OR CHILD SUPPORT (2/26/2024)

Alimony or child support income is allowed with third party documentation evidencing receipt of at least six (6) months. Document the support will continue for at least three (3) years by one of the following:

- Alimony:
  - Copy of final divorce decree or final separation agreement describing the payment terms.
  - Any other type of written legal agreement or court decree describing the payment terms.
- Child support:
  - Copy of final divorce decree or final separation agreement describing the payment terms.
  - Any other type of written legal agreement or court decree describing the payment terms.
  - The full amount of qualifying child support income may be treated as nontaxable and grossed up at 25% without supporting documentation verifying the nontaxable status.

#### 2.8.5.4.2 AUTO ALLOWANCE

The borrower must have received payments for at least two (2) years. Add the full amount of the allowance to monthly income and the full amount of the lease or financing expenditure to the monthly debt obligations.

#### 2.8.5.4.3 CAPITAL GAINS

Capital Gains income must be averaged over two (2) years and documented with the following:

- Most recent two (2) years of personal tax returns, including an IRS Form 1040, Schedule D.

- Third party documentation to evidence that additional assets may be sold to support qualifying income.
- Third party documentation must evidence capital gains income will continue for minimum of three (3) years.
- Capital losses do not have to be considered.

### 2.8.5.4.4 DISABILITY INCOME – LONG-TERM

Generally, long-term disability will not have a defined expiration date and should be expected to continue. Obtain a copy of the borrower's disability policy or benefits statement to verify the following:

- Eligibility for the benefits,
- Amount and frequency of payments, current proof of receipt, and
- If there is a contractually established termination or modification date.

### 2.8.5.4.5 EMPLOYED BY A RELATIVE

Income for borrowers who are employed by a relative must be verified using Standard Documentation for two (2) years, provide the following:

- Federal income tax returns for the most recent two (2) years, and
- W-2s for the most recent two (2) years, and
- Paystub(s) covering the most recent 30-day period.

Clarification of the potential ownership of family-owned businesses by the borrowers may also be required. A borrower may be an officer of a family-operated business, but not an owner. Verification of a borrower's status should be provided by written confirmation obtained from a CPA or legal counsel.

### 2.8.5.4.6 EMPLOYMENT OFFERS OR CONTRACTS (2/26/2024)

For borrower(s) starting new employment, the loan file must contain a copy of an executed offer or contract plus the first paystub. The first paystub must be dated prior to the Note date.

- The offer or contract cannot be for employment by a family member or interested party to the transaction.

### 2.8.5.4.7 FOREIGN INCOME (09/07/2021)

Foreign income is income earned by a borrower (US Citizen or Perm Resident Alien) who is employed by a foreign corporation or a foreign government and is paid in foreign currency. Borrowers may use foreign income to qualify if they provide copies of the following:

- Signed federal income tax returns or transcripts for the most recent two (2) years that include foreign income.
- Standard documentation requirements based upon the source and type of income.
- Any documents not in English or US currency must be translated.

### 2.8.5.4.8 FOSTER CARE INCOME (08/29/2022)

Income received from a state or county sponsored organization for providing temporary care for one or more children may be considered acceptable stable income if the following requirements are met:

- Verify the foster-care income with letters of verification from the organizations providing the income.
- Documentation verifying the borrower has received foster care income for a minimum one-year period.
- Qualifying income is based upon the current amount received.

### 2.8.5.4.9 HOUSING/PARSONAGE INCOME

Housing or parsonage income may be considered qualifying income if there is documentation that the income has been received for the most recent 24-months and the allowance is likely to continue for the next three (3) years. The following documentation is required:

- Most recent two (2) years of tax transcripts or signed tax returns.
- Written documentation, such as a Written Verification of Employment (WVOE) provided by the church, must be obtained.
- The housing allowance, although not subject to federal income taxes, is subject to self-employment taxes. Gross income on Schedule SE of the borrower's IRS Form 1040 should include the housing allowance paid.

The housing allowance may be added to income but may not be used to offset the monthly housing payment.

### 2.8.5.4.10 INTEREST/DIVIDENDS

Verify the borrower's ownership of the assets on which the interest or dividend income was earned. Documentation of asset ownership must be in compliance with the 2.2 Age of Document Requirements section.

- Document a two-year history of the income, as verified by copies of the borrower's federal income tax returns.
- Develop an average of the income received for the most recent two (2) years.
- Subtract any assets used for down payment or closing costs from the borrower's total assets before calculating expected future interest or dividend income.

### 2.8.5.4.11 NON-TAXABLE INCOME (2/26/2024)

- If the income is verified to be nontaxable, and the income and its tax-exempt status are likely to continue, the Seller may develop an "adjusted gross income" for the borrower by adding an amount equivalent to 25% of the nontaxable income to the borrower's income.
  - Child support income: The full amount of qualifying child support income may be treated as nontaxable and grossed up at 25% without supporting documentation verifying the nontaxable status.
  - Social Security income: Income may be grossed up at 15% without documentation verifying the nontaxable status.

### 2.8.5.4.12 NOTES RECEIVABLE INCOME

Note receivable income may be used for qualifying income subject to the following:

- Verify that the income can be expected to continue for a minimum of three (3) years from the date of the mortgage application.
- Obtain a copy of the Note to establish the amount and length of payment.

- Document regular receipt of income for the most recent 12-months using either cancelled checks, bank statements, or federal tax returns.
- Payments on a Note executed within the past 12-months, regardless of the duration, may not be used as stable income.

## 2.8.5.4.13 PENSION, RETIREMENT, ANNUITY (11/10/2025)

The following provides verification requirements for pension, retirement, and government annuity income. Document regular and continued receipt of the income with one of the following:

- Statement from the organization providing the income, **or**
- Retirement award letter or benefit statement, **or**
- One (1) month financial or bank account statement evidencing the source/deposit, **or**
- Signed federal income tax return, **or**
- IRS W-2 form, **or**
- IRS 1099 form

In addition to the above, if retirement income is paid in the form of a distribution from a 401(k), IRA, or Keogh retirement account, provide all of the following:

- Account Statement(s) reflecting available balance for withdrawals evidencing three (3) year continuance, and
- Borrower must have unrestricted access to the accounts without penalty

## 2.8.5.4.14 RENTAL INCOME (03/09/2026)

**Long-Term Rental**

- Proposed rental income for the subject property may be used from the comparable rent schedule when the transaction is a purchase, if there is not a current lease or assignment of lease.
- Rental income from the subject property must be documented with the borrower's most recent signed federal income tax return (or tax transcript) that includes Schedule E when the transaction is a refinance.
- Rental income from other properties must be documented with the borrower's most recent signed federal income tax return (or tax transcript) that includes Schedule E.
- When the tax return Schedule E does not sufficiently document rental income, lease agreement may be used if the property was acquired during or subsequent to the most recent tax filing year or the rental property was out of service for repairs for an extended period. For commercial properties a copy of the lease or rent roll is required.
  - 25% vacancy factor must be applied to the gross rent used for qualifying when using a lease agreement. Multiply the gross rent by 75% and subtract the PITIA to arrive at the rental income/loss used for qualifying.
  - Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of 2 months or the time period after the lease expired.

**Short-Term Rental**

Short-term rental income may be used if the borrower/guarantor provides documentation verifying that local city or county ordinances are met, where required.

- Proposed rental income for the subject property may be used from AirDNA, Short-Term Analysis Form, or 1007/1025 when the transaction is a purchase.
  - Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property.
  - Any of the following methods may be used to determine gross monthly rental income:
    - Short-term rental (STR) analysis form or 1007/1025 may be used and must include the following:
      - Provide the source of the data used to complete the STR analysis.
      - Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.
      - Include daily rental rate and occupancy percentage.
      - Factor seasonality and vacancy into the analysis.
      - Must be completed by a licensed appraiser.
    - AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:
      - Only allowed for purchase transaction.
      - Revenue projection equals the average daily rental rate times the occupancy rate.
      - Forecast period must cover 12-months and dated 90-days within the Note date.
      - Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy.
      - Market Score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.
- Rental income from the subject property must be documented with the borrower's most recent signed federal income tax return that includes Schedule E when the transaction is a refinance.
- Rental income from other properties must be documented with the borrower's most recent signed federal income tax return that includes Schedule E.

**Application of Rental Income**

- Primary Residence
  - The monthly qualifying rental income (as defined above) must be added to the borrower's total monthly income. (The income is not netted against the PITIA of the property.)
  - The full amount of the mortgage payment (PITIA) must be included in the borrower's total monthly obligations when calculating the debt-to-income ratio.
- Investment Property
  - If the aggregate monthly qualifying rental income (as defined above) minus the full PITIA is positive, it must be added to the borrower's total monthly income.
  - If the aggregate monthly qualifying rental income minus PITIA is negative, the monthly net rental loss must be added to the borrower's total monthly obligations.
  - The full PITIA for the rental property is factored into the amount of the net rental income (or loss); therefore, it should not be counted as a monthly obligation.
  - The full monthly payment for the borrower's principal residence (full PITIA or monthly rent) must be counted as a monthly obligation.

### 2.8.5.4.15 RESTRICTED STOCK UNITS (08/29/2022)

Restricted stock units (RSUs) are issued to an employee through a vesting plan and distribution schedule. RSUs give an employee interest in company stock but have no tangible value until vesting is complete. The RSUs are assigned a fair market value when they vest and are considered ordinal income with a portion of the shares withheld to pay income taxes upon vesting. The employee receives the remaining shares and can sell them at their discretion. Restricted stock options may be used as qualifying income when all the following requirements are met:

- Income has been consistently received for the prior two (2) years and is verified it will continue for three (3) years.
- RSU income is calculated using the past two (2) year average.
- If the RSU income is declining, proof of stability must be provided, and the most conservative average used for qualifying.
- Borrowers must be employed at the same company that issued the RSUs.
- Employer must be a publicly traded entity (e.g., a Fortune 500 company).
- Non-vested restricted stock is not an acceptable source of income or reserves.
- Vested RSUs may not be considered as qualifying income if they are also used for down payment, closing costs, and/or reserves.

The following documentation is required:

- Evidence that stock is publicly traded.
- The most recent vesting schedule or issuance agreement showing continuance of RSU income.
- Evidence of the payouts of RSUs for the past two (2) years. Acceptable verification includes any of the following:
  - Tax returns for the last two (2) years, reflecting RSU income.
  - Year-end paystubs reflecting the RSU payout.
  - An employer-provided statement paired with a brokerage or bank statement, showing the transfer of shares or funds, that includes the (a) date of the payout and (b) the number of vested shares and their cash equivalent distributed to the borrower.

### 2.8.5.4.16 ROYALTY INCOME

- Obtain copies of the following:
  - Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income.
  - The borrower's most recently signed federal income tax return, including IRS Form 1040 and Schedule E.
- Confirm that the borrower has received royalty payments for at least 12-months and that the payments will continue for a minimum of three (3) years after the date of the mortgage Note.

### 2.8.5.4.17 SOCIAL SECURITY (07/15/2024)

Social Security income for retirement that the borrower is drawing from their own account/work record will not have a defined expiration date and can be expected to continue.

Social Security income based on another person's account/work record or from the borrower's own work record, but for the benefit of another (such as a dependent) may also be used in qualifying, provided the Seller documents a 3-year continuance. Social Security income may be grossed up, see Section 2.8.5.4.11 Non-Taxable Income.

- Borrower is drawing Social Security benefits from own account/work record, provide one of the following:
  - Most recent SSA Award Letter, **or**
  - Most recent SSA-1099, **or**
  - Proof of current receipt, **or**
  - Most recent signed federal income tax return (or tax transcript) if filed by all borrowers on the loan
- Borrower is drawing Social Security benefits from another person's account/work record or from their own account/work record for the benefit of another, provide all of the following:
  - Most recent SSA Award Letter,
  - Proof of current receipt, and
  - Proof of three year continuance
- Survivor Benefits, provide all of the following:
  - Most recent SSA Award Letter,
  - Proof of current receipt, and
  - Proof of three year continuance
- Supplement Social Security Income (SSI), provide all of the following:
  - Most recent SSA Award letter, and
  - Proof of current receipt

### 2.8.5.4.18 TEACHER INCOME

Teachers are paid on a 9-month, 10-month, or 12-month basis. The pay structure should be determined before calculating the monthly income. If unable to determine the pay frequency, documentation such as a copy of their contract or documents from the school district's personnel office may be required.

### 2.8.5.4.19 TIP INCOME (08/29/2022)

Tips and gratuity income may be considered if the receipt of such income is typical for the borrower's occupation (i.e., waitperson, taxi driver, etc.). Tip income should be received for at least two (2) years.

Documentation will be based upon the documentation type selected (12- or 24- months). Obtain one (1) or two (2) years of federal income tax returns along with a year-to-date paystub. Income should be averaged over the time-period verified. If the tip income is not reported on the paystubs or tax returns, then it may not be included in qualifying income.

### 2.8.5.4.20 TRUST INCOME (07/15/2024)

Confirm the trust income by obtaining a copy of the trust agreement or the trustee's statement confirming the amount, frequency, and duration of payments:

- Trust verification documentation must clearly identify the date the trust was created.
- Trustee statement evidencing borrower is a beneficiary and income will continue for three (3) years.
  - Trust verification documentation to include a letter from an accountant or attorney who has reviewed the trust's documentation when one of the following applies:
    - Trustee's statement or other documents are not available, or
    - Borrower is trustee
- Variable trust income: Use an average over the length of time per the doc type selected.
  - When variable trust income has been received for less than 24 months, but not less than 12 months, it may be considered as stable income with compensating factors

- Fixed trust income: Use the fixed payment as documented.
- If the borrower creates the trust as trustee, the assets within the trust must be verified with Third party documentation (i.e., bank statements).
- Unless this income is received monthly, documentation of current receipt of the income is not required if the income is on the borrower's most recent tax return.

### 2.8.5.4.21 UNEMPLOYMENT BENEFIT INCOME

Income derived from unemployment compensation is generally not allowed due to the limited duration of its receipt. Seasonal unemployment, however, can be considered if the borrower is employed in a field where weather affects the ability to work, and where unemployment compensation is often received (i.e., construction). The income can be used to qualify with a two-year employment history in the same field of work and a two-year history of receipt of unemployment compensation. Income should be averaged over the time-period verified.

### 2.8.5.4.22 VA BENEFITS (07/15/2024)

Document the borrower's receipt of Veteran Administration (VA) benefits with one of the following:

- Award letter, **or**
- Distribution form from the VA

Verify that the income can be expected to continue for a minimum of three (3) years from the date of the mortgage Note. (Verification is not required for VA retirement or long-term disability benefits.)

Education benefits are not acceptable income because they are offset by education expenses.

### 2.8.5.4.23 VARIABLE – OVERTIME/BONUS/COMMISSION (04/21/2025)

Variable income sources are eligible provided the borrower has a minimum one (1) or two (2) years history of receiving such income in the same line of work, based on the documentation type. Variable income earned for less than one (1) year may not be used for qualifying income.

Variable income is to be calculated by using an averaging method consistent with the documentation provided. Averaging method must take into account the borrower's history of receipt, the frequency of payment, and the trending of the amount of income being received.

- Most recent year-to-date paystub reflecting the variable earnings, and
- Most recent W-2 form(s), and
- Documentation verifying break-down of prior year(s) earnings with one of the following:
  - Previous year-end paystub, **or**
  - Completed Written Verification of Employment – FNMA Form 1005 or similar form, **or**
  - FNMA approved Third party Vendor (e.g., The Work Number®)

### 2.8.5.4.24 INELIGIBLE INCOME SOURCES (08/29/2022)

- Boarder income
- Educational benefits
- Gambling winnings
- Cannabis (see below)
- Mortgage Credit Certificates
- Mortgage Differential Payments
- Refunds of federal, state, or local taxes

Guidelines for income derived from cannabis:

- Self-employed income (active or passive) derived from a company involved in cultivation, transportation, retailing, etc. is not allowed regardless of percentage of company ownership.
- Income from borrowers who are wage earners in the industry are allowed.

### 2.8.5.5 AUS Findings (04/21/2025)

Income documentation relief from Fannie Mae DU or Freddie Mac LPA is considered Standard Doc and is acceptable under the Prime Ascent Program, subject to the following:

- Final AUS findings must be included in the loanfile for one of the following:
  - Fannie Mae DU Approve/Eligible or Freddie Mac LPA Accept/Eligible
  - Fannie Mae DU Approve/Ineligible or Freddie Mac LPA Accept/Ineligible allowed for the following:
    - Loan amount
    - Interest only
    - Prepayment penalty
    - Number of financed properties
    - Credit score < 720 when borrower has ≥ 7 financed properties
    - Refinances exceeding 75% LTV subject to Verus program max
  - Caution or Refer with Caution not allowed
- Appraisal must follow the requirements for Prime Ascent
  - Appraisal waiver option from DU or LPA findings not eligible

## 2.8.6 ALT DOC - BANK STATEMENTS (10/21/2024)

Personal bank statements or business bank statements may be used to document self-employment income. Bank statements held in a foreign bank with U.S. branches insured by the FDIC are acceptable.

Bank statements may be obtained from the borrower, or the Seller can use a third party asset vendor participating in the Fannie Mae Day 1 Certainty® process.

The Verus Business Bank Statement calculator is available for download from the www.verusmc.com website.

### 2.8.6.1 Restrictions

#### 2.8.6.1.1 PERSONAL/BUSINESS BANK STATEMENT REQUIREMENTS (11/10/2025)

- See the Verus Matrices for maximum LTV and DTI.
- Borrowers must be self-employed for at least two (2) years.
  - Less than two (2) years permitted if the borrower has been employed in the same line of work and same industry for at least two (2) years, with supporting documentation. Minimum length of self-employment is one (1) year.
- The employment section of the URLA must be completed with the self-employment history.
  - If nature of borrower's business cannot be determined from the URLA, a business narrative may be provided by the borrower, see Business Narrative Form.

- Document the borrower's length of ownership of the business through one of the following:
  - CPA Letter, or
  - Business License, or
  - Bank statement from 24 or more months prior to Note date reflecting activity, or
  - Other reasonable evidence of business activity.
- See Verus Matrices for maximum LTV and minimum credit score.
- Nonprofit or Not-For-Profit business not eligible.
- Income and expense documentation must be prepared or validated by an acceptable Third party source with knowledge of the borrower's business.
- Funds/Deposits in a IOLTA (Trust) are an ineligible source.
- Tax returns and 4506-C are not required for the bank statement program.
- Alt Doc income may be combined with other income sources that are documented as Standard Doc but not associated with self-employment, such as wage income from spouse or domestic partner. When wage income is combined with Alt Doc, a tax return is not required for the standard full income documentation. If the 4506-C form is provided, Box 8 should be checked to obtain a transcript of W-2 earnings.

### 2.8.6.2 Bank Statement Calculation Service (11/10/2025)

- Verus allows Sellers to use the Laminr bSmart bank statement income tool to calculate eligible monthly income.
- The income report must be included in the loan package.
- A Laminr result will be considered validated under the following conditions:
  - Maximum of one bank account per business may be used to qualify.
  - Co-mingled accounts are not permitted.
  - Bank statements with an end-of-month negative balance are not eligible for Laminr validation and must be referred for a manual review.
  - All other Verus guidelines must be followed.
- Large deposits exceeding 100% of the average monthly sales for the business must be excluded from the income calculation.
  - Large deposits exceeding 100% of the average monthly sales of the business may included in the income calculation with supporting documentation verifying the deposits are for business-related income.

### 2.8.6.3 Bank Statement Options/Income Analysis (11/10/2025)

In addition to the factors described in the 2.8.1 Income Analysis section, Sellers should consider the following:

- Deposits should be reviewed for consistency.
- Deposits from alternative payment processing applications (i.e., Square, Venmo) are eligible.
- Inconsistent or large deposits should be sourced or excluded from the analysis. The definition of an inconsistent or large deposit is any deposit exceeding 100% of the average monthly sales of the business.
- Changes in deposit pattern must be explained.
- Income documented separately, but included as deposits in the statement under review, must be backed out of deposits.
- Ineligible Deposits: IRS refunds, other refunds, reversals/adjustments, loans, credit card advances, other non-business related income (e.g., SSI, pension).

### 2.8.6.3.1 PERSONAL BANK STATEMENT REVIEW (10/21/2024)

A personal bank account is held in the individual borrower(s) name. The following documentation requirements and analysis methods apply:

**Documentation Requirements**

- 12- or 24- months of consecutive PERSONAL bank statements, the most recent statement dated within 120-days of the Note date.
- Most recent two (2) months of BUSINESS bank statements.
- Verify that the borrower owns 20% of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent, reflecting the borrower's ownership percentage.

**Calculation Method**

- Only transfers or deposits from the business account(s) are eligible deposits. Qualifying income calculated using the sum of the total eligible deposits from the statements reviewed divided by the number of statements. The most recent bank statement must be consistent with the qualifying income.
- If the personal account is jointly owned, and the joint owner is not an owner of the business, deposits that are not readily identifiable as transfers from the business accounts or business deposits must be excluded unless sourced.
- ATM deposits may be included if a consistent pattern of such deposits is present.
- Two (2) months of business bank statements, which must:
  - Evidence activity to support business operations.
  - Reflect transfers to the personal account.

### 2.8.6.3.2 BUSINESS AND CO-MINGLED BANK STATEMENT REVIEW

A **business bank statement** used for ongoing operations of the business must reflect the name of the business as completed on the URLA or loan application.

- Verify that the borrower has ownership of at least 25% of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage.
- Net income from the analysis of the bank statements is multiplied by the borrower's ownership percentage to determine the borrower's qualifying income.

A **co-mingled bank statement** is a personal account used by a borrower for both business and personal use. A separate business account is not required.

- Verify that the borrower has 100% ownership of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage.
- The borrower must be the sole owner of the business listed on the URLA or loan application.

Borrower and spouse with combined 100% ownership of the account are eligible.

## Standard Expense Ratio – 50% (10/21/2024)

**Documentation Requirements**

- A standard 50% expense factor will be applied to the total of eligible deposits.
- 12- or 24- months of consecutive business bank statements, the most recent statement dated within 120 days of the Note date.
- If the business operates more efficiently or typically has a materially different expense factor (higher or lower than standard expense factor), then an expense factor from a CPA/accountant, IRS Enrolled Agent, tax preparer or P&L may be used to determine qualifying income.

**Income Calculation Method**

- Total deposits from all bank statements, less any inconsistent deposit(s), multiplied by 50%, multiplied by ownership percentage, divided by the number of bank statements reviewed.
- Deposits x (.50) x (ownership %) / 24 or 12 = qualifying income

  Example: $360,000 x .50 = $180,000 x 1.00 = $180,000 / 12 = $15,000

## Third Party Prepared Business Expense Statement Letter (10/21/2024)

**Documentation Requirements**

- 12- or 24- months of consecutive business bank statements, the most recent statement dated within 120-days of the Note date and;
- Business expense statement letter to include:
  - Name of the business
  - Business expenses as a percentage of the gross annual sales/revenue
  - Prepared or reviewed by a Third party with knowledge of the business (e.g., CPA/accountant, IRS Enrolled Agent, or tax preparer)
  - Signed by the Third party preparer/reviewer

**Income Calculation Method**

- Total expenses are calculated by multiplying the total deposits by the expense factor provided (subject to a minimum total expense percentage of 10%), multiplied by ownership percentage, divided by the number of bank statements.
- Deposits x (expense ratio) x (ownership %) / 24 or 12 = qualifying income.
  Example: $360,000 x .75 = $270,000 x .50 = $135,000 / 12 = $11,250

## Third Party Prepared P&L Statement (10/21/2024)

**Documentation Requirements**

- 12- or 24- months of consecutive business bank statements, the most recent statement dated within 120-days of the Note date and;
- P&L covering 12- or 24- months (determined by the months of bank statements provided)

- Prepared or reviewed and acknowledged by a CPA/accountant, IRS Enrolled Agent, or tax preparer. Documentation is required to evidence the preparer's business.
- Signed by the Third party preparer/reviewer

**Income Calculation Method**

- P&L Sales/Revenue must be supported by the provided bank statements. Total deposits reflected on the bank statements, minus any inconsistent deposits, must be greater than or no more than 20% below the sales/revenue reflected on the P&L. The bank statements and P&L must cover the same time period. If the deposits support the sales, qualifying income is the lower of:
  - The Net Income indicated on the P&L divided by the number of statements (24 or 12), or
  - Total deposits reported on the bank statements, minus any inconsistent deposits, divided by the number of statements (12 or 24).
- When analyzing the P&L Statement, the following may be added back to the applicant's income calculation:
  - Depreciation
  - Depletion
  - Amortization/casualty loss

## 2.8.6.4 Non-Sufficient Funds (11/10/2025)

Non-sufficient funds (NSF) reflected on the bank statement(s) must be included in the income analysis. Multiple instances on the same day will be treated as one NSF occurrence.

One NSF occurrence is defined as any of the following on the same day:

- Transaction is reversed or declined.
- Transaction results in a negative balance.
- Transaction is designated as an NSF by the bank.
- Transaction includes overdraft protection fees that are not associated with a pre-arranged link to a savings account or line of credit.

Overdraft protection fees associated with a pre-arranged link to a savings account or line of credit are acceptable, as follows:

- Overdraft Protection from a Depository Account: Occurrences may be excluded if statements for the linked account confirm that (a) the linked account balance at the time of the transfer exceeded the amount of the overdraft transfer, and (b) the linked account's balance did not report as zero or negative at any point during the statement period of the transfer, and (c) the linked account did not itself receive overdraft protection proceeds during the statement period of the transfer.
- Overdraft Protection from a Line of credit: Occurrences may be excluded if statements for the linked account confirm that (a) the line's credit limit was not exceeded during the statement period of the transfer, and (b) a payment amount which equals or exceeds the sum of all overdraft protection occurrences analyzed in the statement period is made within 30 days after the statement close date.

**Restrictions for NSF Occurrences:**

- If there are one (1) or more occurrences in the most recent three-month time period, up to three (3) occurrences are allowed in the most recent 12-month time period.
- If there are zero (0) occurrences in the most recent three-month time period, up to five (5) occurrences in the most recent 12-month time period are acceptable.

## 2.8.7 ALT DOC – RENTAL INCOME (03/09/2026)

Rental income may be included in loan qualification for Alt Doc income types.

**Long-Term Rental**

- Proposed rental income for the subject property may be used from the comparable rent schedule when the transaction is a purchase, if there is not a current lease or assignment of lease.
- Rental income from the subject property, if refinance, and other real estate owned must be documented with the following:
  - A copy of the lease(s) for the rental property.
  - Two (2) months of proof of the receipt of rental income.
    - Deposits must be to a separate bank account. Any deposits in the business bank statements used in the business income analysis are not eligible.
    - 25% vacancy factor must be applied to the gross rent used for qualifying. Multiply the gross rent by 75% and subtract the PITIA to arrive at the rental income/loss used for qualifying.
    - If the deposits cannot be validated in a separate account, the full PITIA of the rental unit must be included in the qualifying DTI ratio.

**Short-Term Rental**

Short-term rental income may be used if the borrower/guarantor provides documentation verifying that local city or county ordinances are met, where required.

- Proposed rental income for the subject property may be used from AirDNA, Short-Term Analysis Form, or 1007/1025 when the transaction is a purchase.
  - Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property.
  - Any of the following methods may be used to determine gross monthly rental income:
    - Short-term rental (STR) analysis form or 1007/1025 may be used and must include the following:
      - Provide the source of the data used to complete the STR analysis.
      - Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.
      - Include daily rental rate and occupancy percentage.
      - Factor seasonality and vacancy into the analysis.
      - Must be completed by a licensed appraiser.
    - AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:

- Only allowed for purchase transaction.
- Revenue projection equals the average daily rental rate times the occupancy rate.
- Forecast period must cover 12-months and dated 90-days within the Note date.
- Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy.
- Market score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.

- Rental income from the subject property, if refinance, and other real estate owned must be documented with one the following:
  - Property leased on a short-term basis utilizing an on-line service such as Airbnb gross monthly rents can be determined by using a 12-month look back period to account for seasonality.
  - Rents for the look back period must be documented with either 12-monthly statements or an annual statement provided by the on-line service. In the event the borrower owns a single rental property, bank statements with deposits clearly identified/sourced as rental income can be substituted. If two or more rental properties owned, statements from an online service must be provided to associate rents received with the specific property.
    - 20% expense factor must be applied to the gross rent used for qualifying. Multiply the gross rent by 80% and subtract the PITIA to arrive at the rental income/loss used for qualifying.

**Application of Rental Income**

- Primary Residence:
  - The monthly qualifying rental income (as defined above) must be added to the borrower's total monthly income. (The income is not netted against the PITIA of the property.)
  - The full amount of the mortgage payment (PITIA) must be included in the borrower's total monthly obligations when calculating the debt-to-income ratio.
- Investment Property:
  - If the aggregate monthly qualifying rental income (as defined above) minus the full PITIA is positive, it must be added to the borrower's total monthly income.
  - If the aggregate monthly qualifying rental income minus PITIA is negative, the monthly net rental loss must be added to the borrower's total monthly obligations.
  - The full PITIA for the rental property is factored into the amount of the net rental income (or loss); therefore, it should not be counted as a monthly obligation.
  - The full monthly payment for the borrower's principal residence (full PITIA or monthly rent) must be counted as a monthly obligation.

## 2.8.8 ALT DOC – PROFIT & LOSS STATEMENT (P&L) ONLY (11/10/2025)

Permitted for self-employed borrowers with a minimum of 25% ownership of the business. The Profit & Loss Statement (P&L) must be prepared by one of the following individuals with knowledge of the business sufficient to prepare a P&L Statement: Third party Certified Public Accountant (CPA), an IRS Enrolled Agent (EA), a CTEC registered tax preparer, or a Tax Attorney. PTIN is not allowed.

- Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be completed with a minimum of two (2) years self-employment history.

- Required documentation:
  - 12- or 24- month CPA, EA, CTEC, or Tax Attorney prepared P&L Statement representing total business sales and expenses for the time period covered by the P&L Statement.
  - Preparer to provide a signed document with all of the following:
    - Confirmation business has been in existence for a minimum of two (2) years
    - Indicate borrower's ownership percentage of the business
    - Confirmation the preparer completed or filed the most recent business tax return
  - Current/active license or certification for the preparer:
    - State CPA license number as verified by license or screenshot from state licensing authority
    - IRS Enrolled Agent (EA) certification from IRS (e.g., screenshot of IRS web site)
    - CTEC certification from California (e.g., screenshot of CTEC web site)
    - State Attorney license number as verified by license or screenshot from state licensing authority

### 2.8.8.1 Qualifying Income

- Net income from the P&L Statement divided by the time period covered (12- or 24- months) multiplied by the borrower's ownership percentage.
- Expenses on the P&L must be reasonable for the industry, Verus reserves the right to request additional information.
- The following may be added back to the qualifying income calculation:
  - Depreciation
  - Depletion
  - Amortization/Casualty Loss

### 2.8.8.2 Restrictions (11/10/2025)

- P&L Statement reviewed or prepared by a PTIN not allowed.
- Ineligible: Nonprofit or Not-For-Profit business.
- Verus reserves the right to request additional documentation when a Third party Certified Public Accountant (CPA), IRS Enrolled Agent (EA), CTEC registered tax preparer, or Tax Attorney prepares P&L Statements for multiple borrowers.
- P&L Statement is ineligible when completed by an employee of the Seller or completed by any parties with a vested interest in the subject property or mortgage transaction.

## 2.8.9 ALT DOC - PROFIT & LOSS STATEMENT (P&L) WITH TWO MONTHS BANK STATEMENTS (03/09/2026)

Permitted for self-employed borrowers with a minimum of 25% ownership of the business. The Profit & Loss Statement (P&L) must be prepared by one of the following individuals with knowledge of the business sufficient to prepare a P&L Statement: Third party Certified Public Accountant (CPA), an IRS Enrolled Agent (EA), a CTEC registered tax preparer, or a Tax Attorney. PTIN is not allowed.

- Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be completed with a minimum of two (2) years self-employment history.

- Required documentation:
  - 12- or 24- month CPA, EA, CTEC, or Tax Attorney prepared P&L Statement representing total business sales and expenses for the time period covered by the P&L Statement.
  - Two (2) months business bank statements for the most recent two (2) months reflected on the P&L statement.
    - Deposits must support 80% of the monthly average sales/revenue reported on the P&L. If most recent 2 months business bank statements do not support 80% of the monthly average sales/revenue, continuous bank statements may be added to the analysis until the tolerance is met.
    - Non-sufficient fund occurrences reported on the most recent two (2) months bank statements are not allowed.
  - Preparer to provide a signed document with all of the following:
    - Confirmation business has been in existence for a minimum of two (2) years
    - Indicate borrower's ownership percentage of the business
    - Confirmation the preparer completed or filed the most recent business tax return
  - Current/active license or certification for the preparer:
    - State CPA license number as verified by license or screenshot from state licensing authority
    - IRS Enrolled Agent (EA) certification from IRS (e.g., screenshot of IRS web site)
    - CTEC certification from California (e.g., screenshot of CTEC web site)
    - State Attorney license number as verified by license or screenshot from state licensing authority

### 2.8.9.1 Qualifying Income

- Net income from the P&L Statement divided by the time period covered (12- or 24- months) multiplied by the borrower's ownership percentage.
- Expenses on the P&L must be reasonable for the industry, Verus reserves the right to request additional information.
- The following may be added back to the qualifying income calculation:
  - Depreciation
  - Depletion
  - Amortization/Casualty Loss

### 2.8.9.2 Restrictions

- P&L Statement reviewed or prepared by a PTIN not allowed.
- Ineligible: Nonprofit or Not-For-Profit business.
- Verus reserves the right to request additional documentation when a Third party Certified Public Accountant (CPA), IRS Enrolled Agent (EA), CTEC registered tax preparer, or Tax Attorney prepares P&L Statements for multiple borrowers.
- P&L Statement is ineligible when completed by an employee of the Seller or completed by any parties with a vested interest in the subject property or mortgage transaction.

## 2.8.10 ALT DOC - IRS FORM 1099 (11/10/2025)

Permitted for self-employed borrowers earning 100% commission or for independent contractors, documented as follows:

- 1099(s) issued to the borrower as an individual, or
- 1099(s) issued to the borrower's LLC subject to the following:
  - Business Narrative Form must be completed by the borrower, and
  - Third Party documentation is required verifying borrower is 100% owner of the business, and
  - Third Party prepared business expense statement letter is required verifying the expense factor is 10% or less. Business expense statement letter to include:
    - Name of the business.
    - Business expenses as a percentage of the gross annual sales/revenue.
    - Prepared or reviewed by a Third party with knowledge of the business (e.g., CPA/accountant, IRS Enrolled Agent, or tax preparer).
    - Signed by the Third party preparer/reviewer.

**Requirements**

- 1-year or 2-years of 1099s or 1099 transcripts permitted.
- A minimum 2-year self-employment history is required (e.g., 1099 income) as documented from the Employment section of the loan application.
- Utilize one of the following business expense analysis methods:
  - 10% expense factor (90% Net Margin), or
  - Lower expense factor may be used when verified on Third Party prepared business expense statement letter (e.g., CPA, EA, accountant, tax preparer).
- Qualifying income is the 12- or 24- monthly average from the total number of 1099's minus the expense factor from the method chosen above.
- YTD earnings must be documented when the 1099 reporting period is greater than 120 days from the Note date. YTD earnings must support the ongoing receipt of income shown on the 1099s by:
  - Checks or a single check stub(s) with YTD totals if available, or
  - Bank statements (YTD).
    - The YTD earnings from the total of check stubs or the tally of deposits from bank statements must be within 10% or greater than earnings used for qualification.
- The Alt Doc Loan/LTV matrix should be utilized, see the Product Matrices.

## 2.8.11 ALT DOC – WRITTEN VERIFICATION OF EMPLOYMENT (04/21/2025)

A written Verification of Employment (WVOE) may be utilized when documenting wages/salary income. The following criteria applies:

- Two year history with the same employer is required.
- Completed FNMA Form 1005.
- Primary Residence, Second Home, and Investment allowed.
- Paystubs, Tax Returns, 4506-C, or W-2's not required.
- See Loan/LTV matrix for program eligibility.
- Must be completed by Human Resource, Payroll Department or Officer of the Company.
- Two (2) Months Personal Bank Statements required to support the WVOE. The bank statements must reflect deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE.
- First time homebuyer (FTHB) maximum LTV 70%, no gift funds allowed.
- Borrower(s) employed by family members or related individuals are not eligible.
- An internet search of the business is required with documentation to be included in the credit file to support the existence of the business.
- Other sources of income, documented using Alt Doc, are eligible and can be used to determine total household qualifying income.
  - For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income such as rental income can be included.

## 2.8.12 ALT DOC - ASSET UTILIZATION (09/07/2021)

Asset Utilization may be used as the sole source of income for loan qualification or to supplement other income sources. When used to supplement other income sources, the minimum asset requirements under the qualification method is waived.

### 2.8.12.1 Restrictions (04/21/2025)

- See Verus Matrices for maximum LTV and minimum credit score
- See Verus Matrices for maximum DTI
  - DTI limits:
    - First time homebuyer (FTHB): 45%
    - Less than 12-month housing history: 43%
- Gift funds not eligible
- Assets from non-occupant co-borrowers not allowed

### 2.8.12.2 Asset Utilization Qualifying Method (06/21/2021)

Debt Ratio Calculation: Minimum Eligible Assets required is the lower of $1,000,000 or 150% of the loan balance. Qualifying income based upon Total Assets Eligible for Depletion, less down payment, less out of pocket closing costs, less required reserves, divided by 84.

### 2.8.12.3 Asset Utilization Income Documentation (10/16/2023)

Required documentation consists of the following:

- All individuals listed on the asset account(s) must be on the Note and Mortgage.
- Assets considered for this program must be verified with most recent three (3) months account statements, quarterly statement, or a VOD.
- Assets must be seasoned 90 days.

### 2.8.12.4 Assets Eligible for Depletion (11/10/2025)

Assets must be liquid and available with no penalty; additional documentation may be requested to validate the origin of the funds:

- 100% of Checking, Savings, Money Market Accounts, and US Treasuries with maturity < 1-year.
- 100% of the cash surrender value of life insurance less any loans may be considered for assets.
- 70% of Stocks, Bonds, and Mutual Funds.
- 70% of Retirement Assets: Eligible if the borrower is of retirement age (at least 59 ½).
- 60% of Retirement Assets: Eligible if the borrower is not of retirement age.
- Trust Assets:
  - Apply appropriate percentages for the assets held as noted above.
  - Trustee statement or trust agreement must be provided verifying terms of the trust for the following:
    - Assets held in a revocable trust where the trustee to the trust is the borrower.
    - Assets in an irrevocable trust where the borrower is the beneficiary, and the borrower has immediate access to the assets of the trust.
- Net Proceeds From Sale of Real Estate:
  - Final settlement stating verifying net proceeds.
  - Proof that net proceeds were deposited into bank account(s) used for the Asset Utilization calculation.

### 2.8.12.5 Assets Ineligible for Depletion

- Privately traded or restricted/non-vested stocks;
- Any asset which produces income already included in the income calculation:
- Any assets held in the name of a business;
- Assets held in an irrevocable trust where the beneficiary of the trust is not the borrower;
- Assets held in a charitable giving trust, donor advised fund, or similar entity where the intended beneficiary is not the borrower.

# 2.9 DEBT SERVICE COVERAGE (INVESTMENT PROPERTY) (07/10/2023)

Debt Service Coverage Ratio transactions are available to experienced investors purchasing or refinancing investment properties for business purposes. The typical borrower is expected to have a history of managing income-producing rental properties or has a significant equity down payment in a purchase transaction.

The borrower is required to execute a Borrower Certification of Business Purpose and an Occupancy Certification. For examples of these forms, see Borrower Certification of Business Purpose / Occupancy Certification.

## 2.9.1 BORROWER/GUARANTOR EXPERIENCE

### 2.9.1.1 Experienced Investor (2/26/2024)

- An experienced residential investor is a borrower/guarantor having a history of owning and managing non-owner occupied residential real estate for at least one (1) year in the last three (3) years. Ownership of commercial income producing property may also be used as evidence of investor experience.
  - For files with more than one borrower/guarantor, only one borrower/guarantor must meet the definition.
- Ownership history can be documented for other REO with one of the following:
  - Mortgage history on credit report
  - Property profile report
  - Other Third party documentation (e.g., Fraud Report, Settlement Statement, Closing Disclosure)

### 2.9.1.2 First Time Investor (03/09/2026)

First Time Investor is a borrower/guarantor that is purchasing an investment property for the first time, meaning they have not previously owned a property intended for rental income, resale, or other investment purposes.

First Time Investors are ineligible for DSCR Plus, see DSCR matrices for requirements and restrictions.

**Eligibility Requirements:**

- First time homebuyer (FTHB) not allowed
- Minimum credit score: 700
- Minimum of 36-months seasoning from any credit event
- 1-Unit only
- DSCR > 1.00
- Must own a primary residence
  - For borrowers living with a spouse, see Section 2.9.2 DSCR Housing History

## 2.9.2 DSCR HOUSING HISTORY (11/10/2025)

- Housing history must be documented for the borrower's primary residence and the subject property, if a refinance transaction, for the most recent 12-months.

- Housing history that is documented on the credit report for properties that are not the borrower's primary residence or the subject property must be included in housing history eligibility.
  - Additional housing history is not required when non-primary residence and non-subject property mortgages are not reported on the credit report.
- Credit events documented on the credit report for properties that are not the borrower's primary residence or the subject property must be included in credit event eligibility.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.
- See Section 2.6.5.1 Mortgage Verification for primary residence and subject property documentation requirements.
- An updated mortgage history, defined as paid current as of the month prior to the application date, is only required for the primary residence and subject property.
- Primary residence owned free & clear requires a Property Profile Report or similar document.
  - Payment history evaluation for property taxes and insurance is not required.
- For refinance transactions of the subject property, when the existing financing is a Paid In Kind (PIK) loan, a copy of the Note must be provided in the credit file to determine required payments.
  - Notes allowing interest to accumulate during the term of the loan are eligible, however, all refinance transactions are treated as cash-out.
- First time homebuyers (FTHB) living with a spouse are eligible subject to all of the following:
  - Spouse owns the primary residence.
  - Documentation verifies the spouse is on title to the primary residence.
  - Housing history is documented for the primary residence for the most recent 12-months, or evidence is provided verifying the primary residence is owned free & clear.

## 2.9.3 1-4 UNIT RESIDENTIAL PROPERTY (12/12/2022)

### 2.9.3.1 PROPERTY INCOME ANALYSIS (11/11/2024)

Gross monthly rents are used to determine the DSCR. See the appropriate Long-Term or Short-Term requirements below for rental income documentation and DSCR calculation.

#### 2.9.3.1.1 LONG-TERM RENTAL DOCUMENTATION AND DSCR CALCULATION (04/21/2025)

- **Purchase Transactions**
  - Monthly Gross Rents are the monthly rents established on FNMA Form 1007 or 1025 reflecting long-term market rents.
  - If the subject property is currently tenant occupied, the 1007 or 1025 must reflect the current monthly rent. Monthly gross rent is to be evaluated for each unit individually.
    - If using the lower of the actual lease amount or estimated market rent, nothing further is required.
    - If using a higher actual lease amount, evidence of 2-months of receipt is required, and the lease amount must be within 120% of the estimated market rent from the 1007 or 1025. If the actual rent exceeds the estimated market rent by more than 120%, the rents are capped at 120%.
    - If using a higher estimated market rent from 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease amount by more than 120%, the estimated market rent is capped at 120%.

- A vacant or unleased property is allowed without LTV restriction.
- Units subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.

- **Refinance Transactions**
  - Required documentation:
    - Original appraisal report reflecting tenant-occupied, and
    - FNMA Form 1007 or 1025 reflecting long-term market rents, and
    - Executed lease agreement
      - Leases that have converted to month-to-month are allowed.
      - If lease agreement is not provided, see matrix for LTV/CLTV restrictions.
  - A vacant property as indicated on the appraisal is allowed subject to the following:
    - See matrix for LTV/CLTV restrictions.
  - Monthly Gross Rents are determined by using the actual lease amount or estimated market rent. Monthly gross rent is to be evaluated for each unit individually.
    - If using the lower of the actual lease amount or estimated market rent, nothing further is required.
    - If using a higher actual lease amount, evidence of 2-months of receipt is required, and the lease amount must be within 120% of the estimated market rent from the 1007 or 1025. If the actual rent exceeds the estimated market rent by more than 120%, the rents are capped at 120%.
    - If using a higher estimated market rent from 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease amount by more than 120%, the estimated market rent is capped at 120%.
  - Units subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.
- **DSCR Calculation**
  - Debt Service Coverage Ratio is the Monthly Gross Rents divided by the PITIA (or ITIA) of the subject property. See the Verus Eligibility Matrix for required Debt Service Coverage Ratios.
    - PITIA: Gross rents divided by PITIA = DSCR
    - ITIA: Gross rents divided by ITIA = DSCR

### 2.9.3.1.2 SHORT-TERM RENTAL DOCUMENTATION AND DSCR CALCULATION (03/09/2026)

Short-term rentals are properties that are leased on a nightly, weekly, monthly, or seasonal basis. Short-term rental income may be used if the borrower/guarantor provides documentation verifying that local city or county ordinances are met, where required.

Short-term rental income is ineligible for DSCR Plus.

- **Purchase and Refinance Transactions:**
  - See matrix for LTV/CLTV overlays
  - See matrix for Condo Hotel (Condotel) LTV/CLTV restrictions
  - DSCR calculation:
    - Monthly gross rents based upon a 12-month average to account for seasonality required.
    - Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property. If the rental documentation referenced below includes expenses, actual expenses should be compared to the 20% expense factor. If actual expenses are less than 20%, a minimum 20% expense factor is required to be utilized. If actual expense exceeds 20%, the actual expense factor should be used.
    - PITIA: (Gross Rents * .80) divided by PITIA = DSCR

- ITIA: (Gross Rents * .80) divided by ITIA = DSCR

- When short-term rental income is documented using multiple sources, the lowest source of monthly income is to be utilized for calculating DSCR.
- Any of the following methods may be used to determine gross monthly rental income:
  - Short-term rental (STR) analysis form or 1007/1025 may be used, must include the following:
    - Provide the source of the data used to complete the STR analysis.
    - Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.
    - Include daily rental rate and occupancy percentage.
    - Factor seasonality and vacancy into the analysis.
    - Must be completed by a licensed appraiser.
  - The most recent 12-month rental history statement from the Third party rental/management service (e.g., AirBNB, VRBO, Flipkey).
    - The statement must identify the subject property/unit, rents collected for the previous 12-months, and all vendor management fees. The qualifying rental income must be net of all vendor or management fees.
  - The most recent 12-month bank statements from the borrower evidencing short-term rental deposits. Borrower must provide rental records for the subject property to support monthly deposits.
  - AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:
    - Rentalizer (Property Earning Potential Report)
      - Only allowed for purchase transaction.
      - Gross Rents equal the revenue projection from the Property Earning Potential Report.
        a. The gross rents are subject to the application of the 20% extraordinary expense factor.
        b. Revenue projection equals the average daily rental rate times the occupancy rate.
      - Forecast Period must cover 12-months and dated 90-days within the Note date.
      - Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy.
      - Market Score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.

## 2.9.3.2 Debt Service Coverage Ratio (DSCR) (07/15/2024)

Debt Service Coverage Ratio is the Monthly Gross Income divided by the PITIA (or ITIA for interest only loans) of the subject property. See the Verus Eligibility matrix for required Debt Service Coverage Ratios. See Section 2.1.5 Qualifying Payment for further guidance regarding Qualifying Payments.

- Calculating Real Estate Tax Payment for subject property:
  - For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
    - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
  - For refinance transactions, use the current tax assessment.

*Example: Sample Debt Service Coverage Ratio Calculation*

Single Family Purchase Money Transaction
Monthly PITIA = $650
Estimated Monthly Market Rent (FNMA Form 1007) = $850
Existing Lease Monthly Rent = Not Available
Use Market Rent of $850 *(Estimated Monthly Market Rent when a lease is not available for a purchase transaction)*.
Gross Rents **($850)** ÷ PITIA **($650)** = **DSCR (1.30)**

### 2.9.3.3 Restrictions (11/10/2025)

- Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time occupy the subject property.
  - Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in the preceding.
- Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.
- Gift funds permitted after a minimum 10% borrower contribution, documented per 2.7.2 Asset Documentation.
- Interest reserve accounts are not permitted.
- When the subject property is refinanced out of a cross collateral/blanket mortgage and into a single asset mortgage, the following are required:
  - Copy of the Note for the cross collateral/blanket mortgage to verify release terms.
  - Copy of the Deed of Trust or Mortgage evidencing the encumbered properties.
  - Copy of the payoff statement for the subject property to verify payoff terms.
  - Transaction must be treated as cash-out when the borrower receives cash-out proceeds.

### 2.9.3.4 Borrower Application (10/21/2024)

- FNMA Form 1003 (URLA) or Business Purpose Loan Application to be provided.
  - Borrower information section of the loan application should be completed.
  - REO section at a minimum to include the borrower's primary residence and subject property if refinance.
  - Borrower's contact information to be provided on the loan application.

## 2.9.4 5-8 UNIT RESIDENTIAL AND 2-8 MIXED USE PROPERTY

### 2.9.4.1 Property Income Analysis (04/21/2025)

- Minimum DSCR >= 1.00.
- DSCR = Eligible monthly rents/PITIA (Loans with an interest only feature may use the ITIA payment).
- Leased – Use lower of Estimated market rent or lease agreement.

- Vacant Unit(s) – Use 75% of market rents.
  - Max: 1 vacancy on 2-3 Unit properties, 2 vacancies on 4+ Units.
  - Vacant residential units must be actively marketed for rent. Provide screenshot of listing or other documentation.
  - Vacant commercial space not allowed.
- Reduce qualifying rents by any management fee reflected on appraisal report.
- Copies of any existing leases must be provided (Purchase and Refinance transactions).
  - If the lease has been converted to month-to-month, then provide the most recent two (2) months proof of receipt to evidence continuance of lease.
- Income from commercial space must not exceed 49.99% of the total property income.
- Short-term rental use/income not eligible.

## 2.9.4.2 Borrower/Guarantor Experience (04/25/2022)

- Experienced Investors only, borrower must have a history of owning and managing commercial or non-owner occupied residential real estate for at least 1 year in the last 3 years.
- First time investors and first time homebuyers (FTHB) are not eligible.

## 2.9.4.3 Eligible property (10/21/2024)

**Residential 5-8 Unit**

- Residential unit(s) not permitted to be occupied by the borrower or the borrower's immediate family.
- Residential Unleased Units
  - Maximum 1-unit on 2-3 unit property
  - Maximum 2-units on 4+ unit property
- Maximum 2-acres

**Mixed Use 2-8 Unit**

- Mixed use property consists of residential and commercial units. The number of commercial units is limited by the total number of units in the building, as follows:
  - 2-3 Total Units: Max 1 commercial Unit
  - 4-5 Total Units: Max 2 commercial Units
  - 6-8 Total Units: Max 3 commercial Units
- Vacant commercial space not allowed
- Commercial space must not exceed 49.99% of the total building area
- Commercial unit(s) may be occupied by the borrower's business
- Commercial usage limited to Retail/Office/Restaurant
- Residential Unleased Units in a Mixed Use Building
  - 2-3 Total Units: Maximum 1 unleased residential unit
  - 4+ Total Units: Maximum 2 unleased residential units
- Residential unit(s) not permitted to be occupied by the borrower or the borrower's immediate family
- Maximum 2-acres

### 2.9.4.4 Property Condition (10/16/2023)

- No fair or poor ratings
- No environmental issues (Storage or use of hazardous material i.e., dry cleaner, laundromat, chemical storage, fuel station, auto body repair)
- No health or safety issues (As noted by appraiser, i.e., broken windows, stairs)
- No excessive deferred maintenance that could become a health or safety issue for tenants
- No structural deferred maintenance, (i.e., Foundation, roof, electrical, plumbing)

### 2.9.4.5 Restrictions (11/10/2025)

- Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time occupy the subject property.
  - Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in the preceding.
- Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.
- Gift funds are ineligible.
- Interest reserve accounts are not allowed.

### 2.9.4.6 Prepayment Penalty (12/13/2021)

Eligible prepayment penalties are limited to either a fixed percentage or declining percentage style, see matrix for requirements.

## 2.9.5 CROSS COLLATERAL (11/10/2025)

A cross collateral loan, also referred to as a portfolio loan or blanket mortgage, is a single mortgage that uses two or more properties as collateral. While the properties are tied together under one loan, individual properties may be sold without requiring full repayment of the entire mortgage.

Unlike traditional mortgages, which typically include a due-on-sale clause requiring full repayment if the secured property is sold, a cross collateral loan includes a partial release clause. This allows the sale of properties within the portfolio, with a corresponding partial repayment of the loan balance.

### 2.9.5.1 Cross Collateral Requirements (11/10/2025)

- Cross collateral loans are eligible under the Cross Collateral DSCR matrix, see matrix for maximum loan amount, maximum LTV/CLTV, minimum credit score requirements, and other requirements.
- DSCR: Loan DSCR and Property DSCR are required, see 2.9.5.3 Debt Service Coverage Ratio for calculation requirements.
- Mixed transactions (i.e., Purchase, Cash-out) are permitted but eligibility/pricing is based upon most conservative transaction type.

- Transaction must be treated as cash-out when the aggregate total of the new loan exceeds the payoff amount for the properties being refinanced into a new cross collateral/blanket mortgage, provide the following.
    - Copy of the Note for the cross collateral/blanket mortgage to verify release terms.
    - Copy of the Deed of Trust or Mortgage evidencing the encumbered properties.
    - Copy of the payoff statement for the subject property to verify payoff terms.
    - Transaction must be treated as cash-out when the borrower receives cash-out proceeds.
- Partial Release: 120% of the allocated balance required to be paid to obtain a partial release.
- Other Requirements:
    - Seller to complete cross collateral workbook and upload to Verus portal.
    - Closing Documentation: The Verus Business Purpose documents or a similar commercial style closing documents must be utilized.
    - Cross Collateral loans cannot be originated or assigned to MERS.
- For Pre-Close and Funding fees, see Section 1.8.1.4 Fees.

### 2.9.5.2 Borrower/Guarantor Experience

- Experienced Investors only, borrower must have a history of owning and managing commercial or non-owner occupied residential real estate for at least 1 year in the last 3 years.
- First time investors and first time homebuyers (FTHB) are not eligible.

### 2.9.5.3 Debt Service Coverage Ratio (DSCR) – Calculation Requirements (11/10/2025)

Loan DSCR and Property DSCR calculations are required for eligibility.

- Loan DSCR captures the debt service coverage ratio at the loan level for the total gross rent and total loan amount for all properties combined.
    - Minimum loan DSCR is 1.00
    - Loan DSCR calculation: Total gross rental income for all properties/Total loan amount PITIA (or ITIA)
- Property DSCR captures the debt service coverage ratio at the property level for each individual property.
    - Minimum DSCR for each property is .75.
    - Property DSCR calculation: Gross rental income per property/Allocated loan amount PITIA (or ITIA) per property

Calculating Real Estate Tax Payment for subject property:

- For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
    - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
- For refinance transactions, use the current tax assessment.

### 2.9.5.4 Property Income Analysis (11/10/2025)

- Gross monthly rent is used to determine the DSCR.
    - Long-Term Rental: See Section 2.9.3.1.1 Long-Term Rental Documentation for documentation requirements.

- Short-Term Rental:
  - See Section 2.9.3.1.2 Short-Term Rental Documentation for documentation requirements.
  - Monthly gross rents based upon a 12-month average to account for seasonality required.
  - Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property. If the rental documentation referenced below includes expenses, actual expenses should be compared to the 20% expense factor. If actual expenses are less than 20%, a minimum 20% expense factor is required to be utilized. If actual expense exceeds 20%, the actual expense factor should be used.
- Vacant Property:
  - 10% LTV reduction is to be applied when 25% or more of the properties in the portfolio are vacant.
    - Property Level Requirements for 2-4 Unit: Property is considered vacant when 2 or more units are vacant. Use 75% of market rent for the vacant unit(s).
  - Vacant properties must be in lease-ready condition and cannot be undergoing renovations.

### 2.9.5.5 Appraisal Requirements 1-4 Unit Residential (11/10/2025)

- A Full Interior/Exterior appraisal report is required for each property, see Section 2.10.1.1 Appraisal Requirements 1-4 Unit Residential for complete criteria.
- An Appraisal Review product is required for each property, see Section 2.10.1.3.1 Appraisal Review Products 1-4 Unit Residential for complete criteria.

### 2.9.5.6 Property Value

- Minimum value is $100,000 per property, based on the lesser of the purchase price or appraised value.
- Maximum value is $1.5MM per unit for each property, based on the lesser of the purchase price or appraised value.
  - Maximum $1.5MM for 1-unit property
  - Maximum $3.0MM for 2-unit property
  - Maximum $4.5MM for 3-unit property
  - Maximum $6.0MM for 4-unit property

### 2.9.5.7 Restrictions (11/10/2025)

- Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time occupy the subject property.
  - Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in the preceding.
- Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.
- Gift funds are ineligible.
- Interest reserve accounts are not allowed.
- Escrow waivers are not allowed.

- Blanket Insurance Policy: An insurance policy that covers multiple properties is acceptable when the borrower is the named insured and the subject properties are explicitly identified with separate coverage for each property.

#### 2.9.5.8 Prepayment Penalty

Prepayment penalty is assessed when:

- The loan prepays in full during the prepay period; or
- Partial release payment is made during the prepay period. The prepay penalty amount is based upon the release price.

Eligible prepayment penalties are limited to either a fixed percentage or declining percentage style, see matrix for requirements.

### 2.9.6 ASSIGNMENT OF LEASES AND RENTS

Investor occupancy loans require an assignment of leases and rents to be signed by the borrower. The following forms or similar forms may be used:

- 1-4 Family Rider (FNMA Form 3170) for 1-4 Unit, **or**
- Assignment of Leases and Rents Rider for 1-4 Unit, 5-8 Unit, or 2-8 Mixed Use

## 2.10 PROPERTY ELIGIBILITY (06/21/2021)

### 2.10.1 APPRAISALS

#### 2.10.1.1 Appraisal Requirements 1-4 Unit Residential (11/10/2025)

Verus reserves the right to review all valuation reports and determine if the subject property value is supported.

Appraisers must meet all industry standards and be State Certified. All real estate appraisals must be performed according to the Uniform Standards of Professional Appraisal Practice (USPAP) and Fannie Mae® guidelines, including Universal Appraisal Dataset (UAD) requirements. Appraisal assignments must be obtained in a manner that maintains appraiser independence and does not unduly influence the appraiser to meet a predetermined value. Verus reserves the right to restrict the use of any specific appraiser and/or appraisal management company at its discretion.

Sellers are responsible for reviewing the appraisal report for accuracy, completeness, and its assessment of the marketability of the subject property. The Seller needs to determine that the subject property provides acceptable collateral for the loan. For guidance in the manual review of an appraisal report, see the Appraisal Review Guide.

The age and price of the subject property should fall within the age and price range of properties in the subject neighborhood. Comparable properties should be selected from the same neighborhood when possible. Selection of a comparable outside the subject neighborhood should be addressed within the report. For condominiums, at least one comparable should be from outside the subject project. Ideally, comparable sales should be within six months of the report date. Older comparable sales that are the best indicator of value should be addressed in comments by the appraiser.

Sellers must order appraisals using one of two processes. The appraisal must either be ordered through an Appraisal Management Company (AMC) that complies with Appraiser Independence Requirements (AIR), or via the correspondent's own AIR-compliant process.

A Full Interior/Exterior appraisal report, including color photographs, requires use of one of the following forms depending on the property type:

- Uniform Residential Appraisal Report – Fannie Mae®/Freddie Mac Forms 1004/70
- Small Residential Income Property Report – Fannie Mae®/Freddie Mac Forms 1025/72
- Individual Condominium Unit Appraisal Report – Fannie Mae®/Freddie Mac Forms 1073/465
- Appraisal Update and/or Completion Report – Fannie Mae®/Freddie Mac Forms 1004D/442
- Single Family Comparable Rent Schedule – Fannie Mae®/Freddie Mac Forms 1007/1000
- (New) Uniform Residential Appraisal Report for all property types – Fannie Mae®/Freddie Mac Form
- (New) Restricted Appraisal Update Report – Fannie Mae®/Freddie Mac Form
- (New) Completion Report – Fannie Mae®/Freddie Mac Form

### 2.10.1.1.1 APPRAISER LICENSE AND CERTIFICATION (04/25/2022)

The appraisal report forms identify the appraiser as the individual who:

- Performed the analysis, and
- Prepared and signed the original report as the appraiser.

This does not preclude appraisers from relying on individuals who are not state-licensed or state-certified to provide significant professional assistance, such as an appraiser trainee.

#### Supervisory Appraiser (07/15/2024)

If a supervisory appraiser is used, the supervisory appraiser does not need to physically inspect the subject property or comparables, but must sign the right side of the report and certify that they:

- Directly supervised the appraiser that prepared the appraisal report, and
- Reviewed the appraisal report, and
- Agree with the statements and conclusions of the appraiser, and
- Agreed to be bound by the certifications as set form in the appraisal report forms, and
- Take full responsibility for the appraisal report.

When an appraisal is completed by a trainee, a supervisory appraiser with a certified level license is required to sign the report.

#### Appraisal Trainee (07/15/2024)

A trainee may perform a significant amount of the appraisal (or the entire appraisal if they are qualified to do so) and must sign the left side of the appraisal certification as the Appraiser if:



Non-Agency (Non-QM) – First Lien

- They are working under the supervision of a state-licensed or state-certified appraiser as an employee or sub-contractor, and
- The right side of the appraiser certification is signed by that supervisory appraiser, and
- It is acceptable under state law.

If the jurisdiction does not provide license numbers for trainees, the term Trainee should be entered in the Other field in the Appraiser Certification section.

### 2.10.1.1.2 APPRAISAL AGE (11/10/2025)

The appraisal should be dated no more than 365 days prior to the Note date.

When an appraisal report will be more than 120 days old on the date of the Note, regardless of whether the property was appraised as proposed or existing construction, the appraiser must inspect the exterior of the property and review current market data to determine whether the property has declined in value since the date of the original appraisal. This inspection and the results of the analysis must be reported on the Appraisal Update and/or Completion Report on FNMA Form 1004D (or new Restricted Appraisal Update Report) and must be dated within 120 days of the Note date.

- If the appraiser indicates on FNMA Form 1004D that the property value has declined, then the Seller must obtain a new appraisal for the property.
- If the appraiser indicates on FNMA Form 1004D that the property value has *not* declined, then the Seller may proceed with the loan in process without requiring any additional fieldwork.

When the effective date of the original appraisal report is more than 365 days from the Note date (with an appraisal update), a new appraisal report is still required.

### 2.10.1.1.3 SECOND APPRAISAL (12/13/2021)

A second appraisal is required when any of the following conditions exist:

- The loan balance exceeds $2,000,000 for either a single property loan or the allocated loan balance of a property within a cross collateral loan.
    - Second appraisal not required when Form 71A Multifamily or a commercial narrative report utilized.
- The transaction is a flip as defined in the Property Flips section of this guide.
- As required under the Appraisal Review Products section of this guide.

When a second appraisal is provided, the transaction's "Appraised Value" will be the lower of the two appraisals. The second appraisal must be from a different company and appraiser than the first appraisal.

### 2.10.1.1.4 APPRAISAL EVALUATION (2/26/2024)

#### Subject Analysis (10/21/2024)

- Loans Vesting in an Entity: Borrower name disclosed on the appraisal report may reflect the individual member(s) of the entity or the entity name.

## Neighborhood Analysis

- Neighborhood boundaries should be described using four (4) cardinal directions, streets, waterways, other geographic features, and natural boundaries that define separation of one neighborhood from another.
- Neighborhood characteristics should be described with types and sizes of structures, architectural styles, current land uses, site sizes, and street patterns or designs.
- Factors that affect value and marketability should be mentioned in as much detail as possible – e.g., proximity of the property to employment and amenities, public transit, employment stability, market history, and environmental considerations.

## Existing Construction (11/10/2025)

- If the appraiser reports the existence of minor conditions or deferred maintenance items that do not affect the safety, soundness, or structural integrity of the property, the appraiser may complete the appraisal "as is." These items must be reflected in the appraiser's opinion of value.
- When there are incomplete items or conditions that do affect the safety, soundness, or structural integrity of the property, the property must be appraised subject to completion of the specific alterations or repairs. These items can include a partially completed addition or renovation, or physical deficiencies that could affect the safety, soundness, or structural integrity of the improvements, including but not limited to, cracks or settlement in the foundation, water seepage, active roof leaks, curled or cupped roof shingles, or inadequate electrical service or plumbing fixtures. In such cases, the Seller must obtain an Appraisal Update and/or Completion Report on FNMA Form 1004D (or new Completion Report) from the appraiser before the mortgage is delivered to Verus.
- Permanent and Functioning Heat Source – A permanent heat source is required except for properties located in geographic areas where it is typical not to have heat source and has no adverse effect on marketability.

## Subject Section

The appraiser is required to research and identify whether the subject property is currently for sale or if it has been offered for sale in the 12-months prior to the effective date of the appraisal. If the answer is 'No,' the data source(s) used must be provided. If the answer is 'Yes,' the appraiser must report on each occurrence or listing and provide the following information:

- Offering price(s).
- Offering date(s).
- Data source(s) used. For example, if the subject property is currently listed for sale and was previously listed eight months ago, the appraiser must report both offerings.

For example, if the subject property is currently listed for sale and was previously listed eight months ago, the appraiser must report both offerings.

## Actual and Effective Ages

There is no restriction on the actual age of the dwelling. Older dwellings that meet general requirements are acceptable. Improvements for all properties must be of the quality and condition that will be acceptable to typical purchasers in the subject neighborhood. The relationship between the actual and effective ages of the property is a good indication of its condition. A property that has been well-maintained generally will have an effective age somewhat lower than its actual age. On the other hand, a property that has an effective age higher than its actual age probably has not been well-maintained or might have a specific physical problem. In such cases, the Seller should pay particular attention to the condition of the subject property in its review of any appraisal report. When the appraiser adjusts for the "Year Built," he or she must explain those adjustments.

## Property Condition (11/10/2025)

The appraiser is to consider and describe the overall condition and quality of the subject property including condition of property improvements. The appraiser is to identify items that require immediate repair and items where maintenance may have been deferred. The appraisal must address needed repairs and physical, functional, and external inadequacies.

- Appraisals Completed "As Is": Appraisal can be completed in "as is" condition provided the existing conditions are minor and do not affect the safety, soundness, or structural integrity of the subject property. Appraiser's opinion of value must reflect the existence of these conditions.
    - For minor items that require repair (e.g., smoke/carbon monoxide detector), the Seller may provide attestation and photos evidencing completion of the repairs.
- Appraisals Completed "Subject to Repairs": Seller must obtain an Appraisal Update and/or Completion Report on FNMA Form 1004D (or new Completion Report) with photos verifying the repairs are complete.
- Minor conditions and deferred maintenance are typically due to normal wear and tear from the aging process and the occupancy of the subject property. While such conditions generally do not rise to the level of a required repair, they must be reported and are considered minor deferred maintenance.
- Safety, Soundness, or Structural Integrity:
    - The appraisal report must identify and describe physical deficiencies that could affect a property's safety, soundness, or structural integrity.
    - If the appraiser has identified any of these deficiencies, the property must be appraised "subject to" completion of the specific repairs or alterations. In these instances, the property condition and quality ratings must reflect the condition and quality of the property based on the hypothetical condition that the repairs or alterations have been completed.
    - If the appraiser is not qualified to evaluate the alterations or repairs, the appraisal must note the deficiencies and be completed "subject to" a satisfactory inspection by a qualified professional. The Seller must decide if the inspection(s) is required and whether the property meets eligibility requirements.
    - If the property does not meet eligibility requirements, the Seller must provide satisfactory evidence that the condition has been corrected or repaired prior to loan delivery. In this case, the appraiser is not required to review the professionally prepared report, re-inspect the property, or provide a Form 1004D. The lender must document the decision and rationale in the loan file.
- Property Condition Ratings: Properties are ineligible for purchase when the appraisal indicates condition ratings of C5 or C6, or a quality rating of Q6, as determined under the Uniform Appraisal Dataset (UAD) guidelines.

## Sales Comparison Approach (11/10/2025)

The sales comparison approach must be used as the final appraised value.

The sales comparison approach to value is an analysis of recent comparable sales that are most similar to the subject property. The appraiser must identify any differences that affect the opinion of value for the subject property as of the effective date of the appraisal report.

The appraiser's analysis of the subject and comparable sales must take into consideration all factors that influence value.

## Rapid Appreciation in Value (11/10/2025)

Rapid appreciation in value must be evaluated for both purchase and refinance transactions. Rapid appreciation in value is defined as:

- ≥15% increase in the subject property's value within the past 12 months, or
- ≥25% increase in the subject property's value within the past 24 months.

When there is rapid appreciation in value, due diligence is required when analyzing the following on the Appraisal:

- Sales Contract Analysis
  - The appraisal report must analyze the subject property's sales contract.
  - Appraiser comments must justify any significant increase in sales price or value compared to the property seller's acquisition cost.
- Listing History Review
  - The appraiser must report and analyze the subject property's 12-month listing history.
  - The appraised value must be reconciled with prior listings, with explanations provided for any increases.
- Sales/Transfer History Review
  - The appraiser must report and analyze the subject property's 36-month sales or transfer history.
  - Prior sales must be reconciled with the current appraised value, with explanations for increases in value.
- Property Improvements
  - When value increases are attributed to renovations, the appraisal must:
    - List all improvements,
    - Include photographs, and
    - Provide supporting documentation if the appraisal analysis is insufficient to document the renovations.
- Market Support
  - The appraised value must be supported by credible market data.
  - Any significant increase in value must be shown to be reasonable within the subject property's market.
- Comparable Sales
  - Appropriate comparable sales must be utilized to support any significant increase in value.
- Analysis and Rationale
  - The appraisal analysis must be detailed, transparent, and clearly explain the methodology and rationale supporting the increase in value.

Refer to Section 5.1.1.11 Property Flipping and Section 5.1.1.2 Appraised Value Misrepresentation for additional guidance on valuation risk.

## Accessory Dwelling Units (ADU) (04/21/2025)

An Accessory Dwelling Unit (ADU) is an additional living area independent of the primary dwelling that may have been added to, created within, or detached from the primary dwelling. Examples of an ADU include, but are not limited to, a living area over the garage, a walk-out basement, or a small addition to the primary dwelling.

Verus will purchase a one unit property with up to two ADUs, see Section 4.12.4.1 Eligible Properties for HELOC restrictions.

Accessory Dwelling Unit (ADU) Requirements:

- ADU square footage must be smaller than the primary dwelling.
- ADU must have separate features from the primary dwelling for the following:
  - Means of ingress/egress
  - Kitchen
  - Sleeping area
  - Bathing area/bathroom facilities
- Kitchen must include cabinets, countertop, sink with running water, and stove.
- Construction of the ADU must be consistent with the quality of the primary dwelling.
- If it is determined that the property contains an ADU that is not allowed under zoning, the property is eligible, as follows:
  - Hazard insurance replacement cost coverage must include the ADU.
  - Illegal use conforms to the subject neighborhood and market.
  - Appraisal report demonstrates that improvements are typical for the market through an analysis of at least two comparable sales with the same non-compliant zoning use.
- If an ADU can only be accessed through the primary dwelling or the area is open to the primary dwelling, it is not considered an ADU and is ineligible as an ADU.

**Other Requirements:**

- The property is defined as a one-unit property with up to two ADUs.
  - Three or more ADUs on a single lot are not permitted.
- Appraisal Report:
  - Include a description of the ADU and analyze the effect it has on marketability of the subject property.
  - Demonstrate that improvements are typical for the market through an analysis of at least one comparable property with the same use and same number of ADUs.
  - Form 1025 must be completed when there are two ADUs.
- Rental income may be used for the accessory dwelling unit (ADU) subject to the following:
  - Appraisal report to reflect zoning compliance is legal or in compliance with zoning laws.
  - Permits are to be verified if required by the jurisdiction.
  - Appraisal report to include at least one comparable with the same number of ADUs as the subject property.
  - Gross market rents must be itemized when there are two ADUs that generate rental income.
  - Purchase Transactions:
    - Owner-Occupied/Second Home: Income from the accessory dwelling unit (ADU) may not be used as qualifying income.

- Investment:
  - Long-Term Rental: Use the lower of the market rent on FNMA Form 1007/1025 or actual rent, if the lease is transferred (copy of lease agreement required).
  - Short-Term Rental: Follow documentation requirements for the selected doc type.
    a. If using AirDNA, total bedroom count should include both the primary dwelling and ADU(s).
- Refinance Transactions:
  - Owner-Occupied/Second Home: Income from the accessory dwelling unit (ADU) may not be used as qualifying income.
  - Investment:
    - Long-Term Rental: Use the lower of the market rent on FNMA Form 1007/1025 or actual rent. When documenting actual rent, follow requirements for the selected doc type.
    - Short-Term Rental: Follow documentation requirements for the selected doc type.
      a. If using AirDNA, total bedroom count should include both the primary dwelling and ADU(s).

## Outbuildings

A Seller must give properties with outbuildings special consideration in the appraisal report review to ensure that the property is residential in nature. Descriptions of the outbuildings should be reported in the Improvements and Sales Comparison Approach sections of the appraisal report form.

| TYPE OF OUTBUILDING | SUITABILITY |
|---|---|
| Minimal outbuildings, such as small barns or stables, that have relatively insignificant value in relation to the total appraised value of the subject property | The appraiser must demonstrate, using comparable sales with similar amenities, that the improvements are typical of the residential properties in the subject area for which an active, viable residential market exists. |
| An atypical minimal building | The property is acceptable provided the appraiser's analysis reflects little or no contributory value for it. |
| Significant outbuildings, such as silos, large barns, storage areas, or facilities for farm-type animals | The presence of the outbuildings may indicate that the property is agricultural in nature. The Seller must determine whether the property is residential in nature, regardless of whether the appraiser assigns value to the outbuildings. |

## Solar Panels (2/26/2024)

Solar panels that are leased from or owned by a third party under a power purchase agreement or other similar financing arrangement must be considered personal property and not be included in the appraised value of the property. See Section 1.8.2.11 Solar Panels for additional criteria.

## Private Roads (10/21/2024)

Require a permanent easement for ingress and egress with provisions for road maintenance.

## Rural Property (04/21/2025)

A property is classified as rural if:

- The appraiser indicates in the neighborhood section of the report a rural location, or
- The following two (2) conditions exist:

- The property is located on an unpaved road, and
- Two of the three comparable properties are more than five (5) miles from the subject property

See Verus Matrices for program eligibility and LTV restrictions.

### Transfer of Appraisal (2/26/2024)

A transferred appraisal report is acceptable provided the report meets the Seller's appraisal requirements for independence.

## 2.10.1.2 Appraisal Requirements 5-8 Residential and 2-8 Mixed Use

### 2.10.1.2.1 APPRAISAL AGE (07/15/2024)

Appraisals dated fewer than 120 days prior to the Note date are acceptable. After 120 days, a new appraisal is required.

### 2.10.1.2.2 5-8 UNIT RESIDENTIAL PROPERTIES (10/21/2024)

A full interior inspection with photos is required for all units. The sales comparison approach should be used as the appraised value.

One of the following appraisal forms are acceptable:

- FHLMC Form 71A, FHLMC Form 71B, FNMA Form 1050 or similar short form can be used to appraise 5+ residential properties; **or**
- A narrative report can be utilized and must include the sales approach with repeat sales analysis in value determination.

### 2.10.1.2.3 2-8 MIXED USE PROPERTIES (10/16/2023)

Commercial use is limited to retail, office space, or restaurants. Residential or commercial zoning acceptable.

One of the following appraisal reports are acceptable:

- General Purpose Commercial Forms (i.e., GP Commercial Summary Form available from Cotality fka CoreLogic a la mode); **or**
- A narrative report can be utilized and must include the sales approach with repeat sales analysis in value determination.

Regardless of the report type, the following are required:

- A full interior inspection with photos is required for all units.
- Commercial space must not exceed 49.99% of the total building area.
- The sales comparison approach must be used as the appraised value.

### Appraisal Attachments Required (07/15/2024)

- Rent Roll
- Income and Expense Statement

- Photos of subject including exterior/interior and street scene
- Aerial photo
- Sketch or floor plan of typical units
- Map
- Appraiser qualifications

#### 2.10.1.2.4 PROPERTY CONDITION

- No fair or poor ratings
- No environmental issues (Storage or use of hazardous material i.e., Dry Cleaners, Laundromat)
- No health or safety issues (As noted by appraiser, i.e., broken windows, stairs)
- No excessive deferred maintenance that could become a health or safety issue for tenants
- No structural deferred maintenance, (i.e., Foundation, roof, electrical, plumbing)

### 2.10.1.3 Appraisal Review Requirements

#### 2.10.1.3.1 APPRAISAL REVIEW PRODUCTS 1-4 UNIT RESIDENTIAL (07/15/2024)

An appraisal review product is required on every loan file unless a second appraisal is obtained. The appraisal review product should provide an "as is" value for the subject property (the "Appraisal Review Value") as of the date of the subject loan transaction.

The following options are eligible review products:

- The Seller may submit the appraisal report to Collateral Underwriter® (CU) or Loan Collateral Advisor® (LCA). An eligible score is 2.5 or less. The file must include a copy of the Submission Summary Report (SSR).
  - Only one score required, if both scores (CU & LCA) provided, both required to be 2.5 or less.
  - If the score exceeds 2.5, the file must include either an enhanced desk review, AVM, field review, or second appraisal.
- An enhanced desk review product from one of the following choices:
  - ARR from Stewart Valuation Intelligence FKA Pro Teck
  - CDA from Clear Capital
  - ARA from Computershare
  - CCA from Consolidated Analytics
  - VRR from Homegenius Real Estate
  - Valreview Appraisal Review Value from Valligent (Veros Software Company)
- If the enhanced desk review product reflects a value more than 10% below the appraised value or cannot provide a validation, the file must include either a field review or a second appraisal. A field review or a second appraisal is acceptable. These may not be from the same appraiser or appraisal company as the original report.
- AVM from an approved vendor with an acceptable FSD score range. AVM value must be within 10% of the appraised value.
  - AVM may not be more than 90 days old at closing (date the Note is signed)
  - If the AVM reflects a value more than 10% below the appraised value or cannot provide a value, the file must include an enhanced desk review product, field review, or a second appraisal. These may not be from the same appraiser or appraisal company as the original report.

AVM Vendors (07/15/2024)

| THE FOLLOWING AVM VENDORS ARE ACCEPTABLE: | |
|---|---|
| **AVM Vendor** | **Acceptable FSD Score Range** |
| Clear Capital | 0.00 to 0.13 |
| Collateral Analytics | 0.00 to 0.10 |
| House Canary | 0.00 to 0.10 |
| Red Bell Real Estate (Homegenius) | 0.00 to 0.10 |

### 2.10.1.3.2 APPRAISAL REVIEW PRODUCT 5-8 RESIDENTIAL AND 2-8 MIXED USE (10/21/2024)

An appraisal review product is required from one of the following:

- A commercial sales and income Broker Price Opinion (BPO) is required. The appraised value is considered valid if the BPO is greater than or not more than 10% below the value of the appraisal. If the BPO is more than 10% below the appraised value, then the BPO value is used to determine the loan LTV.
  - In Pennsylvania and North Carolina, a commercial evaluation product is used instead of the BPO product, or
- A second appraisal may be provided. The transaction's "Appraised Value" will be the lower of the two appraisals. The second appraisal must be from a different company and appraiser than the first appraisal.

## 2.10.1.4 Minimum Property Requirements (12/13/2021)

| MINIMUM SQUARE FOOTAGE | | |
|---|---|---|
| **Single Family**<br>700 square feet | **Condominium**<br>500 square feet | **2-8 Units**<br>400 square feet per individual unit |

All properties must:

- Be improved real property.
- Be accessible and available for year-round residential use.
- Contain a full kitchen and a bathroom.
- Represent the highest and best use of the property.
- Not contain any health or safety issues.

## 2.10.1.5 Personal Property

Any personal property transferred with a real property sale must be deemed to have zero transfer value, as indicated by the sales contract and the appraisal. If any value is associated with the personal property, the sales price and appraised value must be reduced by the personal property value for purposes of calculating the LTV/CLTV.

### 2.10.1.6 Escrow Holdbacks

Escrow holdbacks are not allowed. Any repair or maintenance required by the appraiser must be completed prior to loan purchase. Verus will not acquire any loan with an escrow holdback.

### 2.10.1.7 Declining Markets (04/21/2025)

The loan transaction is subject to an LTV/CLTV cap if the property is in a declining market, see matrices for restrictions. Declining markets are determined by a) property location in a State identified by Verus, or b) the appraisal report reflects a declining market under housing trends.

## 2.10.2 PROPERTY TYPES

### 2.10.2.1 Eligible Properties

- Single Family Detached
  - Up to two accessory dwelling units (ADU) are allowed, see Section 2.10.1.1.4 Appraisal Evaluation Accessory Dwelling Units for eligibility criteria.
- Single Family Attached
- Planned Unit Development (PUD)
  - Single Family Detached homes with PUD riders
- De minimus Planned Unit Development (dPUD)
  - PUD with "de minimus" monthly HOA dues
- 2-4 Unit residential properties
- 5-8 Unit residential properties (DSCR only)
- 2-8 Mixed Use (DSCR only)
  - 2-3 Units: Max 1 commercial Unit
  - 4-5 Units: Max 2 commercial Units
  - 6-8 Units: Max 3 commercial Units
- Condominiums
- Condo hotels (Condotels)
- Modular homes
- Properties of 20 acres or less
- Leaseholds (in areas where leaseholds are common)

#### 2.10.2.1.1 TILA HIGHER PRICED MORTGAGE LOANS (HPML) APPRAISAL RULE 1026.35(A)(1) (PROPERTY FLIPS) (07/10/2023)

- Applies to covered HPML transactions.
  - Qualified Mortgages (QM) are excluded.
- A property is considered a "flip" if either of the following are true:
  - The price in the borrower's purchase agreement exceeds the property seller's acquisition price by more than 10% if the property seller acquired the property 90 or fewer days prior to the date of the borrower's purchase agreement. The price in the borrower's purchase agreement exceeds the property

seller's acquisition price by more than 20% if the property seller acquired the property 91-180 days prior to the date of the borrower's purchase agreement.
    - The acquisition date is the day the seller became the legal owner. The purchase date is the day the borrower and the seller sign the home purchase agreement. Start with the day after the acquisition date and count up to and including the purchase date.
- If the property is a "flip" as defined above, the following additional requirements apply:
  - A second appraisal must be obtained.
  - If the loan is subject to Regulation Z, a copy of the second appraisal must be provided to the borrower in compliance with the federal HPML requirements.
  - The second appraisal must be dated prior to the loan consummation/Note date.
  - The property seller on the purchase contract must be the owner of record.
  - Increases in value should be documented with commentary from the appraiser and recent comparable sales.
  - Sufficient documentation to validate the actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided, if applicable.

### 2.10.2.2 Ineligible Properties (03/09/2026)

- Vacant land or land development properties
- Properties not readily accessible by roads that meet local standards
- Properties not suitable for year-round occupancy, regardless of location
- Properties with agricultural features (e.g., vineyards, farms, ranches, orchards, equestrian facilities)
- Manufactured or Mobile homes
- Units subject to timeshare arrangements
- Properties with fractional ownership
- Units in a Co-op development
- Properties used as boarding houses, bed/breakfast, or single room occupancy (e.g., pad split app)
- Properties used as healthcare facilities (e.g., assisted living, elder care, recovery/treatment)
- Properties with nonresidential, income-producing structures on premise (e.g., billboards, cell phone towers, commercial workshop)
- Properties with zoning violations or illegal use
- Dome or geodesic properties
- Properties on Native American Land (Reservations)
- Log homes that are not common to the area
- Hawaii:
  - Properties located in lava zones 1 and/or 2
  - Properties located inside of a coastal erosion hazard zone
  - Properties that are on the coast are subject to review by Verus prior to purchase
- Houseboats
- Properties used for the cultivation, distribution, manufacture, or sale of marijuana
- Barn style building, barndominium
- Properties with condition rating of C5/C6 or quality rating of Q6 on the appraisal

## 2.10.3 ACREAGE LIMITATIONS (06/21/2021)

- A maximum of 20 acres, see program matrices for restrictions
- No truncating allowed

## 2.10.4 LEASEHOLD PROPERTIES

In areas where leasehold estates are commonly accepted and documented via the Appraisal, loans secured by leasehold estates are eligible for purchase. The mortgage must be secured by the property improvements and the borrower's leasehold interest in the land. The leasehold estate and any improvements must constitute real property, be subject to the mortgage lien, and be insured by the Seller's title policy.

The Seller must provide documentation and leaseholds must meet all Fannie Mae® eligibility requirements (i.e., term of lease), with the exception of co-ops and manufactured homes which are not eligible.

## 2.10.5 DISASTER AREAS (04/21/2025)

Sellers are responsible for identifying geographic areas impacted by disasters and taking appropriate steps to ensure the subject property has not been adversely affected. The following guidelines apply to properties located in FEMA declared disaster areas for Individual Assistance, as identified by reviewing the FEMA website at www.fema.gov/disasters. In addition, when there is knowledge of an adverse event occurring near and around the subject property location, such as earthquakes, floods, tornadoes, wildfires, coastal erosion, or landslide, additional due diligence must be used to determine if the disaster guidelines should be followed.

### 2.10.5.1 Appraisal Completed Prior to Disaster (04/21/2025)

An exterior inspection of the subject property, performed by the original appraiser, if possible, is required.

- The appraiser should provide a statement indicating if the subject property is free from any damage, is in the same condition as the previous inspection, and the marketability and value remain the same.
- Inspection Report must include new photographs of the subject property and street view, through one of the following:
  - FNMA Form 1004D, or
  - Post Disaster Inspection (PDI) Report, see Section 2.10.5.4 Post Disaster Inspection Requirements, or
  - Property Condition and Inspection Report, see Section 2.10.5.4 Post Disaster Inspection Requirements
- Any damage must be repaired and re-inspected prior to purchase.

### 2.10.5.2 Appraisal Completed After Disaster Event (04/21/2025)

- If the appraisal report indicates damage to the structure because of a FEMA Declared Disaster event, the structural damage must be repaired and a re-inspection completed on FNMA Form 1004D prior to purchase by Verus.

### 2.10.5.3 Disaster Event Occurs After Closing But Prior to Loan Purchase (04/21/2025)

A loan is ineligible for purchase until an inspection is obtained based on the following:

- Inspection Report must include new photographs of the subject property and street view, through one of the following:
  - FNMA Form 1004D, or
  - Post Disaster Inspection (PDI) Report, see Section 2.10.5.4 Post Disaster Inspection Requirements, or
  - Property Condition and Inspection Report, see Section 2.10.5.4 Post Disaster Inspection Requirements
- If subject property is free of damage, nothing further is required.
- Any indication of damage reflected in the report will require a re-inspection of the property verifying the damage has been repaired on one of the following:
  - FNMA Form 1004D, or
  - Post Disaster Inspection (PDI) Report, see Section 2.10.5.4 Post Disaster Inspection Requirements, or
  - Property Condition and Inspection Report, see Section 2.10.5.4 Post Disaster Inspection Requirements

### 2.10.5.4 Post Disaster Inspection Requirements (07/15/2024)

- Inspection must be from the appraiser or a third party vendor (e.g., Clear Capital, Stewart/Pro Teck)
- Exterior color photos of the subject property and street scene
  - Address verification to be included
- Details of the damage, if any, including cost to cure
  - Color photos of damage incurred as a result of the disaster
- If repairs are required, re-inspection of the subject property to evidence repairs were completed in a workmanlike manner
- Any indication of damage reflected in the report will require the damage to be remediated prior to purchase.

## 2.10.6 CONDOMINIUM PROJECTS (11/10/2025)

A condominium project is one in which individual owners hold title to units in the project along with an undivided interest in the real estate that is designated as the common area for the project. The units in the project must be owned in fee simple and the unit owners must have the sole ownership interest in and rights to the use of, the project's facilities, common elements, and limited common elements.

To qualify as an acceptable condominium unit, the condominium project must be common for the area and demonstrate good marketability.

- All Loans secured by condominium projects require a completed Condominium Project Questionnaire except for:
  - Projects with a FNMA Condominium Project Manager (CPM) approval subject to the following:
    - CPM approval must not be expired as of the Note date.
    - File must contain a PDF print-out of the CPM approval. The PDF document must include a print date that verifies the PDF print-out is generated within 10 days of the Note date.
    - Approval must be from FNMA, cannot be Certified by Lender.

- Site Condominium
- 2-4 Unit project
- For the above projects that do not require a completed Condominium Project Questionnaire, the following requirements must be met:
  - Project is not ineligible, see Section 2.10.6.5 Ineligible Projects.
  - Evidence of sufficient hazard, flood, and walls-in insurance coverage if the subject unit has individual coverage. If the insurance covers the entire project, it must be sufficient in the event of a total loss.
  - Homeowner's association (HOA) dues to be included in DTI/DSCR if applicable.

- Projects consisting entirely of detached (site) units will not require a project review and are eligible for single-family dwelling LTV/CLTV. Completion of the Condominium Project Questionnaire is not required for site condominiums.
- Projects have been created and exist in full compliance with applicable local jurisdiction, State, and all other applicable laws and regulations.
  - Projects are ineligible if there are outstanding violations of jurisdictional requirements (zoning ordinances, codes, laws, etc.) related to the safety, soundness, structural integrity, or habitability of the project's building(s).
- Projects in need of critical repairs are ineligible, see Section 2.10.6.1 Project Condition - Critical Repairs.
- Special assessment information is to be provided to determine if there is a critical repair or significant deferred maintenance, see Section 2.10.6.1.1 Special Assessments.
- Verus project exposure maximum shall be $5,000,000 or 20% of the total units in a project greater than 4 units, whichever is lower.
- Subject Unit Minimum Requirements: Minimum 500 square feet, full size kitchen, minimum of one (1) bedroom.
- Commercial space allowed up to 50% of the project.
- No more than 20% of the total units in the project may be 60 days or more past due on the condominium/HOA fees.
- For condominium projects consisting of five or more units, single entity ownership is limited to 20% of the project.
- Investor concentration allowed up to 60%. A higher percentage may be considered when the subject transaction is an investment property when a history of a high percentage of rental units in the project can be demonstrated.
- Projects involved in litigation are acceptable provided the lawsuit(s) are not structural in nature which impact the subject unit and do not affect the marketability of the project units and potential damages do not exceed 25% of HOA reserves or documentation from the insurance carrier or attorney representing the insurance carrier that the insurance carrier has agreed to conduct defense and the HOA insurance policy is sufficient to cover the litigation expense.
- Borrower must carry HO-6 coverage for replacement of such items as flooring, wall covering, cabinets, fixtures, built-ins, and any improvements made to the unit.
- Seller must confirm that the project documents do not give a unit owner or any other party priority over the rights of the first mortgagee.

## 2.10.6.1 Project Condition – Critical Repairs (04/21/2025)

Projects in need of critical repairs are those needing repairs or replacements that significantly impact the safety, soundness, structural integrity or habitability of the project's building(s), or the financial viability or marketability of the project. Projects in need of critical repairs are ineligible.

Critical repairs include conditions such as:

- Material deficiencies, which if left uncorrected, have the potential to result in or contribute to critical element or system failure within one year
- Any mold, water intrusions or potentially damaging leaks to the project's building(s)
- Advanced physical deterioration
- Any project that failed to pass state, county, or other jurisdictional mandatory inspections or certifications specific to structural safety, soundness, and habitability
- Any unfunded repairs costing more than $10,000 per unit that should be undertaken within the next 12 months (does not include repairs made by the unit owner or repairs funded through a special assessment)
- Significant deferred maintenance for improvements in need of substantial repairs and rehabilitation

Examples of critical repairs include but are not limited to the following: sea walls, elevators, waterproofing, stairwells, balconies, foundation, electrical systems, plumbing systems, parking structures, or other load-bearing structures.

If damage or deferred maintenance is isolated to one or a few units and does not affect the overall safety, soundness, structural integrity, or habitability of the project, then these requirements do not apply.

### 2.10.6.1.1 SPECIAL ASSESSMENTS (04/21/2025)

The Homeowner's Association (HOA) will assess a one-time fee to unit owners to cover unexpected or large expenses not covered by regular HOA dues or reserve funds, known as a special assessment.

Special assessments may be current or planned. Sellers must obtain and review the following to determine if it addresses a critical repair:

- Determine the purpose of the special assessment.
- Determine when the special assessment was approved, when it is planned (approved by the unit owners, but not yet initiated by the board), or already being executed.
- Review the original amount of the special assessment and the remaining amount to be collected.
- Evaluate the expected date the special assessment will be paid in full.

If the special assessment is associated with a critical repair and the issue is not remediated, the project is ineligible.

### 2.10.6.1.2 INSPECTION REPORTS (04/21/2025)

An inspection report will assess the condition of the project's building(s) and may cover structural and/or mechanical components of the project. If a report is provided, the following items should be reviewed to determine if the project is eligible:

- The report cannot indicate that critical repairs and/or significant deferred maintenance are required, no evacuation orders are in effect, and no regulatory actions are required.
- If the inspection report indicates there are unaddressed critical repairs and/or significant deferred maintenance, the project is ineligible until the required repairs have been completed and documented accordingly.
  - Seller must review an engineer's report or substantially similar document to determine if the repairs completed have resolved the safety, soundness, structural integrity, or habitability concerns of the project.
- Sellers are responsible for determining which documents are needed to ensure compliance with the requirements and may need to review a combination of documents.
  - Examples of this documentation include, but are not limited to HOA board meeting minutes, engineer report(s), structural and/or mechanical inspection reports, reserve studies, a list of necessary repairs provided by the HOA or the project's management company, a list of special assessments provided by the HOA or the project's management company, and other substantially similar documentation.

### 2.10.6.2 Established Projects (11/10/2025)

- 90% of the total units in the project must be sold/under contract.
- 40% of the total units in the project must be owner occupied.
- All phases are complete.
- HOA must be conveyed to the unit owners – no developer or builder-controlled projects allowed.
- All comparable sales may be from within the subject's project if the project is established and consists of 100 or more units. Recent sales of model match units, if available, must be utilized in the appraisal report.

### 2.10.6.3 New or Newly Converted Projects (11/10/2025)

- 50% of the total units in the project or subject's phase must be sold/under contract and at least 50% of the units must be owner occupied.
- Project or subject's legal phase along with other development phases must be complete. All common elements in the project or legal phase must be 100% complete.
- Project may be subject to additional phasing.
- The project developer may be in control of the condominium association provided the Master Agreement allows for the homeowners to take control upon either a predetermined percentage of unit sales or within a defined time frame.

### 2.10.6.4 Condominium Hotel (Condotel) (11/10/2025)

- Condominium Hotel – (a.k.a. Condo Hotel, Condotel)
  - A condotel is a condominium project that markets and/or manages daily, weekly, monthly, or seasonal rentals, also known as short-term rental units.
  - Characteristics may include, but are not limited to, the following:
    - HOA or the HOA's Property Management Company markets and/or manages the short-term rental units
    - On-site or off-site leasing office markets and/or manages the short-term rental units on behalf of the HOA or the HOA's Property Management Company

        - On-site, off-site, or centralized reservation and/or registration is managed by the HOA or the HOA's Property Management Company
        - Hotel/motel amenities, services, and/or fees offered by the HOA or the HOA's Property Management Company
        - Unit is accessed through a central key system
        - Interior doors adjoin separate units
        - Exit, emergency, or evacuation plans are posted inside the unit
    - Unit owner who offers and/or manages the subject property as a short-term rental should not be used as the sole factor to determine the subject property is a condotel.
    - When community amenities are present (e.g., bellman, valet, restaurants), due diligence must be exercised in determining if the amenities are privately owned or if they are offered as hotel/motel service. If privately owned, presence of these community amenities does not automatically make the project a condotel.
    - When commercial offerings are present (e.g., retail stores, office space), due diligence must be exercised in determining if the amenities are privately owned or if they are offered as hotel/motel service. If privately owned, presence of these community amenities does not automatically make the project a condotel.
    - Occupancy Type: Primary, Second Home, or Investment
    - Maximum LTV/CLTV: See program Loan/LTV matrix
    - Maximum Loan Amount: See program Loan/LTV matrix
    - Investor concentration, within the subject project, may exceed established project criteria, up to 100%.
    - Gross rents (for all income doc types) reduced by 10% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property.
    - Minimum square feet: 500
    - Fully functioning kitchen – appliances to include a refrigerator and cooktop/stove/oven
    - Separate bedroom required

### 2.10.6.5 Ineligible Projects

- A project subject to the rules and regulations of the US Securities and Exchange Commission.
- Timeshare or projects that restrict the owner's ability to occupy the unit.
- Houseboat project.
- Manufactured home projects.
- Assisted living facilities or any project where the unit owner's contract includes a lifetime commitment from the facility to care for the unit owner regardless of future health or housing needs.
- Multi-family units where a single deed (cross collateral or blanket mortgage) conveys ownership of more than one, or all of the units.
- A common-interest apartment
    - A project in which individuals have an undivided interest in a residential apartment building and land and have the right of exclusive occupancy of a specific apartment unit in the building.
    - The project or building is often owned by several owners as tenants-in-common or by a homeowner's association (HOA).
- Fragmented or segmented ownership
    - Ownership is limited to a specific period on a recurring basis (i.e., timeshare, quarter share).


Non-Agency (Non-QM) – First Lien

- Any project where the developer (or its affiliates) owns the Common and/or Limited Elements and leases the elements back to the HOA.
- Any project that has non-conforming zoning (can't be rebuilt to current density).
- Any project that requires Private Transfer Fees as a part of the transaction, and those fees do not benefit the association.
- Any project in need of critical repairs.
- Any project with significant deferred maintenance or has received a directive from a regulatory or inspection agency to mark repairs due to unsafe conditions.
- Any project with outstanding violations of jurisdictional requirements (zoning ordinances, codes, laws, etc.) related to the safety, soundness, structural integrity, or habitability of the project's building(s).

## 2.10.6.6 Condominium Insurance Requirements

Project to meet all Fannie Mae® insurance requirements for property, liability, and fidelity coverage, except for the master insurance deductible.

### 2.10.6.6.1 MASTER PROPERTY INSURANCE (04/21/2025)

Master property insurance policies are required for the common elements and residential structures unless the condo project requires individual property insurance policies for each unit. In that case, the individual property insurance policy must meet the requirements in Section 1.8.2.7.1 Hazard Insurance Requirements.

Master property insurance policy must provide for claims to be settled on a replacement cost basis.

- Property insurance policies that provide for claims to be settled on an actual cash value basis are not acceptable.
- Policies that limit, depreciate, reduce, or otherwise settle losses at anything other than a replacement cost basis are also unacceptable.

The seller must verify that the property insurance coverage amount is at least equal to 100% of the replacement cost value of the project improvements, including common elements and residential structures, as of the current property insurance policy effective date.

- The source that the seller uses to verify the coverage amount may be the property insurer, an independent insurance risk specialist, or other professional with appropriate resources to make such a determination. This may include, but is not limited to, a statement from the insurer or other applicable professional, a replacement cost estimator, or an insurance risk appraisal.

Master insurance policy must include the project name and project address for the location of the condo project.

- Borrower name, unit number, and mortgagee clause are not required to be included in master insurance policy.

#### Deductible

The maximum deductible is 10%.

### Fidelity or Employee Dishonesty Insurance

For condominium projects consisting of more than 20 units, fidelity insurance coverage equaling at least the sum of three months of assessments on all units in the project is required.

## 2.10.6.6.2 GENERAL LIABILITY INSURANCE (04/21/2025)

General liability insurance is required for all condo projects, except for detached condo units and 2-4 unit condo projects.

When required, the HOA must maintain a general liability insurance policy for the entire project. The general liability insurance policy must include coverage for:

- Commercial spaces that are owned by the HOA even if they are leased to others, and
- Bodily injury and property damage that results from the operation, maintenance, or the use of the project's common elements, and any other areas under its supervision

Amount of coverage must be at least $1,000,000 for bodily injury and property damage for any single occurrence.

The general liability insurance policy must include a separation of insureds or severability of interests provision in its terms. If the policy does not include separation of insureds or severability of interests in its terms, Verus requires a specific endorsement to preclude the insurer's denial of a unit owner's claim because of negligent acts of the HOA or co-op corporation or of other unit owners.

## 2.10.6.6.3 HO-6 (04/21/2025)

The borrower must maintain H0-6 Policy or "Walls-In" coverage unless the master property insurance policy provides coverage for the subject unit. The effective date of the policy must be on or before the Note date.

H0-6 Policy must include coverage for replacement of such items as flooring, wall covering, cabinets, fixtures, built-ins, and any improvements made to the unit if the master or blanket policy does not provide interior unit coverage.

The HO-6 insurance policy must provide coverage in an amount as established by the HO-6 insurer.

### Deductible

The maximum deductible amount is based on the following:

- 5% deductible for LTV > 80%
- 10% deductible for LTV ≤ 80%

## 2.10.6.6.4 MASTER FLOOD INSURANCE (04/21/2025)

The condominium homeowner's association (HOA) must obtain an NFIP Residential Condominium Building Association Policy (RCBAP) or equivalent private flood insurance coverage for a condo building consisting of attached units located within an SFHA.

- The only building that must be verified is the subject unit's building.

- Evidence of master flood insurance policy is not required if the unit owner maintains an individual flood dwelling policy that meets the coverage requirements in Section 1.8.2.9 Flood Insurance.
- Master flood insurance policy must cover the following:
    - Subject unit's entire building, and
    - All of the common elements and property, including machinery and equipment that are part of the building
- Building Coverage must be at least equal to the lesser of:
    - 80% of the replacement cost value, or
    - Maximum coverage amount available per NFIP per unit (i.e., Total number of units in the condominium building times $250,000)
- Contents Coverage must be at least equal to the lesser of:
    - 100% of the replacement cost value of all contents owned in common by the association members, or
    - Maximum coverage amount available from NFIP

## Deductible

Deductible may not exceed the maximum deductible amount currently offered by NFIP

# CHAPTER 3 - CLOSED END SECOND ELIGIBILITY

Closed End Second loans submitted to Verus must meet the eligibility criteria of the current published Non-Agency Guide as of the Verus loan lock date.

Simple interest payment amortization is not eligible.

Follow policy and procedures, reference Chapter 1 Doing Business with Verus.

## 3.1 PROGRAM MATRIX

See current Loan/LTV Matrix located on the Verus website: www.verusmc.com.

### 3.1.1 ELIGIBLE PRODUCTS (03/09/2026)

The following loan products are eligible for purchase by Verus:

| PRODUCT | QUALIFYING RATE | TOTAL TERM | I/O TERM | AMORT TERM | INDEX | CAPS |
|---|---|---|---|---|---|---|
| **10 YR FIXED** | Note Rate | 120 | NA | 120 | NA | NA |
| **15 YR FIXED** | Note Rate | 180 | NA | 180 | NA | NA |
| **20 YR FIXED** | Note Rate | 240 | NA | 240 | NA | NA |
| **20 YR FIXED I/O** | Note Rate | 240 | 36 | 204 | NA | NA |
| **25 YR FIXED** | Note Rate | 300 | NA | 300 | NA | NA |
| **30 YR FIXED** | Note Rate | 360 | NA | 360 | NA | NA |
| **30 YR FIXED I/O** | Note Rate | 360 | 36 | 324 | NA | NA |
| **30/15 BALLOON** | Note Rate | 360 | NA | *360 | NA | NA |

*30/15 Balloon Note: Amortization term on the Note is 360 months but the qualifying amortization term for the debt-to-income ratio is based upon 180 months.

Closed end seconds using a simple interest payment amortization are not eligible for purchase.

### 3.1.2 INTEREST ONLY (11/10/2025)

Qualification is based upon the remaining term (amortized) after expiration of the interest only period.

- 20 Year Term: Qualifying payment based upon the amortized 17 year term
- 30 Year Term: Qualifying payment based upon the amortized 27 year term

**Restrictions:**

- Primary residence only
- Maximum CLTV is 80%

## 3.1.3 30/15 BALLOON NOTE (11/10/2025)

- 30/15 Balloon Note has an amortization term of 30 years with a balloon term of 15 years.
- Qualification for DTI is based upon the amortized 15 year balloon term.

## 3.1.4 LOAN AMOUNTS (11/10/2025)

- Minimum: $50,000
- Maximum: $750,000

## 3.1.5 COMBINED LOAN BALANCE (2/26/2024)

- The CLTV of the combined loan balances are restricted as follows:
    - Combined loan balance > $2,000,000 – maximum 80% CLTV
    - Combined loan balance > $3,000,000 – maximum 75% CLTV
- Maximum combined loan balance for all liens not to exceed $4,000,000

## 3.1.6 MINIMUM CREDIT SCORE

- Minimum: 680

## 3.1.7 QUALIFYING PAYMENT (11/10/2025)

The closed end second qualifying payment is based upon the amortized principal and interest payment. For interest only loans, this is the remaining term (amortized) after expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, see Section 3.9.2 Debt-to-Income (DTI) Ratio.

## 3.1.8 STATE ELIGIBILITY (11/10/2025)

See the Verus matrix for state eligibility restrictions including overlays.

### 3.1.8.1 New York – CEMA (11/10/2025)

Consolidation, Extension, and Modification Agreement (CEMA) not eligible.

### 3.1.8.2 Texas (11/10/2025)

Closed end seconds in Texas are ineligible.

## 3.2 FIRST LIEN ELIGIBILITY (11/10/2025)

### 3.2.1 FIRST LIEN DOCUMENTATION REQUIREMENTS (2/26/2024)

Verify the First lien P&I payment with all the following:

- Copy of First Lien Note
  - Default interest rate on Note cannot exceed Note rate
  - If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements)
- Copy of most recent monthly mortgage payment statement
  - Utilized to determine if payment includes escrows (See DTI Requirements)

### 3.2.2 FIRST LIEN QUALIFYING PAYMENT

First Lien qualifying payment for the debt-to-income (DTI) ratio:

- Stand-Alone Cash-Out Transaction: Use the mortgage payment verified on the credit report.
- Simultaneous Purchase Transaction:
  - Fixed Rate: Note rate amortized over the total term.
  - Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or Note rate.
  - Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, see Section 3.9.2 Debt-to-Income (DTI) Ratio.

### 3.2.3 INELIGIBLE FIRST LIENS (04/21/2025)

First Liens with the following high-risk features are not eligible:

- Loans in active forbearance or deferment
- Forbearance, modifications, or deferrals (including COVID-19 related events) completed or reinstated within 12-months of the Note date
- Negative amortization payment including loans with Paid-In-Kind (PIK) features
- Balloon term, if the balloon payment becomes due during the amortization period of the new Second lien
- Reverse Mortgages
- Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages
- Home Equity Line of Credit
- Note terms that include a default interest rate greater than the Note rate

# 3.3 AGE OF DOCUMENT REQUIREMENTS

## 3.3.1 CREDIT REVIEW DOCUMENTATION (10/21/2024)

The following documents may not be more than 120 days old at closing (the date the Note is signed):

- Income verification/paystubs
- Asset documents/bank statements
- Credit Report
- Title Commitment/Preliminary Report/Binder
- Owner & Encumbrance Report (O&E)

Any credit review documents exceeding these timeframes must be updated.

## 3.3.2 APPRAISAL

- Full Appraisal (FNMA Form 1004/1025/1073) and Exterior Drive-By Appraisal (Hybrid/2055/1073) must be dated within 365 days of the Note date. Appraisal Update Form 1004D (aka Recertification of Value) is required if the report exceeds 120 days of the Note Date. See complete appraisal requirements in Section 2.10.1.1.2 Appraisal Age.
- AVMs must be dated within 90-days of the Note date.

# 3.4 VERUS EXPOSURE – BORROWER LIMITATIONS

Verus' aggregate exposure to a single borrower and/or household shall not exceed $5,000,000 in current unpaid principal balance (UPB) or ten (10) loans.

# 3.5 BORROWER ELIGIBILITY

## 3.5.1 ELIGIBLE BORROWERS (07/15/2024)

- U.S. Citizens, see First Lien criteria Section 2.4.1.1 US Citizen
- Permanent Resident Aliens, see First Lien criteria Section 2.4.1.2 Permanent Resident Alien
- Non-Permanent Resident Aliens, see First Lien criteria Section 2.4.1.3 Non-Permanent Resident Alien
    - Max CLTV 80%

## 3.5.2 INELIGIBLE BORROWERS (2/26/2024)

- Foreign Nationals
- Non-occupant co-borrowers
- First time homebuyers (FTHB)
- Borrowers with diplomatic immunity, as defined by US Citizenship and Immigration Services
- Persons sanctioned by OFAC
- Any material parties (company or individual) to the transaction listed on HUD's Limited Denial of Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list.
- Nonprofit or Not-For-Profit entity

## 3.5.3 TITLE VESTING AND OWNERSHIP (2/26/2024)

Subject property must be owned a minimum of 6 months to be eligible, as measured from the property acquisition date (Note date) to the subject transaction Note date.

### 3.5.3.1 Vesting for Consumer and Business Purpose Loans (11/10/2025)

Ownership must be fee simple. Leaseholds are not eligible.

**Eligible forms of vesting are:**

- Individuals
- Joint tenants
- Tenants in Common
- Inter Vivos Revocable Trust
- Illinois Land Trust

**Ineligible forms of vesting are:**

- Land Trust
- Blind Trust
- Irrevocable Trust
- IRAs
- Nonprofit or Not-For-Profit entity
- Life Estate

#### 3.5.3.1.1 INTER VIVOS REVOCABLE TRUST

See First Lien criteria, Section 2.7.1.1.1 Inter Vivos Revocable Trust.

### 3.5.3.2 Vesting for Business Purpose Loans (Investment Occupancy) (2/26/2024)

A Business Purpose Loan where the borrower is an entity is limited to the following structures: Limited Liability Company (LLC), Partnership, and Corporation.

See First Lien criteria, Section 2.4.7.2 Vesting For Business Purpose Loans.

#### 3.5.3.2.1 ENTITY DOCUMENTATION REQUIREMENTS

See First Lien criteria, Section 2.4.7.2.2 Entity Documentation Requirements.

#### 3.5.3.3 Power of Attorney

Power of Attorney is not eligible.

### 3.5.4 OCCUPANCY TYPES

See First Lien criteria, Section 2.4.8 Occupancy Types.

### 3.5.5 BORROWER STATEMENT OF OCCUPANCY

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification" found in the Occupancy Certification of this guide.

### 3.5.6 BORROWER STATEMENT OF BUSINESS PURPOSE (11/10/2025)

All investment occupancy loans are considered business purpose transactions and require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections of the Borrower Certification of Business Purpose form in this guide. Verus reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.

Common occupancy red flags include, but are not limited to:

- Subject property value significantly exceeds the value of the borrower's primary residence.
- The borrower is a first time homebuyer (FTHB) and currently living rent free or renting his/her primary residence.
- Subject property could reasonably function as a second home.
- Borrower documents show subject property as current residence.

## 3.6 TRANSACTION TYPES

### 3.6.1 ELIGIBLE TRANSACTIONS

#### 3.6.1.1 Simultaneous Purchase (04/21/2025)

- See First Lien criteria, Section 2.5.1.1 Purchase.
- First Lien must be an agency-eligible loan.
    - DU or LPA approval required.



Non-Agency (Non-QM) – Closed End Second

#### 3.6.1.2 Stand Alone Cash-Out (11/10/2025)

Any transaction not used to purchase the subject property is considered cash-out.

- Subject property must be owned a minimum of 6 months (on title) to be eligible, as measured from property acquisition date (Note date) to the subject transaction Note date.
- Current appraised value may be used for LTV/CLTV.
- Loans not eligible for cash-out:
    - Primary Residence, Second Home, or Non-Owner Occupied properties listed for sale in the past six (6) months.
    - There has been a prior cash-out transaction within the past six (6) months
    - Lien Free Properties – If the subject property is lien free, including delayed financing, ineligible
    - Frequent Refinances – Two (2) or more cash-out refinances in the past twelve (12) months
    - All existing subordinate liens must be satisfied. No resubordinating permitted.
    - Payoff of a Land Contract/Contract for Deed.

### 3.6.2 LISTING SEASONING (04/21/2025)

Properties currently listed for sale or previously listed for sale within the past 6 months are ineligible.

### 3.6.3 NON-ARM'S LENGTH TRANSACTIONS

See First Lien criteria, Section 2.5.3 Non-Arm's Length Transactions.

### 3.6.4 INTERESTED PARTY CONTRIBUTIONS (SELLER CONCESSIONS)

See First Lien criteria, Section 2.5.4 Interested Party Contributions.

### 3.6.5 ESCROWS – IMPOUND ACCOUNTS (04/21/2025)

- Escrow accounts are not permitted on second lien programs.
- If the property is located in a flood zone, evidence of flood insurance is required.

### 3.6.6 SUBORDINATE FINANCING (2/26/2024)

All existing subordinate liens must be satisfied except for solar panel liens/UCCs (restrictions apply, see Section 1.8.2.11 Solar Panels).

## 3.6.7 PREPAYMENT PENALTY (03/09/2026)

**Investment Property Only**

A prepayment penalty on a mortgage loan is a fee that a lender may charge if the borrower pays off the loan early, either by refinancing, selling the home, or making extra payments that exceed a specified limit. Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between one (1) and five (5) years following the execution date of the Note.

The following prepayment structures may be used, see rate sheet for further details:

- A fixed percentage of no less than 3% - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period.
- Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years. Example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) – The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period.
- Six (6) months of interest – The prepayment charge will be equal to six (6) months of interest on the amount of the prepayment that exceeds 20% of the original principal balance in a given 12-month time period.

The prepayment penalty can be disclosed within the body of the Note or in a separate addendum.

The following State restrictions apply:

- **AK, KS, MI, MN, NM, OH, RI, VA**: Prepayment penalties are not allowed.
- **IL, NJ**: Prepayment penalties are not allowed on loans vested to individuals.
- **MD:** Prepayment penalties not allowed on second liens less than $75,000.
- **MS**: Only declining prepayment penalty structures are allowed.
- **PA**: Prepayment penalty may not be charged on 1–2 unit loans with a loan amount less than or equal to the base figure ($329,411 for 2026; adjusted annually).
  - This restriction applies to business-purpose loans, whether vested to an individual or an entity.
  - Loans with 3+ units, or with a loan amount greater than $329,411, are not subject to prepayment restrictions.

# 3.7 CREDIT

## 3.7.1 CREDIT REPORTS

A credit report is required for each individual borrower, including any member of an entity providing a personal guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian, TransUnion, and Equifax. Either a tri-merged credit report, or a Residential Mortgage Credit Report is required.

The credit report used to evaluate a loan may not reflect a security freeze. Any frozen credit must be unlocked, and a new credit report (tri-merge or Residential Mortgage Credit Report) must be obtained to reflect current and updated information from all repositories.

### 3.7.2 GAP CREDIT/UNDISCLOSED DEBT

A gap credit report or Undisclosed Debt Monitoring Report (UDM) is required. See First Lien criteria, Section 2.6.2 Gap Credit/Undisclosed Debt.

### 3.7.3 FRAUD REPORT AND OFAC SEARCH (07/15/2024)

- Fraud Report: See First Lien criteria, Section 2.6.3.1 Fraud Report for additional requirements.
- OFAC SDN search - Individuals: See First Lien criteria, Section 2.6.3.2.1 OFAC Search - Individuals for additional requirements.

### 3.7.4 CREDIT INQUIRIES

Credit inquiries are to be addressed. See First Lien criteria, Section 2.6.4 Credit Inquiries.

### 3.7.5 HOUSING HISTORY (11/10/2025)

- Housing payment history is required for all Real Estate Owned (REO) evidencing the payment activity for the most recent 12-months.
- For refinances, most recent 12-month housing payment history is required for all mortgages secured by the subject property.
- All payment history will be used for program eligibility.
- Housing payments must be paid current as of the month prior to loan application date.
- Any REO listed on the application owned free & clear requires a Property Profile Report or similar document
  - Property taxes, all insurance, and homeowner's association (HOA) dues if applicable, are to be verified and included in DTI
- Borrower(s) who sold a primary residence within the past six (6) months, currently residing rent-free, and purchasing a new primary residence are allowed. 12-month mortgage history is required on previous primary residence.
- Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting paid as agreed.
- If income is being used from a non-subject REO, a housing history is required.
  - Applies to properties vested to an individual or entity.
  - Mortgage liability must be factored in to the net rental income used for qualification.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.

### 3.7.5.1 Mortgage Verification (11/10/2025)

The Seller must review mortgage history documentation to determine the payment status of all mortgage accounts. Rolling late payments are not considered a single event. Each occurrence of contractual delinquency is considered individually for loan eligibility.

- Credit report must be reviewed to determine the payment status of all reported mortgage accounts for the previous 12-months.
- Mortgages not reporting on the credit report or mortgages with an incomplete 12-month history, provide any of the following to complete the borrower's payment history:
  - Credit supplement, or
  - Verification of Mortgage (VOM) completed by the lender/servicer, or
  - Loan payment history from the lender/servicer, or
  - Mortgage statements for the review period, provided the statements include a payment history, or
  - Borrower's proof of payment (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method)
- When the **subject property** or the borrower's **primary residence** has a private party mortgage (e.g., individual, private lender, hard money lender), the following documentation is also required:
  - Borrower's proof of payment for the most recent 6-months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method); and
  - Copy of Note, review for the following high-risk feature:
    - Balloon Note with Maturity Default: Expired maturity date exceeding 30 days requires an extension to avoid being counted as delinquent (e.g., delinquent 31 days is 1x30 late, delinquent 61 days is 1x60 late, etc)

If subject transaction is a refinance, mortgage payoff statement is required from the creditor/servicer:

- Payoff statement that reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history and/or credit event criteria. Transaction is to be considered cash-out.

### 3.7.5.2 Rental Verification (11/10/2025)

A 12-month rental history is required when the borrower is renting their current primary residence. Payment history is to be verified through one of the following:

- Verification of Rent (VOR) completed by the landlord; **or**
- Lease agreement and borrower's proof of payment for the most recent 12- months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, or electronic payment method)

## 3.7.6 CONSUMER CREDIT

See First Lien criteria, Section 2.6.6 Consumer Credit.

## 3.7.7 FORECLOSURE / DEED-IN-LIEU / SHORT SALE / PREFORECLOSURE / MORTGAGE CHARGE-OFF / NOTICE OF DEFAULT (10/21/2024)

Must be completed a minimum of 48 months. The length of time is measured from the settlement date to the Note date. In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

- Deed-In-Lieu of Foreclosure: Transaction in which the deed to the real property is transferred back to the servicer. These are typically identified on the credit report through Remarks Codes such as “Forfeit deed-in-lieu of foreclosure.”
- Short Sale or Preforeclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less than the total amount owed, which was pre-approved by the servicer. These are typically identified on the credit report through Remarks Codes such as “Settled for less than full balance.”
- Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain delinquency status and may be identified on the credit report with a manner of payment (MOP) code of “9.”
- Notice of Default: Public notice filed with a court or local recording office to being the process of foreclosure.

## 3.7.8 BANKRUPTCY HISTORY

Recent bankruptcies are not allowed. Evidence of bankruptcy resolution is required. The length of time is measured from the discharge/dismissal date to the Note date.

- Bankruptcy must be completed a minimum of 48 months.
- In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

## 3.7.9 FORBEARANCE, MODIFICATION, OR DEFERRAL (2/26/2024)

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

**Greater than 12-months from Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated greater than 12-months from the Note date of the subject transaction and having a 0x30x12 Housing History are allowed.

**Within 12-months of Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the subject transaction are not eligible.

## 3.7.10 CREDIT SCORE AND TRADELINES (11/10/2025)

- See First Lien criteria, Section 2.6.11 Credit Score and Section 2.6.12 Tradelines.
- Simultaneous Transaction: Minimum tradeline requirements are waived when the First Lien has an AUS Approve recommendation.

## 3.7.11 OBLIGATIONS NOT APPEARING ON CREDIT REPORT

See First Lien criteria, Section 2.6.13 Obligations Not Appearing on Credit Report.

# 3.8 ASSETS

THE FOLLOWING APPLY TO SIMULTANEOUS PURCHASE TRANSACTIONS.

## 3.8.1 ASSET REQUIREMENTS (10/21/2024)

Acceptable asset documentation is required to be included in each loan file for simultaneous seconds. The borrower must meet the minimum contribution amount per program requirements for the First Lien. Assets should be liquid or able to be liquidated without restriction by the borrower. The documentation requirement for all transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan Note date.

## 3.8.2 ASSET DOCUMENTATION (2/26/2024)

See First Lien criteria, Section 2.7.2 Asset Documentation.

## 3.8.3 RESERVES

- Simultaneous Transactions: Follow First Lien requirements.
- Stand-Alone Transactions: Reserves are not required.

# 3.9 INCOME

## 3.9.1 INCOME ANALYSIS

See First Lien criteria, Section 2.8.1 Income Analysis.

## 3.9.2 DEBT-TO-INCOME (DTI) RATIO

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Verus Program Matrix criteria, see matrix for requirements.

The DTI ratio consists of two components, the borrower's monthly debt obligations (housing payment for subject property and other property, consumer current debts) and the borrower's current monthly documented income.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, which includes:

- First Lien principal and interest payment, see Section 3.2.2 First Lien Qualifying Payment for First Lien qualifying payment requirements, and
- Monthly real estate taxes, insurance, and association dues (if applicable), and
- Qualifying payment for the subject loan

Real Estate Tax Payment for Subject Property:

- For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
    - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
- For refinance transactions, use the current tax assessment.

## 3.9.3 DOCUMENTATION OPTIONS

See First Lien criteria, Section 2.8.4 Documentation Options.

## 3.9.4 STANDARD DOCUMENTATION

See First Lien criteria, Section 2.8.5 Standard Documentation.

## 3.9.5 ALT DOC BANK STATEMENTS (2/26/2024)

See First Lien criteria, Section 2.8.6 Alt Doc Bank Statements.

## 3.9.6 ALT DOC – RENTAL INCOME

See First Lien criteria, Section 2.8.7 Alt Doc Rental Income.

# 3.9.7 ALT DOC – PROFIT & LOSS STATEMENT (P&L) WITH TWO MONTHS BANK STATEMENTS (03/09/2026)

Permitted for self-employed borrowers with a minimum of 25% ownership of the business. The Profit & Loss Statement (P&L) must be prepared by one of the following individuals with knowledge of the business sufficient to prepare a P&L Statement: Third party Certified Public Accountant (CPA), an IRS Enrolled Agent (EA), a CTEC registered tax preparer, or a Tax Attorney. PTIN is not allowed.

- Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be completed with a minimum of two (2) years self-employment history.
- Required documentation:
  - 12- or 24- month CPA, EA, CTEC, or Tax Attorney prepared P&L Statement representing total business sales and expenses for the time period covered by the P&L Statement.
  - Two (2) months business bank statements for the most recent two (2) months reflected on the P&L statement.
    - Deposits must support 80% of the monthly average sales/revenue reported on the P&L. If most recent 2 months business bank statements do not support 80% of the monthly average sales/revenue, continuous bank statements may be added to the analysis until the tolerance is met.
    - Non-sufficient fund occurrences reported on the most recent two (2) months bank statements are not allowed.
  - Preparer to provide a signed document with all of the following:
    - Confirmation business has been in existence for a minimum of two (2) years
    - Indicate borrower's ownership percentage of the business
    - Confirmation the preparer completed or filed the most recent business tax return
  - Current/active license or certification for the preparer:
    - State CPA license number as verified by license or screenshot from state licensing authority
    - IRS Enrolled Agent (EA) certification from IRS (e.g., screenshot of IRS web site)
    - CTEC certification from California (e.g., screenshot of CTEC web site)
    - State Attorney license number as verified by license or screenshot from state licensing authority

## 3.9.7.1 Qualifying Income (11/10/2025)

- Net income from the P&L Statement divided by the time period covered (12- or 24- months) multiplied by the borrower's ownership percentage.
- Expenses on the P&L must be reasonable for the industry, Verus reserves the right to request additional information.
- The following may be added back to the qualifying income calculation:
  - Depreciation
  - Depletion
  - Amortization/Casualty Loss

## 3.9.7.2 Restrictions (11/10/2025)

- P&L Statement reviewed or prepared by a PTIN not allowed.

- Ineligible: Nonprofit or Not-For-Profit business.
- Verus reserves the right to request additional documentation when a Third party Certified Public Accountant (CPA), IRS Enrolled Agent (EA), CTEC registered tax preparer, or Tax Attorney prepares P&L Statements for multiple borrowers.
- P&L Statement is ineligible when completed by an employee of the Seller or completed by any parties with a vested interest in the subject property or mortgage transaction.

## 3.9.8 ALT DOC - IRS FORM 1099

See First Lien criteria, Section 2.8.10 Alt Doc - IRS Form 1099.

## 3.9.9 ALT DOC - WRITTEN VERIFICATION OF EMPLOYMENT (04/21/2025)

A written Verification of Employment (WVOE) may be utilized when documenting wages/salary income. The following criteria applies:

- Two year history with the same employer is required.
- Completed FNMA Form 1005.
- Primary Residence, Second Home, and Investment allowed.
- Paystubs, Tax Returns, 4506-C, or W-2's not required.
- Must be completed by Human Resource, Payroll Department or Officer of the Company.
- Two (2) Months Personal Bank Statements required to support the WVOE. The bank statements must reflect deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE.
- No gift funds allowed.
- Borrower(s) employed by family members or related individuals are not eligible.
- An internet search of the business is required with documentation to be included in the credit file to support the existence of the business.
- Other sources of income, documented using Alt Doc, are eligible and can be used to determine total household qualifying income.
    - For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income such as rental income can be included.

## 3.9.10 DESKTOP UNDERWRITER (DU) AND LOAN PRODUCT ADVISOR (LPA) (11/10/2025)

- Simultaneous purchase transactions only
- Final AUS findings must be included in the loanfile:
    - Fannie Mae: DU Approve/Eligible, or
    - Freddie Mac: LPA Accept/Eligible
- AUS Findings: Ineligible, Caution, or Refer with Caution not allowed
- Findings permitted to be used for income, asset, and liability documentation
- Findings permitted to be used to meet minimum tradeline requirements

- Appraisal must follow the requirements of this Closed End Second program
  - Appraisal waiver option from DU or LPA findings not eligible
- Max DTI based upon CLTV restrictions for this Closed End Second program

# 3.10 PROPERTY ELIGIBILITY

## 3.10.1 APPRAISALS (10/21/2024)

When a full appraisal is utilized for the value determination, see First Lien criteria as follows:

- Section 2.10.1.1 Appraisal Requirements 1-4 Unit Residential
- Section 2.10.1.1.1 Appraiser License and Certification
- Section 2.10.1.1.2 Appraisal Age
- Section 2.10.1.1.4 Appraisal Evaluation

### 3.10.1.1 Appraisal Requirements 1-4 Unit Residential (11/10/2025)

Primary valuation and secondary valuation (appraisal review) are required for all loan files.

Primary valuation products are referenced below. See Section 3.10.1.3 Appraisal Review Products 1-4 Residential for eligible valuation products.

**HPML loans that are not Qualified Mortgages require a full appraisal with an interior inspection, regardless of the loan balance.**

**Primary Valuation - Loan Amount <=$400,000**

Provide one of the following:

- AVM from an approved vendor with an acceptable FSD score **and** a new Property Condition Report with acceptable findings
  - AVM may not be more than 90 days old at closing (date the Note is signed)
- Exterior Drive-By appraisal (Hybrid or 2055 or 1075)
  - Only allowed for one (1) unit property, with or without an accessory dwelling unit (ADU)
- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 12-months of subject loan Note date allowed subject to the following:
  - The lender on the prior appraisal must be the same as the subject loan, and
  - A new Property Condition Report with acceptable findings, and
  - Recertification of value by the original appraiser
- Broker Price Opinion (BPO) from one of the following:
  - Clear Capital, or
  - Consolidated Analytics, or
  - Computershare, or
  - Stewart Valuation Intelligence

**Primary Valuation - Loan Amount >$400,000**

Provide one of the following:

- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 12-months of subject loan Note Date allowed subject to the following:
  - The lender on the prior appraisal must be the same as the subject loan, and
  - A new Property Condition Report with acceptable findings, and
  - Recertification of value by original appraiser, and
  - AVM from an approved vendor with an acceptable FSD score
    - AVM may not be more than 90 days old at closing (date the Note is signed)
    - The lower of the Prior Appraisal value or the current AVM will be used to determine CLTV

#### 3.10.1.1.1 AVM VENDORS (07/15/2024)

| THE FOLLOWING AVM VENDORS ARE ACCEPTABLE: | |
|---|---|
| **AVM Vendor** | **Acceptable FSD Score Range** |
| Clear Capital | 0.00 to 0.13 |
| Collateral Analytics | 0.00 to 0.10 |
| House Canary | 0.00 to 0.10 |
| Red Bell Real Estate (Homegenius) | 0.00 to 0.10 |

#### 3.10.1.1.2 PROPERTY CONDITION REPORTS

When required, a Property Condition Report (i.e., Clear Capital Property Condition Inspection) should be obtained to include an exterior photo of the subject property along with a rating of the property's physical condition and characteristics.

### 3.10.1.2 Appraisal Transfers (2/26/2024)

A transferred appraisal report is acceptable provided the report meets the Seller's appraisal requirements for independence.

### 3.10.1.3 Appraisal Review Products 1-4 Unit Residential (04/21/2025)

An appraisal review product (secondary valuation) is required on every loan file unless a second appraisal is obtained. The appraisal review product should provide an "as is" value for the subject property (the "Appraisal Review Value") as of the date of the subject loan transaction.

- The Seller may submit the appraisal report to Collateral Underwriter® (CU) or Loan Collateral Advisor® (LCA). An eligible score is 2.5 or less. The file must include a copy of the Submission Summary Report (SSR).
  - Only one score required, if both scores (CU & LCA) provided, both required to be 2.5 or less.
  - If the score exceeds 2.5, the file must include either an enhanced desk review, field review, or second appraisal; or

- An enhanced desk review product from one of the following choices:
  - ARR from Stewart Valuation Intelligence FKA Pro Teck
  - CDA from Clear Capital
  - ARA from Computershare
  - CCA from Consolidated Analytics
  - VRR from Homegenius Real Estate
  - Valreview Appraisal Review Value from Valligent (Veros Software Company)
- If the enhanced desk review or BPO product reflects a value more than 10% below the appraised value or cannot provide a validation, the file must include either a field review or a second appraisal. A field review or a second appraisal is acceptable. These may not be from the same appraiser or appraisal company as the original report.
- AVM from an approved vendor with an acceptable FSD score.
  - AVM may not be more than 90 days old at closing (the date the Note is signed).
  - If primary valuation is based on an AVM, review must be from a different vendor.
  - If two AVMs are ordered, the AVM with the highest FSD score (closest to zero) will be treated as the primary valuation product.
    - The second AVM will be treated as the secondary valuation product and must support the primary AVM within 10%. If the second AVM does not support the primary AVM within 10%, the file must include either a BPO, exterior-only appraisal, or full appraisal.
    - If both AVMs have the same FSD, the lower of the two property values must be utilized for determining the CLTV.
- Broker Price Opinion (BPO)
  - If two BPOs are ordered, the BPO with the lowest value will be treated as the primary valuation product.
  - If two BPOs are ordered, they must be completed by different brokers.

## 3.10.1.4 Minimum Property Requirements

| MINIMUM SQUARE FOOTAGE | | |
|---|---|---|
| **Single Family**<br>700 square feet | **Condominium**<br>500 square feet | **2-4 Units**<br>400 square feet per individual unit |

All properties must:

- Be improved real property.
- Be accessible and available for year-round residential use.
- Contain a full kitchen and a bathroom.
- Represent the highest and best use of the property.
- Not contain any health or safety issues.

## 3.10.1.5 Personal Property

- See First Lien criteria, Section 2.10.1.5 Personal Property.

### 3.10.1.6 Escrow Holdbacks

- Escrow holdbacks are not allowed.

### 3.10.1.7 Declining Markets

The loan transaction is subject to a CLTV cap if the property is in a declining market, see matrix for restrictions. Declining markets are determined by a) property location in a State identified by Verus, or b) the appraisal report reflects a declining market under housing trends.

## 3.10.2 PROPERTY TYPES

### 3.10.2.1 Eligible Properties (07/15/2024)

- Single Family Detached
  - Up to two accessory dwelling units (ADU) are allowed, see Section 2.10.1.1.4 Appraisal Evaluation - Accessory Dwelling Units for eligibility criteria.
- Single Family Attached
- Planned Unit Development (PUD)
  - Single Family Detached homes with PUD riders
- De minimus Planned Unit Development (dPUD)
  - PUD with "de minimus" monthly HOA dues
- 2-4 Unit residential properties
- Condominium

#### 3.10.2.1.1 TILA HIGHER PRICED MORTGAGE LOANS (HPML) APPRAISAL RULE 1026.35(A)(1) (PROPERTY FLIPS)

- See First Lien criteria, Section 2.10.2.1.1 TILA Higher Priced Mortgage Loans Appraisal Rule.

### 3.10.2.2 Ineligible Properties (04/21/2025)

- Leaseholds
- Properties currently listed for sale or previously listed for sale within the past 6-months.
- Properties with more than 10 acres.
- Rural property, classified as rural if:
  - The appraiser indicates in the neighborhood section of the report a rural location; or
  - Any of the following two (2) conditions exist:
    - The property is located on an unpaved road.
    - Two of the three comparable properties are more than five (5) miles from the subject property.
    - Less than 25% of the surrounding area is undeveloped.
- For other ineligible properties, see First Lien criteria Section 2.10.2.2 Ineligible Properties.

## 3.10.3 ACREAGE LIMITATIONS (11/10/2025)

- A maximum of 10 acres, not meeting the definition of rural
- No truncating allowed

## 3.10.4 LEASEHOLD PROPERTIES

Leasehold properties are not eligible.

## 3.10.5 DISASTER AREAS (07/15/2024)

- If a full appraisal is utilized (e.g., form 1004, 1073, 1025), see First Lien Section 2.10.5 Disaster Areas.
- If other appraisal products (e.g., exterior-only form 2055/2075, AVM, BPO) are completed before the disaster, see First Lien criteria Section 2.10.5 Disaster Areas.

## 3.10.6 CONDOMINIUM PROJECTS (2/26/2024)

See First Lien criteria, Section 2.10.6 Condominium Projects.

### 3.10.6.1 Ineligible Projects

- Condominium Hotel – (a.k.a. Condo Hotel, Condotel)
- See First Lien criteria, Section 2.10.6.5 Ineligible Projects for additional ineligible projects

### 3.10.6.2 Condominium Insurance Requirements

See First Lien criteria, Section 2.10.6.6 Condominium Insurance Requirements.

# 3.11 TITLE REQUIREMENTS (2/26/2024)

## 3.11.1 TITLE REPORT

- **For loan balances less than or equal to $250,000**, provide one of the following:
    - Owner and Encumbrance Report (O&E), to include:
        - Current Grantee / Owner
        - How property was conveyed to current owner
        - Liens (e.g., mortgage, UCC, other financing)
        - Involuntary liens and judgments
        - Property Tax Information with break-down of all taxes including special assessments
        - Legal Description
    - ALTA Full Title Policy
    - ALTA Short Form Residential Limited Coverage Junior Loan Policy

- **For loan balances greater than $250,000,** provide one of the following:
  - ALTA Full Title Policy
  - ALTA Short Form Residential Limited Coverage Junior Loan Policy

### 3.11.2 SOLAR PANELS (2/26/2024)

Solar panels are allowed unless they are financed through PACE, HERO, or equivalent. See criteria in Section 1.8.2.11 Solar Panels.

## 3.12 INSURANCE REQUIREMENTS

### 3.12.1 PROPERTY INSURANCE

- Hazard insurance coverage must provide for claims to be settled on a replacement cost basis
  - See First Lien Section 1.8.2.7 Property Insurance for additional clarification
- Loss payee clause must reflect the Seller as additional insured

### 3.12.2 FLOOD INSURANCE

- Flood determination required for every loan file
- Properties within a flood zone require evidence of insurance coverage in accordance with the HFIAA
  - See First Lien Section 1.8.2.9 Flood Insurance for additional clarification
- Loss payee clause must reflect the Seller as additional insured

# CHAPTER 4 - HOME EQUITY LINE OF CREDIT ELIGIBILITY

Home Equity Line of Credit (HELOC) loans submitted to Verus must meet the eligibility criteria of the current published Verus Correspondent Non-Agency Seller Guide.

Purchase eligibility due diligence will be completed at the direction of Verus Mortgage Capital. Reliance Letter diligence is not allowed.

HPML requirements do not apply to Home Equity Lines of Credit.

Seller is responsible for originating loans that comply with all applicable state laws, see Section 1.4.5 Regulatory Compliance.

Follow policy and procedures not referenced in this section, see Chapter 1 Doing Business with Verus.

## 4.1 LOAN EXCEPTIONS

Exceptions to published eligibility criteria will not be considered for HELOCs.

## 4.2 PROGRAM MATRIX (07/15/2024)

See current Loan/HCLTV Matrix located on the Verus website: www.verusmc.com.

### 4.2.1 ELIGIBLE PRODUCTS

The following loan products are eligible for purchase by Verus:

| PRODUCT | QUALIFYING RATE | INDEX | DRAW PERIOD | REPAYMENT TERM | TOTAL TERM |
|---|---|---|---|---|---|
| **15 YR HELOC** | Index plus Margin | WSJ Prime Rate | 2 YEAR | 13 YEARS | 15 YEARS |
| **15 YR HELOC** | Index plus Margin | WSJ Prime Rate | 3 YEAR | 12 YEARS | 15 YEARS |
| **15 YR HELOC** | Index plus Margin | WSJ Prime Rate | 5 YEAR | 10 YEARS | 15 YEARS |
| **20 YR HELOC** | Index plus Margin | WSJ Prime Rate | 2 YEAR | 18 YEARS | 20 YEARS |
| **20 YR HELOC** | Index plus Margin | WSJ Prime Rate | 3 YEAR | 17 YEARS | 20 YEARS |
| **20 YR HELOC** | Index plus Margin | WSJ Prime Rate | 5 YEAR | 15 YEARS | 20 YEARS |
| **25 YR HELOC** | Index plus Margin | WSJ Prime Rate | 2 YEAR | 23 YEARS | 25 YEARS |
| **25 YR HELOC** | Index plus Margin | WSJ Prime Rate | 3 YEAR | 22 YEARS | 25 YEARS |
| **25 YR HELOC** | Index plus Margin | WSJ Prime Rate | 5 YEAR | 20 YEARS | 25 YEARS |
| **30 YR HELOC** | Index plus Margin | WSJ Prime Rate | 2 YEAR | 28 YEARS | 30 YEARS |
| **30 YR HELOC** | Index plus Margin | WSJ Prime Rate | 3 YEAR | 27 YEARS | 30 YEARS |
| **30 YR HELOC** | Index plus Margin | WSJ Prime Rate | 5 YEAR | 25 YEARS | 30 YEARS |

## 4.2.2 GENERAL REQUIREMENTS (03/09/2026)

- Variable Rate:
  - Index: Prime as published in the Wall Street Journal (WSJ)
  - Margin: See Rate Sheet
    - Maximum margin must be less than or equal to 4% for Tennessee
  - Floor Rate: 4.0
  - Maximum Rate: 18%
  - Daily Periodic Interest Rate: Index plus Margin
  - Finance Charges: Interest accrues on the day of an advance and continues until the outstanding balance is paid in full. Interest is calculated daily based upon Daily Periodic Rate and daily balance.
- Draw Period: 2 year, 3 year, or 5 year
- Advances:
  - Initial Advance: Minimum 50% of total line amount
  - Minimum Advance: $1,000.00
  - Maximum Advance: Line Amount
  - Lock-out Period: Advances not available for a period of 90-days after closing to allow for servicing transfer.
  - Access to advances: Checks or phone request
- Minimum Payment:
  - Draw Period: Interest only calculation, greater of accrued interest or $100.
  - Repayment Period: Amortizing principal and interest payment based upon the total line amount, repayment term, current rate (Index plus Margin).
- Maturity Date: 1st of the Month/Year based on total loan term.
- HELOC Agreement Fees
  - Return Check $25.00
  - Stop Payment $50.00
  - Annual Fee $25.00
- Late Charge applied as follows:
  - 5% or the maximum allowed under state law, and
  - Any payment received after the 10th calendar day, or the minimum allowed under state law
- Interest Accrual – Actual/365
- Prepaid interest is not permitted
- HELOC Purchase and Settlement by Verus:
  - Verus uses the initial advance at the time of purchase to determine final settlement price. If the initial advance has been paid down by the borrower prior to purchase by Verus, the final settlement price will be based on the current HELOC balance.

## 4.2.3 LOAN AMOUNTS (04/21/2025)

- Minimum: $50,000
- Maximum: $500,000



Non-Agency (Non-QM) – Home Equity Line of Credit

## 4.2.4 HOME EQUITY COMBINED LOAN TO VALUE (HCLTV) AND COMBINED LOAN BALANCE (11/10/2025)

- Maximum line amount of the HELOC combined with the total outstanding balance of the First Lien are used for the HCLTV ratio.
- Maximum line amount of the HELOC combined with the total outstanding balance of the First Lien not to exceed $2,000,000.

## 4.2.5 MINIMUM CREDIT SCORE

- Minimum: 680

## 4.2.6 QUALIFYING PAYMENT (11/10/2025)

The HELOC qualifying payment is calculated as follows:

- Amortizing principal and interest payment based upon the maximum line amount, repayment term, current rate (Index plus Margin)
  - Index: Prime rate as published in the Wall Street Journal (daily)
  - Margin: Published in the Verus rate sheet

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, see Section 4.11.2 Debt-to-Income (DTI) Ratio.

## 4.2.7 STATE ELIGIBILITY

See the Verus matrix for State eligibility restrictions including overlays.

### 4.2.7.1 New York – CEMA

Consolidation, Extension, and Modification Agreement (CEMA) not eligible.

### 4.2.7.2 Tennessee (11/10/2025)

Maximum total loan term is 15 years.

### 4.2.7.3 Texas (11/10/2025)

HELOCs in Texas are ineligible.



Non-Agency (Non-QM) – Home Equity Line of Credit

# 4.3 FIRST LIEN ELIGIBILITY

## 4.3.1 FIRST LIEN DOCUMENTATION REQUIREMENTS

Verify the First lien P&I payment with all the following:

- Copy of First lien Note
    - Default interest rate on Note cannot exceed Note rate
    - If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements)
- Copy of most recent monthly mortgage payment statement
    - Utilized to determine if payment includes escrows (See DTI Requirements)

## 4.3.2 FIRST LIEN QUALIFYING PAYMENT

First Lien qualifying payment for the debt-to-income (DTI) ratio:

- Fixed Rate: Note rate amortized over the total term.
- Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or Note rate.
- Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, see Section 4.11.2 Debt-to-Income (DTI) Ratio.

## 4.3.3 INELIGIBLE FIRST LIENS (04/21/2025)

First Liens with the following high-risk features are not eligible:

- Loans in active forbearance or deferment
- Forbearance, modifications, or deferrals (including COVID-19 related events) completed or reinstated within 12-months of the Note date
- Negative amortization payment including loans with Paid-In-Kind (PIK) features
- Balloon term, if the balloon payment becomes due during the amortization period of the new Second lien
- Reverse Mortgages
- Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages
- Home Equity Line of Credit
- Note terms that include a default interest rate greater than the Note rate

## 4.4 AGE OF DOCUMENT REQUIREMENTS

### 4.4.1 CREDIT REVIEW DOCUMENTATION (10/21/2024)

The following documents may not be more than 120 days old at closing (the date the Note is signed):

- Income verification/paystubs
- Asset documents/bank statements
- Credit Report

The following documents may not be more than 60 days old at closing (the date the Note is signed):

- Title Commitment/Preliminary Report/Binder
- Owner & Encumbrance Report (O&E)

Any credit review documents exceeding these timeframes must be updated.

### 4.4.2 APPRAISAL

- Full Appraisal (FNMA Form 1004/1025/1073) and Exterior Drive-By Appraisal (2055/1073) must be dated within 120- days of the Note date.
  - New appraisal is required after 120 days. Appraisal Update 1004D (aka Recertification of Value) is not allowed.
- AVMs must be dated within 90-days of the Note date.

## 4.5 UNDERWRITING REQUIREMENTS

- FNMA Form 1003 – Current version of the Uniform Residential Loan Application.
- All loans must be manually underwritten. Automated underwriting is not allowed.

## 4.6 VERUS EXPOSURE – BORROWER LIMITATIONS

Verus' aggregate exposure to a single borrower and/or household shall not exceed $5,000,000 in current unpaid principal balance (UPB) or ten (10) loans.

## 4.7 BORROWER ELIGIBILITY

Maximum of four (4) borrowers per loan.

## 4.7.1 ELIGIBLE BORROWERS

- U.S. Citizens, see First Lien criteria Section 2.4.1.1 US Citizen
- Permanent Resident Aliens, see First Lien criteria Section 2.4.1.2 Permanent Resident Alien

## 4.7.2 INELIGIBLE BORROWERS

- Non-Permanent Resident Aliens
- Foreign Nationals
- Non-occupant co-borrowers
- Borrowers with diplomatic immunity, as defined by US Citizenship and Immigration Services
- Persons sanctioned by OFAC
- Any borrowers listed on HUD's Limited Denial of Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list

## 4.7.3 TITLE VESTING AND OWNERSHIP

Subject property must be owned a minimum of 12 months to be eligible, as measured from property acquisition date (Note date) to the subject transaction Note date.

### 4.7.3.1 Vesting Requirements (11/10/2025)

Ownership must be fee simple. Leaseholds are not eligible.

**Eligible forms of vesting are:**

- Individuals
- Joint tenants
- Tenants in Common
- Inter Vivos Revocable Trust
- Illinois Land Trust

**Ineligible forms of vesting are:**

- Vesting in an entity
- Blind Trust
- Irrevocable Trust
- IRAs
- Land Trust
- Life Estate

#### 4.7.3.1.1 INTER VIVOS REVOCABLE TRUST

See First Lien criteria, Section 2.4.7.1.1 Inter Vivos Revocable Trust.

### 4.7.3.2 Power of Attorney

Power of Attorney is not eligible.

### 4.7.4 OCCUPANCY TYPES

See First Lien criteria, Section 2.4.8 Occupancy Types.

### 4.7.5 BORROWER STATEMENT OF OCCUPANCY

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification" found in the Occupancy Certification of this guide.

### 4.7.6 BORROWER STATEMENT OF BUSINESS PURPOSE (10/21/2024)

All investment occupancy loans are considered business purpose transactions and require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections of the Borrower Certification of Business Purpose form in this guide. Verus reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.

Common occupancy red flags include, but are not limited to:

- Subject property value significantly exceeds the value of the borrower's primary residence.
- The borrower is a first time homebuyer (FTHB) and currently living rent free or renting his/her primary residence.
- Subject property could reasonably function as a second home.
- Borrower documents show subject property as current residence.

## 4.8 TRANSACTION TYPES

### 4.8.1 ELIGIBLE TRANSACTIONS

#### 4.8.1.1 STAND ALONE CASH-OUT (11/10/2025)

Any transaction not used to purchase the subject property is considered cash-out.

- Subject property must be owned a minimum of 12-months (on title) to be eligible, as measured from property acquisition date (Note date) to the subject transaction Note date.
- Current appraised value may be used for HCLTV.
- Loans not eligible for cash-out:
    - Primary Residence, Second Home, or Non-Owner Occupied properties listed for sale in the past six (6) months
    - There has been a prior cash-out transaction within the past six (6) months
    - Lien Free Properties – If the subject property is lien free, including delayed financing, ineligible
    - Frequent Refinances – Two (2) or more cash-out refinances in the past twelve (12) months

- All existing subordinate liens must be satisfied. No resubordinating permitted.
- Payoff of a Land Contract/Contract for Deed.

### 4.8.2 LISTING SEASONING

Properties currently listed for sale or previously listed for sale within the past 6 months are ineligible.

### 4.8.3 ESCROWS – IMPOUND ACCOUNTS (04/21/2025)

- Escrow accounts are not permitted on second lien programs.
- If the property is located in a flood zone, evidence of flood insurance is required.

### 4.8.4 SUBORDINATE FINANCING

All existing subordinate liens must be satisfied. Subordinate financing is not allowed.

### 4.8.5 PREPAYMENT PENALTY

Prepayment penalty is not permitted.

## 4.9 CREDIT

### 4.9.1 CREDIT REPORTS

A credit report is required for each individual borrower. The credit report should provide merged credit data from the three major credit repositories: Experian, TransUnion, and Equifax. Either a tri-merged credit report, or a Residential Mortgage Credit Report is required. Rapid rescoring is not allowed.

The credit report used to evaluate a loan may not reflect a security freeze. Any frozen credit must be unlocked, and a new credit report (tri-merge or Residential Mortgage Credit Report) must be obtained to reflect current and updated information from all repositories.

HAWK Alert messages:

- All HAWK Alert messages must be addressed and resolved. Documentation to evidence resolution must be included in the loan file.

### 4.9.2 GAP CREDIT/UNDISCLOSED DEBT

A gap credit report or Undisclosed Debt Monitoring (UDM) report is required no more than 10 days prior to loan closing or any time after closing. Any new debt must be included in determining the DTI ratio.

## 4.9.3 FRAUD REPORT AND OFAC SEARCH (07/15/2024)

- Fraud Report: See First Lien criteria, Section 2.6.3.1 Fraud Report for additional requirements.
- OFAC SDN search - Individuals: See First Lien criteria, Section 2.6.3.2.1 OFAC Search - Individuals for additional requirements.

## 4.9.4 CREDIT INQUIRIES

Credit inquiries are to be addressed. See First Lien criteria, Section 2.6.4 Credit Inquiries.

## 4.9.5 HOUSING HISTORY (11/10/2025)

- Housing payment history is required for all Real Estate Owned (REO) evidencing the payment activity for the most recent 12-months.
- For refinances, most recent 12-month housing payment history is required for all mortgages secured by the subject property.
- All payment history will be used for program eligibility.
- Housing payments must be paid current as of month prior to the loan application date.
- Any REO listed on the application owned free & clear requires a Property Profile Report or similar document
  - Property taxes, all insurance, and homeowner's association (HOA) dues if applicable, are to be verified and included in DTI
- Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting paid as agreed.
- If income is being used from a non-subject REO, a housing history is required.
  - Applies to properties vested to an individual or entity.
  - Mortgage liability must be factored in to the net rental income used for qualification.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.

### 4.9.5.1 Mortgage Verification (11/10/2025)

The Seller must review mortgage history documentation to determine the payment status of all mortgage accounts. Rolling late payments are not considered a single event. Each occurrence of contractual delinquency is considered individually for loan eligibility.

- Credit report must be reviewed to determine the payment status of all reported mortgage accounts for the previous 12-months.
- Mortgages not reporting on the credit report or mortgages with an incomplete 12-month history, provide any of the following to complete the borrower's payment history:
  - Credit supplement, or
  - Verification of Mortgage (VOM) completed by the lender/servicer, or
  - Loan payment history from the lender/servicer, or

- Mortgage statements for the review period, provided the statements include a payment history, or
- Borrower's proof of payment (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method)

- When the **subject property** or the borrower's **primary residence** has a private party mortgage (e.g., individual, private lender, hard money lender), the following documentation is also required:
  - Borrower's proof of payment for the most recent 6-months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method); and
  - Copy of Note, review for the following high-risk feature:
    - Balloon Note with Maturity Default: Expired maturity date exceeding 30 days requires an extension to avoid being counted as delinquent (e.g., delinquent 31 days is 1x30 late, delinquent 61 days is 1x60 late, etc)

If subject transaction is a refinance, mortgage payoff statement is required from the creditor/servicer:

- Payoff statement that reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history and/or credit event criteria. Transaction is to be considered cash-out.

#### 4.9.5.2 Rental Verification (11/10/2025)

A 12-month rental history is required when the borrower is renting their current primary residence. Payment history is to be verified through one of the following:

- Verification of Rent (VOR) completed by the landlord; **or**
- Lease agreement and borrower's proof of payment for the most recent 12- months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, or electronic payment method)

### 4.9.6 CONSUMER CREDIT

See First Lien criteria, Section 2.6.6 Consumer Credit.

### 4.9.7 FORECLOSURE / DEED-IN-LIEU / SHORT SALE / PREFORECLOSURE / MORTGAGE CHARGE-OFF / NOTICE OF DEFAULT (10/21/2024)

Must be completed a minimum of 84 months. The length of time is measured from the settlement date to the Note date. In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

- Deed-In-Lieu of Foreclosure: Transaction in which the deed to the real property is transferred back to the servicer. These are typically identified on the credit report through Remarks Codes such as "Forfeit deed-in-lieu of foreclosure."

- Short Sale or Preforeclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less than the total amount owed, which was pre-approved by the servicer. These are typically identified on the credit report through Remarks Codes such as "Settled for less than full balance."
- Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain delinquency status and may be identified on the credit report with a manner of payment (MOP) code of "9."
- Notice of Default: Public notice filed with a court or local recording office to being the process of foreclosure.

### 4.9.8 BANKRUPTCY HISTORY

Recent bankruptcies are not allowed. Evidence of bankruptcy resolution is required. The length of time is measured from the discharge/dismissal date to the Note date.

- Bankruptcy must be completed a minimum of 84 months.
- In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

### 4.9.9 FORBEARANCE, MODIFICATION, OR DEFERRAL (07/15/2024)

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

**Greater than 12-months from Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated greater than 12-months from the Note date of the subject transaction and having a 0x30x12 Housing History are allowed.

**Within 12-months of Note Date:**

- Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the subject transaction are not eligible.

### 4.9.10 MULTIPLE DEROGATORY CREDIT EVENTS

Multiple derogatory credit events require seasoning of 84 months from the most recent event.

### 4.9.11 LAWSUITS

If the application, title, or credit documents indicate the borrower is involved in a lawsuit or litigation, the borrower is not eligible.



Non-Agency (Non-QM) – Home Equity Line of Credit

### 4.9.12 CREDIT SCORE

Loan eligibility is based upon the representative credit score, also referred to as the decision credit score. A valid decision credit score requires each borrower to have a minimum of two (2) credit scores.

- Determine a representative credit score for each borrower by using the middle of three (3) credit scores or lower of the two (2) scores.
- When the loan includes more than one borrower, use the lowest representative score amongst all borrowers.
- Rapid rescoring is not allowed.

### 4.9.13 TRADELINES

All borrowers whose income is used to qualify for the loan must have an established credit history. An established credit history is defined as a minimum of three (3) tradelines, one currently open and active for at least 24-months based upon the credit report pull date. The other two (2) must have been reported for a minimum of 12-months but can be open or closed.

### 4.9.14 OBLIGATIONS NOT APPEARING ON CREDIT REPORT

See First Lien criteria, Section 2.6.13 Obligations Not Appearing on Credit Report.

## 4.10 RESERVES

Reserves are not required.

## 4.11 INCOME

### 4.11.1 INCOME ANALYSIS

See First Lien criteria, Section 2.8.1 Income Analysis.

### 4.11.2 DEBT-TO-INCOME (DTI) RATIO

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Verus Program Matrix criteria, see matrix for requirements.

The DTI ratio consists of two components, the borrower's monthly debt obligations (housing payment for subject property and other property, consumer current debts) and the borrower's current monthly documented income.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, which includes:

- First Lien principal and interest payment, see Section 4.3.2 First Lien Qualifying Payment for First Lien payment requirements, and
- Monthly real estate taxes, insurance, and association dues (if applicable), and
- Qualifying payment for the subject loan

Real Estate Tax Payment for Subject Property:

- For construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
    - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
- For refinance transactions, use the current tax assessment.

## 4.11.3 STANDARD DOCUMENTATION

See First Lien criteria, Section 2.8.5 Standard Documentation.

## 4.11.4 ALT DOC BANK STATEMENTS (11/10/2025)

Personal bank statements or business bank statements may be used to document self-employment income. Bank statements held in a foreign bank with U.S. branches insured by the FDIC are acceptable.

Bank statements may be obtained from the borrower, or the Seller can use a third party asset vendor participating in the Fannie Mae Day 1 Certainty® process.

The Verus Business Bank Statement calculator is available for download from the www.verusmc.com website.

### 4.11.4.1 Restrictions

#### 4.11.4.1.1 PERSONAL/BUSINESS BANK STATEMENT REQUIREMENTS

- See the Verus Matrices for maximum LTV and DTI.
- Borrowers must be self-employed for at least two (2) years.
    - Less than two (2) years permitted if the borrower has been employed in the same line of work and same industry for at least two (2) years, with supporting documentation. Minimum length of self-employment is one (1) year.
- The employment section of the URLA must be completed with the self-employment history.
    - If nature of borrower's business cannot be determined from the URLA, a business narrative may be provided by the borrower, see Business Narrative Form.
- Document the borrower's length of ownership of the business through one of the following:
    - CPA Letter, or
    - Business License, or
    - Bank statement from 24 or more months prior to Note date reflecting activity, or

  - Other reasonable evidence of business activity.
- See Verus Matrices for maximum LTV and minimum credit score.
- Nonprofit or Not-For-Profit business not eligible.
- Income and expense documentation must be prepared or validated by an acceptable Third party source with knowledge of the borrower's business.
- Funds/Deposits in a IOLTA (Trust) ineligible source.
- Tax returns and 4506-C are not required for the bank statement program.
- Alt Doc income may be combined with other income sources that are documented as Standard Doc but not associated with self-employment, such as wage income from spouse or domestic partner. When wage income is combined with Alt Doc, a tax return is not required for the standard full income documentation. If the 4506-C form is provided, Box 8 should be checked to obtain a transcript of W-2 earnings.

### 4.11.4.2 Bank Statement Options/Income Analysis

In addition to the factors described in the 2.8.1 Income Analysis section of this guide, Sellers should consider the following:

- Deposits should be reviewed for consistency.
- Deposits from alternative payment processing applications (i.e., Square, Venmo) are eligible.
- Inconsistent or large deposits should be sourced or excluded from the analysis. The definition of an inconsistent or large deposit is any deposit exceeding 100% of the average monthly sales of the business.
- Changes in deposit pattern must be explained.
- Income documented separately, but included as deposits in the statement under review, must be backed out of deposits.
- Ineligible Deposits: IRS refunds, other refunds, reversals/adjustments, loans, credit card advances, other non-business related income (e.g., SSI, pension).

#### 4.11.4.2.1 PERSONAL BANK STATEMENT REVIEW

A personal bank account is held in the individual borrower(s) name. The following documentation requirements and analysis methods apply:

**Documentation Requirements**

- 12- or 24- months of consecutive PERSONAL bank statements, the most recent statement dated within 120-days of the Note date.
- Most recent two (2) months of BUSINESS bank statements.
- Verify that the borrower owns 20% of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent, reflecting the borrower's ownership percentage.

**Calculation Method**

- Only transfers or deposits from the business account(s) are eligible deposits. Qualifying income calculated using the sum of the total eligible deposits from the statements reviewed divided by the number of statements. The most recent bank statement must be consistent with the qualifying income.

- If the personal account is jointly owned, and the joint owner is not an owner of the business, deposits that are not readily identifiable as transfers from the business accounts or business deposits must be excluded unless sourced.
- ATM deposits may be included if a consistent pattern of such deposits is present.
- Two (2) months of business bank statements, which must:
  - Evidence activity to support business operations.
  - Reflect transfers to the personal account.

### 4.11.4.2.2 BUSINESS AND CO-MINGLED BANK STATEMENT REVIEW

A **business bank statement** used for ongoing operations of the business must reflect the name of the business as completed on the URLA or loan application.

- Verify that the borrower has ownership of at least 25% of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage.
- Net income from the analysis of the bank statements is multiplied by the borrower's ownership percentage to determine the borrower's qualifying income.

A **co-mingled bank statement** is a personal account used by a borrower for both business and personal use. A separate business account is not required.

- Verify that the borrower has 100% ownership of the business by providing one of the following:
  - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage.
- The borrower must be the sole owner of the business listed on the URLA or loan application.

Borrower and spouse with combined 100% ownership of the account are eligible.

### Standard Expense Ratio – 50%

**Documentation Requirements**

- A standard 50% expense factor will be applied to the total of eligible deposits.
- 12- or 24- months of consecutive business bank statements, the most recent statement dated within 120 days of the Note date.

**Income Calculation Method**

- Total deposits from all bank statements, less any inconsistent deposit(s), multiplied by 50%, multiplied by ownership percentage, divided by the number of bank statements reviewed.
- Deposits x (.50) x (ownership %) / 24 or 12 = qualifying income

Example: $360,000 x .50 = $180,000 x 1.00 = $180,000 / 12 = $15,000

#### 4.11.4.3 Non-Sufficient Funds

Non-sufficient funds (NSF) reflected on the bank statement(s) must be included in the income analysis. Multiple instances on the same day will be treated as one NSF occurrence.

One NSF occurrence is defined as any of the following on the same day:

- Transaction is reversed or declined.
- Transaction results in a negative balance.
- Transaction is designated as an NSF by the bank.
- Transaction includes overdraft protection fees that are not associated with a pre-arranged link to a savings account or line of credit.

Overdraft protection fees associated with a pre-arranged link to a savings account or line of credit are acceptable, as follows:

- Overdraft Protection from a Depository Account: Occurrences may be excluded if statements for the linked account confirm that (a) the linked account balance at the time of the transfer exceeded the amount of the overdraft transfer, and (b) the linked account's balance did not report as zero or negative at any point during the statement period of the transfer, and (c) the linked account did not itself receive overdraft protection proceeds during the statement period of the transfer.
- Overdraft Protection from a Line of credit: Occurrences may be excluded if statements for the linked account confirm that (a) the line's credit limit was not exceeded during the statement period of the transfer, and (b) a payment amount which equals or exceeds the sum of all overdraft protection occurrences analyzed in the statement period is made within 30 days after the statement close date.

**Restrictions for NSF Occurrences:**

- If there are one (1) or more occurrences in the most recent three-month time period, up to three (3) occurrences are allowed in the most recent 12-month time period.

If there are zero (0) occurrences in the most recent three-month time period, up to five (5) occurrences in the most recent 12-month time period are acceptable.

### 4.11.5 ALT DOC RENTAL INCOME

See First Lien criteria, Section 2.8.7 Alt Doc Rental Income.

### 4.11.6 PRE-CLOSE VERIFICATION OF EMPLOYMENT

See First Lien criteria, Section 2.8.5.3 Employment Status.

# 4.12 PROPERTY ELIGIBILITY

## 4.12.1 APPRAISALS (10/21/2024)

When a full appraisal is utilized for the value determination, see First Lien criteria as follows:

- Section 2.10.1.1 Appraisal Requirements 1-4 Unit Residential
- Section 2.10.1.1.1 Appraiser License and Certification
- Section 2.10.1.1.2 Appraisal Age
- Section 2.10.1.1.4 Appraisal Evaluation

### 4.12.1.1 Appraisal Requirements 1-4 Unit Residential (11/10/2025)

**Loan Amount <=$400,000**

Provide one of the following:

- AVM from an approved vendor with an acceptable FSD score **and** a new Property Condition Report with acceptable findings
  - AVM may not be more than 90 days old at closing (date the Note is signed)
- Exterior Drive-By appraisal (2055 or 1075)
  - Only allowed for one (1) unit property, with or without an accessory dwelling unit (ADU)
- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 6- months of subject loan Note date allowed subject to the following:
  - The lender on the prior appraisal must be the same as the subject loan, and
  - A new Property Condition Report with acceptable findings, and
  - Recertification of value by the original appraiser.

**Loan Amount >$400,000**

Provide one of the following:

- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 6- months of subject loan Note date allowed subject to the following:
  - The lender on the prior appraisal must be the same as the subject loan, and
  - A new Property Condition Report with acceptable findings, and
  - Recertification of value by original appraiser, and
  - AVM from an approved vendor with an acceptable FSD score.
    - AVM may not be more than 90 days old at closing (date the Note is signed).
    - The lower of the Prior Appraisal value or the current AVM will be used to determine HCLTV.

#### 4.12.1.1.1 AVM VENDORS (07/15/2024)

| THE FOLLOWING AVM VENDORS ARE ACCEPTABLE: | |
|---|---|
| **AVM Vendor** | **Acceptable FSD Score Range** |
| Clear Capital | 0.00 to 0.13 |
| Collateral Analytics | 0.00 to 0.10 |
| House Canary | 0.00 to 0.10 |
| Red Bell Real Estate (Homegenius) | 0.00 to 0.10 |

#### 4.12.1.1.2 PROPERTY CONDITION REPORTS (10/21/2024)

When required, a Property Condition Report (i.e., Clear Capital Property Condition Inspection) should be obtained.

Requirements:

- Exterior inspection of the property
- Exterior photo(s) of the subject property
- Rating of the property's physical condition and characteristics

### 4.12.1.2 Appraisal Transfers

Transferred appraisal report is ineligible.

### 4.12.1.3 Appraisal Review Products 1-4 Unit Residential

An appraisal review product (secondary valuation) is not required.

## 4.12.2 MINIMUM PROPERTY REQUIREMENTS

| MINIMUM SQUARE FOOTAGE | | |
|---|---|---|
| **Single Family**<br>700 square feet | **Condominium**<br>500 square feet | **2-4 Units**<br>400 square feet per individual unit |

All properties must:

- Be improved real property.
- Be accessible and available for year-round residential use.
- Contain a full kitchen and a bathroom.
- Represent the highest and best use of the property.
- Not contain any health or safety issues.



Non-Agency (Non-QM) – Home Equity Line of Credit

## 4.12.3 ESCROW HOLDBACKS

Escrow holdbacks are not allowed.

## 4.12.4 DECLINING MARKETS

The loan transaction is subject to an HCLTV cap if the property is in a declining market, see matrix for restrictions. Declining markets are determined by a) property location in a State identified by Verus, or b) the appraisal report reflects a declining market under housing trends.

## 4.12.5 PROPERTY TYPES

### 4.12.5.1 Eligible Properties (11/10/2025)

- Single Family Detached
  - Only one accessory dwelling unit (ADU) is allowed, see Section 2.10.1.1.4 Appraisal Evaluation Accessory Dwelling Units for eligibility criteria
- Single Family Attached
- Planned Unit Development (PUD)
  - Single Family Detached homes with PUD riders
- De minimus Planned Unit Development (dPUD)
  - PUD with "de minimus" monthly HOA dues
- 2-4 Unit residential properties
- FNMA Warrantable Condominium

### 4.12.5.2 Ineligible Properties (11/10/2025)

- Leaseholds
- Non-Warrantable condominium projects
- Property with more than 10 acres
- Vacant land or land development properties
- Properties not readily accessible by roads that meet local standards
- Properties not suitable for year-round occupancy, regardless of location
- Properties with zoning violations, illegal use, or unpermitted additions/alterations
- Properties zoned agricultural, commercial, or industrial
- Properties with agricultural features (e.g., vineyards, farms, hobby farms, ranches, orchards, equestrian facilities)
- Mixed-Use properties
- Unique Properties
- Manufactured or Mobile homes
- Modular homes

- Units subject to timeshare arrangements
- Properties with fractional ownership
- Units in a Co-op development
- Properties used as boarding houses, bed/breakfast, or single room occupancy (e.g., pad split)
- Properties used as healthcare facilities (e.g., assisted living, elder care, recovery/treatment)
- Properties with nonresidential, income-producing structures on premise (e.g., billboards, cell phone towers, commercial workshop)
- Dome or geodesic properties
- Properties on Native American Land (Reservations)
- Log homes
- Hawaii:
  - Properties located in lava zones 1 and/or 2
  - Properties located inside of a coastal erosion hazard zone
  - Properties that are on the coast are subject to additional review prior to approval
- Houseboats
- Any project in litigation, arbitration, mediation, or other dispute regarding safety, soundness, or habitability.
- Properties used for the cultivation, distribution, manufacture, or sale of marijuana
- Rural property, classified as rural if:
  - The appraiser indicates in the neighborhood section of the report a rural location; or
  - Any of the following two (2) conditions exist:
    - The property is located on an unpaved road.
    - Two of the three comparable properties are more than five (5) miles from the subject property.
    - Less than 25% of the surrounding area is undeveloped.
- Properties currently listed for sale or previously listed for sale within the past 6-months
- Barn style building, barndominium
- Properties with condition rating of C5/C6 or quality rating of Q6 on the appraisal
- Single Family Detached with two or more accessory dwelling units (ADU)

## 4.12.6 ACREAGE LIMITATIONS (11/10/2025)

- A maximum of 10 acres, not meeting the definition of rural
- No truncating allowed

## 4.12.7 LEASEHOLD PROPERTIES

Leasehold properties are not eligible.

## 4.12.8 PRIVATE ROADS

Require a permanent easement for ingress and egress with provisions for road maintenance.

## 4.12.9 DISASTER AREAS (07/15/2024)

- If a full appraisal is utilized (e.g., form 1004, 1073, 1025), see First Lien criteria Section 2.10.5 Disaster Areas.
- If other appraisal products (e.g., exterior-only form 2055/2075, AVM) are completed before the disaster, see First Lien criteria Section 2.10.5 Disaster Areas.

## 4.12.10 CONDOMINIUM PROJECTS (04/21/2025)

Fannie Mae® warrantable projects are eligible, subject to the following:

- The Seller may review and approve Fannie warrantable projects.
- The Fannie Mae® Limited or Full Project Review Process/Criteria may be used to determine project eligibility.
- All Loan secured by condominium projects require a completed Condominium Project Questionnaire.
- Any projects with significant deferred maintenance or have received a directive from a regulatory or inspection agency to mark repairs due to unsafe conditions are not eligible for purchase. Significant deferred maintenance includes deficiencies that meet one or more of the following criteria:
  - Full or partial evacuation of the building to complete repairs is required for more than seven days or an unknown period of time
  - The project has deficiencies, defects, substantial damage, or deferred maintenance that
    - is severe enough to affect the safety, soundness, structural integrity, or habitability of the improvements;
    - the improvements need substantial repairs and rehabilitation, including many major components; or
    - impedes the safe and sound functioning of one or more of the building's major structural or mechanical elements, including but not limited to the foundation, roof, load bearing structures, electrical system, HVAC, or plumbing.
- Verus Mortgage Capital will not purchase loans secured by units in any condo project identified by FNMA as "Unavailable" by Condo Project Manager (CPM).
- Non-warrantable projects are not eligible.
- Projects consisting entirely of detached (site) units will not require a project review and are eligible for single-family dwelling LTV/HCLTV.
- Two-to-four-unit condominium projects will not require a project review provided the following are met:
  - The project is not a condo hotel (condotel), houseboat, or timeshare or segmented-ownership project.
  - The priority of common expense assessments applies.
  - The standard insurance requirements apply.

**Restrictions:**

- The maximum HCLTV is the lower of 80% or the current matrix.
- Verus project exposure maximum shall be $5,000,000 or 15% of the project total, whichever is lower.
- The borrower project/unit concentration limit: two (2) units.

#### 4.12.10.1 General Project Criteria

- Project has been created and exists in full compliance with applicable local jurisdiction, State, and all other applicable laws and regulations.
- Project meets all Fannie Mae® insurance requirements for property, liability, and fidelity coverage.
- Borrower must carry HO-6 coverage for replacement of such items as flooring, wall covering, cabinets, fixtures, built-ins, and any improvements made to the unit.
- Seller must confirm that the project documents do not give a unit owner or any other party priority over the rights of the first mortgagee.
- Projects that are Fannie Mae® Warrantable may be reviewed and approved by the Seller.

#### 4.12.10.2 Ineligible Projects

- Non-Warrantable projects
- Condominium Hotel – (a.k.a. Condo Hotel, Condotel)
- Resort type of project
- New condo conversion completed less than 2 years ago
- Any project in which a single entity owns more than 25% of the total number of units. In projects that have 5-19 units, one owner can own a maximum of two units.
- Any project in which more than 50% of the total square footage in the project, or in the building in which the project is located, is used for non-residential purposes.
- Project units sold with excessive Seller contributions that may affect the value of the subject property.
- Any project in litigation, arbitration, mediation, or other dispute regarding safety, soundness, or habitability.
- For additional ineligible projects, See First Lien criteria, Section 2.10.6.5 Ineligible Projects.

## 4.13 TITLE REQUIREMENTS

### 4.13.1 TITLE REPORT

- **For loan balances less than or equal to $250,000**, provide one of the following:
  - Owner and Encumbrance Report (O&E), dated within 60- days of the Note date, to include:
    - Current Grantee / Owner
    - How property was conveyed to current owner
    - Liens (e.g., mortgage, UCC, other financing)
    - Involuntary liens and judgments
    - Property Tax Information with break-down of all taxes including special assessments
    - Legal Description
  - ALTA Full Title Policy
  - ALTA Short Form Residential Limited Coverage Junior Loan Policy

- **For loan balances greater than $250,000**, provide one of the following:
  - ALTA Full Title Policy
  - ALTA Short Form Residential Limited Coverage Junior Loan Policy

### 4.13.2 SOLAR PANELS

Regarding solar panels, anything that will include a UCC filing associated with the property and/or will create an easement on title is ineligible.

## 4.14 INSURANCE REQUIREMENTS

### 4.14.1 PROPERTY INSURANCE (10/21/2024)

- Hazard insurance must meet all Fannie Mae® insurance requirements for property and liability coverage.
    - Maximum deductible is 5%.
- Hazard insurance coverage must provide for claims to be settled on a replacement cost basis
- Loss payee clause must reflect the Seller as additional insured

### 4.14.2 FLOOD INSURANCE (10/21/2024)

- Flood determination required for every loan file
- Properties within a flood zone require evidence of insurance coverage in accordance with the HFIAA
- Flood insurance must meet all Fannie Mae® insurance requirements.
    - Deductible may not exceed the maximum deductible amount currently offered by NFIP.
- Loss payee clause must reflect the Seller as additional insured

# CHAPTER 5 - FRAUD AWARENESS (11/10/2025)

## 5.1 FRAUD PREVENTION AND DETECTION

Mortgage fraud is the intentional misrepresentation, concealment, or omission of information in the mortgage lending process for the purpose of obtaining an improper financial benefit. The Seller must exercise due diligence in identifying and addressing common characteristics of fraud schemes.

A mortgage loan with suspected fraud will not be purchased or will be subject to repurchase.

### 5.1.1 FRAUD SCHEMES

Mortgage fraud can occur through the actions of borrowers, property sellers, or real estate industry professionals, also known as industry insiders. Fraud schemes are generally classified into three primary categories:

**Fraud For Profit**

Fraud For Profit occurs when mortgage participants improperly obtain mortgage loan proceeds or other financial benefits for personal gain. These schemes are often complex, involve collusion among multiple parties, and present a higher risk to the mortgage market. Fraudulent methods are used to acquire and dispose of property, with the inflated profits diverted to the perpetrators. Participants may include borrowers, property sellers, and industry insiders such as appraisers, appraisal companies, real estate agents, real estate brokers, loan officers, mortgage brokers, mortgage bankers, escrow companies, title companies, builders, and developers.

**Fraud For Housing (Property)**

Fraud For Housing occurs when a borrower misrepresents information to acquire or maintain ownership of a property. These schemes most commonly involve financial document misrepresentation or occupancy misrepresentation and may occur with or without the assistance of industry insiders.

**Hybrid Fraud**

Hybrid Fraud involves elements of both Fraud for Profit and Fraud for Housing. These schemes typically begin with borrower misrepresentation, such as falsified income or occupancy information, but expand to include collusion with industry insiders who manipulate appraisals, documentation, or loan structures. Hybrid Fraud increases the risk exposure because it blends borrower-driven deception with insider abuse of the lending process.

#### 5.1.1.1 AIR LOAN

An air loan is a loan originated in the name of a straw buyer or non-existent buyer and secured by a non-existent property.

### 5.1.1.2 Appraised Value Misrepresentation

Appraised value misrepresentation occurs when property value is deliberately inflated above its true fair market value. In these schemes, appraisers fail to properly evaluate the subject property or may knowingly participate in a fraud scheme that defrauds the lender, the borrower, or both.

Inflated value is common among properties experiencing substantial value increases in a short period of time. Common red flags include, but are not limited to:

- Rapid buying and selling of the subject property
- Rapid buying and refinancing of the subject property, more commonly for cash-out refinance transactions
- Rapid sequence of transactions involving deed transfers
- Same property seller across multiple sales
- Same appraiser across multiple loans
- Deed transfers recorded 60 – 180 days prior to the loan origination
- LLCs acting as both buyer and seller on the deed transfers
- Large value increases between the prior transfer and loan origination
- Dates of executed documentation for the acquisition and financing of the subject property do not align
- Public records do not validate current ownership of the subject property

### 5.1.1.3 Builder Bailout

Builder bailouts occur when a builder is unable to sell completed properties at anticipated volumes or prices, resulting in insufficient revenue to satisfy existing loan obligations. These schemes may occur in both purchase and refinance transactions.

- **Purchase Transactions:** The builder pays large financial incentives to the buyer and facilitates an inflated loan amount by increasing the sales price, concealing the incentive, and using a fraudulently inflated appraisal.
- **Refinance Transactions:** The builder, acting as the borrower, structures the loan to appear as a standard refinance, but the true purpose of the transaction is to relieve the builder's financial distress.

### 5.1.1.4 Buy and Bail

A buy and bail scheme occurs when the homeowner is current on the mortgage, but the value of the property has declined below the outstanding loan balance. The homeowner applies for a purchase money mortgage on a new property. After securing the new property, the homeowner intentionally allows the first property to go into foreclosure.

### 5.1.1.5 Double Sale

A double sale occurs when a single mortgage Note is sold to more than one investor. Multiple sales of the same Note create competing claims of ownership, which can result in investor losses and significant servicing complications.

### 5.1.1.6 Elder Abuse

Elder abuse refers to exploitative, deceptive, coercive, or negligent act by a lender, broker, third party, or family member that results in financial harm to an elderly borrower. This form of abuse often involves predatory lending practices, misrepresentation or omission of material information, or undue influence in connection with mortgage products such as reverse mortgages, refinances, and home equity loans.

Common red flags include, but are not limited to, the following:

- Borrower appears confused, uncertain, or unaware of loan terms or purpose
- A third party dominates borrower communications, controls documentation, or insists on being the primary point of contact
- Power of attorney or guardianship is used to coerce or control loan decisions
- Unexplained liens, debt obligations, or property title changes initiated by family members, caregivers, or other non-borrowers
- Loan proceeds are directed to accounts not owned by the borrower
- Frequent cash-out transactions without a clear benefit to the borrower

### 5.1.1.7 Financial Document Misrepresentation

Financial document misrepresentation occurs when documents are fabricated or altered to gain approval for unqualified borrowers, most commonly income and asset documents. Such documents may be falsified by the borrower, an industry insider, an interested party, a third party, and may or may not involve the use of Artificial Intelligence (AI) tools.

AI tools produce authentic-looking financial statements such as bank statements, paystubs, W2s, and tax returns. The integration of AI into mortgage fraud schemes is evolving, and the Seller must have risk management processes and procedures to detect and mitigate against financial document misrepresentation, including AI-driven fraud.

Common red flags include, but are not limited to, the following:

- **Paystubs, W-2s, Tax Returns, Other Income:**
    - Inconsistent formatting
    - Misaligned text, spacing, or font inconsistencies
    - Rounded numbers
    - Non-existent withholdings
    - Inconsistent income reporting across multiple income documents
    - Errors in basic identifying details for the borrower and/or employer
    - Employer's contact information cannot be validated through independent sources
    - Income appears unreasonable for the borrower's profession
- **Third Party Prepared Income Documentation:**
    - Preparer is located in a geographically distant city and/or state
    - Preparer provides income documentation for multiple borrowers across different transactions (e.g., P&L Statement mill)
    - Inconsistent formatting
    - Misaligned text, spacing, or font inconsistencies
    - Errors in basic identifying details and/or contact information for the preparer

    - Preparer's business or contact information cannot be validated through independent sources
    - Income appears unreasonable for the borrower's profession
- **Bank Statements:**
    - Inconsistent formatting
    - Misaligned text, spacing, or font inconsistencies
    - Irregular logos/branding
    - Altered account history
    - Altered balances that are inconsistent with the transaction history
    - Ending balances do not match beginning balance when reviewing consecutive bank statments
    - Errors in contact information for the banking institution
    - Banking institution contact information cannot be validated through independent sources

### 5.1.1.8 Foreclosure Rescue

Foreclosure rescue schemes involve foreclosure specialists who promise to help borrowers avoid foreclosure. The borrowers pay for services that are never received and lose their properties through foreclosure.

### 5.1.1.9 Non-Arm's Length Short Sale

A non-arm's length short sale scheme involves a fictitious purchase offer made by the homeowner's accomplice (straw buyer) in an attempt to fraudulently reduce the indebtedness on the property and allow the borrower to remain in their home.

### 5.1.1.10 Occupancy Misrepresentation

Occupancy misrepresentation occurs when a borrower's intent to occupy the subject property is misrepresented, known as Occupancy Fraud or Reverse Occupancy Fraud.

- **Occupancy Fraud:** A borrower claims to occupy the subject property as a primary residence to gain more favorable loan terms but does not have true intent to occupy the subject property.
    - Although an Occupancy Certification form must be completed and signed by the borrower(s), the Seller must exercise due diligence in identifying and addressing potential occupancy misrepresentation.
- **Reverse Occupancy Fraud:** A borrower claims the subject property is an investment property but instead occupies it as a primary residence. Rent proceeds are falsely used as rental income.
    - Although a Borrower Certification of Business Purpose form must be completed and signed by the borrower(s), the Seller must exercise due diligence in identifying and addressing potential reverse occupancy misrepresentation.

### 5.1.1.11 Property Flipping

Property flipping occurs when a property is purchased and resold quickly for a significant profit based on an artificially inflated value. Fraud perpetrators use industry insiders, straw buyers, or identity theft and may involve fraudulent appraisals, altered loan documentation, or inflated buyer income to support the scheme.

Not all transactions involving a rapid purchase followed by a rapid resale are improper, the following red flags must be investigated further to determine if the transaction is legitimate:

- The property seller, or an agent representing the property seller, arranges or assists with financing, settlement services, or the appraisal. Collusion between the property seller, real estate agent/broker, loan officer/mortgage broker, settlement agent, and/or appraiser may result in improper transactions.
- The property seller on the purchase contract is not the current owner of record.
- The property was acquired by the property seller through a distress sale. The property seller, or related party, participated in an option contract to purchase the property from the prior owner for an option price substantially below actual full market value. The option contract and the true market value of the property are not fully disclosed.
- Appraisal lacks adequate analysis of all pertinent offerings, listings, or sales history of the subject property and lacks adequate analysis of the comparable sales.
- The property seller or other party claims the subject property was significantly renovated to justify a significant increase in value, but renovations were not performed or cannot be sufficiently documented. Improper transactions often use inflated appraisals that falsely justify renovations.
- The transaction involves an undisclosed simultaneous, double, or back-to-back closing that is discovered prior to delivery to Verus.
- The transaction involves undisclosed secondary financing discovered prior to delivery to Verus, for which part of the purchase price is refunded to the buyer or is quickly followed by a cash-out refinance.

### 5.1.1.12 Short Sale Flip

A short sale flip occurs when a perpetrator induces the short sale lender to approve a reduced payoff while concealing an immediate, pre-arranged sale of the property at a significantly higher purchase price.

### 5.1.1.13 Short Sale Misrepresentation

Short sale misrepresentation occurs when a perpetrator profits by concealing contingent transactions or falsifying material information, including the true value of the property, in order to prevent the servicer from making a fully informed decision about the short sale.

### 5.1.1.14 Straw Buyer

A straw buyer is an individual who allows their identity, credit, income, and assets to be used for a mortgage loan on behalf of another party who is the true intended owner or beneficiary of the property. Straw buyers are often compensated for their participation and are used to conceal the identity of the true buyer or to conceal the actual purpose of the transaction.

### 5.1.1.15 Synthetic Identity Fraud

Synthetic identity fraud occurs when legitimate personally identifiable information (PII) is combined with fabricated or other real information to create a new fictitious person or entity. This false identity is used to obtain mortgage financing for personal or financial gain.

### 5.1.1.16 Undisclosed Transactions

- Property seller financing is not disclosed on the purchase agreement. Undisclosed property seller financing can artificially inflate the purchase price.
- Undisclosed Fees and/or Buyouts: Foreclosure rescue specialists perpetrate an advance fee scheme during which fees or payouts not approved by the short sale servicer are reflected on the Closing Disclosure.

# CHAPTER 6 - GLOSSARY

## 6.1 TERMS AND DEFINITIONS (11/10/2025)

| TERM | DEFINITION |
|---|---|
| **Adjustable-Rate Mortgage (ARM)** | A mortgage loan that permits the lender to periodically adjust the interest rate on the basis of changes in a specified index. |
| **Allonge** | An attachment to a legal document that is used to insert language or signatures when there is no space for them on the document itself. Frequently used to add endorsements to the mortgage Note. |
| **American Land Title Association (ALTA)** | A national association of title insurance companies, abstractors, and title agents. The association speaks for the abstract and title insurance industry and establishes standard procedures and title policy forms. |
| **Application Date** | The date on which receipt of the borrower's financial information first triggers the federal Truth in Lending disclosure requirements to the borrower in connection with the mortgage loan. |
| **Appraisal** | A report that sets forth an opinion or estimate of value. |
| **Automated Clearing House (ACH)** | An electronic drafting system that debits (or credits) an authorized bank account and electronically transfers funds to (or from) another designated account. |
| **Automated Valuation Model (AVM)** | An Automated Valuation Model (AVM) is a mathematically based software program that produces a value or value range for a subject property. |
| **Best Efforts** | A secondary market rate lock is an agreement between a Seller and the investor which allows the Seller to lock in the interest rate on a mortgage loan for a specified time period at the prevailing market interest rate. A mortgage loan lock provides protection against a rise in prevailing interest rates during the lock period. |
| **Borrower** | The person to whom credit is extended. On a mortgage loan, the person who has an ownership interest in the security property, signs the security instrument, and signs the mortgage Note (if his or her credit is used for qualifying purposes). See also *Co-Borrower*. |
| **Cash-Out Refinance** | A refinancing transaction in which the amount of money received from the new loan exceeds the total of the money needed to repay the existing first mortgage, closing costs, points, and the amount required to satisfy any outstanding subordinate mortgage liens. |
| **Co-Borrower** | For Verus Mortgage Capital's purposes, this term is used to describe any borrower other than the first borrower whose name appears on the mortgage Note, even when that person owns the property jointly with the first borrower (and is jointly and severally liable for the Note). See also *Borrower*. |

| TERM | DEFINITION |
|---|---|
| **Combined Loan-To-Value (CLTV)** | A ratio that is used for a mortgage loan that is subject to subordinate financing, which is calculated by dividing the sum of (1) the original loan amount of the first mortgage, (2) the unpaid principal balance of all subordinate financing, by the lower of the property's sales price or appraised value. |
| **Condominium (Condo)** | A unit in a condominium project. Each unit owner has title to his or her individual unit, an individual interest in the project's common areas, and, in some cases, the exclusive use of certain limited common areas. |
| **Credit Score** | A numerical value that ranks an individual according to his or her credit risk at a given point in time, as derived from a statistical evaluation of information in the individual's credit file that has been proven to be predictive of loan performance. When this term is used by Verus Mortgage Capital, it is referring to the classic FICO score developed by Fair Isaac Corporation. |
| **Curtailment** | A financial term for a partial or an extra principal payment. |
| **Custodian (Document Custodian)** | A financial institution that maintains custody of certain mortgage documents on behalf of Verus Mortgage Capital. |
| **Debt-To-Income Ratio (DTI)** | A ratio derived by dividing the borrower's total monthly obligations (including housing expense) by his or her stable monthly income. This calculation is used to determine the mortgage amount for which a borrower qualifies. This term is used interchangeably with "total debt-to-income ratio" and "expense ratio." |
| **Escrow Account** | A trust account that is established to hold funds allocated for the payment of a borrower's property taxes and assessments by special assessment districts, ground rents, insurance premiums, condo or homeowner's association (HOA) or planned unit development (PUD) association dues and similar expenses as they are received each month in accordance with the borrower's mortgage documents and until such time as they are disbursed to pay the related bills. |
| **Federal Emergency Management Agency (FEMA)** | A federal agency that provides assistance in areas that have suffered a major disaster or other emergency. It also maintains flood insurance rate maps that identify the Special Flood Hazard Areas in which Verus Mortgage Capital requires flood insurance. |
| **First Time Homebuyer (FTHB)** | An individual is to be considered a first time homebuyer who (1) is purchasing the security property; (2) had no ownership interest (sole or joint) in a residential property during the three-year period preceding the date of the purchase of the security property. In addition, an individual who is a displaced homemaker or single parent also will be considered a first time homebuyer if he or she had no ownership interest in a principal residence (other than a joint ownership interest with a spouse) during the preceding three-year time period. |

| TERM | DEFINITION |
|---|---|
| **Forecast Standard Deviation (FSD)** | FSD is a statistical measure that represents the probability that the Automated Valuation Model (AVM) value falls within the statistical range of the actual market value, measured against a sales price. |
| **Guaranty** | Guaranty refers specifically to a written agreement that one party will pay the money required if another party fails to do so. All Verus loan programs where the borrower is an entity require a guaranty with full recourse. Members/managers on the application must sign the guaranty as an individual. |
| **Higher-Priced Covered Transaction** | A mortgage loan that meets the corresponding definition under Regulation Z of the Truth in Lending Act and applies to both principal residences and second homes. |
| **Higher-Priced Mortgage Loan** | A mortgage loan that meets the corresponding definition under Regulation Z of the Truth in Lending Act. Only principal residences are included in this category. |
| **Home Equity Combined Loan-To-Value (HCLTV)** | A ratio that is used for a mortgage loan that is subject to subordinate financing, which is calculated by dividing the sum of (1) the original loan amount of the first mortgage, (2) the maximum line amount of any HELOC, and (3) the unpaid principal balance of all other subordinate financing, by the lower of the property's sales price or appraised value. |
| **Lease** | A written agreement between the property owner and a tenant that stipulates the conditions under which the tenant may possess the real estate for a specified period of time and rent. |
| **Loan-To-Value (LTV)** | The relationship between the original loan amount of the first mortgage and the property's appraised value (or sales price if it is lower). |
| **Lock Expiration** | A mandatory mortgage lock requires that the Seller either deliver the product to the buyers by a specific date or incur a fee, called a pair-off fee. |
| **Mandatory** | A mandatory mortgage lock requires that the Seller either deliver the product to the buyers by a specific date or incur a fee, called a pair-off fee.<br><br>A whole loan commitment that generally requires the Seller to deliver eligible mortgages equal to at least the minimum required delivery amount (which is an amount that will not be less than the original commitment amount by more than $10,000 or 2.5% of the original amount) by the expiration date of the commitment. |
| **Preparer Tax Identification Number (PTIN)** | The IRS requires anyone who prepares tax returns for compensation to register and obtain a PTIN. There are no qualifications to obtain a PTIN, it's simply used for preparer identification. |

| TERM | DEFINITION |
|---|---|
| **Prepayment Penalty** | A charge imposed for paying all or part of the transaction's principal before the date on which the principal is due, other than a waived, bona fide third party charge that the lender imposes if the borrower prepays all of the transaction's principal sooner than 60 months after loan closing. |
| **Promissory Note** | A Promissory Note, sometimes referred to as a Note payable (or Loan Agreement in the case of a HELOC), is a legal instrument, in which one party promises in writing to pay a determinate sum of money to the other, either at a fixed or determinable future time or on demand of the payee, under specific terms and conditions. |
| **Rate Lock** | A secondary market rate lock is an agreement between a Seller and the investor which allows the Seller to lock in the interest rate on a mortgage loan for a specified time period at the prevailing market interest rate. A mortgage loan lock provides protection against a rise in prevailing interest rates during the lock period. |
| **Recourse** | A full recourse provision grants the lender the right to seize any additional assets that the borrower may own and use them to recoup the remaining amount due to the borrower. |
| **Sales Contract** | A contract for the purchase/sale, exchange, or other conveyance of real estate between parties. The contract must be in writing, contain the full names of the buyer(s) and seller(s), identify the property address or legal description, identify the sales price, and include signatures by the parties. Sales contracts are also known as agreements of sale, purchase agreements, or contracts for sale. |
| **Texas Section 50(a)(6) Loan** | A loan originated in accordance with and secured by a lien permitted under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, which allows a borrower to take equity out of a homestead property under certain conditions. Article XVI, Section 50(a)(6), of the Texas Constitution is sometimes referred to as Texas Constitution Section 50(a)(6). |

# CHAPTER 7 - FORMS

## ALLONGE – SAMPLE (04/25/2022)

**ALLONGE**

Loan Number: (as printed on the note) ____________________________

Borrower(s):

_________________________________________________________________________________________

Property Address:

___________________________________________________________________________________

Note/Loan Amount: $______________________________

Note/Loan Date: ________________

Pay to the order of: ___________________________________________________________________ without recourse

*(Leave blank)*

Seller Company Name __________________________________________________

Signature: _____________________________________________________________

Print Signer's Name: ____________________________________________________

Signer's Title: _____________________________________________

## APPRAISAL REVIEW GUIDE (11/10/2025)

# APPRAISAL REVIEW GUIDE

### SUBJECT

1) Does the subject property address match the documentation in the file (loan application, purchase contract, etc.)?
   If no, validate the address via the USPS address validator to determine the correct address.
2) Is the owner of record consistent with the loan file documentation?
   a. Purchase Transaction: Does the seller on the purchase contract match the owner of record on the appraisal?
   b. Refinance Transaction: Is the borrower the owner of record on the appraisal?
3) Are occupancy and assignment type (Purchase or Refinance) correct?
4) Has the subject property been listed for sale in the past 12 months? Are the sales price and appraised value consistent with the most recent listing price?

### CONTRACT

1) Did the appraiser review the sales contract? The appraiser must review the sales contract on all purchase transactions.
2) Is information in this section consistent with the information on the sales contract?

### NEIGHBORHOOD

1) Does the analysis include items that could adversely affect the subject property's value such as rural property location, declining property values, over supply, marketing time greater than six (6) months? If yes, the appraiser should provide analysis/comments that address the impact on the subject property's value and marketability in the market condition section and in the Market Conditions Addendum.
2) Is the subject property's value within the neighborhood's price range? If no, the appraiser must provide an explanation and comment on impact to marketability of the subject property.
3) Is the appraised value significantly different from the predominant price for the neighborhood? If yes, the appraiser must comment.
4) Is the present land use predominately residential and similar to the subject property's use? Is the present land use stable? If no, the appraiser must comment on these conditions.

### SITE

1) Does the lot size/acreage meet Verus guidelines?
2) Is zoning compliance legal, legal non-conforming, or illegal?
   a. If zoning compliance is legal non-conforming, ensure the property can be rebuilt if destroyed.
   b. If zoning compliance is illegal, the property is not eligible.
3) Is the subject property's current use reported to be its Highest and Best Use?
4) Are there adverse conditions or external factors that impact the site? If yes, the appraiser must analyze and explain how the subject property's value and marketability are impacted. Verify the sales comparison approach, comments, maps, and photos are consistent and demonstrate the impact to the subject property.
5) Is the subject property located on a private road (non-HOA)? If yes, obtain a maintenance agreement.

**CONDO PROJECT INFORMATION/PROJECT ANALYSIS**

1) Is the unit data for Subject Phase and Project consistent with the Condominium Questionnaire?
2) Do project characteristics meet Verus guidelines and are they consistent with the Condominium Questionnaire?
3) Does the unit square footage meet Verus guidelines?
4) Does the unit include a fully functioning kitchen which includes a refrigerator and cooktop/stove/oven?
5) Does the unit have a minimum of one bedroom?

**Is the project a condotel (condominium hotel)? Look for the following characteristics:**

1) Does the HOA or the HOA's Property Management Company market and/or manage the short-term rental units?
2) Is there an on-site or off-site leasing office that markets and/or manages the short-term rental units on behalf of the HOA or the HOA's Property Management Company?
3) Is there an on-site, off-site, or centralized reservation and/or registration that is managed by the HOA or the HOA's Property Management Company?
4) Are there hotel/motel amenities, services, and/or fees offered by the HOA or the HOA's Property Management Company?
5) Is the unit accessed through a central key system?
6) Are there exit, emergency, or evacuation plans that are posted inside the unit?

**IMPROVEMENTS**

1) Verify if the subject property is reported as Existing, Proposed, or Under Construction.
   a. If Proposed or Under Construction, form 1004D is required with photos verifying subject property was completed according to plans/specs.
2) Verify the condition of the subject property.
   a. Were there improvements/remodeling? If yes, when were they completed?
   b. Is the condition rating consistent with the improvements/remodeling?
   c. Is there deferred maintenance and what is the nature/degree of the repairs? Was this addressed in the sales comparison approach?
   d. Was the appraisal completed subject to repairs?
3) Does the report state there is evidence of infestation, dampness, or settlement in the foundation? If yes, the appraiser must comment, provide photos, and require additional inspections or repairs.
4) Are physical deficiencies or adverse conditions reported that affect the livability, soundness, or structural integrity of the property? The appraiser must explain the impact, demonstrate physical deficiencies/adverse conditions in photos, and require additional inspections and/or repairs.

**SALES COMPARISON APPROACH**

1) At the top of the page, review the number and range of sale prices and listing prices. Are the sales prices of the comparable sales within the range of sold properties?
2) Are comparable sales located within the subject property's market area and do they have similar locational characteristics (urban, suburban, rural)?
3) Depending on the market and the size of the condominium project, at least one comparable sale should be outside of the subject property's complex.
4) Date of comparable sales and the use of dated sales is dependent upon current market conditions.
   a. The use of any comparable sales older than 6 months must include comments explaining why they are used as comparable sales, if adjustments are applied for market conditions, and how the adjustment was determined.

5) Are the comparable sales similar to the subject property in characteristics including location, site size, view, quality of construction, age, condition, room count, gross living area, etc.? If no, the appraiser must explain why the comparables chosen were used, if an adjustment is applied, and how it was determined.
6) Do differences in features include analysis and comments explaining how the adjustments were determined or explaining why an adjustment is not necessary?
7) Are condition and quality of construction ratings for the comparable sales the same or similar to the subject property?
    a. If the subject property has a C5 or C6 condition rating or a C6 quality rating, it is ineligible.
8) Room count and square footage must be provided for the finished area for basements and accessory dwelling units (ADU).
    a. If there is an accessory dwelling unit (ADU), does it meet Verus guidelines?
9) Are features such as garages, barn, pool, etc, addressed? Are adjustments excessive?
10) Do total net adjustments exceed 15%? Do total gross adjustments exceed 25%? If yes, did the appraiser add a comment?
11) Are all prior transfers of the subject property from the past 3 years listed in the appraisal?
12) Did the appraisal explain differences in value between the prior sale and the appraised value? Does the explanation seem reasonable? Are there similar comparable properties to support the increase?

**RECONCILIATION**

1) Is the appraisal made subject to completion, repair, or inspection? If yes, form 1004D with photos is required to verify completion of the repairs.

**COST APPROACH**

1) Is the land-to-value ratio typical for the area?
2) If provided, is the indicated value by cost approach in line with the sales comparison approach? If not, were comments provided?

**ADDENDA**

1) Are all required addenda attached to the appraisal, including a map, sketch, and photographs?
    a. Review photos of the subject property. Do the photos match the content in the report (e.g., external issues, repairs, solar panels)?
    b. Review the street map that identifies the subject property’s location and location(s) of the sale comparable(s). Verify the comparables are not clustered together in a superior neighborhood, separated from the subject property by man-made barriers such as major roads/highways, etc.
2) If adverse comments are made in the addenda, are they consistent with the other sections in the report?

**If necessary, complete an independent analysis of the information on the appraisal focusing on the two (2) items below.**

1) Online tools such as Zillow, Google, etc., are available to research the subject property and comparable sales.
2) Online tools such as Zillow, MLS, etc., are available to research the sales history and listings in the subject property’s immediate neighborhood to ensure the best sale comparable(s) were used by the appraiser.

## RED FLAGS

### Rapid Appreciation in Value

Has the subject property been sold within the past 24 months and is there a concern with value? If yes, address the following:

1) Has the subject property's value increased by 15% or more within the past 12 months?
2) Has the subject property's value increased by 25% or more within the past 24 months?
3) Does the appraisal report include analysis for the subject property's sales contract?
4) Do the appraiser's comments justify any significant increase in sales price compared to the seller's acquisition cost?
5) Does the appraisal report include analysis on the subject property's 12-month listing history, including explanations for increase in value?
6) Does the appraisal report include the subject property's 36-month sales or transfer history?
7) Have there been renovations to the subject property? Are they cited as a reason for the increase in value? Did the appraiser itemize/explain the improvements and provide photographs?
    a. If the appraisal report does not sufficiently explain the renovations, is there supporting documentation to justify the increase in value?
8) Is the appraised value supported by credible market data?
9) Is the increase in value reasonable within the context of the subject's market?
10) Were appropriate comparable sales used to support a significant increase in value?
11) Do the comparable sales reflect similar market conditions and property characteristics?
12) Is the appraisal analysis detailed, transparent, and does it clearly explain the methodology and rationale supporting the increase in value?
13) Was the subject property purchased and resold quickly for a significant profit? If yes, also address the following:
    a. Did the property seller, or their agent, arrange or assist with financing, settlement services, or the appraisal?
    b. Is the property seller on the purchase contract the current owner of record?
    c. Was the property acquired by the seller through a distress sale? Review property history documentation.

# AUTOMATIC PAYMENT AUTHORIZATION (ACH) FORM (03/03/2021)

## AUTOMATIC PAYMENT AUTHORIZATION FORM

❑ Yes, I would like to enroll in the free* monthly Automatic Payment Program

| | | |
|---|---|---|
| Name | Street Address | City, State, Zip Code |
| Daytime Phone Number | Evening Phone Number | |
| Mortgage Number | | |
| Financial Institution Name | Financial Institution Phone No. | Financial Institution Address |
| Electronic ACH Routing Number | Account Number | ☐ Checking ☐ Savings |

Please specify the payment date most convenient for you, which must be within the applicable grace period. **If a payment date is not specified, or your loan is a daily simple interest loan, payments will be deducted on your current loan due date.**

Deduct my payment on the ___________ of each month (select a date within the grace period indicated on your note).

I hereby authorize _______________, including its successors and/or assigns, to initiate transfers from my checking or savings account at the financial institution indicated above for the purpose of making my monthly mortgage payment. I authorize the amount of each transfer to include my regularly scheduled payment including principal, interest, and escrow items I understand that, in accordance with the terms of my mortgage note and/or adjustments in my escrow for taxes and insurance, my payment may change from time to time as set forth in my loan documents. You are hereby authorized to change the amount of the draft from my checking or savings account, provided you notify me of the new payment amount at least 10 days prior to the draft date. I agree that the payment change notice provided to me under the Adjustable-Rate Mortgage Provisions of the Truth-in-Lending Act and/or escrow analysis form shall constitute notice of payment change as required by the Electronic Funds Transfer Act and Federal Reserve Board Regulation E.

The authorization is to remain in full force and effect until revoked in writing. Such revocation notification must be provided to the Initiating party no less than fifteen (15) business days prior to it taking effect. Please contact the Initiating Party immediately if you change financial institutions, change accounts within the same financial institution or if you wish to revoke this authorization.

I HEREBY AGREE TO THE TERMS AND CONDITIONS IN THIS FORM.

______________________________________ ______________________________________

Borrower Date Co-Borrower Date

# BORROWER CERTIFICATION OF BUSINESS PURPOSE (9/21/2023)

**Borrower Certification of Business Purpose**

This BORROWER CERTIFICATION OF BUSINESS PURPOSE LOAN is being executed and made effective as of __________________. The undersigned borrower(s) and, if applicable, guarantor (collectively the "Borrower") certifies and represents to _________________________________ ("Lender") all of the following:

1. Borrower has requested that Lender make a loan in the original principal amount of ___________________ ("Loan"), which is evidenced by that certain Promissory Note of even date herewith made in favor and payable to the order of Lender, which is secured by that certain Mortgage, Deed of Trust or Security Deed ("Security Instrument") of even date herewith encumbering all that certain real property referenced in the Security Instrument and commonly known as __________________________________________ ("Property").

2. Borrower has previously represented to Lender that the purpose of the Loan is solely for business or commercial purposes and not for any personal, family, or household purposes.

3. As previously represented, all proceeds from the Loan are to be used solely for business or commercial purposes and not for any personal, family, or household purposes.

4. The Property is not the principal or secondary residence of (i) the Borrower (including, for avoidance of doubt, any guarantors), or (ii) if the Borrower is not a natural person, any person who has a direct or indirect ownership interest in the Borrower.

5. Certain consumer protection laws, including the Truth in Lending Act (15 U.S.C. § 1601 et seq.), Real Estate Settlement Procedures Act (12 U.S.C. § 2601 et seq.), Gramm-Leach Bliley Act (15 U.S.C. §§ 6802-6809), Secure and Fair Enforcement Mortgage Licensing Act (12 U.S.C. § 5601 et seq.) and Homeowners Protection Act (12 U.S.C. § 4901 et seq.), do not apply to the origination of the Loan.

6. The Borrower has read and understands the contents of this Borrower Certification of Business Purpose.

IN WITNESS WHEREOF, this Certification has been duly executed by the Borrower as of the date first above written.

Borrower(s):

| | | | |
|---|---|---|---|
| Signature | Date | Signature | Date |
| Type/Print Name | | Type/Print Name | |
| Signature | Date | Signature | Date |
| Type/Print Name | | Type/Print Name | |

# BORROWER CONTACT CONSENT FORM (08/29/2022)

## BORROWER CONTACT CONSENT FORM

To ensure we have the correct contact information for servicing your loan, please provide the following information.

By signing, I authorize my mortgage servicer, its transfers and/or assigns, to contact me regarding the servicing of my loan using the following contact information.

**Mailing address for your mortgage statements and other correspondence:**

______Same as the subject property.

______Please use this mailing address instead:

Address Line 1 ________________________________________

Address Line 2 ________________________________________

City/State/Zip ________________________ Country ______________

**Cell phone number:**

I understand that by providing a cell phone number and by signing this form, I am giving the holder of my mortgage Note and its designated servicer permission to use the cell phone number to contact me regarding my loan.

| | Within the United States | If you reside outside the United States |
|---|---|---|
| Borrower | (_______)_______-______________ | (_______)____________________________ |
| Co-Borrower | (_______)_______-______________ | (_______)____________________________ |
| | (Area code) phone number | (Country code) phone number |

**Email address:**

I understand that by providing an email address, I am giving the holder of my mortgage Note and its designated servicer permission to use this email to contact me regarding my loan.

Borrower ________________________________________

Co-Borrower ________________________________________

**Signature(s):**

Borrower ________________________________ Date ____________

Co-Borrower ________________________________ Date ____________

# BUSINESS NARRATIVE FORM (2/26/2024)

## Self-Employed Business Narrative Form

**This form is to be completed by the borrower.** Name of business:
______________________________________________________________________

1. Ownership percentage: ______________________
2. Date business was established: _____________________
3. Business legal structure:
   ☐ Partnership ☐ Corporation ☐ Sub-S Corporation ☐ Limited Liability Company ☐ Sole Proprietor
4. Describe the nature of the business:

______________________________________________________________________

______________________________________________________________________

______________________________________________________________________

______________________________________________________________________

______________________________________________________________________

______________________________________________________________________

______________________________________________________________________

**Signature Line:**

______________________________________________________________________

# CLOSED LOAN DELIVERY CHECKLIST (11/10/2025)

LIST IS NOT ALL-INCLUSIVE. ADDITIONAL DOCUMENTS ARE TO BE PROVIDED AS NECESSARY.

| CLOSED LOAN DELIVERY CHECKLIST | | | |
|---|---|---|---|
| **Verus Loan ID:** | | **Seller Loan ID:** | |
| **Borrower Name(s):** | | | |
| **Property Address:** | | | |

| LEGAL | |
|---|---|
| | Copy of Collateral Package: Bailee Letter (or Security Release Form if applicable), Note with Addendum(s), Allonge/Endorsement to Note, Unrecorded Assignment (if not MERS MOM), Security Instrument with Rider(s) including legal description, CEMA if applicable, Home Equity Line of Credit Agreement |
| | Final Title Policy if available |
| | Preliminary Title Report (or O&E Report if allowed for Second Lien), Tax Cert, and 24-month Chain of Title |
| | Closing Protection Letter |
| | Survey if applicable |
| | Power of Attorney if applicable |
| | Trust Certification, Attorney's Opinion Letter, or Trust Agreement if applicable |
| | Vesting in LLC: Articles of Organization, Certificate of Good Standing, Operating Agreement, ownership structure, Tax Identification Number (EIN), Borrowing Certificate if applicable |
| | Vesting in Corporation: Articles of Incorporation and Amendments, By-Laws and Amendments, Certificate of Good Standing, Tax Identification Number (EIN), Borrowing/Corporate Resolution |
| | Vesting in Partnership: Partnership Certificate, Partnership Agreement, Certificate of Good Standing, Tax Identification Number (EIN), Limited Partner Consents if applicable |
| | Personal Guaranty if applicable |
| | Spousal Consent Form if applicable |
| | Original Loan Agreement if applicable |
| | Foreign National: Certificate of Acknowledgment from U.S. Embassy or Consular Official for notarization outside of U.S; or Notary is acceptable if country where signing is taking place is part of Hague Convention and signed docs are accompanied by an Apostille |
| | Leasehold Agreement if applicable |
| | Subordination Agreement if applicable |
| **CREDIT** | |
| **LOAN INFORMATION** | |
| | Note Rate Lock between Client and Borrower(s) |
| | Loan Approval and/or Final 1008 as applicable (Uniform Underwriting Transmittal Summary or equivalent) |
| | Final Application (e.g., URLA, Business Purpose Loan application) |
| | Initial Application (e.g., URLA, Business Purpose Loan application) |
| | Identity Documents (State-Issued Identification, U.S. Passport, Permanent Resident Alien Card, VISA) |
| **CREDIT** | |
| | Fraud Report |
| | Tri-Merge Credit Report and Supplements |
| | Gap Credit Report/Undisclosed Debt Monitoring for loans with debt-to-income ratio |
| | Verification of Mortgage and/or Rent |
| | Documentation to support omission of liabilities (e.g., debt paid by borrower's business) |
| | Documentation to support liabilities not listed on credit report (e.g., child support, alimony, solar panels, etc) |

| | |
|---|---|
| | Payoff Statement for subject (refinance) |
| | Other credit documentation not listed |
| **ASSETS** | |
| | Financial statements used for asset documentation |
| | Third Party Verification of Deposit (FNMA Form 1006, Fannie Mae Day 1 Certainty Vendor) |
| | Verification of earnest money deposit |
| | Gift Letter, donor availability, proof of transfer |
| | Other asset documentation not listed |
| **INCOME** | |
| **Full/Standard Doc** | |
| | Verification of Employment: YTD paystub dated within 30 days of Note date, Verbal VOE, or E-mail exchange verification |
| | Most recent paystub(s) reflecting 30 days of income |
| | W-2s, or W-2 Transcripts (1 or 2 years) |
| | Tax Returns signed and dated, or Tax Return Transcripts (1 or 2 years) |
| | YTD Profit & Loss Statement |
| | Gap-Year Profit & Loss Statement if applicable |
| | Verification of Income from Third Party Vendor (e.g., The Work Number) |
| | Documentation to support other income |
| | 4506-C |
| **Alt Doc – Bank Statement** | |
| | Personal bank statements (12 or 24 months) with most recent 2 months business bank statements |
| | Business or Co-Mingled bank Statements (12 or 24 months) |
| | Business Expense Statement Letter prepared by Third Party if applicable |
| | Profit & Loss Statement (12 or 24 months) prepared by Third Party if applicable |
| | Verification of current existence of the business and borrower's ownership interest percentage |
| **Alt Doc – Profit & Loss Statement Only** | |
| | Profit & Loss Statement (12 or 24 months), most recent 2 months business bank statement if applicable |
| | Documentation evidencing the P&L was prepared by Certified Public Accountant, IRS Enrolled Agent, CTEC, or Tax Attorney |
| | Letter from the preparer attesting they prepared the borrower's most recent tax return and verifying borrower's ownership interest |
| **Alt Doc – Asset Utilization** | |
| | Most recent 3 months account statements |
| **Alt Doc – IRS Form 1099** | |
| | 1099s (1 or 2 years) |
| | YTD earnings if applicable |
| **Alt Doc – Written VOE** | |
| | FNMA Form 1005 Verification of Employment |
| | Two months personal bank statements |
| | Internet search verifying existence of employer's business |
| **Investor Solutions DSCR** | |
| | Long-Term Rent: Comparable Rent Schedule (or equivalent for DSCR 5-8 Residential and 2-8 Mixed Use) |
| | Lease agreement(s) if applicable |
| | Short-Term Rental Analysis Form developed by an AMC if applicable |
| | Short-Term Rent: Most recent 12-month rental history statement from Third Party rental/management service if applicable |
| | Short-Term Rent: Most recent 12-month bank statements from the borrower evidencing short-term rental deposits if applicable |
| | Short-Term Rent: AIRDNA Rentalizer report if applicable |

| | |
|---|---|
| **PROPERTY** | |
| | Purchase Contract with Addendum(s) fully executed |
| | Appraisal |
| | Appraisal Transfer Letter |
| | Appraisal Review: Fannie CU SSR or Freddie LCA SSR, or Enhanced Desk Review (e.g., CDA from Clear Capital), or AVM |
| | Commercial BPO for 5-8 Residential and 2-8 Mixed Use |
| | 1004D Final Inspection/Appraisal Update |
| | Disaster Inspection for FEMA Declared Disaster |
| | Condominium documentation including project review determination |
| | Flood Certificate (Life of Loan) |
| | Hazard Insurance Policy/Binder for all properties |
| | Commercial General Liability Insurance for 2-8 Mixed Use |
| | Flood Insurance Policy/Binder if applicable |
| | Other property documentation not listed |
| **FOREIGN NATIONAL** | |
| | Passport from country of origin, VISA if applicable |
| | OFAC verification |
| | Foreign bank statements including translation and U.S. Dollar equivalency |
| | Borrower Contact Consent Form |
| | Other Foreign National documentation not listed |
| **DISCLOSURES/OTHER** | |
| | Initial Loan Estimate |
| | Change of Circumstance |
| | Closing Disclosure (CD) |
| | Right of Rescission if applicable |
| | All Federal and State Disclosures |
| | Consent to Share Tax Returns |
| | Compliance Report (e.g., ComplianceEase, Mavent) |
| | Occupancy Certification |
| | Borrower Contact Consent Form |
| | Investment Property: Borrower Certification of Business Purpose |
| | Other (e.g., Letters of explanation) |

# COLLATERAL SHIPPING INSTRUCTIONS (04/21/2025)

**Bailee or Security Release**

When delivering original promissory Notes, the Seller must provide either a Bailee Letter or a Security Release Form as follows:

| | |
|---|---|
| Bailee Letter Requirements | ○ Must accompany the original promissory Note delivered to the custodian (see collateral shipping instructions in next section)<br>• A bailment is only established if a bailee letter is delivered with original promissory Note<br>○ Does not require execution by Verus and/or custodian; original Note delivery under a bailee is sufficient notification of the bailee arrangement<br>○ Allow 2 business days, following receipt, for custodian processing to make bailee letter available to Verus for wire account setup of the loan's purchase proceeds<br>○ Must sufficiently describe the subject loan(s) so Verus can identify the correct mortgage loan(s); should contain the following information:<br>• Seller's name • Borrower name • Wire instructions<br>• Note amount • Seller or Verus loan number |
| Security Release Form Requirements | ○ Seller must be pre-approved for self-funding; if not, contact the Verus sales associate to initiate self-funding approval process<br>○ Submit a Security Release form, executed by an authorized signer of the Seller<br>○ Must be included in each applicable imaged file uploaded by Seller to LMS Connect using document type 'Credit Package Document'<br>○ Must be delivered to Verus within 24 hours after loan delivery<br>○ Must sufficiently describe the subject loan(s) so Verus can identify the correct mortgage loan(s); should contain the following information:<br>• Seller's name • Borrower name • Wire instructions<br>• Note amount • Seller or Verus loan number |

**Initial Collateral Shipping**

| | |
|---|---|
| Custodian Mailing Address | **Computershare Trust Company, N.A.**<br>**Attn: CMBS-INVC**<br>**1055 10th Ave SE**<br>**Minneapolis, MN 55414** |
| Custodian Stacking & Packaging Instructions | ○ Place loan files in sequential loan number order inside shipping package/box.<br>○ Include a packing list/manifest, consisting of a list of the loans; if multiple boxes, specify the box number for each loan.<br>○ Mark the exterior of each box to identify its contents as follows:<br>• INVC-Initial/Seller Name/ Box 1 of __, Ln # 100000– 100200.<br>○ Stack documents in the following order:<br>• Bailee Letter (or self-assurance letter if applicable) (do not staple or clip to Note)<br>• Original Note, with an original signature, fully executed<br>▫ Loan Agreement is used in lieu of a Note in the case of a HELOC<br>• Original allonge, endorsing the Note from Your Company Name to Blank (See Guide Exhibit for Allonge Example), executed by an authorized signer of the Seller.<br>• If not a MERS MOM loan:<br>▫ Original Unrecorded Assignment from Seller to Blank in fully executed and notarized, in recordable form<br>• Original Executed Power of Attorney (if applicable)<br>• Any other documents as may be applicable relevant to program, property, or business entity as borrower (Example: Loan Agreement, POA, etc.)<br>○ Place collateral documents in a pocket file folder (legal size); one folder per loan<br>○ Affix a label to the upper right-hand corner of each pocket-file folder reflecting:<br>• Verus Loan ID<br>• Seller Loan ID<br>• Borrower Name |

| | |
|---|---|
| Newly originated loans (< than 120 days from Note date): | o The **copy of the unrecorded mortgage and title commitment are required to be eligible for loan sale/purchase settlement.** Deliver the preliminary documents to Verus, as follows:<br>• Upload images to Verus Mortgage Capital via LMS Connect (delivery portal) using document type 'Credit Package Document'; AND<br>▫ Security Instrument (MERS MOM), with all riders & schedules, sent for recordation<br>▫ If not a MERS MOM loan, each original or copy of the recorded intervening assignment(s), evidencing a complete chain of title from Originator to Seller (if applicable)<br>▫ Title Commitment/Binder/Prelim Title<br>▫ Power of Attorney, or a copy of the original sent for recordation (if applicable)<br>• Delivery of the recorded/final versions to the custodian is required within 180 days of loan sale/purchase settlement date. See Trailing Document Delivery instructions. |
| Seasoned loans ( >= 120 days from Note date): | o The **recorded mortgage and final title policy are required to be eligible for loan sale/purchase settlement.** Deliver the final documents to Verus, as follows:<br>• Upload images to Verus Mortgage Capital via LMS Connect (delivery portal) using document type 'Credit Package Document; AND<br>▫ Security Instrument (MERS MOM), with all riders & schedules with evidence of recording information<br>▫ Final title policy<br>▫ Power of attorney with evidence of recording information, if applicable |

Contact the Verus collateral desk for additional assistance at: collateral@Verusmc.com

| | |
|---|---|
| MERS<br><br>Registration and Transfer of Servicing and Beneficial Rights | o Provide screen shot of MIN Summary to evidence registration is in active status & ownership rights are held by Seller.<br>• Must be included in each applicable imaged file uploaded by Seller to LMS Connect using document type 'Credit Package Document'<br>• Must be delivered to Verus within 24 hours after loan delivery<br>o Seller is responsible for initiating the MERS® Transfer of Rights to Verus, within 7 calendar days of loan sale/purchase settlement.<br>o Initiate a TOS/TOB combo transaction to Verus, as follows:<br>• Investor: 1013178<br>• Servicer: 1013178<br><br>*Note: Verus reserves the right to charge an administrative fee of $75.00 for any loan not transferred accurately within the required 7 calendar days.* |

Contact the Verus MERS desk for additional assistance at: MERS@Verusmc.com

**Final Document Delivery (for loans < 3 months seasoned at loan sale/purchase settlement)**

| | |
|---|---|
| Custodian Delivery Address | **Computershare Trust Company, N.A.**<br>**Attn: CMBS-INVC**<br>**1055 10th Ave SE**<br>**Minneapolis, MN 55414** |
| Document Packaging | o Include a cover sheet with Seller and Verus Loan IDs for each final document; or use a manifest to identify each document and its corresponding Seller and Verus loan IDs. If using a manifest, the documents must be stacked in the same order as represented on the manifest<br>o Individual documents with multiple pages may be stapled or clipped together<br>• Do **NOT** staple/clip multiple *documents* together<br>o Mark the exterior of the package(s)/box(es) to identify its contents as follows:<br>• INVC-Trailing/Seller Name/ Box 1 of ___, Ln # 100000– 100200. |

Contact the Verus collateral desk for additional assistance at: finaldocs@verusmc.com

# CONDOMINIUM PROJECT QUESTIONNAIRE (11/10/2025)

VERUS MORTGAGE CAPITAL

## CONDOMINIUM PROJECT QUESTIONNAIRE

| | | | |
|---|---|---|---|
| Project Legal Name: | | Date: | |
| Project Physical Address: (Street, City, State, Zip) | | Borrower Name: | |
| Unit Number: | | Loan Number: | |

FORM TO BE COMPLETED IN FULL BY PROPERTY MANAGEMENT REPRESENTATIVE OR BY AN OFFICER OF THE ASSOCIATION.

### PROJECT INFORMATION

Please provide actual numbers and not percentages in the chart below:

| | Subject Legal Phase | Entire Project |
|---|---|---|
| Total # of Units | | |
| # of Owner Occupied and 2nd Homes | | |
| # of Investment | | |
| # of Units Sold or Under Contract | | |
| # of Units Listed for Sale | | |
| Other: | | |

1. Are any of the following characteristics offered by the Project? Please check all that apply.
   - ☐ HOA or the HOA's Property Management Company markets and/or manages the units on a daily, weekly, monthly, or seasonal basis
   - ☐ On-site or off-site leasing office markets and/or manages the units on a daily, weekly, monthly, or seasonal basis on behalf of the HOA or the HOA's Property Management Company
   - ☐ On-site, off-site, or centralized reservation and/or registration is managed by the HOA or the HOA's Property Management Company
   - ☐ Hotel/motel amenities, services, and/or fees offered by the HOA or the HOA's Property Management Company
   - ☐ Unit is accessed through a central key system
   - ☐ Interior doors adjoin separate units
   - ☐ Exit, emergency, or evacuation plans are posted inside the unit

2. Does the Project contain any characteristics listed below? Please check all that apply:
   ☐ Common Interest Apartment ☐ Timeshare/Rental Pool ☐ Live-Work Project ☐ Houseboat
   ☐ Assisted Living Facility ☐ Multi-Family With Blanket Mtg ☐ Manufactured Housing ☐ Cooperative

3. Are all units owned fee simple or leasehold? ☐ Fee Simple ☐ Leasehold

4. Are the common elements and amenities within the subject's phase complete? ☐ Yes ☐ No

   If No - Explain what remains to be completed. ____________________

   If No - Provide approximate percentage of common area that remains to be completed. ____________________

5. If Project is not complete, is the subject legal phase, or any prior legal phases in which units have been offered for sale, substantially complete and has a Certificate of Occupancy been issued? ☐ Yes ☐ No

   If No - When will the phase be completed? ____________________

   Date the subject phase completed? ____________________

   Date last phase was completed? ____________________

   What remains to be completed for the project to be 100% complete? ____________________

   ____________________

6. Are the unit owners in control of the HOA? ☐ Yes ☐ No

   If No - What is the anticipated date the Project will be turned over to the unit owners? ____________________

   If No - When the Project is turned over to the unit owners, does the developer retain ownership in the Project besides unsold units? ☐ Yes ☐ No

   If applicable, what will be owned by the developer and how it will be used? ____________________

   ____________________

7. If/when the Project is turned over to the unit owners, does the developer retain any ownership in the Project besides unsold units? ☐ Yes ☐ No

   **If Yes -** Please explain what is owned by the developer and how it is used. ________________

8. Is the HOA or developer involved in any litigation and/or arbitration, including the project being placed in receivership, bankruptcy, deed-in-lieu of foreclosure or foreclosure? ☐ Yes ☐ No

   **If Yes -** Please describe the details and provide documentation and attorney letter relating to the litigation.

9. Does the Project have any mandatory, upfront membership fees for the use of recreational amenities owned by an outside party? ☐ Yes ☐ No

   If Yes – Please explain. ________________

10. Do Project documents give a unit owner or other party priority over rights of the first mortgagee? ☐ Yes ☐ No

    **If Yes -** Please explain. ________________

11. How many units are over 60 days delinquent on HOA dues or assessments (including REO units)? ________

12. Does commercial space exceed 50%? ☐ Yes ☐ No

    **If Yes -** Provide percentage and use of space: ________________

13. Does any single entity own more than 20% of the units in the Project? ☐ Yes ☐ No

    **If Yes -** Please provide name and number of units owned by each individual/entity. ________________

14. Does the association have any knowledge of any adverse environmental factors affecting the Project as a whole or any individual unit within the Project? ☐ Yes ☐ No

    **If Yes -** Please provide an explanation: ________________

## BUILDING SAFETY, SOUNDNESS, STRUCTURAL INTEGRITY, AND HABITABILITY

15. When was the last building inspection by a licensed architect, licensed engineer, or any other building inspector? ________
    **If inspection was completed within 3 years, a copy of the inspection is to be provided.**

16. Did the last inspection have any findings related to the safety, soundness, structural integrity, or habitability of the project's building(s)? ☐ Yes ☐ No

    **If Yes -** Have the recommended repairs/replacements been completed? ☐ Yes ☐ No

    **If No -** What repairs/replacements remain to be completed and what is the timeframe for completion?

17. Is the HOA aware of any deficiencies related to the safety, soundness, structural integrity, or habitability of the project's building(s)? ☐ Yes ☐ No

    **If Yes -** Please describe the deficiencies. ________________

    Of these deficiencies, what repairs/replacements remain to be completed and when will they be completed?

18. Are there any outstanding violations of jurisdictional requirements related to the safety, soundness, structural integrity, or habitability of the project's building(s)? ☐ Yes ☐ No

If Yes - Please explain the violations and provide the notice from the jurisdictional entity, if applicable. ____________

19. Is it anticipated the project will have jurisdictional violation(s) in the future? ☐ Yes ☐ No

If Yes - Please provide details of the applicable jurisdiction's requirement and the project's plan to remediate the violation.

20. Does the project have a funding plan for its deferred maintenance components/items to be repaired or replaced? ☐ Yes ☐ No

If Yes - Please explain. ____________

21. Does the project have a schedule for the deferred maintenance components/items to be repaired or replaced? ☐ Yes ☐ No

If Yes - **Please provide the schedule if there are critical repairs and/or significant deferred maintenance.**

22. Has the HOA had a reserve study completed on the project within the past 3 years? ☐ Yes ☐ No

If Yes - **Please provide if there are critical repairs and/or significant deferred maintenance.**

23. What is the total of the current reserve account balance(s)? ____________

24. Are there any current and/or planned special assessments unit owners are obligated to pay? ☐ Yes ☐ No

If Yes - What is the total amount of the current special assessment(s) and/or total amount of the planned special assessments?

If Yes - What are the terms and purpose of the current and/or planned special assessment(s)? ____________

25. Has the HOA obtained any loans to finance improvements or deferred maintenance? ☐ Yes ☐ No

If Yes - Please explain deferred maintenance to be remediated and provide the amount borrowed with terms of repayment.

## Additional Comments

## Preparer Contact Information (HOA Representative or Officer of the Association)

**Name:** ____________ **Phone:** ____________

**Title:** ____________ **Email:** ____________

**Signature:** ____________ **Date:** ____________

# ENTITY SIGNATURE EXAMPLES (10/16/2023)

The following are examples of signature lines for Limited Liability Companies (LLCs) for use on the **Note and Security Instrument, and all Riders.**

Authorized Signatory may be replaced by a different title as specified in the Member Consent (e.g., Managing Member, Member, etc.).

**Sample 1:**

Borrower: JJ Investors, LLC by James Johnson, Single Member of LLC

**Note, Security Instrument, and all Riders:**

Signature Block

JJ INVESTORS, LLC a [_____] limited liability company

*James Johnson*

By: James Johnson

Title: [Authorized Signatory]

**Sample 2:**

Borrower: JJ Investors, LLC, by James Johnson and Jane Nelson, two Members of LLC.

Both Members are Authorized Signatories of LLC.

**Note, Security Instrument, and all Riders:**

Signature Block

JJ INVESTORS, LLC a [_____] limited liability company

*James Johnson,*

By: James Johnson

Title: [Authorized Signatory]

**and**

JJ INVESTORS, LLC a [_____] limited liability company

*Jane Nelson*

By: Jane Nelson

Title: [Authorized Signatory]

Personal Guaranty must be signed by the guarantor as an individual.

# FLORIDA FOREIGN NATIONAL – CONVEYANCES TO FOREIGN ENTITIES BY ENTITY BUYER (2/26/2024)

## Affidavit

[Part III, Ch. 692 F.S. - Conveyances to Foreign Entities - By Entity Buyer]

**BEFORE ME**, the undersigned authority, duly authorized to take acknowledgments and administer oaths, personally appeared ________________________________________________(“Affiant”) who deposes and says under penalties of perjury that:

(When used “Affiant” and “Buyer” include singular or plural as context so requires or admits.)

1. Affiant is the [state official capacity] of [state name/type/venue of entity], which is hereinafter referred to as “Buyer.”
2. Buyer is purchasing or acquiring an interest in the following described real property:

   [Insert Legal Description]

3. Affiant has read the attached Notice and has been given the opportunity to consult with an attorney.
4. Buyer is (Initial which is applicable):

   _____Not a Foreign Principal as defined in §692.201, F.S. and as such is in compliance with the requirements set out in §692.202-205, F.S.

   OR

   _____A Foreign Principal as defined in sec §692.201, F.S. and is in compliance with the requirements set out in §692.202-205, F.S.

5. Affiant acknowledges the foregoing representations will be relied upon to establish compliance with the law.

______________________________________________
(Affiant)

Print Name: ____________________________________

Official Capacity: ________________________________

Name of Buyer: __________________________________

Address: ________________________________________

STATE OF ______________________

COUNTY OF ______________________

Sworn to (or affirmed) and subscribed before me by means of [ ] physical presence or [ ] online notarization this ___________ day of ______, 20____, by________________________who [ ] is personally known or [ ] has produced ________________as identification.

______________________________
Notary Public

[Notary Seal]

Printed Name: ____________________

My Commission Expires: ___________

The attached affidavits and notice were drafted as suggestions to the Florida Real Estate Commission to be adopted by Rule pursuant to Laws of Florida Chapter 2023-33. That process will likely not be finalized prior to the July 1, 2023 effective date of the law.

Publication of this form is not legal advice, guidance, or an endorsement of its use, however the Florida Land Title Association is providing it as a possible form of the Buyer's affidavit required under Chapter 2023-33 for use until the Florida Real Estate Commission adopts official forms for use under this law.

After the official form(s) is finalized by the Florida Real Estate Commission, only that form(s) should be used.

# FLORIDA FOREIGN NATIONAL – CONVEYANCES TO FOREIGN ENTITY BY INDIVIDUAL BUYER (2/26/2024)

## Affidavit

[Part III, Ch. 692 F.S. - Conveyances to Foreign Entities - By Individual Buyer]

**BEFORE ME**, the undersigned authority, duly authorized to take acknowledgments and administer oaths, personally appeared ______________________________________ ("Affiant"), who deposes and says under penalties of perjury that:

(When used "Affiant" includes singular or plural as context so requires or admits.)

1. Affiant is purchasing or acquiring an interest in the following described real property:

[Insert Legal Description]

2. Affiant has read the attached Notice and has been given the opportunity to consult with an attorney.
3. Affiant is (Initial which is applicable):

_____Not a Foreign Principal as defined in §692.201, F.S. and as such is in compliance with the requirements set out in §692.202-205, F.S.

OR

_____A Foreign Principal as defined in §692.201, F.S. and is in compliance with the requirements set out in §692.202-205, F.S.

4. Affiant acknowledges the foregoing representations will be relied upon to establish compliance with the law.

_____________________________________________ (Affiant)

Print Name: ___________________________________

Address: ______________________________________

STATE OF ____________________
COUNTY OF ____________________

Sworn to (or affirmed) and subscribed before me by means of [ ] physical presence or [ ] online notarization this _______ day of ______, 20____, by _____________________ who [ ] is personally known or [ ] has produced ____________________ as identification.

______________________________
Notary Public

[Notary Seal]

Printed Name: ________________
My Commission Expires: ________

The attached affidavits and notice were drafted as suggestions to the Florida Real Estate Commission to be adopted by Rule pursuant to Laws of Florida Chapter 2023-33. That process will likely not be finalized prior to the July 1, 2023 effective date of the law.

Publication of this form is not legal advice, guidance, or an endorsement of its use, however the Florida Land Title Association is providing it as a possible form of the Buyer's affidavit required under Chapter 2023-33 for use until the Florida Real Estate Commission adopts official forms for use under this law.

After the official form(s) is finalized by the Florida Real Estate Commission, only that form(s) should be used.

# LLC BORROWING CERTIFICATE - MULTIPLE MEMBER (11/16/2021)

## LIMITED LIABILITY COMPANY BORROWING CERTIFICATE

**TO:** ________________________________

The undersigned, being all of the members ___________________________________, a limited liability company ("Borrower"), do hereby certify that they are, respectively, all of the managers and members of Borrower and, under the Borrower's [Operating Agreement][Limited Liability Company Agreement] and by these presents, the undersigned are each authorized and empowered for and on behalf of and in the name of Borrower and without any requirement for consent or approval by any other person or party, as Borrower's act and deed:

1. To borrow money from _____________________________ ("Seller") and to assume any liabilities of any other person or entity to Seller, in such form and on such terms and conditions as shall be agreed upon by those authorized above and Seller, and to sign and deliver such promissory notes and other evidences of indebtedness for money borrowed or advanced and/or for indebtedness assumed as Seller shall require; such promissory notes or other evidences of indebtedness may provide that advances be requested by telephone communication and by any member, manager, employee or agent of Borrower so long as the advances are deposited into any deposit account of Borrower with Seller; Borrower shall be bound to Seller by and Seller may rely upon any communication or act, including telephone communications, purporting to be done by any member, manager, employee or agent of Borrower, provided that Seller believes, in good faith, that the same is done by such person.
2. To mortgage, encumber, pledge, convey, grant, assign or otherwise transfer all or any part of Borrower's real or personal property for the purpose of securing the payment of any of the promissory notes, contracts, instruments and other evidences of indebtedness authorized hereby, and to execute and deliver to Seller such deeds of trust, mortgages, pledge agreements and/or other security agreements as Seller shall require.
3. To perform all acts and execute and deliver all documents described above and all other contracts and instruments which Seller deems necessary or convenient to accomplish the purposes of this certificate and/or to perfect or continue the rights, remedies and security interests to be given to Seller, including, without limitation, any modifications, renewals and/or extensions of any of Borrower's obligations to Seller, however evidenced; provided that the aggregate principal amount of all sums borrowed and credits established pursuant to this certificate shall not at any time exceed the sum of [$____________] outstanding and unpaid.

The authority hereby conferred shall be deemed retroactive, and any and all acts authorized herein which were performed prior to the execution of this certificate are hereby approved and ratified. The authority hereby conferred is in addition to that conferred by any other certificate heretofore or hereafter delivered to Seller and shall continue in full force and effect until Seller shall have received notice in writing from Borrower of the revocation hereof, and such revocation shall be effective only as to credit which was not extended or committed to Borrower by Seller prior to Seller's receipt of such notice.

We further certify that the activities covered by the foregoing certifications constitute duly authorized activities of Borrower; that said certifications are now in full force and effect; and that there is no provision in any document pursuant to which Borrower is organized and/or which governs Borrower's continued existence limiting the power of the undersigned to make the certifications set forth herein, and that the same are in conformity with the provisions of all such documents.

IN WITNESS WHEREOF, the undersigned has hereunto executed this Certificate as of [____________, 20_______ ].

| | | | |
|---|---|---|---|
| Signature | | Signature | |
| Printed Name | ______________________ | Printed Name | ______________________ |
| Title | ______________________ | Title | ______________________ |
| Signature | | Signature | |
| Printed Name | ______________________ | Printed Name | ______________________ |
| Title | ______________________ | Title | ______________________ |

# LLC BORROWING CERTIFICATE - SINGLE MEMBER (10/01/2020)

## LIMITED LIABILITY COMPANY BORROWING CERTIFICATE

TO: [INSERT SELLER LEGAL NAME]
The undersigned, being the sole member of [____________, a_____limited liability company] ("Borrower"), does hereby certify that they are the sole and only member of Borrower and, under the Borrower's [Operating Agreement] [Limited Liability Company Agreement] and by these presents, the undersigned is authorized and empowered for and on behalf of and in the name of Borrower and without any requirement for consent or approval by any other person or party, as Borrower's act and deed:

1. To borrow money from [SELLER LEGAL NAME] ("Seller") and to assume any liabilities of any other person or entity to Seller, in such form and on such terms and conditions as shall be agreed upon by those authorized above and Seller, and to sign and deliver such promissory notes and other evidences of indebtedness for money borrowed or advanced and/or for indebtedness assumed as Seller shall require; such promissory notes or other evidences of indebtedness may provide that advances be requested by telephone communication and by any member, manager, employee or agent of Borrower so long as the advances are deposited into any deposit account of Borrower with Seller; Borrower shall be bound to Seller by and Seller may rely upon any communication or act, including telephone communications, purporting to be done by any member, manager, employee or agent of Borrower provided that Seller believes, in good faith, that the same is done by such person.
2. To mortgage, encumber, pledge, convey, grant, assign or otherwise transfer all or any part of Borrower's real or personal property for the purpose of securing the payment of any of the promissory notes, contracts, instruments, and other evidence of indebtedness authorized hereby, and to execute and deliver to Seller such deeds of trust, mortgages, pledge agreements and/or other security agreements as Seller shall require.
3. To perform all acts and execute and deliver all documents described above and all other contracts and instruments which Seller deems necessary or convenient to accomplish the purposes of this certificate and/or to perfect or continue the rights, remedies and security interests to be given to Seller, including, without limitation, any modifications, renewals and/or extensions of any of Borrower's obligations to Seller, however evidenced; provided that the aggregate principal amount of all sums borrowed and credits established pursuant to this certificate shall not at any time exceed the sum of [$_____________________________________________] outstanding and unpaid.

The authority hereby conferred shall be deemed retroactive, and any and all acts authorized herein which were performed prior to the execution of this certificate are hereby approved and ratified. The authority hereby conferred is in addition to that conferred by any other certificate heretofore or hereafter delivered to Seller and shall continue in full force and effect until Seller shall have received notice in writing from Borrower of the revocation hereof, and such revocation shall be effective only as to credit which was not extended or committed to Borrower by Seller prior to Seller's receipt of such notice.

The undersigned further certifies that the activities covered by the foregoing certifications constitute duly authorized activities of Borrower; that said certifications are now in full force and effect; and that there is no provision in any document pursuant to which Borrower is organized and/or which governs Borrower's continued existence limiting the power of the undersigned to make the certifications set forth herein, and that the same are in conformity with the provisions of all such documents.

IN WITNESS WHEREOF, the undersigned has hereunto executed this Certificate as of [______________, 20_____].

________________________________________
By (Signature)

________________________________________
Name (Printed)

________________________________________
Title

# NEW SERVICER REFERENCE GUIDE (04/21/2025)

| SERVICING ITEM | SHELLPOINT MORTGAGE SERVICING | CORNERSTONE MORTGAGE SERVICING |
|---|---|---|
| **Address for Borrower Payments:** | Shellpoint Mortgage Servicing<br>PO Box 60535<br>City of Industry, CA 91716-0535 | Cornerstone Servicing<br>PO Box 660217<br>Dallas, TX 75266-0217 |
| **Address for Correspondence:** | Shellpoint Mortgage Servicing<br>PO Box 10826<br>Greenville, SC 29603-0826 | Cornerstone Servicing<br>Attn: Customer Care<br>PO Box 4638<br>Englewood, CO 80155 |
| **Forwarding Trailing Payments or Escrow Funds by Mail:** | Shellpoint Mortgage Servicing<br>Attn: Cash Control<br>55 Beattie Place<br>Suite 110, MS# 525<br>Greenville, SC 29601 | Cornerstone Servicing<br>Attn: Servicing Cash<br>10800 E Geddes Ave #200<br>Englewood, CO 80112 |
| **Address for Payoff Funds by Mail:** | Shellpoint Mortgage Servicing<br>Attn: Cash Control – Payoffs<br>55 Beattie Place<br>Suite 110, MS# 525<br>Greenville, SC 29601 | Cornerstone Servicing<br>10800 E Geddes Ave.<br>Suite 100<br>Englewood, CO 80112 |
| **Customer Service Information:** | Toll-free: 800-365-7107<br><br>Website: www.shellpointmtg.com<br><br>Mon - Fri: 8:00 a.m. to 9:00 p.m. (ET)<br>Saturday: 10:00 a.m. to 2:00 p.m. (ET) | Toll-Free: 866-505-0510<br><br>Website: www.cornerstoneservicing.com<br><br>Mon - Fri: 6:00am - 6:00pm (MT)<br>Saturday: 8:00am -12:00pm (MT) |
| **Loss Payee Clause:** | Shellpoint Mortgage Servicing<br>Its Successors and/or Assigns ISAOA/ATIMA<br>PO Box 7050<br>Troy, MI 48007-7050 | Cornerstone Servicing<br>ISAOA/ATIMA<br>PO Box 961254<br>Fort Worth, TX 76161 |
| **Requests for VOM:** | Send Borrower's authorization and Verification form by either email or fax:<br>Email to: Loanservicing@newrez.com OR<br>Fax to: 866-467-1184 | Send borrower's authorization and verification form by email:<br><br>Email to: Loaninfo@myloanservicer.com |
| **Requests for Payoff Statements:** | Consumer Loans: LoanServicing@newrez.com<br>OR Fax to: 866-467-1184<br>Business Purpose Loans:<br>CommercialPayoffs@newrez.com | All Loans:<br>Loaninfo@myloanservicer.com |
| **Send NSF Reimbursement Requests & Supporting Documentation to:** | Email to:<br>SMSPriorServicerNSFRequests@newrez.com | Email to:<br>Servicingcash@houseloan.com |
| **Forward Trailing Tax or Insurance Documents to:** | Tax Documents:<br>LoanServicing@newrez.com<br><br>Insurance Bills:<br>SMSInsurance@newrez.com<br><br>Insurance Documents: Insdocs@newrez.com | Tax Documents:<br>ASeitz@cornerstoneservicing.com and<br>Rmueller@cornerstoneservicing.com<br><br>Insurance Documents:<br>www.ihaveinsurance.com/cornerstoneservicing |

| SERVICING ITEM | SHELLPOINT MORTGAGE SERVICING | CORNERSTONE MORTGAGE SERVICING |
|---|---|---|
| **Forward All Other Trailing Loan Documents to:** | Send by secure email to:<br>SMSloandocuments@newrez.com | Mail to:<br>Cornerstone Servicing<br>PO Box 4638<br>Englewood, CO 80155 |
| **MERS ORG ID** | Transfer the Investor and Servicer rights via a TOB/TOS batch to the Verus ORG ID within 7 days of the sale to Verus.<br>Verus ORG ID: 1013178 | Transfer Investor and Servicer rights via TOB/TOS batch to the Verus ORG ID within 7 days of the sale to Verus.<br>Verus ORG ID: 1013178 |
| **Tax Vendor Name and Vendor ID** | Cotality (fka CoreLogic) Tax Vendor ID: 11680<br>Cotality (fka CoreLogic) Flood Vendor ID: 107544 | Cotality (fka CoreLogic) Tax Vendor ID: 2853640 |
| **Wiring Instructions:**<br><br>Funds that need to be applied to the borrower's payment history<br><br>**Wire Detail:** | Wire funds to this account that need to be applied to the borrower's payment history, items include:<br>• Payments due to Verus<br>• Curtailments due to Verus<br>• Trailing escrow funds<br><br>Name on Account: Mortgage CDA<br>Bank name: Citibank, NA<br>Bank address: 388 Greenwich St, New York, NY 10013<br>Account #: 31354717<br>ABA #: 021000089<br><br>Ref: Your company name, loan number, borrower name<br>Attn: Cash Control<br><br>All wires must have loan-level detail in an Excel formatted spreadsheet.<br>Email to: SMSwires@newrez.com | Wire funds to this account that need to be applied to the borrower's payment history, items include:<br>• Payments due to Verus<br>• Curtailments due to Verus<br>• Trailing escrow funds<br><br>Name of Financial Institution –<br>JP Morgan Chase<br>10 South Dearborn St, 34th Floor<br>Chicago, IL 60603<br><br>ABA Transit Routing Number: 021000021<br>Account Number: 786031630<br>TIN Number: 76-0236067<br><br>Wire notification and loan-level detail in an excel file must be emailed to:<br>ServicingCash@CornerstoneServicing.com<br>InvestorServices@houseloan.com |
| **Wiring Instructions:**<br><br>Pass Through Funds<br><br>**Wire Detail:** | Wire funds to this account if the funds <u>have already been credited or posted</u> to the borrower's payment history, items include:<br>• Payments due to Verus<br>• Curtailments due to Verus<br>• Escrow impounds that transferred<br>• Funds for suspense, unapplied, and/or reserve balances that were transferred<br><br>Name on Account: Funding Clearing Account<br>Bank name: Citibank, NA<br>Bank address: 388 Greenwich St, New York, NY 10013<br>Account #: 31354469<br>ABA #: 021000089<br><br>Ref: Servicer / Transfer Date /Transfer ID<br>Attn: T&I Funding<br><br>All wires must have loan-level detail in an Excel formatted spreadsheet.<br><br>Email to: e-gvl-funding@shellpointmtg.com | Wire funds to this account if the funds <u>have already been credited or posted</u> to the borrower's payment history, items include:<br>Payments due to Verus<br>Curtailments due to Verus<br>Escrow impounds that transferred<br>Funds for suspense, unapplied, and/or reserve balances that were transferred<br><br>Bank name: JP Morgan Chase<br>Bank address: 10 South Dearborn St., 34th FL<br>Chicago, IL 60603<br><br>ABA Transit Routing Number: 021000021<br>Account Number: 786031630<br>TIN Number: 76-0236067<br><br>Wire notification and loan-level detail in an excel file must be emailed to:<br>ServicingCash@CornerstoneServicing.com |

# NON-DELEGATED ELIGIBILITY REVIEW REPORT (2/26/2024)

## ELIGIBILITY REVIEW

**Loan Information**

Loan Number:
Seller Loan Number
Case Number:
Loan Amount:
Rate:
PITIA:
Amortization Term:
Term:
IO Term:

Loan Type:
Loan Purpose
Doc Type:
Occupancy:
Cash Out:
LTV/CLTV/HCLTV
DTI:
DSCR:

Recommendation: Approved with Conditions
Recommendation Date
Underwriter:
Product Code:
Program:
Lock Expiration
Qualifying Income: $
Total Liabilities: $

**Borrower**

Borrower:
FICO:
Phone:
Work:

**Assets**

Total Assets $
Required Reserves $
Max Cash to Close $

**Orginator**

Originator:
Contact:
Phone:

**Property**

Property:
Property Type: Single Family
Appraisal Type
Appraised Value:
Purchase Price
Submission Number 0

**Doc Expiration**

Approval Exp Date:
Credit Exp Date:
Income Exp Date:
Asset Exp Date:
Appraisal Exp Date

Title Exp Date:
Soft Pull Exp. Date
Condo Approval Exp
Photo ID Exp Date:

VOE Exp Date:
10 Day Verbal Exp Date
10 Day S/E Exp Date
Other Exp Date:

## PRIOR TO DOC CONDITIONS

| UNDERWRITER TO CLEAR | SIGNED OFF |
|---|---|
| 1. | |

*This Purchase Eligibility Review Form ("Eligibility Form") is subject to the Mortgage Loan Purchase Agreement, as amended from time to time, between Purchaser and Seller (as those parties are defined therein.) The Eligibility Form represents the results of a credit review based exclusively on the materials submitted by the Seller to determine if the loan meets the applicable eligibility guidelines. Such credit review excludes a determination of whether the loan complies with applicable origination requirements. Purchaser reserves the right to modify or withdraw this Eligibility Form if any of the information contained in the materials provided by the Seller is or becomes inaccurate or incomplete, including any changes in the borrower's credit, employment or any other factor used to determine the borrower's ability to repay the loan.*

*The eligibility determination provided herein is not a decision or recommendation to extend or deny credit. The Seller is the party solely responsible for making any decision to extend or deny credit. The Seller acknowledges that it will comply with all applicable regulatory requirements, including the Home Mortgage Disclosure Act (HMDA) and the Equal Credit Opportunity Act (ECOA), in connection with its credit decision.*

*Any granted commitment to purchase the loan will be subject to the following conditions precedent to Purchaser's purchase of the loan: 1) the loan is closed in conformance with this Eligibility Form, including without limitation satisfying all conditions cited herein; 2) to the extent material conditions are cited in post-close diligence that are unrelated to Purchaser's review of the credit file, the Seller has cleared or remediated each condition to the satisfaction of Purchaser in its sole discretion; and 3) Purchaser has not determined, in its reasonable discretion, that any aspect of the credit file appears fraudulent.*

# NON-OCCUPANT CO-BORROWER CERTIFICATION (10/01/2020)

## NON-OCCUPANT CO-BORROWER CERTIFICATION

Borrower ______________________________

Co-Borrower(s) ______________________________

Property Address ______________________________

I/We the undersigned certify that:

____ I am/We are the co-borrower(s) of the Promissory Note associated with the first mortgage loan that is being made to the above Borrower(s).

____ I/We attest that my/our income is/are being taken into account for qualifying purposes only.

____ I/We attest that we do not currently, nor will ever occupy the above-mentioned Subject property.

____ I/We attest that we will sign the mortgage or deed of trust note at closing.

____ I/We understand that upon consummation of this transaction I/we will have joint liability for the note with the Borrower(s).

____ I/We do not have an interest in the property sales transaction, such as the property seller(s), the builder(s), or the real estate broker(s).

**I/We understand that it is illegal to provide false information in an application for a mortgage loan. Mortgage fraud is punishable by up to thirty (30) years in federal prison or a fine of up to $1,000,000, or both under the provisions of Title 18, United States Code, Sec. 1001, et seq.**

**I/We understand that failure to comply with the requirements in the Mortgage or Deed of Trust regarding occupancy of the property will entitle the Seller to exercise its remedies for breach of covenant under the Mortgage or Deed of Trust. Such remedies include, without limitation, requiring immediate payment in full of the remaining indebtedness under the Loan together with all other sums secured by the Mortgage or Deed of Trust, and exercise of power of sale or other applicable foreclosure remedies, to the extent permitted by the Mortgage or Deed of Trust.**

| | | | |
|---|---|---|---|
| Borrower | Date | Co-Borrower | Date |
| Co-Borrower | Date | Co-Borrower | Date |

# OCCUPANCY CERTIFICATION (05/02/2022)

## OCCUPANCY CERTIFICATION

Borrower ______________________________

Co-Borrower(s) ______________________________

Property Address ______________________________

I/We the undersigned certify that:

______ Primary Residence – I/we will occupy the Property as my/our principal residence within Sixty (60) days after the date of closing as stated in the Mortgage or Deed of Trust I/we executed. I/we will continue to occupy the Property as my/our principal residence for at least one year after the date of occupancy, unless Seller otherwise agrees in writing.

______ Second Home – I/we will occupy the Property as a second home (vacation, etc.) while maintaining a principal residence elsewhere.

______ Investment Property – I/we will not occupy the Property as a principal residence or second home. I/we will not occupy the Property for more than 14 days in any calendar year. The Property is an investment to be held or rented rather than for household or personal use.

**REFINANCE ONLY** (the following **must** be completed on a refinance transaction)

______ I/We the undersigned, certify that the property referenced above is **NOT** currently listed for sale or under contract to be listed for sale.

**I/We understand that it is illegal to provide false information in an application for a mortgage loan. Mortgage fraud is punishable by up to thirty (30) years in federal prison or a fine of up to $1,000,000, or both under the provisions of Title 18, United States Code, Sec. 1001, et seq.**

**I/We understand that failure to comply with the requirements in the Mortgage or Deed of Trust regarding occupancy of the property will entitle the Seller to exercise its remedies for breach of covenant under the Mortgage or Deed of Trust. Such remedies include, without limitation, requiring immediate payment in full of the remaining indebtedness under the Loan together with all other sums secured by the Mortgage or Deed of Trust, and exercise of power of sale or other applicable foreclosure remedies, to the extent permitted by the Mortgage or Deed of Trust.**

| | | | |
|---|---|---|---|
| Borrower | Date | Co-Borrower | Date |
| Co-Borrower | Date | Co-Borrower | Date |

# PRE-CLOSE SUBMISSION CHECKLIST (11/10/2025)

## NON-AGENCY PRE-CLOSE SUBMISSION CHECKLIST

VERUS SELLER GUIDE SHOULD BE USED FOR ELIGIBILITY

- ☐ Copy of Loan Estimate
- ☐ Rate Lock Disclosure
- ☐ Application for all borrowers/guarantors
  - Consumer Purpose: FNMA 1003 application
  - Business Purpose: FNMA 1003 or similar application
- ☐ FNMA 1008 and/or Seller U/W approval worksheet
- ☐ Credit Report
  - Credit explanation letters
- ☐ Fraud Report
- ☐ Verification of Mortgage/Rent
- ☐ Employment/Income Verification
  - Standard Documentation (12- or 24- months)
    - Paystubs
    - W-2 or W-2 Transcript
    - Tax Return or Tax Return Transcript
    - YTD Profit & Loss Statement
    - 4506-C
  - Alt Doc Options
    - Bank Statement (12- or 24- months)
      - Income Worksheet (Bank Statement Calculator)
      - Personal and/or Business Statements
      - Document expense method utilized
      - Document borrower's ownership percentage of business and length of self-employment
    - P&L Statement Only (12- or 24- months)
      - P&L prepared by CPA/EA/CTEC/Tax Attorney
      - Credentials for CPA/EA/CTEC/Tax Attorney
      - Document borrower's ownership percentage of business and length of self-employment
      - Most recent 2- months business bank statements if applicable
    - IRS Form 1099 (12- or 24- months)
      - 1- or 2- years 1099s
      - YTD income documentation
    - Written VOE
      - FNMA Form 1005
      - 2- months personal bank statements
    - Asset Utilization
      - Most recent 3- months account statements, quarterly statement, or VOD
- ☐ Asset Verification
  - Account statements covering 30 days or VOD
  - Earnest Money Documentation (Purchases only)

- Gift Letter and supporting documents
- DSCR Gross Rent Documentation
  - **1-4 Unit:**
    - Long-Term Rental
      - Comparable Rent Schedule from appraisal (1007/1025)
      - Lease agreement(s)
    - Short-Term Rental
      - Short-term rental analysis form developed by an AMC
      - Most recent 12- month rental history (i.e., Third Party rental report, borrower bank statements)
      - AirDNA Rentalizer report
  - **5-8 Unit/2-8 Mixed Use:**
    - Long-Term Rental
      - Comparable Rent Schedule from appraisal
      - Lease agreement(s)
- Property
  - Appraisal Report
    - **1-4 Unit:** FNMA 1004, 1073, or 1025 (1007 if applicable)
    - **5-8 Unit/2-8 Mixed Use:** FHLMC 71A/71B, FNMA 1050, Narrative Report, General Purpose Commercial Form
    - **Other Appraisal Products** as applicable for Second Liens and HELOCs
  - Appraisal Review
    - **1-4 Unit:** CU®/LCA®Score, Enhanced Desk Review, or AVM
    - **5-8 Unit/2-8 Mixed Use:** Commercial BPO
    - **Other Appraisal Review Products** as applicable for Second Liens
  - Copy of Executed Purchase Agreement/Sales Contract
  - Preliminary Title Report (or O&E Report if allowed for Second Lien), tax cert, 24- month chain of title
  - Condo Questionnaire
- Insurance
  - Hazard Insurance
  - Flood Insurance (if applicable)
  - Other Insurance (if applicable)
  - Commercial General Liability Insurance (if applicable)

## SECURITY RELEASE FORM (03/07/2023)

### SECURITY RELEASE FORM

Date: ____________________

Seller Name: ____________________________________________

Seller Address: ____________________________________________

____________________________________________ ("Seller") hereby acknowledges that it has exclusive right, title and interest in the mortgage loans referenced in Schedule A ("Mortgage Loans") attached hereto and that the Mortgage Loans or any interest therein have not been pledged or assigned to any financial institution or other party. Seller further acknowledges that the bank account designated below is the Seller's business bank account. Immediately upon Purchaser receiving confirmation of the payment of the purchase proceeds to the account designated below, the Seller hereby agrees that all right, title and interest in the Mortgage Loan shall be released to the Purchaser.

Wire Instructions: ____________________________________________

Bank Name: ____________________________________________

City State: ____________________________________________

ABA #: ____________________________________________

Account #: ____________________________________________

Account Name: ____________________________________________

Bank Contact Name: ____________________________________________

Phone Number: ____________________________________________

Email Address: ____________________________________________

Seller Contact Name: ____________________________________________

Phone Number: ____________________________________________

Email Address: ____________________________________________

____________________________________________
By (Signature)

____________________________________________
Name (Printed)

____________________________________________
Title

# SPOUSAL CONSENT FORM (10/26/2020)

## CONSENT OF SPOUSE

I, **[Name of Spouse]**, spouse of **[Name of Guarantor]**, acknowledge that I have read the **[Guaranty]**, dated as of **[Closing Date]**, by **[Name of Guarantor]** (the "Guaranty"), and that I know the contents of the Guaranty. I am aware that the Guaranty contains provisions guaranteeing amounts for the benefit of **[Name of Borrower]** ("Borrower") and in support of that certain promissory note incurred by Borrower and payable to the order of **[Name of Seller]** ("Seller"), as well as other obligations under the Guaranty:

I hereby expressly approve of the Guaranty in its entirety, including, but not limited to, that my spouse guarantees to Seller the full and prompt payment when due, whether at the Maturity Date or earlier, the entire amount due under the promissory note (as defined in the Guaranty).

I am aware that the legal and related matters contained in the Guaranty are complex and that I have been advised to seek independent professional guidance or counsel with respect to this Consent. I have either sought such guidance or counsel or determined after reviewing the Guaranty carefully that I will, and hereby do, waive such right.

Signed ______________________________________

Name of Spouse ______________________________

Spouse Address ______________________________

______________________________

____________________________________________________

State of _________________________

County of ________________________

The foregoing instrument was acknowledged before me on this _____________, 20____ by ______________________________________ (spouse).

(Notary Seal)

________________________________________

Signature of Notary Public

# TAXPAYER CONSENT FORM (10/01/2020)

**Consent to Share Tax Returns**

Loan: ____________________________________________________

Borrower: ____________________________________________________

Date: ______________________

I understand, acknowledge, and agree that ___________________ ("Seller") and Other Loan Participants can obtain, use and share tax return information for purposes of (i) providing an offer; (ii) originating, maintaining, managing, monitoring, servicing, selling, insuring, and securitizing a loan; (iii) marketing; or (iv) as otherwise permitted by applicable laws, including state and federal privacy and data security laws. The Seller includes the Seller's affiliates, agents, service providers and any of aforementioned parties' successors and assigns. The Other Loan Participants includes any actual or potential owners of a loan resulting from your loan application, or acquirers of any beneficial or other interest in the loan, any mortgage insurer, guarantor, any servicers, or service providers for these parties and any of aforementioned parties' successors and assigns.

________________________________________________________
Borrower

________________________________________________________
Co-Borrower

# VERIFICATION OF MORTGAGE (10/16/2023)

## Request for Verification of Rent or Mortgage Account

**Privacy Act Notice:** This information is to be used by the agency collecting it or its assignees in determining whether you qualify as a prospective mortgagor under its program. It will not be disclosed outside the agency except as required and permitted by law. You do not have to provide this information, but if you do not your application for approval as a prospective mortgagor or borrower may be delayed or rejected. The information requested in this form is authorized by Title 38, USC, Chapter 37 (if VA); by 12 USC, Section 1701 et. seq. (if HUD/FHA); by 42 USC, Section 1452b (if HUD/CPD); and Title 42 USC, 1471 et. seq. or 7 USC, 1921 et. seq. (if USDA/FmHA).

**Instructions: Lender** - Complete items 1 through 8. Have applicant(s) complete item 9. Forward directly to creditor named in item 1.
**Landlord/Creditor** - Please complete items 10 through 18 and return directly to lender named in item 2.
**The form is to be transmitted directly to the lender and is not to be transmitted through the applicant(s) or any other party.**

### Part I - Request

| 1. To (Name and address of landlord/creditor) | 2. From (Name and address of lender) |
|---|---|
| | |

**I certify that this verification has been sent directly to the landlord/creditor and has not passed through the hands of the applicant or any other party.**

| 3. Signature of Lender | 4. Title | 5. Date | 6. Lender's No. (Optional) |
|---|---|---|---|
| | | | |

**7. Information To Be Verified**

| Property Address | Account in the Name of | ☐Mortgage<br>☐Land Contract<br>☐Rental<br>☐ |
|---|---|---|
| | Account Number | |

**I have applied for a mortgage loan. My signature below authorizes verification of mortgage rent information.**

| 8. Name and Address of Applicant(s) | 9. Signature of Applicant(s) |
|---|---|
| | X |

### Part II - To Be Completed by Landlord/Creditor

**We have received an application for a loan from the above, to whom we understand you rent or have extended a loan. In addition to the information requested below please furnish us with any information you might have that will assist us in processing of the loan.**

☐**Rental Account**

10. Tenant rented from ____________________
to ____________________
Amount of rent $__________ per __________
Number of late payments __________ *
Is account satisfactory? ☐YES ☐NO
____________________
____________________
____________________

☐**Mortgage Account or** ☐**Land Contract**

11. Date account opened ____________________
Original contract amount $____________________
Current account balance $____________________
Monthly payment P&I only $____________________
Payment with taxes & ins. $____________________
Is account current? ☐YES ☐NO
Was loan assumed? ☐YES ☐NO
Satisfactory account? ☐YES ☐NO

12. Interest Rate ____________________%
☐FIXED ☐ARM
☐FHA ☐VA
☐CONV ☐OTHER __________
Next pay date ____________________
No. of late payments __________ *
No. of late charges ____________________
Owner of First Mortgage
☐FNMA ☐FHLMC ☐Seller/Other

** Payment History for the previous 12 months must be provided in order to comply with secondary mortgage market requirements.*

13. Additional information which may be of assistance in determination of credit worthiness

**Part III - Authorized Signature - Federal statutes provide severe penalties for any fraud, intentional misrepresentation, or criminal connivance or conspiracy purposed to influence the issuance of any guaranty or insurance by the VA Secretary, the USDA, FmHA/FHA Commissioner, or the HUD/CPD Assistant Secretary.**

| 14. Signature of Landlord/Creditor Representative | 15. Title (Please print or type) | 16. Date |
|---|---|---|
| | | |
| 17. Print or type name signed in item 14 | | |
| 18. Phone No. | | |

# VERUS CONTACT FORM (04/21/2025)

| VERUS CONTACT FORM | |
|---|---|
| Main Number: | 202-534-1816 |
| Hours of Operation: | 8:30 am – 5:30 pm CT |
| SystemSupport@verusmc.com | New user, password reset, general system, or system navigational questions |
| LockDesk@verusmc.com | Registration, locking, and extension questions |
| Scenarios@verusmc.com | Guideline questions, loan scenarios, and exception scenarios<br>* Questions for loans under review should be directed to the appropriate mailbox |
| Nondelteam@verusmc.com | Questions or requests for Non-Delegated submissions |
| Postcloseconditions@verusmc.com | Correspondent Flow acquisition diligence |
| Purchaseauditorteam@verusmc.com | Correspondent Bulk or Hybrid Flow acquisition diligence |
| Collateral@verusmc.com | Acquisition collateral questions |
| MERS@verusmc.com | MERS questions |
| Servicingtransfers@verusmc.com | Servicing transfer questions |
| FinalDocs@verusmc.com | Post acquisition final document collateral questions |

# CHAPTER 8 - MATRICES

(See current Loan/LTV Matrices Document)